Start here

AAA — priority and how to decode a twisted question

Marks set in Sep 2025, Jan 2026, May 2026 (ICAI papers). Paper: 15 MCQs × 2 = 30 (compulsory) + Q1 14 (compulsory) + any 4 of Q2–Q6 (14 each).

#	Chapter	Marks set (3 papers)	Share
1	Ch 19 Professional Ethics and Liabilities of Auditors	71	20.1%
2	Ch 7 Reporting	35	9.9%
3	Ch 14 Special Features of Audit of Banks and NBFCs	27	7.6%
4	Ch 2 General Auditing Principles and Auditor's Responsibilities	25	7.1%
5	Ch 5 Audit Evidence	19	5.4%
6	Ch 10 Review of Financial Information	18	5.1%
7	Ch 18 SDG and ESG Assurance	18	5.1%
8	Ch 12 Digital Auditing and Assurance	17	4.8%
9	Ch 17 Due Diligence, Investigation and Forensic Accounting	16	4.5%
10	Ch 3 Audit Planning, Strategy and Execution	16	4.5%
11	Ch 15 Audit of PSUs	15	4.2%
12	Ch 4 Materiality, Risk Assessment and Internal Control	14	4.0%
13	Ch 1 Quality Control	11	3.1%
14	Ch 13 Group Audits	11	3.1%
15	Ch 6 Completion and Review	11	3.1%
16	Ch 8 Specialised Areas	10	2.8%
17	Ch 11 Prospective Financial Information and Other Assurance Services	9	2.5%
18	Ch 16 Internal Audit	7	2.0%
19	Ch 9 Related Services	4	1.1%

Decoding a long case (app-written method)

1. **Read the LAST line first.** Underline the ask verb: *comment / advise / state the responsibility / what should the auditor report / which clause / is it misconduct*. The story is often about something else.
2. **Name the actor.** Whose duty is asked — statutory auditor, component auditor, internal auditor, management, TCWG, ICAI member in practice / in service? The same fact has different answers for each.
3. **Find the trigger word → standard.** e.g. "subsequent to the year end" → SA 560; "uncertainty about continuing" → SA 570; "matter of most significance" → SA 701; "fundamental to understanding, already disclosed" → SA 706 EOM; "not disclosed, relevant to users' understanding of the audit" → OMP; "fee based on outcome" → Clause 10 Part I First Schedule; "client money" → Clause 10 Part I Second Schedule.
4. **Look for the twist fact** — date (before / after report), listed vs unlisted, amount vs threshold, member in practice vs service, written vs oral, "disclosed adequately" vs "not disclosed".
5. **Write in 3 blocks:** Provision (SA / section / clause with para) → Facts applied → Conclusion (one line, decisive). Marks sit in the provision keywords and the conclusion.

Start here

MCQ technique (app-written)

- Read the question stem and the four options BEFORE the case; then read the case looking only for the facts the options need.
- "NOT / EXCEPT / least" — circle it. Combination options: eliminate one wrong statement first; it usually removes two options.
- Numerical MCQs (thresholds, days, %) — the option that differs only in a number is usually the trap: check the exact SM limit.
- Budget: about 2.5 min per MCQ, 40 min for 15. If a case runs long, answer the short standalone MCQs first.

Descriptive answer frame: Provision (exact SA para / section / clause) → Facts → Analysis (apply each fact to each condition) → Conclusion ("Hence the auditor should..." / "Hence CA X is guilty of professional misconduct under Clause... of Part... of the ... Schedule").

19 Ch 19 – Professional Ethics & Liabilities of Auditors

Asked: Sep 2025 (MCQ CS-I Q4, Q14, Q15; Q1(b) 5m; Q2(b) 5m; Q5(c) 4m; Q6(c) 4m) · Jan 2026 (MCQ CS-I Q5, CS-II Q9, Q15; Q2(a) 5m; Q3(b) 5m; Q4(b) 5m; Q5(c) 4m) · May 2026 (MCQ CS-II Q9, CS-III Q11; Q2(b) 5m; Q3(b) 5m; Q5(c) 4m; Q6(c) 4m). About 20% of the paper. Every attempt has had 4–5 descriptive parts plus 2–3 MCQs from here.

Answer frame for every ethics question (ICAI style): (1) quote the clause word for word in short form: "As per Clause (x) of Part y of the z Schedule to the CA Act, 1949, a CA in practice shall be deemed guilty of professional misconduct if he..."; (2) give the Council decision, guideline or regulation that applies; (3) apply it to the facts in 2–3 lines; (4) Conclusion: "guilty / not guilty under Clause ...". A correct conclusion with the wrong clause loses most of the marks.

2. Code of Ethics: structure

Part	Covers	Applies to
Part 1	Complying with the Code, fundamental principles, conceptual framework	**All** professional accountants
Part 2	Professional accountants **in service** (commerce, industry, service, public sector, education, not-for-profit, regulatory or professional bodies)	PAs in service. Also applies to PAs in public practice for work they do **as employees** of the firm.
Part 3	Professional accountants **in public practice**	PAs in public practice providing professional services
Part 4A	Independence: **audit and review** engagements	When doing audit or review. "Audit engagement" in 4A covers review too (Glossary).
Part 4B	Independence: assurance engagements **other than** audit and review	Other assurance work

→ Each section has three layers: **Introduction**, **Requirements** (the obligations) and **Application material** (context, explanations, examples).

→ Where law stops an accountant from complying with part of the Code, the **law prevails** and he must comply with all other parts.

2.1 Fundamental principles (Subsections 111–115)

Principle	Must-write line	Trigger words in the question
Integrity (111)	Straightforward and honest; fair dealing and truthfulness. Must not knowingly be associated with information that is (a) materially false or misleading, (b) provided negligently, or (c) omits or obscures required information. A **modified report** means no breach. If already associated, take steps to **disassociate**.	"signs a report he knows is misleading", "omits information"
Objectivity (112)	Judgment not compromised by **bias, conflict of interest or undue influence**. Must not undertake an activity if a circumstance or relationship unduly influences his judgment.	"relative", "pressure", "conflict of interest"
Professional competence and due care (113)	(a) Attain and maintain knowledge and skill; (b) act **diligently**, meaning carefully, thoroughly and on time. Staff under him need training and supervision. Make users aware of the **limitations** of the service.	"no experience in the area", "delayed", "untrained staff"
Confidentiality (114)	Be alert to inadvertent disclosure (including socially, to family or a close business associate); keep information confidential within the firm and for **prospective** clients; do not use it for personal or third-party advantage; the duty continues **after the relationship ends**; staff and advisers must respect it.	"seminar", "presentation", "new employer", "bank asks auditor"
Professional behaviour (115)	Comply with laws and avoid conduct that might discredit the profession (judged by a reasonable and informed third party). In promotion: no exaggerated claims, no disparaging references or unsubstantiated comparisons, nothing against the Advertisement Guidelines. If in doubt about an advertisement, consult the **Ethical Standards Board**.	"advertises", "claims to be the best", "compares"

→ **Confidentiality: when disclosure is or may be appropriate.** (a) **Required by law**: producing documents or evidence in legal proceedings; disclosing infringements of law to the appropriate public authorities. (b) **Permitted by law and authorised** by the client or employer. (c) **Professional duty or right, when not prohibited by law**: (i) Peer Review or Quality Review of the Institute; (ii) an inquiry or investigation by a professional or regulatory body; (iii) protecting his professional interests in legal proceedings; (iv) complying with technical and professional standards, including ethics requirements.

→ **Points to consider before disclosing (4):** whether any party, including third parties, could be harmed even if the client consents; whether all relevant information is known and substantiated, as far as practicable; the type of communication and to whom it is addressed; whether the recipients are appropriate.

→ **When principles conflict:** he may consult others in the firm or employing organisation, those charged with governance, the Institute or legal counsel. Consulting does **not** remove his duty to resolve the conflict himself or, unless law prohibits it, to disassociate from the matter. He is encouraged to **document** the issue, the discussions, the decisions and the reasons for them.

Examiner's twist: TYK 26 asks you to "enumerate circumstances of disclosure *and* points to consider". These are two separate lists of 3 (with 4 sub-points under (c)) and 4. Students mix them up. A further trap: Peer Review is a **professional duty or right**, not "required by law".

2.2 Threats, evaluation and safeguards (conceptual framework)

→ Approach in three steps: **Identify** threats, **Evaluate** them, **Address** them by eliminating them or reducing them to an acceptable level.

→ **Acceptable level**: the level at which a professional accountant applying the **reasonable and informed third party test** would likely conclude that he complies with the fundamental principles. That third party need not be an accountant, but has the knowledge and experience to judge the accountant's conclusions impartially.

→ **Addressing threats (3 ways):** (i) eliminate the circumstances, interests or relationships causing them; (ii) apply safeguards, where available and capable of being applied; (iii) **decline or end** the activity. Some threats can only be addressed by (iii).

Threat	Meaning (key words)	SM examples: public practice	SM examples: in service
Self-interest	A financial or other **interest** inappropriately influences judgment	Direct financial interest in a client; fee quoted so low the work cannot meet standards; close business relationship; access to confidential information usable for gain; finding a significant error in the firm's earlier work	Loan or guarantee from the employer; incentive pay; personal use of corporate assets; gift from a supplier
Self-review	Will not properly evaluate an **earlier judgment or activity** (his own or the firm's) that he now relies on	Assurance report on financial systems he implemented; prepared the original data that is the subject matter	Deciding the accounting for a business combination after doing the feasibility study for it
Advocacy	**Promotes** the client's or employer's position until objectivity is lost	Promoting a client's shares; advocate in litigation; lobbying for legislation for a client	Chance to manipulate a prospectus to get favourable financing
Familiarity	Long or close relationship makes him **too sympathetic or too accepting**	Close or immediate family member is a director or officer of the client; a former engagement partner joins the client; long association of a team member	Family member at the employer makes decisions affecting reporting; long association with decision makers
Intimidation	**Deterred** by actual or perceived pressure or undue influence	Threat of dismissal over a disagreement; pressure because the client has more expertise; promotion withheld unless he agrees; significant gift and threat to make it public	Threat of dismissal or replacement over an accounting principle or reporting; influence over contract awards

→ **Safeguard examples (SM):** extra time and qualified staff → self-interest; a reviewer who was not on the team → self-review; separate partners and teams with separate reporting lines for non-assurance services → self-review, advocacy, familiarity; another firm performs or re-performs part of the work → all five threats; separate teams for confidential matters → self-interest.

Examiner's twist: the significant **gift** example sits under **intimidation** (threat of making it public), not self-interest. A gift from a supplier to a PA **in service** is self-interest. "Client has more expertise" is intimidation, not familiarity. The safeguard that covers all five threats is "involving another firm to perform or re-perform part of the engagement".

2.3 NOCLAR

Asked: Sep 2025 Q2(b)(i) and (ii)

- → ***Non-compliance***: *acts of omission or commission, intentional or unintentional, contrary to prevailing laws or regulations, committed by the client or employer, TCWG, management, or others working for or under their direction.*
- → ***Not covered:*** *personal misconduct unrelated to the business activities; non-compliance by parties outside this list; clearly inconsequential matters.*
- → *IESBA examples: fraud, corruption and bribery; money laundering, terrorist financing and proceeds of crime; securities markets and trading; banking and financial products; data protection; environmental protection; public health and safety; tax and pension liabilities.*
- → *The PA is **not required to investigate** or ensure complete compliance; he is not expected to know law beyond what the engagement needs; whether there is non-compliance is ultimately for a court to decide; disclosure contrary to law is not required (it is precluded).*
- → *Objective: turning a blind eye is not an appropriate response, with renewed emphasis on the roles of management and TCWG.*

Applicability in India	Who	Key condition
Section 260 *(PAs in service)*	***Senior professional accountants*** *in service: directors, officers or senior employees who exert significant influence over the organisation's resources, i.e.* ***key managerial personnel***	*Employees of* ***listed entities***
Section 360 *(PAs in public practice)*	*Audit engagements*	*Entities* ***listed*** *on a recognised stock exchange in India* ***and*** *with net worth of* ***₹250 crore or more****. "Audit" here means a reasonable assurance engagement giving a true and fair opinion.*

Steps in responding: *obtain an understanding of the matter → address the matter → seek advice → decide whether further action is needed → decide whether to disclose to an appropriate authority → imminent breach → documentation. The appropriate authority depends on the matter, for example* ***SEBI*** *for fraudulent financial reporting.*

Point	SA 250	NOCLAR (Code of Ethics)
Applies to	***Audit only****, not other assurance work*	*PAs in* ***service and in practice***
Laws covered	*Laws with a direct effect on amounts and disclosures (tax, labour) and other laws fundamental to operations*	*Same,* ***plus*** *non-compliance causing* ***substantial harm*** *with serious financial or non-financial consequences*
Stakeholders	*Not defined*	*Investors, creditors, employees and the general public*
Imminent breach	*No such provision*	*After considering whether to discuss with management or TCWG, he uses judgment on whether to disclose* ***immediately*** *to an appropriate authority. If he does, the disclosure is* ***permitted****.*

→ **Additional NOCLAR documentation (over and above the SAs)** Asked: Sep 2025 Q2(b)(ii) **:** (1) how management or TCWG responded; (2) the courses of action considered, the judgments and the decisions, applying the reasonable and informed third party test; (3) how he is satisfied that he has met his responsibility to act in the public interest.

→ For contrast, SA documentation covers: significant matters, conclusions and judgments; discussions of significant matters with management, TCWG and others (what, when, with whom); and identified or suspected non-compliance with the results of discussions.

→ **CA Act confidentiality alignment:** in practice → Cl (1) Part I Second Schedule; in service → Cl (2) Part II Second Schedule.

Examiner's twist: the story describes a **CFO of an unlisted company** (or the audit of a listed company with net worth ₹200 crore) and asks "is NOCLAR applicable?". The answer is **no** for Indian applicability: Section 260 needs a **listed** employer, and Section 360 needs **listed and** ₹250 crore net worth. The score line: quote the two sections with their conditions, then apply them. A junior accountant (not KMP) of a listed company does not meet the "senior professional accountant" condition of Section 260.

3. Membership (Sections 19, 8, 5, 20, 24)

→ **S.19 Register**: full name, date of birth, domicile, residential and professional address; date of entry; qualifications; whether he holds a COP; other prescribed particulars.

→ **S.8 disabilities** (cannot be entered or borne on the Register): (i) under **21 years** at application; (ii) of unsound mind, so adjudged by a court; (iii) undischarged insolvent; (iv) a discharged insolvent who has **not** obtained a court certificate that the insolvency was caused by misfortune without misconduct; (v) convicted (in or outside India) of an offence involving moral turpitude punishable with imprisonment, or of a non-technical offence in his professional capacity, unless pardoned or the Central Government has removed the disability by written order; (vi) removed from membership after being found guilty of misconduct. Removed for a period → no re-entry until it expires. **Failure to disclose** a disability is professional misconduct.

→ **S.5 Associate and Fellow**: ACA on entry. FCA: (i) an associate in **continuous practice in India for at least 5 years**; or (ii) an associate for a continuous 5 years with qualifications the Council prescribes as equivalent to 5 years' practice.

→ **S.20 removal by the Council**: dead; on his request; prescribed fee not paid; subject to a S.8 disability (then or later). The Council **shall** remove a member under a removal order made under the Act. **Reg 19 restoration** (for non-payment of fee): on application with arrears of annual fee, entrance fee and additional fee.

Restoration of membership: situation	Effective from
Application and fees made **within the same year** as removal	Date of **removal** (no break)
Removed under orders of the Board of Discipline, Disciplinary Committee, Appellate Authority or High Court	As per those orders
Other cases	Date the application and fee are **received**

→ **S.24 penalty** for a non-member claiming membership or using the designation CA, or a member without a COP claiming to be in practice: first conviction a fine up to **₹1,000**; any subsequent conviction imprisonment up to **6 months** or a fine up to **₹5,000**, or both (Prem Batra, 1989).

4.1–4.2 Certificate of Practice (S.6, Reg 10, Reg 11)

→ **S.6**: no member may practise **in India or elsewhere** without a COP. The annual fee is payable on or before **1 April**. The Council may cancel a COP in prescribed circumstances.

→ A member not in practice cannot take engagements of types normally done by a CA, even if no special qualification is needed. A **suspended** member cannot appear before tax authorities "in some other capacity": he can practise only as a member of the Institute (Illus 1: guilty).

→ **Reg 10 cancellation**: name removed from the Register; COP issued on incorrect, misleading or false information, or by mistake (after a hearing); **ceased to practise**; annual COP fee **not paid by 30 September** of the year. A cancelled COP is surrendered to the Secretary.

→ **Reg 11 restoration** (cancelled for non-payment): restored **from the date of cancellation** if a complete application with the fee reaches the Secretary **before the end of the relevant year**.

4.3 Deemed to be in practice (S.2(2)) Asked: Sep 2025 QS(c)

→ A member is deemed in practice when, individually or in partnership with CAs in practice (or prescribed professionals), **for remuneration**, he: (i) engages in the practice of accountancy; (ii) **offers to perform** or performs auditing or verification of financial transactions, books or records, or prepares, verifies or certifies financial statements, or holds himself out to the public as an accountant; (iii) renders services on accounting procedure or on recording, presenting or certifying financial facts; (iv) renders other services that, in the Council's opinion, a CA in practice may render.

→ **Explanation**: a salaried employee of a CA in practice or a CA firm is deemed in practice **only for training articled assistants**.

→ Setting up an office that **offers** accounting services is "practice" even before any client is served. Service with the armed forces also counts as being in practice.

→ **Reg 191 read with S.2(2)(iv)**: deemed in practice when acting in his **professional** capacity (not personal, not as an employee) as liquidator, trustee, executor, administrator, arbitrator, receiver, adviser or representative for costing, financial or tax matters, on appointment by the Central or a State Government, a court or a legal authority, or as Secretary, **unless** employed on a salary-cum-full-time basis.

Management Consultancy and other Services (Council resolution under S.2(2)(iv))	Excluded or not permitted
Financial management planning; capital structure and raising finance; working capital; project reports (tax implications of these four count as MCS); budgets; inventory; market research; pricing; MIS; personnel recruitment and selection (includes training programmes, job evaluation); incentive plans; management and operational audits; valuation of shares and business, M&A advice, **Registered Valuer** under CA 2013 (388th meeting); corporate planning; EDP and systems; **advisor or consultant to an issue** (drafting the prospectus, listing formalities, publicity budget, advising on selection of underwriters and agencies, post-issue work); investment counselling in securities; registrar to an issue; quality, environment and energy audit; recovery consultant in banking; insurance advisory including brokerage under IRDA; **Insolvency Professional** (362nd meeting); **administrative services** (clerical tasks such as word processing, statutory forms, monitoring filing dates; for example, the GST practitioner functions under Rule 83(8))	MCS does **not** include statutory or periodical audit, tax representation or advice, or acting as liquidator, trustee, executor, administrator, arbitrator or receiver (these are separate). Activities of **broking, underwriting and portfolio management** are **not permitted**.

→ **S.144 CA 2013**: the company auditor may give only services approved by the Board or audit committee, and never (directly or indirectly, to the company, its holding or its subsidiary): accounting and book-keeping; internal audit; design and implementation of any financial information system; actuarial; investment advisory; investment banking; outsourced financial services; management services; other prescribed services.

Examiner's twist: "advisor to the issue: advising on selection of underwriters" is **permitted**; "underwriting the issue" or "managing clients' portfolios" is **not** (Sep 2025 Q5(c); TYK 1 PMS: guilty). For a Registered Valuer under the Companies Act, the SM answer (TYK 31) is that the rules qualify a CA to value **securities or financial assets only**, not plant and machinery, even if he is an engineer. Doing the course is generally permitted ("attending classes and appearing for any examination").

4.4–4.6 S.25, S.7, S.27

- **S.25**: no company (Indian or foreign) shall practise as CAs. "Company" includes an **LLP with a company as partner**. Each director or officer knowingly party to it: fine up to ₹1,000 on first conviction, ₹5,000 on subsequent. Under S.141(2) CA 2013, only partners who are CAs may sign for a firm or LLP auditor.
- **S.7**: a member in practice uses no designation other than "Chartered Accountant". He may add membership of another accountancy institute recognised by the Council, or any other qualification he has. The prefix "CA" is allowed for all members. ACMA or FCMA letters are allowed, but not the designation "Cost Accountant". Not allowed: Director, member of a political party or club positions; "Income-tax Consultant", "Company Secretary", "Management Consultant", "Corporate Lawyer", the initials "CPA". Foreign institutes recognised through an MoU or MRA (for example SAICA, CPA Ireland, ICAEW) may be mentioned. Category IV Merchant Banker or advisor to an issue: name under the caption "Advisor/Consultant to the Issue", **not prominently**.
- **S.27 branch offices**: each office must be in the **separate charge of a member**. Being in charge means actively associated: residing at, or attending, the office for **at least 182 days a year**. The member in charge must be a partner or a whole-time paid assistant.
- One member may hold charge of a second office if it is in the **same premises**, in the **same city**, or within **50 km of the municipal limits** of the city of the first office. He must declare which one is the main office (his professional address).
- Hill-area exemption: a temporary office in the plains for up to **3 months a year**; inform the Institute before every winter and on closure (by registered post); the temporary office is not shown on stationery; the name board is shown only during that period.
- A name board at the **residence** is allowed only for an **individual** member, not for the firm (Illus 3: guilty; the 80 km distance is irrelevant).

4.7 KYC norms

Asked: May 2026 Q3(b)

- Issued by the Council of ICAI; **mandatory**; apply to **all assignments of attestation functions**.

Client	A. General information	B. Engagement	C. Regulatory information
Individual or proprietor	Name; PAN or Aadhaar; business description; copy of last audited FS	Type of engagement	None
Corporate entity	Name and address; business description; **name of parent company** (if a subsidiary); copy of last audited FS	Type of engagement	**Company PAN; CIN; directors' names and addresses; DINs**
Non-corporate entity	Name and address; copy of PAN; business description; partners' names and addresses (with PAN, Aadhaar or DIN); copy of last audited FS	Type of engagement	None

Examiner's twist: TYK 15 tells a story about money laundering and a consultant who says "I only did consultancy". The SM answer lists the corporate KYC information. Trap in MCQs: "name of the parent company" is **general** information, not regulatory. Company PAN is regulatory; PAN of an individual is general.

SM Ch 19 · KYC, discipline, schedules map

6. Disciplinary procedure (S.21, 21A, 21B, 21C, 22A, 22G)

Point	Board of Discipline	Disciplinary Committee
When the Director (Discipline) refers the matter	Prima facie misconduct under the **First Schedule**	Under the **Second Schedule or both** Schedules
Penalty if found guilty	Reprimand; removal of name for up to **3 months**; fine up to **₹1,00,000**	Reprimand; removal **permanently or for any period** it thinks fit; fine up to **₹5,00,000**
Appeal	Member or Director (Discipline) → **Appellate Authority within 90 days**. It may confirm, modify or set aside the order; impose, set aside, reduce or enhance the penalty; remit the case for reconsideration; or pass any order it thinks fit.	

→ If the Director (Discipline) finds the member not guilty, the Board of Discipline may agree and close the matter, or disagree: it may advise further investigation, proceed itself (First Schedule) or refer to the Disciplinary Committee (Second Schedule or both).

7–8. Types of misconduct and the Schedules map

→ **Professional misconduct**: Parts I, II, III of the First Schedule and Parts I, II of the Second Schedule. **Other misconduct**: Part IV of the First Schedule and Part III of the Second Schedule. Other misconduct covers acts outside professional work (for example, forging a relative's will).

→ Part I of the First Schedule covers acts that generally **compromise the member's position as an independent person**.

Schedule and Part	Who	Clauses	Goes to
First Sch, Part I	CA in practice	12	Board of Discipline (lighter penalties)
First Sch, Part II	Members in service	2	
First Sch, Part III	Members generally (professional)	3	
First Sch, Part IV	Members generally (**other** misconduct)	2	
Second Sch, Part I	CA in practice	10	Disciplinary Committee (heavier penalties)
Second Sch, Part II	Members generally (professional)	4	
Second Sch, Part III	Members generally (**other** misconduct)	1	

Look-alike: court conviction	Where it falls	Trigger words
Imprisonment for a term **not exceeding six months**	First Sch, Part IV, Cl (1): other misconduct	"sentenced to 4 months", "fine and 3 months"
Imprisonment for a term **exceeding six months**	Second Sch, Part III: other misconduct	"8 months", "1 year"
Brings disrepute, whether or not related to professional work	First Sch, Part IV, Cl (2), in the **opinion of the Council**	Concurrent auditor uses influence to get a bank loan and defaults (Illus 28)
Convicted of moral turpitude: a bar on entry to the Register	S.8(v) disability (membership, not a Schedule)	"wants to be enrolled", "name on the Register"

8.1 First Schedule, Part I: CA in practice

Cl (1) Allows any person to practise in his name

→ Allowed only if that person is also a **CA in practice** and his **partner or employee**. It protects the public from unqualified people practising behind a CA (Illus 5: brother-in-law not allowed; employee CA allowed).

Cl (2) Shares fees, commission or brokerage with non-members

→ Sharing is permitted only with: a member of the Institute; a partner; a **retired partner**; the **legal representative of a deceased partner**; members of prescribed professional bodies; or persons with prescribed qualifications. "Partner" includes a partner abroad, where the partnership does not breach Cl (4).

→ **Reg 53A(1) bodies**: ICSI, ICAI (Cost), Bar Council of India, Indian Institute of Architects, Institute of Actuaries of India. **Reg 53A(3) qualified persons**: CS; Cost Accountant; Actuary; BE; B.Tech; B.Arch; LLB; MBA (from a university or an AICTE-recognised institution).

→ **Substance over name**: 50% of audit fees paid to a non-CA as "office allowance" for years means profits were shared → guilty (TYK 4). 1% of profits to an articled clerk over and above stipend → guilty (TYK 5).

→ No bar where a **State Government deducts a percentage of the audit fee** of a co-operative society to recover administrative costs.

→ **Goodwill of a proprietary firm** may be sold after the proprietor's death to another eligible member. For deaths on or after 30.8.1998, the sale must be completed **within one year** of death, and the firm name is kept in abeyance for one year. If there is a dispute about legal heirs, it must be reported within a year, and the name is kept in abeyance until one year after the dispute is settled. Instalment payments are allowed if the sale agreement provides for them. The legal heir of a deceased **partner** receives a share only if the partnership deed provides for it (Illus 6: the widow may sell; the buyer may practise in that name).

Cl (3) Accepts part of the profits of a non-member's professional work

→ The mirror image of Cl (2), on the receiving side. Proviso: profit sharing, commission or brokerage with prescribed professionals (Reg 53A) is allowed. **Referral fees between members in practice** are not prohibited.

Cl (4) Partnership with persons other than CAs in practice

→ **Reg 53B** bodies: CS, Cost Accountant, Advocate, Engineer (Institution of Engineers or degree), Architect, Actuary. However, **multi-disciplinary partnerships cannot be formed** until the other professions' regulators also permit partnership with CAs and the Council issues guidelines.

Cl (5) Secures work through non-employees or means not open to a CA

→ Work must come through reputation, not through agents or canvassing. Letters to Army Canteen officers giving his experience and fee norms → guilty under Cl (5) and (6) (Jethanand Sharda v Deepak Mehta, 1998). The acts of partners and employees in securing work are covered by Cl (6) and (7).

Look-alike: money flows	Direction	Clause	Trigger words
CA in practice **pays** a share of his fees to a non-member	CA → outsider	First Sch Pt I Cl (2)	"office allowance", "% of fees to the introducer", "share of profit to the articled clerk"
CA in practice **receives** part of a non-member's professional profits	Outsider → CA	First Sch Pt I Cl (3)	"commission from a non-CA consultant"
CA **gets work** through a non-employee agent	Work in through an agent	First Sch Pt I Cl (5)	"agent brings clients", "relies on a broker"
Member **in service** pays a share of his salary to anyone (to procure or retain the job)	Employee → outsider	First Sch Pt II Cl (1)	"pays 10% of salary to whoever got him the job"
Member in service accepts a **commission** from the employer's lawyer, CA, broker, agent or customer	Outsider → employee	First Sch Pt II Cl (2) (even if he holds a COP; whole-time or part-time)	"referral fee from the lawyer" (Illus 25)

Cl (6) Solicits clients or work by circular, advertisement, personal communication, interview or any other means

Asked: Sep 2025 Q6(c); Jan 2026 Q4(b)

→ **Provisos** (not solicitation): (i) applying to, requesting or securing work from **another CA in practice** (Illus 10: Mr Honest not guilty); (ii) responding to **tenders or enquiries** and securing work as a result.

→ **Tender guideline** (No. 1-CA(7)/03/2016, 7 April 2016; also Chapter XIII of the CGG): do not respond to a tender in areas **exclusively reserved for CAs** (audit, attestation) **unless** the tender itself prescribes a **minimum fee** (commensurate with size, value, volume, manpower and nature of work), or the area is **open to other professionals too**. A **maximum fee** only does not lift the bar. Reasonable EMD or deposit is fine; for exorbitant EMD the ESB may look into cases one by one. Maintain a **cost sheet** (persons, hours) that the Institute may call for.

→ **Empanelment**: if he **knows** a panel exists, he may write asking to be included and may quote fees on enquiry. **Roving enquiries** to have his name included are not proper. Writing repeatedly to the Registrar asking for allotment → guilty (TYK 8(b)). **GeM portal** registration is allowed: it is run by the client itself, so it is neither empanelment nor an aggregator. Follow the tender guidelines (TYK 30).

Activity	Permitted?	Condition (SM)
Press announcement	Yes, limited	Changes in partnership, dissolution, address or telephone: bare facts; consider area of circulation and number of insertions
Classified advertisement in the ICAI journal or newsletter	Yes	For sharing work, seeking partnership or salaried employment: name, address, phone, fax, e-mail, social networking addresses; factual experience and specialisation only
Book, article or presentation	Partly	May show "Chartered Accountant" and the firm name; **no professional attainments** (Illus 7: experience in author details → guilty)
Greeting cards and invitations	Yes, limited	Designation and firm name allowed only for those sent to **clients, relatives and friends** (marriage, religious ceremonies, office opening, change of premises or phone)
Silver, Golden, Diamond, Platinum or Centenary celebration	Yes	May be published in a newspaper or newsletter (other firm events: no)
Sponsorship	Only two cases	Event of an ICAI **PoU with prior approval of the CPE Directorate**; **CSR**: individual name with the prefix "CA" only, no firm name or CA logo
Coaching or teaching	Restricted	No hoardings, posters or banners; a sign board outside the coaching premises with institute name, contact details and subjects only; comply with Reg 190A
Firm profile to a prospective client	Only on request	In response to the client's specific query
TV or movie credits	Yes	Name not shown differently from other entries
Letters, e-mails or circulars to likely clients	No	Roving enquiries amount to advertisement
Representation under S.140(4) CA 2013	Yes, dignified	How he acted independently and conscientiously; may state willingness to continue. Highlighting his contributions = canvassing (TYK 34: guilty)
Original work of a client introduced by another member	No	Ask the client to come through the introducing member
Public interviews	Limited	No publicity or professional attainments; facts only, in reply to a specific question (TYK 7: handing a bio-data at a TV interview → guilty)
Box-number advertisements	No	Soliciting under box numbers is prohibited
Educational videos	Yes	No reference to his firm; no contact details or website

Examiner's twist: *a long story about a firm's anniversary dinner, CSR camp and an ICAI seminar ends with "advise on each". Score lines: an ICAI PoU event with CPE approval → may sponsor as a firm; CSR → "CA [name]" only, no firm name or logo; any other event → firm cannot sponsor. In a tender, the words "maximum fee" or "fee not to exceed" mean the bar applies; only "minimum fee prescribed" or "open to all categories" lifts it (TYK 21: e-TDS tender open to all → can respond).*

Cl (7) Advertises professional attainments or uses another designation

Asked: May 2026 Q2(b)

- → *Prohibits (a) advertising professional attainments or services, and (b) using any designation other than CA on professional documents, visiting cards, letterheads or sign boards, unless it is a **university degree** (established by law in India or recognised by the Central Government) or a title showing membership of ICAI or another institution recognised by the Central Government or the Council. **Proviso**: may advertise through a **write-up** under Council guidelines.*
- → ***Allowed**: "Insolvency Professional" and "Registered Valuer" if empanelled (Illus 14); names of all firms in which he is a partner on his personal letterhead (Illus 12); "CA" prefix; ACMA or FCMA letters; recognised foreign institutes.*
- → ***Not allowed**: Tax Consultant (Illus 11), Cost Accountant (TYK 9), Management Expert (TYK 10), Corporate Lawyer, Member of Parliament or Municipal Councillor with CA, the **date of setting up practice or establishment of the firm** on letterheads.*
- → *Practice as an **advocate** (with Bar Council permission): never use "CA" and "Advocate" together. Practice as CS or Cost Accountant: never use those designations with "CA". A member holding a COP of a sister institute is treated as in full-time practice.*
- → *Firm name with "Chartered Accountants" only on professional documents, visiting cards, letterheads and sign boards. Reports and certificates on the firm's letterhead.*
- → ***Media**: may appear on TV, films, internet and radio as a CA, with relevant special qualifications; the firm name may be mentioned; no exaggerated claims or comparisons; must not be promotional. Talks and lectures: describe himself as a CA, with no reference to his firm.*
- → *Sign board: size at his discretion; **no glow signs** or lights on large boards like traders.*
- → ***CA director in a company's prospectus or announcements**: "Chartered Accountant" allowed; no descriptions of expertise or specialisation and no adjectives; other directorships may be given; **not** the name of his CA firm. Ask management to get the material approved by him (Illus 13: guilty under Cl (6) and (7)).*
- → ***Logo**: logos and monograms of firms are prohibited on all media. Only the **common CA India logo** (2023: blue "CA", tricolour upside-down tick, white background, "India"; do not alter or rotate; one-year transition for existing stationery).*
- → *Networks: may advertise within the Advertisement Guidelines; constituent firms may print "Network Firms" on stationery.*

Look-alike	Cl (6) Part I First Sch	Cl (7) Part I First Sch
Core act	***Soliciting** clients or work: asking for work*	***Advertising attainments or services**, or using an unauthorised **designation**: projecting himself*
Medium in the words	*Circular, advertisement, personal communication, interview, any other means*	*Professional documents, visiting cards, letterheads, sign boards*
Built-in exception	*Asking another CA in practice; responding to tenders and enquiries*	*University degree or recognised membership; **write-up** under the guidelines*
Trigger words → which one	*"requested the audience to approach his firm", "distributed cards", "letters to Registrar", "tagged 30 traders"*	*"Tax Consultant on visiting card", "AI Professional tagline", "award mentioned", "client turnover listed"*

→ Both clauses often apply together (Illus 13, TYK 10). False information while doing either → also **First Sch Pt III Cl (3)**.

Cl (8) Accepts a position as auditor previously held by another CA (or a restricted-certificate auditor) without first communicating with him in writing Asked: Jan 2026 Q2(a)

→ **Purpose**: not just courtesy. It lets the incoming auditor know the reasons for the change, to protect his own interest, the public interest and the independence of the existing accountant. It is not meant to obstruct the change. The client may change auditors whenever it chooses.

→ **Professional reasons for not accepting**: (a) non-compliance with **S.139 and 140** CA 2013 (Cl 9); (b) **non-payment of undisputed audit fees** for statutory audit under CA 2013 or other statutes (except **sick units**); (c) issue of a **qualified report**. Accepting in (a) or (b) = misconduct. In (c) he may accept if he is satisfied the retiring auditor's attitude was not proper and justified; if the qualification was for good reasons, he should refuse. Ascertain the full facts first.

→ A **dispute about fees** is not a valid professional reason to decline. For other (non-audit) dues, use your influence to get them settled.

→ **Undisputed audit fee** = the provision for audit fee in accounts signed by both the auditee and the auditor, plus other audit-related expenses. **Sick unit** = registered for **at least 5 years**, with accumulated losses at the end of any financial year **equal to or exceeding its entire net worth**.

→ Previous auditor unavailable to accept the fee and no electronic transfer possible → the client may buy a **demand draft**; the incoming auditor may accept after verifying it and must ensure payment at the earliest.

→ **Procedure**: ask whether the retiring auditor has been informed. If not and the client will not move first, ask the reason; if there is no valid reason, it is healthy practice not to accept.

→ **Positive evidence of delivery** is needed. A "certificate of posting" is **not enough** (J.S. Bhati, Rajasthan HC; Illus 16: guilty). Acceptable: (a) **Registered Acknowledgement Due**; (b) **by hand against written acknowledgement**; (c) acknowledgement from the retiring auditor's **e-mail registered with ICAI** or last known official e-mail; (d) **UDIN** generated on the portal (subject to guidelines).

→ Returned with "**office found locked**" → deemed delivered. Returned with "**no such office exists**" at the address registered with ICAI on the date of dispatch → deemed delivered unless the retiring auditor proves otherwise. No reply from the retiring auditor → act after waiting a reasonable time.

→ Applies to **all audits**: statutory, tax, GST, internal, concurrent and others. Where the previous auditor was not a CA, communicating is healthy practice. Special audit under the IT Act: healthy to communicate with the statutory auditor.

→ **Government companies, banks or branches** with no time to wait: **conditional acceptance** after sending the communication, stating it is subject to professional objections from the previous auditor; final decision after considering the reply.

→ Communication sent only after starting the work (Illus 15: tax audit, registered post sent before signing) → still **guilty**. "First" means before acceptance.

Cl (9) Accepts appointment as auditor of a company without first ascertaining compliance with S.225 of the 1956 Act (now S.139 and 140, read with S.141, CA 2013)

- → "**Ascertain**" means find out for certain. A **management certificate is not enough**; verify the records. If the company refuses access, **do not accept**.
- → What to verify: first auditor → Board resolution **within 30 days** of registration (or, if made at a general meeting, a proper notice and valid resolution); casual vacancy → Board's power and resolution; vacancy from **resignation** → resolution at the general meeting; **removal** before the term ends → **special resolution** at the GM and **prior approval of the Central Government**.
- → **Replacement of the retiring auditor (S.140(4))**: special notice by a member **not earlier than 3 months but at least 14 days** before the meeting (clear days); sent to all members **at least 7 days** before the meeting (S.115); a copy to the retiring auditor **forthwith**; his representation circulated and considered at the GM; resolution passed properly. Obtain a true copy of the notice and a copy of the minutes verified by the Chairman.
- → Service on the retiring auditor: hand delivery or Registered A/D. The company's certificate of posting is not adequate; the outgoing auditor's acknowledgement is good evidence (DCA circular of 17.10.1981).
- → **Adjourned AGM**: the retiring auditor continues until the adjourned meeting concludes. A special notice received **after** adjournment cannot be acted on (14 clear days before the **original** meeting). No auditor appointed at the AGM → the existing auditor continues (S.139(10)).
- → Illus 17: the appointed auditor declined, and the Board appointed another. This is **not a casual vacancy**, so the appointment is defective and the auditor who accepted is guilty under Cl (9).
- → Order of steps: satisfy yourself on S.139 and 140, then communicate under Cl (8), then accept.

Look-alike	Cl (8) First Sch Pt I	Cl (9) First Sch Pt I
Duty	**Communicate in writing** with the previous auditor	**Ascertain from the company** that S.139 and 140 have been complied with
Applies to	**Every audit** (statutory, tax, GST, internal, concurrent, any audit) where the previous auditor was a CA	**Company** audits only
Counterparty	Retiring or previous auditor	The company (its records, notices, minutes)
Evidence	RAD, by hand, registered e-mail, UDIN; not a certificate of posting	Verify records; not a management certificate
Trigger words → which one	"did not write to the earlier auditor", "sent under certificate of posting", "previous tax auditor"	"Board appointed", "special notice", "removal", "casual vacancy", "management certified compliance"

Unjustified removal of auditors (ESB guidelines; CGG Chapter XI)

- → (A) An auditor who **resigns or does not offer himself** for reappointment for professional reasons should write to the **Board of Directors** with the reasons and send a copy to the Institute. The incoming auditor must obtain a copy from the Board and consider it.
- → (B) An auditor **willing but not reappointed** files with the Institute a copy of the statement sent for circulation to shareholders. The incoming auditor must obtain it from the company and consider it.
- → (C) The ESB may call for information and report to the Council. (D) The same applies to removals by the government or statutory authorities.
- → Chapter XI CGG: the incoming auditor must follow the Council's direction **not to accept** the appointment where the removal is unjustified.

SM Ch 19 · Cl (8) vs (9), unjustified removal, Cl (10)

Cl (10) Fees as a percentage of profits or contingent on findings or results

Asked: Sep 2025 MCQ Q14; Jan 2026 Q5(c)

→ Prohibited except as permitted by regulations. The reason: payment in proportion to the client's benefit tempts exaggeration and impairs independence (for example, a fee only if an appeal succeeds). Fees fixed by a **court or public authority** are not contingent.

→ **Regulation 192 exceptions**: (a) receiver or liquidator: % of **realisation or disbursement of assets** (Illus 19); (b) auditor of a **co-operative society**: % of paid-up capital, working capital, gross or net income or profits; (c) valuer for **direct taxes and duties**: % of the value of the property (TYK 18); (d) certain management consultancy services decided by Council resolution; (e) **fund raising**: % of funds raised; (f) **debt recovery**: % of debt recovered; (g) **cost optimisation**: % of benefit derived; (h) others decided by the Council: (i) acting as **Insolvency Professional**; (ii) **non-assurance services to non-audit clients** (TYK 29: 10% of tax demand reduced for a non-audit client → not guilty).

→ ESB decisions: fees as a % of the **utilisation amount** for certifying the utilisation of a grant by an educational institute are permissible; **Mystery Audit** is permissible.

Look-alike	Cl (10) First Sch Pt I	Cl (10) Second Sch Pt I
Subject	How he **charges his fee**: % of profits or contingent	How he handles **client's money**: separate bank account and use for the intended purpose within a reasonable time
Relief	Regulation 192	Council suggestions (i)–(iv) below
Forum	Board of Discipline	Disciplinary Committee
Trigger words → which one	"fee of 10% of tax saved", "success fee", "% of profit"	"₹10 lakh to invest", "kept in the firm's savings account", "advance received", "stamp paper"

Cl (11) Engages in another business or occupation without Council permission

Asked: Jan 2026 MCQ Q15; May 2026 MCQ CS-11 Q9

→ Proviso: he may be a **director** of a company (not MD or WTD) unless he or any partner is its **auditor**. The aim is to keep other businesses out of the profession and stop indirect advertising through them.

→ **Reg 190A**: no other business or occupation except with permission under a Council resolution. **Reg 191**: may act as liquidator, trustee, executor, administrator, arbitrator, receiver, adviser or representative for costing, financial or tax matters, take a Central or State Government, court or legal-authority appointment, or act as Secretary in his professional capacity, if **not on a salary-cum-full-time basis** (TYK 27: Secretary to a metro project, not full-time → not guilty; ESB: a mediator is covered as an "arbitrator").

General permission (no application needed)	Specific and prior approval of the Council in each case
(1) Employment under a CA in practice or a CA firm; (2) private tutorship; (3) authorship of books and articles; (4) LIC agency licence **only for renewal commission**; (5) attending classes and appearing for any examination; (6) elected public office: MP, MLA, MLC; (7) **honorary** leadership of charitable, educational or non-commercial organisations; (8) Notary Public, Justice of the Peace, Special Executive Magistrate; (9) part-time tutorship under the **Institute's coaching organisation**; (10) valuing papers, paper-setter, head examiner, moderator; (11) editorship of **professional** journals; (12) Surveyor and Loss Assessor under the Insurance Act, 1938; (13) recovery consultant in banking; (14) owning agricultural land and agriculture (from 9 Aug 2008)	(1) Full-time or part-time employment in a **business** concern (no substantial interest of him or relatives); (2) full-time or part-time employment in a **non-business** concern; (3) **MD or WTD** of a body corporate (no substantial interest); (4) interest in a **family business** (by inheritance, succession or partition, no active part); (5) interest in an **educational institution**; (6) lectureship for courses **other than** the Institute's; (7) tutorship under any educational institution **other than** the Institute's coaching organisation; (8) editorship of **non-professional** journals (Illus 22); (9) anything else the Executive Committee considers fit

- → **Relative**: husband, wife, brother, sister, or any lineal ascendant or descendant. **Substantial interest**: for a company, shares (other than fixed-dividend shares) carrying **at least 20% of voting power** owned beneficially by him, relatives or their concerns; for other concerns, entitlement to **at least 20% of profits**.
- → Teaching under general or specific permission: direct teaching hours in total must not exceed **25 hours a week** if he wants to do attest functions.
- → **Director simplicitor** (not MD or WTD; attends only Board meetings; paid only sitting fees): generally permitted, even with substantial interest, **unless he or a partner is the auditor**. ESB: the **auditor of a subsidiary cannot be a director of its holding company**. Promoter or signatory to the MoA and AoA: no bar. Being deemed an MD or WTD under S.2(54) CA 2013 if entrusted with substantially the whole of management also counts.
- → **HUF or family business**: show that the interest devolved by inheritance, succession or partition, that he did not create it and that he is not actively engaged; file a declaration with the decentralised office. As Karta, he is within limits if he invests HUF funds only and is not active in management.
- → Illus 20: full-time lecturer in a college plus partner in his brother's business → both need specific permission → guilty. Illus 21: took office as executive chairman on 1-4-2024 and applied on 10-4-2024 → guilty (permission must come **before**).
- → **Corporate form (CGG Chapter XVII)**: may be MD, WTD or Manager of a company engaged **exclusively** in Management Consultancy and other Services, which must be approved and registered with the Institute; no limit on equity; he keeps a **full-time COP**, can do attest work and train articles. **No audit practice in corporate form.** The company must not take internal audit or book-keeping of the practitioner's statutory audit clients; the non-audit fee ceiling (Notification of 8 March 2002) applies; it must comply with Cl (6) and (7) (TYK 22: CA Shubh's action valid).

Cl (12) Allows a non-member in practice, or a member who is not his partner, to sign financial statements or reports for him or his firm

Asked: Jan 2026 MCQ CS-II Q9

- → Read with **S.26**: no person other than a member may sign any document for a CA in practice or a firm in its professional capacity. "Report" means a report expressing a professional opinion (financial or not), as finally submitted.
- → **May be delegated** (no opinion or authentication): (i) audit queries; (ii) asking for information or questionnaires; (iii) letters forwarding draft observations or FS; (iv) initialling and stamping vouchers and schedules; (v) routine correspondence; (vi) memorandum of cash or physical verification; (vii) acknowledgements for records produced; (viii) bills and money receipts; (ix) routine tax matters, subject to S.288 IT Act; (x) other office administration. Delegation is **no defence** in an enquiry.
- → Not delegable: stock certificate (Illus 24), GST production certificate (TYK 11), FS (TYK 16), power of attorney to an employee CA to sign reports (Illus 23 → Cl (12) plus Cl (1) Pt II Second Sch for breaching S.26).
- → Disclose his name when signing where a statute requires it; SA 700 requires the membership number and FRN; UDIN.

Look-alike: "allowing others"	Clause	Test
Lets someone **practise** in his name	First Sch Pt I Cl (1)	Allowed only for a CA in practice who is his partner or employee
Lets someone **sign** FS or reports for him or his firm	First Sch Pt I Cl (12)	Only a member in practice who is his **partner**; an employee CA may **not** sign
Signs a report on FS **not examined** by him, a partner, an employee or another CA in practice	Second Sch Pt I Cl (2)	Who did the **examination** (not who signed)

> ***Examiner's twist:*** *an employee CA can practise "in the name" of his employer (Cl 1 allows it) and can do the examination (Cl 2 of the Second Schedule allows it), but* ***cannot sign*** *the report (Cl 12). Three clauses give three different answers for the same employee.*

First Sch Part III: members generally

- → ***Cl (1)*** *Not being a fellow, acts as a fellow.*
- → ***Cl (2)*** *Does not supply information called for, or comply with requirements, of the Institute, Council or its Committees, Director (Discipline), Board of Discipline, Disciplinary Committee,* ***Quality Review Board*** *or Appellate Authority (Illus 26: left the "other business" columns blank in the COP application; Illus 27 and TYK 35: did not reply about the date of leaving or joining).*
- → ***Cl (3)*** *Gives information* ***knowing it to be false*** *while inviting work from another CA, responding to tenders or enquiries, or advertising through a write-up (that is, in Cl (6) and (7) situations).*

Look-alike: information to or for the Institute	Clause	Trigger words
Does not supply *information or comply*	*First Sch Pt III Cl (2)*	*"ignored reminders", "did not reply", "left columns blank"*
Submits to the Institute particulars ***knowing them to be false***	*Second Sch Pt II Cl (3)*	*"stated he was a partner when he was a manager" (J.R. Chatrath), "false statement on oath before the DC" (K.S. Dugar)*
False information ***in the market*** *(to another CA, a tender or a write-up)*	*First Sch Pt III Cl (3)*	*"inflated experience in the tender", "false claim in the write-up"*

8.2 Second Schedule, Part I: CA in practice

Cl (1) Discloses client information without consent or legal requirement

- → *The duty continues* ***after the assignment****. Disclosure that is part of the professional duty the client requested (for example, to exchange control authorities) counts as consent.*
- → ***Who can consent****: proprietor or his constituted attorney; in a firm,* ***any partner****; in a company, the* ***Board*** *(S.179), or the* ***MD*** *if the Board's powers are delegated to him widely enough, otherwise a* ***Board resolution****.*
- → ***Working papers****: no duty to give the client or other auditors (main auditor, parent's or subsidiary's auditor) access. The main auditor has no right to the branch auditor's papers; he may seek clarifications or visit the branch. "Auditor" includes internal auditor. He may, at his discretion, give extracts to the client. Information (as opposed to papers) can go to the client or a regulator with the client's consent.*
- → *Under legal compulsion where privilege (S.126 Evidence Act) cannot be claimed → not misconduct (take legal advice).* ***S.143(12)****: fraud by officers or employees against the company → report to the Central Government within* ***60 days*** *of knowledge, following the prescribed procedure.*
- → *Illus 29 and TYK 19: sharing client information at a symposium or seminar "in national interest" or "to help understanding" → guilty. TYK 12: a bank asks the auditor for working paper details → refuse without the client's specific permission.*

Cl (2) Certifies or submits a report on FS not examined by him, a partner, an employee or another CA in practice

- → *Allows joint assignments. Joint auditors: divide the work and document and communicate the division; each is responsible for his allotted work; matters needing joint judgement are communicated before reporting; obtaining management information is a joint responsibility unless divided (SA 299).*

Cl (3) Permits his name on an estimate of earnings contingent on future transactions so that he seems to vouch for its accuracy

→ He may prepare or review forecasts and projections if his report states the **sources of information, the basis and the major assumptions** and he **does not vouch for accuracy** (Council, 100th meeting, July 1982; GN on Reports in Company Prospectuses (Revised 2019)). 97 projection statements issued without verifying basic documents, used for bank loans → guilty under Cl (3), (7) and (8).

Cl (4) Expresses an opinion on FS of an entity in which he, his firm or a partner has a substantial interest

→ "Substantial interest" as in Appendix 9 (20%). "Financial statements" covers reports and certificates under any statute or for income tax. It applies to **all attest functions**: tax audit, GST audit, concurrent audit, stock exchange and broker audits. "Public conscience is expected to be ahead of the law."

→ Council decisions: a liquidator must not audit his own S.348(1) statement; a CA **in employment** cannot certify the FS of his employer or of a concern under the same management, even with a COP (unless a law permits it); no audit of a **college where he is a part-time lecturer**; no audit of a **trust where his partner is an employee or trustee**.

Cl (4) situation	Rule as per SM
Member is owner or partner of a non-company enterprise	Shall not audit it
Partner or relative has a substantial interest in a non-company enterprise	May desist (independence of mind)
Member is an officer or employee of the company, or employed by one	S.141(3)(b): disqualified
Member is a **director simplicitor**	Council prohibits auditing it, with or without substantial interest
Member is WTD or MD with specific permission	No attest functions and no substantial interest in that company
Member or partner holds any security or interest in the company, its subsidiary, holding or associate, or a fellow subsidiary	S.141(3)(d)(i): disqualified
Partner is an officer or employee of the company	S.141(3)(c): disqualified
Relative is a director or KMP	S.141(3)(f): disqualified
Relative holds security or interest of face value **exceeding ₹1 lakh**	S.141(3)(d)(i) with Rule 10: disqualified
Certification where the client is a relative	Not permissible ("relative" as per AS 18)

→ Also under Cl (4): no writing **books of account for audit clients**; the **statutory auditor** (under CA 2013 or any statute) cannot be the **internal auditor**; the **internal auditor** (employee or practising CA or firm) cannot be the **tax auditor** or the **GST auditor**; satisfy yourself that the appointment is valid under the governing statute, trust deed, or regulator's authorisation, and get a resolution of the managing committee or board of trustees, or an engagement letter from a firm or proprietor; S.288 IT Act covers tax audit disqualifications.

→ **Cooling-off after directorship** (Cl (4) guideline (xv)): no audit of the company for **2 years** from the end of his tenure as director or his resignation (TYK 14: guilty).

Cl (5) Fails to disclose a material fact known to him that is not disclosed in the FS but is needed to make them not misleading, where he is concerned with them professionally

→ Materiality must be established (SA 320), judged against **both** the balance sheet and P&L. It does not cover statements prepared by employees only for their employer. Illus 30: an unrecorded ₹10 lakh loan from the EPF was ignored in the report → guilty.

Cl (6) Fails to report a material misstatement known to him in FS with which he is concerned professionally

→ *Same materiality test. Illus 31: as **authorised representative** he only submitted client data on instructions → **not liable** under Cl (5) or (6).*

Cl (7) Does not exercise due diligence, or is grossly negligent

Asked: May 2026 Q5(c)

→ *Skill, care and caution of a reasonably competent, careful and cautious auditor; "a watchdog but not a bloodhound" (Karnataka HC, 1977). Minor errors are not gross negligence; the Council only alerts members about them. Cases: circulation figures certified from an MIS report without the books (Illus 32); audit report not given in time for statutory compliance (Illus 33); digitally signing an ROC form with a copied signature without checking (TYK 23).*

Cl (8) Fails to obtain sufficient information needed to express an opinion, or its exceptions are material enough to negate an opinion

→ *Do not opine before getting the data. If limitations negate an opinion, **disclaim** clearly; do not write "subject to verification of existence and value of investments... true and fair" (SA 705). Cases: circulation certificate without financial records (Registrar of Newspapers v K. Rajinder Singh, 1971); 12 certificates without stating limitations, assumptions or basis → Cl (7) and (8). "A certificate is a written confirmation of the accuracy of facts and does not involve any estimate or opinion."*

Cl (9) Fails to invite attention to any material departure from generally accepted audit procedure

→ *Guidance: Engagement and Quality Control Standards, Statements, Guidance Notes and other pronouncements. Failing to perform a statutory duty is **not excused by merely qualifying** the report (example: not verifying cash when it was necessary, feasible and material). Special procedures: **ABC circulation** certification (report even insignificant lapses) and bank verification. Peer-reviewed auditors only for listed companies (SEBI). FRN and membership number on all attest reports. UDIN mandatory from **1 July 2019** for all attest functions.*

Look-alike	Cl (5)	Cl (6)	Cl (7)	Cl (8)	Cl (9)
Core failure	*A material **fact missing** from the FS that he knows of*	*A material **misstatement in** the FS that he knows of*	***Manner** of work: diligence or gross negligence*	***Evidence**: not enough information to opine, or should have disclaimed*	***Reporting a procedural departure**: did not tell readers that GAAP procedure was not followed*
Trigger words	*"loan not disclosed", "contingent liability omitted"*	*"inflated investments he knew of", "wrong figure he knew of"*	*"did not verify", "relied on MIS", "late report", "copied signature"*	*"no evidence of existence", "only asset unverified", "insufficient documents for the utilisation certificate"*	*"did not attend stock count and did not say so", "ABC rules not followed"*

***Examiner's twist (May 2026 Q5(c) pattern):** a utilisation certificate issued on half the documents. The SM pattern is to cite **Cl (7) and (8) together**. If the facts also say he "knew" a figure was wrong → add Cl (6). If he signed without anyone in the firm examining → add Cl (2) (Illus 34: Cl (2), (7) and (8)). NFRA case scenario (listed SME, FY 2016-17): no stock count or alternative procedures (SA 501), 100% sales to an unidentified related party (SA 550), no confirmations or alternatives (SA 505) → guilty under **Cl (7), (8) and (9)**, penalised and **debarred for 2 years** under S.132(4).*

SM Ch 19 · Cl 10, Second Sch Pt II–III, CGG 2008

Cl (10) Fails to keep client money (other than fees or money meant to be spent) in a separate bank account, or to use it for the intended purpose within a reasonable time

Asked: Sep 2025 MCQ CS-1 Q4; Jan 2026 Q3(b)

Council suggestion	Separate bank account?
(i) **Advance against services** to be rendered	**Not covered** by Cl (10)
(ii) Money for expenses to be spent within a **reasonably short time** (statutory fees, stamp paper)	**Not needed**; "reasonably short time" depends on the facts
(iii) Money for expenses **not** to be spent within a reasonably short time	Yes, **immediately**
(iv) Money received as **trustee, executor, liquidator** and similar	Yes, **immediately**

→ Illus 35: ₹10 lakh from a charity to invest in securities, kept in the firm's own savings account for 3 months → guilty.

Second Sch Part II: members generally

→ **Cl (1)** Contravenes the Act, the Regulations or **any Council guideline**. It is the gateway for the CGG 2008. Regulations commonly breached: 43, 46, 47, 48 (articled assistants: engagement, registration, premium, stipend), 56, 65, 67, 68–80 (audit assistants), 190 (register of offices and firms), 190A, 191, 192. TYK 33: issued a certificate without a COP (breach of S.6) → guilty under Cl (1).

→ **Cl (2)** As an **employee**, discloses confidential information except as required by law or permitted by the employer (whole-time or part-time; even if he also practises).

→ **Cl (3)** Includes particulars **known to be false** in information submitted to the Institute or its bodies.

→ **Cl (4) Defalcates or embezzles** money received in a professional capacity (fraud, SA 240).

→ **Part III**: held guilty by a civil or criminal court of an offence punishable with imprisonment of **more than six months**.

Look-alike: confidentiality	Clause	Exceptions
CA **in practice**: information from a professional engagement	Second Sch Pt I Cl (1)	Client's consent; required by law
Member who is an **employee**: information from employment	Second Sch Pt II Cl (2)	Required by law; permitted by the employer
Code of Ethics (all PAs)	Subsection 114	Required by law; permitted by law and authorised; professional duty or right (4)

SM Ch 19 · Cl 10, Second Sch Pt II–III, CGG 2008

9. Council General Guidelines, 2008 (issued under Cl (1) Part II Second Sch)

Chapter	Rule (exact numbers)
I	Applies to all members, in practice or not, where the context requires
II	A member who is an employee must exercise due diligence and must not be grossly negligent
III, IV	Omitted (cost auditor; opinion where there is substantial interest)
V	A member or firm in practice must keep proper books, including a **Cash Book and a Ledger**, regardless of S.44AA IT Act limits (Illus 36). Notes on a mobile phone are not books (TYK 32).
VI	Not more than **60 tax audits** (S.44AB) in a financial year: per member or proprietary firm, or **per partner** of a firm, corporate or non-corporate. Total for a member across all firms and his individual capacity ≤ 60. Audits under **S.44AD, 44ADA, 44AE are excluded**. Each year's audit is a separate assignment. HO and branches = one; one or more branches of the same concern = one. A **part-time practising partner is not counted**. Keep a record in the prescribed format. The firm's limit (60 × partners) may be distributed among partners in any manner (10 partners = 600; one partner may sign all of them) in line with SQC 1. Illus 37: 6 partners = 360.
VII	Do not accept an audit where another CA's **undisputed audit fee** for a statutory audit is unpaid, **except for a sick unit** (definitions as under Cl (8))
VIII	Not more than **30 company audits** under S.141 at any time, per member or **per partner**, private or other companies, **excluding OPCs and dormant companies** (388th meeting). Aggregate across firms and individual ≤ 30. HO and branches = one; branches of the same company = one. Partners are counted on the **date of acceptance**. A CA in full-time or part-time employment elsewhere, or a part-time practising partner, is not counted.
IX Asked: May 2026 Q6(c)	Statutory auditor of **PSUs, Government companies, listed companies and other public companies with turnover of ₹50 crore or more**: fees for other work for the same entity, for the auditor **plus associate concerns together**, must **not exceed the statutory audit fee**. "Other work" = MCS and all other permitted services, but **excludes** (a) audit under any other statute, (b) certification required of the statutory auditor, (c) representation before an authority. A stricter regulator condition prevails. Associate concern = a corporate body or firm rendering MCS in which the auditor's proprietor or partners or their relatives are directors or partners or hold substantial interest. Illus 39: audit fee ₹50 lakh, MCS ₹1 crore → misconduct. TYK 20: ITAT representation ₹1.75 crore against an audit fee of ₹80 lakh → **no** misconduct.
X	The member, his partner, the firm or a **relative** must not accept an audit while **indebted** to the concern or having given a guarantee or security for a third person's debt to it: above the **statutory limits**, and in other cases above **₹1,00,000**. Fees recovered **progressively** under the engagement terms → not indebted (Illus 40). ESB: holding the audited bank's credit card is allowed if the balance outstanding beyond the credit period is within ₹1,00,000. A **loan against his FD** from the bank he audits → not permitted.
XI	Follow the Council's direction not to accept appointment after an unjustified removal
XIII	Tenders: as under Cl (6) (minimum fee prescribed, or area open to others)
XIV	**UDIN**: certificates from **1 Feb 2019**; GST and tax audit reports from **1 Apr 2019**; all other audit, assurance and attestation from **1 Jul 2019**
XV	Networking (next page)
XVI	Logo guidelines: CA India logo (2023)
XVII	Corporate form of practice: MCS company (see Cl (II))

Examiner's twist (Chapter IX): the question gives a **private** company or a public company with turnover below ₹50 crore → Chapter IX does not apply. It gives a tax audit fee or certification fee and asks "does it breach the ceiling?" → those are excluded. It splits the consultancy between the firm and a company run by a partner's spouse → that company is an **associate concern** and the fees are added. Count only MCS and other permitted services, and compare with the **statutory audit fee** (not the total audit fee).

SM Ch 19 · Networking, numbers

Chapter XV: Guidelines for Networking

Asked: Sep 2025 Q1(b)

→ A network is judged by whether a **reasonable and informed third party** would conclude that the entities are associated so that a network exists, whether or not they are legally separate. Referral of work alone is not a network.

→ **Deemed a network** where the structure aims at co-operation and shares any of: **profit or cost sharing** (not immaterial costs, and not costs only of audit methodology, manuals or training); **common ownership, control or management**; **common quality control** policies (designed, implemented and monitored across the structure); **common business strategy** (not merely a joint response to a request for proposal); **common brand name** (including common initials; used with the firm name when signing an audit report); a **significant part of professional resources** (common client, billing or time systems; partners and staff; technical departments; methodology; training). A shared methodology or training only, with no exchange of people or information → unlikely to be significant. Describing membership of an association carelessly may create the **perception** of a network.

→ **Forms**: mutual entity (facilitator; does not practise); partnership (**maximum 20 partners**); LLP; company (under the corporate-form guidelines). Constituents: sole practitioners, partnerships or other permitted entities. A firm may join **only one network**; firms with common partners join only one network.

Step	Form	Time limit
Approval of network name (use "**& Affiliates**", never "& Co." or "& Associates"; Reg 190 applies; name can be withdrawn later)	**A**	Institute approves or rejects within **30 days** of receiving Form A. Approval alone does not allow practice in the network's name.
Name reserved after approval	none	**3 months** from approval
Registration of the network with the Institute (**mandatory**)	**B**	Within those **3 months**, otherwise the name stands cancelled
Change in constitution (entry or exit)	**C**	Within **30 days** of the change
Listing of a network with **entities outside India**	**D**	Declaration within **30 days** of entering the arrangement

→ Indian firms networked with a common multinational accounting firm are part of a network. Name examples: "AB & Affiliates" (mutual entity or partnership), "AB Affiliates LLP", "AB Affiliates P. Ltd/Limited".

→ **Ethical compliance**: (1) if one network firm is the statutory auditor, no network firm or associate may take **internal audit, book-keeping** or other work prohibited to the auditor; (2) **non-audit fee ceiling**: for the auditing firm (with associate concerns and firms with common partners) as in the notification; for **other firms of the network collectively, 3 times** the statutory audit fee; (3) where a regulator prescribes **rotation**, no network firm may replace a retiring network firm; (4) may advertise within the guidelines; "Network Firms" may be printed on stationery; (5) all ethical standards apply.

→ Registration with the Institute is a public notice, so the **client's consent is deemed** obtained. Bye-laws (illustrative): managing committee, administration, fees, engagement partner, arbitration, training, newsletters, software, databases, library, technical director, drawing resources, compensation, peer review.

Number	Where it applies
21 years; 5 years	Minimum age for membership (S.8); continuous practice or associateship for FCA (S.5)
₹1,000 / ₹5,000 / 6 months	S.24 (₹5,000 or 6 months on subsequent conviction); S.25 fines ₹1,000 and ₹5,000
1 April; 30 September	COP fee due; COP cancelled if unpaid
182 days; 50 km; 3 months	Active association with an office; second office exemption; hill-area temporary office
3 months / ₹1 lakh; any period / ₹5 lakh; 90 days	Board of Discipline; Disciplinary Committee; appeal
6 months	Imprisonment up to 6 months → First Sch Pt IV; more than 6 months → Second Sch Pt III
20%; 25 hours a week	Substantial interest (votes or profits); teaching limit for attest work
60; 30; ₹50 crore; ₹1 lakh	Tax audits; company audits; Chapter IX turnover; indebtedness limit and relative's securities (S.141)
5 years; 2 years	Sick unit registration; cooling-off after directorship (Cl 4)
₹250 crore; 60 days	NOCLAR S.360 net worth; S.143(12) report
14 days, 3 months, 7 days; 30 days	Special notice; notice to members; first auditor appointed by the Board
30 days; 3 months; 20 partners; 3 times	Network: Form A, C, D; name reserved and Form B; network as a partnership; other network firms' fee ceiling
10 members; 5 members; 1 : 5; 40% / 20%; ₹20 lakh	Self-regulatory measures (next page)

9.1 Council Guidelines for Advertisement, 2008

Asked: May 2026 Q2(b)

→ **Write-up conditions**: (A) honest and truthful; (B) no exaggerated claims about services, qualifications or experience; (C) no disparaging references or unsubstantiated comparisons; (D) nothing that brings the profession into disrepute; (E) no **testimonials or endorsements**, no **names of clients** (past or present), no **fees charged**; (F) no achievements or **awards** (except those given by the **Central or State Government or regulatory bodies**), positions held or accreditations; (G) **no monogram, no catch words**; (H) **Membership No. or FRN is mandatory**; (I) **font size not above 14**; (J) must not breach the Act, the Regulations, the Code of Ethics 2020 or any guideline. ICAI does not approve write-ups and may issue a reasoned directive to remove them.

Write-up may contain: member	Write-up may contain: firm
CA name; membership number; age; dates of becoming ACA and FCA; date from which the COP has been held; recognised qualifications; languages; phone, mobile, fax; professional address; website; e-mail; **CA logo**; passport-style photograph; employee numbers (CAs, other professionals, articles or audit assistants, others); employees' names and particulars; services provided; position as director or MD of an **MCS company registered with ICAI**	Firm name with "Chartered Accountants"; FRN; **year of establishment**; professional addresses (HO and branches) registered with ICAI; **working hours**; phone, mobile, fax; e-mail; number of partners; partners' particulars with photograph; CA logo; employee numbers and particulars; services provided; **affiliation with a network registered with ICAI**. It may carry a signature, name, place and date.

Examiner's twist: "year of establishment" is **allowed** in a write-up and on a website, but the **date of setting up practice on letterheads** is **not** (Cl (7)). An award from a private chamber of commerce → not allowed; an award from a State Government → allowed. A tagline such as "Your Growth Partner" or "AI Professional" is a catch word or designation → not allowed. "Big clients with turnover above ₹500 crore" breaches E (client names) or B (exaggeration), and listing client details also raises confidentiality under Cl (1) Part I Second Sch (May 2026 Q2(b) pattern).

Website of CA firms

- Format is free. It must run on a "**pull**" model, never "push": nothing is circulated by e-mail except on a specific pull request; no circular inviting people to visit; the website address may be shown on stationery and e-mail.
- May show: member, trade or firm name; year of establishment; addresses, phone, fax, e-mail; partners and employees (name, qualification, contact); job vacancies, including articleship. **Only on a specific pull request**: nature of services; partners' and employees' areas of experience; number of articled assistants; nature of assignments handled.
- **Client names and fees**: not allowed, unless a **regulator** (in or outside India) requires them, to the extent and for the period required, with an italic note below naming the regulator, jurisdiction and rule.
- Allowed: passport-style photograph; articles, bulletin boards, professional updates; **educational videos**; chat rooms between members and between the firm and clients (keep confidentiality); a document management log-in for clients; a **link** to its social networking page (but do not solicit visits or likes); online advice to clients who specifically ask, free or paid; links to ICAI and government sites. Colours are not restricted (TYK 6).
- Not allowed: **banner or any advertisement**; content unbecoming of a CA; information at material variance from ICAI records. The address should be close to the member's or firm's name; the ESB decides difficulties.

Other media

- **Online third-party platforms** (banks, newspapers, corporate sites): consultancy and advice only; no contact address; no achievements; only "Chartered Accountant"; the firm name with the suffix "Chartered Accountants" is **not** permitted.
- **Telephone and trade directories**: only under the "Chartered Accountants" category; member belongs to that town; **alphabetical** order; no prominent entry; open to all CAs of the city; trade and social directories allowed.
- **App-based service aggregators** that also list businessmen, technicians and event organisers: **not permitted**.
- Specialised directories such as "Who's Who": name, description, address, directorships, personal details and outside interests; **no client names**.
- **Exemptions** (name with "CA" in press advertisements, not more prominent than usual and not in bolder type): recruiting staff for his own office; on behalf of clients seeking staff or buying or selling a business or property; selling a business or property as trustee, liquidator or receiver. Avoid "a well-known firm" in staff advertisements.

10. Recommended self-regulatory measures (recommendatory)

- **Branch audits**: not by statutory auditors with **10 or more members**; give them to local firms with fewer than 10. Exceptions: branch records kept at HO; significant operations carried out at the branch. The statutory auditor's right of access to branch accounts is not affected.
- **Joint audit**: associate a firm with **fewer than 5 members** in large companies; the senior firm should not object.
- **Staff ratio**: at least **1 member for every 5 non-qualified staff** (excluding articled and audit assistants, typists, peons and others not doing professional work).
- **Disclosure** of payments received for other services through a different firm in which the auditor is a partner or proprietor.
- **Minimum scale of fees**: recommended separately for Class A, B and C cities.
- **Fees, relative size**: disclose where, for **two consecutive years**, gross fees from one audit client are more than **40%** (non-PIE) or **20%** (PIE) of the firm's total fees. Exempt: firm's total fees not above **₹20 lakh**; audits of government companies, public undertakings, nationalised banks, PFIs, regulators, or where the government appoints the auditor.

Recent decisions of the Ethical Standards Board

Asked: Sep 2025 MCQ Q15; Jan 2026 Q5(c); May 2026 MCQ CS-III Q11

Permissible	Not permissible
→ Statutory auditor giving **advisory** services on BRSR, or acting as **assurance provider of BRSR Core** for the same client (SEBI circular 12.07.2023)	→ Statutory auditor **preparing the BRSR** study for an audit client
→ Assessment or performance audit of skill-development centres (MCS)	→ Statutory auditor doing a **compilation engagement** (SRS 4410) for that entity
→ **Mystery Audit**	→ Vision or mission statement on letterhead, visiting card or stationery (allowed in the firm profile on request); vision and values on the back of visiting cards (CI (6))
→ Mentioning the position of promoter or director on a company portal (no attainments, no firm name)	→ Statutory auditor of a bank and ASM of a customer of the same bank simultaneously
→ Professional director on the Board of Management of a co-operative bank; member of the Board of Management of a primary (urban) co-operative bank (like a director simplicitor)	→ Internal auditor and procurement officer simultaneously
→ Practice in IFSC or GIFT City; serving IFSC units from offices outside	→ Statutory audit of a society where the spouse or a dependant holds an honorary managing-committee position
→ Fees as % of utilisation for certifying an educational institute's grant	→ Messaging apps to tell people about his practice and services
→ A member of a Trust auditing that Trust (unless a statute bars it or there is a conflict)	→ Trademark or patent attorney
→ Professional advice on IPR	→ Director simplicitor signing the company's ROC forms
→ Internal auditor buying shares of the company	→ Non-executive director of a company, and statutory auditor of its **joint venture**
→ Registering on Udyog Aadhaar; services through a kiosk (if permitted professional work); joint GST training for clients with shared fees	→ Financial adviser taking commission from mutual funds, insurers or NBFCs; agencies of UTI, GIC or NSDL; Customs Broker licence
→ Non-executive or independent director of a co-operative bank (not day-to-day; not auditor)	→ **Lien** over client records for unpaid fees
→ Authorised representative of a foreign company (if not its auditor)	→ Bank's statutory auditor doing stock or inspection audit of any branch of the same bank or a sister concern in the same year
→ CA in service: e-return registration (cannot certify); tax representation for **his employer**	→ Internal auditor of a PF Trust (appointed by a Government company) becoming its statutory auditor
→ Equity research adviser (no retail reports)	→ Concurrent auditor of bank X becoming statutory auditor of bank Y sponsored by X
→ Registration Authority for digital signatures; mediator in court (as arbitrator); settlor of a trust	→ Audit of a bank where he has a loan against his FD
→ Credit card of the audited bank (outstanding within ₹1,00,000)	→ Commodity derivatives (equity and currency derivatives in personal capacity are allowed; TYK 25)
→ Statutory or tax auditor as valuer where no law prohibits it (subject to the Code)	→ Representing other employees of his employer (CA in service)
→ Internal auditor of a company and statutory auditor of its employees' PF fund	
→ Director under S.149(3) (182 days' residence) as director simplicitor if non-executive and paid sitting fees only	

Examiner's twist: *BRSR: **prepare** = no; **advise** = yes; **BRSR Core assurance** = yes. Valuer: the 2013 ESB view was "never"; the January 2017 review says it is permitted unless a law (such as the IT Rules) prohibits it. Cooling-off: the SM states the 2-year rule under Cl (4) and uses it in TYK 14, while ESB item 33 (2017) leaves it to CA 2013 and the Code. In an exam, quote the 2-year rule and add the 2017 ESB view in one line.*

Beyond the SM (practical): ICAI updates ESB decisions often. The paper uses only the SM list, so learn these items as listed.

06 Ch 06 — Completion and Review (SA 560, 570, 580)

Asked: May 2026 MCQ CS-I Q4 (SA 560 — fire after report, refusal to amend, 2m); May 2026 Q1(b) (SA 560 non-adjusting event + EOM draft, 5m); May 2026 Q3(c) (SA 570 MUGC, 4m). RTP May 2026 Q10, MTP Jan 2026 S-II 1(c) (going concern); RTP May 2025 Q11 (SA 580); MTP May 2024 S-I 4(a) (SA 560 + EOM not a substitute).

SA 560 — Subsequent Events

Asked: May 2026 MCQ CS-I Q4; May 2026 Q1(b)

- → **Definition:** events occurring between the **date of the FS** and the **date of the auditor's report**, and facts that become known to the auditor **after** the date of the auditor's report.
- → Two kinds: events giving evidence of conditions that **existed at the FS date** (adjust) and events giving evidence of conditions that **arose after** the FS date (disclose).
- → **Objectives (2):** (a) obtain SAAE that events between FS date and report date that require adjustment/disclosure are appropriately reflected; (b) respond appropriately to facts known after the report date that, had they been known at that date, may have caused the auditor to amend the report.
- → After the report date the auditor has **no obligation to perform any audit procedures** — but must respond if a fact becomes known.

Time period	Auditor's duty (SM)	If management amends	If management does NOT amend	Trigger words → this period
1. FS date → report date	Perform procedures to identify all such events (consider risk assessment for nature/extent); determine whether appropriately reflected; obtain **written representation** (SA 580) that all such events adjusted or disclosed.	—	Treat as misstatement → modify opinion (SA 705).	"audit nearing completion", "before signing", "substantive procedures finished"
2. Report date → FS issued	Discuss with management/TCWG; determine whether FS need amendment; inquire how management intends to address it.	Extend procedures; **new** report (not dated earlier than approval of amended FS) **or** amend report with an **additional date restricted to the amendment**; EOM/OM para in new report.	Report not yet given to management → **modify opinion**. Report already given → **notify TCWG not to issue FS to third parties**; if still issued → take appropriate action to **prevent reliance** on the report.	"report signed on...", "AGM due", "not yet filed / not made available to third parties"
3. After FS issued	Discuss; determine whether amendment needed; inquire how management intends to address.	Review steps taken to inform **everyone who received** the previously issued FS + report; new/amended report with EOM/OM para.	If steps not taken → take appropriate steps to **prevent reliance** on the report.	"FS circulated / filed with regulator / AGM held"

SM case	Facts	Answer as per SM
TYK 1 (adjusting)	Claim receivable 1 crore at 31.3.2024; surveyor settles 45 lacs in April; received 15 May; report not yet issued.	Condition existed at FS date → **adjust** FS.
TYK 2 (non-adjusting)	Dividend proposed by Board on 17.4.2024.	No obligation at reporting date (Ind AS 1) → **no recognition, disclose** in notes; verify under SA 560.
Case Scenario 1	Fire on 27.6.2024 (after FS date, before report); management refuses disclosure; report 15.7.2024.	Fire → **disclosure** in notes; first report → **modified** opinion; new report on amended FS (approved 25.7.2024) dated **on or after 25.7.2024**, unmodified + EOM/OM.
TQ 4	Claim made 1 June 2024 for dyes in rugs shipped Aug 2023; out-of-court settlement 4 crore; FS silent.	Condition existed at FS date → **adjustment**; obtain WR; else report accordingly.
TQ 7 (Rare (P) Ltd)	Case filed after report; management will only footnote "contingent liability", relying on auditor's EOM.	Auditor's SA 560 steps correct; management's contention **invalid** — EOM is **not a substitute** for FS disclosures.

Examiner's twist: the story spends a page on the fire/flood/lawsuit and then asks "what is the **date** of the new report?" or "what does the auditor do **after** management refuses?". Fix the **timeline** first (FS date / report date / issue date). One line that scores: "New auditor's report shall not be dated earlier than the date of approval of the amended financial statements." The refusal-after-report-given answer is "notify TCWG not to issue to third parties … prevent reliance" — **not** "withdraw" and **not** "modify" (report already out).

SA 570 — Going Concern

Asked: May 2026 Q3(c); RTP May 2026 Q10; MTP Jan 2026 S-II 1(c)

- → Going concern: entity viewed as continuing in operation for the foreseeable future, with **neither the intention nor the necessity of liquidation or of curtailing materially** the scale of operations.
- → Risk assessment (SA 315 stage): consider whether events/conditions exist; consider whether management has made a **preliminary assessment**; discuss it and management's plans.
- → Auditor cannot be expected to **guarantee** the entity's ability to continue; conclusions are based on evidence up to the report date — future events may still cause the entity to cease.
- → Communicate with TCWG the events/conditions identified (whether they are a material uncertainty, adequacy of disclosures, implications for report). **Delay in approval** of FS linked to going concern → additional procedures + consider effect.

Look-alike	Management	Auditor (responsibility)	Auditor (additional procedures when events/conditions identified)
Items	1. Make a **specific assessment** of ability to continue as GC. 2. Make **appropriate disclosures**.	1. Obtain SAAE and **conclude** on appropriateness of use of GC basis. 2. Conclude whether a **material uncertainty** exists. (Not: guarantee.)	(a) Request management to make its assessment (if not done); (b) evaluate management's plans — likely to improve? feasible?; (c) cash flow forecast: **reliability of underlying data + adequate support for assumptions**; (d) consider additional facts since management's assessment; (e) **written representations** on plans and their feasibility.
Trigger words	"make assessment", "make disclosures"	"conclude", "assess whether MU exists"	"evaluate", "analyse forecast", "request", "consider additional facts"

- → Other SM procedures: analyse interim FS; read loan agreements for breach; read minutes for financing difficulties; inquire of legal counsel on litigation; confirm financial support arrangements and ability of parties; subsequent-events procedures for mitigating factors; confirm existence/terms/adequacy of borrowing facilities.
- → Management plans evaluated may include: liquidate assets, borrow money or restructure debt, reduce or delay expenditures, increase capital.
- → Indicators used in SM cases: adverse key ratios (current ratio, DSCR, inventory and receivables turnover); delay in paying creditors/salaries; bankers refusing credit; change from credit to **cash on delivery** with suppliers; arrears or discontinuance of dividends; loss of a **key customer/major market** (operating indicator); KMP leaving; no action plan. A new competitor opening nearby is **not** a financial indicator (SM MCQ).

Conclusion	Opinion	Where it goes in the report
GC basis used but **inappropriate**	**Adverse** — even if FS disclose the inappropriateness (TYK 4)	Basis for Adverse Opinion
Appropriate + MU + **adequate** disclosure	**Unmodified**	Separate section "**Material Uncertainty Related to Going Concern**": draw attention to the note; state MU exists and opinion not modified
Appropriate + MU + **inadequate** disclosure	**Qualified or adverse** (material vs pervasive)	Basis for Qualified/Adverse: MU exists and FS do not adequately disclose it
Management **unwilling** to make/extend assessment	Consider implications for the report	—
Appropriate, no MU	Unmodified	No special paragraph

Examiner's twist: long sad story (bird flu, floods, pandemic) and the ask is only "**with specific reference to cash flow forecast**" — answer the two forecast tests (reliability of data; support for assumptions) and apply each to the facts (no fresh bank credit, repayments start next year, longer supplier credit in a downturn, extra vet/vaccination costs, pollution claims). Second trap: "management itself discloses that GC is inappropriate" → still **adverse**. Third trap: MU adequately disclosed → write "unmodified opinion + MUGC section", never "EOM" or "qualified".

SA 580 — Written Representations

Asked: RTP May 2025 Q11

- → Written representation: written statement by management to confirm certain matters or support other evidence; does **not** include FS, assertions therein, or supporting books and records.
- → Necessary audit evidence but **not sufficient appropriate evidence on their own**; reliable WR does not change nature/extent of other evidence.
- → **Objectives (3):** (1) obtain WR that management/TCWG believe they have fulfilled responsibility for **preparation of FS** and **completeness of information** provided; (2) support other evidence on FS or specific assertions; (3) respond appropriately to WR provided (or not provided).
- → **Date:** as near as practicable to, but **not after**, the date of the auditor's report. Opinion cannot be expressed and report cannot be dated **before** the date of WR. Interim WR on a specific assertion → may need an **updated** WR.
- → **Period:** all FS and periods referred to in the report. Current management not in place earlier → still must cover the **whole** period (does not diminish their responsibility). May be a form that updates prior-period WRs.
- → **Doubt on reliability** (inconsistent with other evidence) → procedures to resolve; if unreliable → action under SA 705. **Not provided** → discuss, **re-evaluate integrity** of management, consider effect on report (SA 705).
- → Mandatorily from management — SM MCQ answer: **CFO** (not audit committee, CS or relationship managers). Not a "pillar": "WR provides sufficient appropriate evidence".

Specimen letter item (SM TYK 5)	Linked SA
Related party relationships/transactions accounted and disclosed; identity of related parties disclosed	SA 550
All subsequent events requiring adjustment/disclosure adjusted or disclosed	SA 560
Uncorrected misstatements immaterial; list attached	SA 450
Results of fraud risk assessment; fraud/suspected fraud involving management, key-control employees, others (material); allegations from employees, analysts, regulators	Fraud
Known/suspected non-compliance with laws	Laws and regulations
Access to all information; additional information requested; unrestricted access to persons; all transactions recorded	Completeness of information (SA 580 core)

Which date? (look-alike)	Rule as per SM	Trigger words
Auditor's report (SA 700)	No earlier than the date of SAAE, including evidence that all statements and notes are prepared and those with authority have asserted responsibility	"date of report", "Board approval"
New report on amended FS (SA 560)	Not earlier than date of approval of the amended FS	"fresh/new report", "amended accounts"
Written representations (SA 580)	As near as practicable to, but not after, report date	"representation letter dated..."

Examiner's twist: *management says "verbal confirmations were documented by your team" → WR is mandatory in writing. Letter dated 15 April, report dated 31 July → anomaly: subsequent events after 15 April not covered. Restated FS for 3 years, new management gives WR only for latest year → must cover all periods; refusal → re-evaluate integrity, SA 705.*

07 Ch 07 — Reporting (SA 700, 701, 705, 706, 710, 720; s.143; CARO 2020)

Asked: Sep 2025 — MCQs on CARO CSR (xx), OMP for FEMA notices, CARO revaluation (i)(d), KAM vs qualified, EOM for early adoption; Q1(c) CARO (xxi) 4m. Jan 2026 — MCQs adverse opinion, EOM for litigation; Q1(a) disclaimer drafting 5m; Q5(a) CARO (xvii), (xi)(c), (ix)(c) 5m. May 2026 — MCQ CARO s.185/186; Q5(a) s.143(12) fraud below 1 crore 5m. MTP Jan 2026 S-I 4(b) KAM pressure; MTP May 2025 S-II 1(b) modification options.

SA 700 series — which SA does what

SA	Purpose (SM)	Trigger words → this SA
700	*Forming an opinion; form and content of report;* ***unmodified*** *opinion*	*"elements", "signature", "date", "clean report"*
701	*Enhance communicative value; greater transparency; matters of* ***most significance*** *in current-period audit*	*"listed", "significant auditor attention", "how addressed"*
705	*Modification of opinion: qualified/adverse/disclaimer*	*"material", "pervasive", "unable to obtain"*
706	*EOM (matter presented/disclosed, fundamental) and OMP (matter not presented/disclosed, relevant to audit/responsibilities/report)*	*"draw attention", "not modified in respect of"*
710	*Comparative information — corresponding figures vs comparative FS*	*"prior year qualification", "predecessor", "unaudited prior year"*
720	*Other information in annual report*	*"Directors' report", "Chairman's statement", "annual report"*

SA 700 — Objectives and elements

- **Objectives:** (a) form an opinion based on evaluation of conclusions from evidence; (b) express clearly that opinion through a **written** report. Applies to complete set of **general purpose** FS.
- Opinion: whether FS prepared, in all material respects, per applicable FRF; obtain **reasonable assurance**. Fair presentation framework → also evaluate overall presentation, structure, content and whether FS represent underlying transactions in a manner that achieves fair presentation.
- **Elements (14, SM order):** Title; Addressee; Opinion; Basis for Opinion; Going Concern; KAM; Other Information; Responsibilities for FS; Auditor's Responsibilities; Location of description of auditor's responsibilities; Other Reporting Responsibilities; Signature; Place; Date.
- Title: "Independent Auditor's Report". Addressee: **Members** (general purpose statutory FS); **Board** (special purpose FS). Opinion section is the **first** section, heading "Opinion".
- Fair presentation phrases (equivalent): "present fairly, in all material respects" or "give a true and fair view". Compliance framework: "prepared, in all material respects, in accordance with...".
- Signature: engagement partner in personal name + firm name; membership number; FRN; **UDIN mandatory from 1 July 2019** (manual and digital, incl. certificates uploaded online). S.145 r/w s.141(2): only the person appointed / partner who is a CA may sign. Clause (12) Part I First Schedule CA Act: allowing a non-member or a member not being partner to sign = misconduct.
- Place: ordinarily the **city** where signed.
- Location of auditor's responsibilities: (a) within body; (b) appendix (report refers to it); (c) website of appropriate authority where law/regulation/standards expressly permit.
- Other reporting responsibilities: separate section "**Report on Other Legal and Regulatory Requirements**", following "Report on the Audit of the Financial Statements".

Opinion section must...	Basis for Opinion must...	Auditor's Responsibilities section must...
(a) Identify entity; (b) state FS audited; (c) identify title of each statement; (d) refer to notes incl. significant accounting policies; (e) specify date/period of each statement	(a) Audit per SAs; (b) refer to auditor's responsibilities section; (c) independence statement referring to **ICAI Code of Ethics**; (d) whether evidence is sufficient and appropriate	Objectives (reasonable assurance; issue report); reasonable assurance = high level, not a guarantee; materiality description; professional judgment and scepticism; identify/assess RMM (fraud risk higher — collusion, forgery, intentional omissions, misrepresentations, override); understand IC **not to express opinion on IC** (omit phrase if IC opinion also given); evaluate policies/estimates/disclosures; conclude on GC; evaluate overall presentation; group audit division of responsibility (SA 600); communication with TCWG; independence statement to TCWG; KAM determination statement

- **Report prescribed by law** — may refer to SAs only if it has at minimum 13 items (title; addressee; opinion + FRF; identification of FS; independence statement; SA 570 section; Basis for Qualified/Adverse per SA 570; SA 701 info; management responsibilities; reference to SAs and auditor's responsibilities; signature; place; date).
- **Both SAs and ISAs:** refer to both only if (a) no conflict leading to a different opinion or omission of a required EOM/OM, and (b) minimum elements included; identify jurisdiction of origin.
- **Supplementary information:** integral part → covered by opinion (e.g. reconciliation to another framework in notes). Not integral → must be clearly differentiated; if management refuses to change presentation → identify it and state it is **unaudited** (e.g. additional P&L schedule as appendix).

Examiner's twist: "significant deficiencies in internal control communicated to TCWG — where in the report?" → **Auditor's Responsibilities** section (SM TYK 1), not KAM, not Basis for Opinion. "Who signs?" → partner in personal name with firm name, M.No., FRN, UDIN.

SA 701 — Key Audit Matters

Asked: Sep 2025 MCQ CS-II Q8; MTP Jan 2026 S-I 4(b)

- **KAM:** matters that, in auditor's professional judgment, were of **most significance** in the audit of FS of the **current period**; selected from matters **communicated with TCWG**.
- **Applies to:** complete sets of general purpose FS of **listed entities**; when auditor otherwise **decides**; when **required by law/regulation**. SA 705 **prohibits** KAM when auditor **disclaims** an opinion, unless law/regulation requires.
- **KAM is NOT:** (a) substitute for FS disclosures; (b) substitute for modified opinion (SA 705); (c) substitute for SA 570 MU reporting; (d) a separate opinion on individual matters.
- Auditor shall **not** communicate in KAM section a matter for which opinion must be modified (SM answer TQ 16).

Stage	Step (SM)
Determine (step 1: filter)	From matters communicated with TCWG, those that required **significant auditor attention**, considering: (a) areas of **higher assessed RMM or significant risks** (SA 315); (b) significant auditor judgments on areas of significant management judgment incl. estimates with **high estimation uncertainty**; (c) effect on audit of **significant events or transactions** during the period. Then those of most significance = KAM.
Communicate (step 2: report)	Section "Key Audit Matters" with introductory language: (a) KAM are matters of most significance in current-period audit; (b) addressed in context of audit as a whole and forming opinion; **no separate opinion**. Describe each unless law precludes public disclosure, or in **extremely rare** cases adverse consequences reasonably expected to **outweigh public interest** benefits.
No KAM	Still carry the section: "[Except for the matter described in the Basis for Qualified (Adverse) Opinion section or MUGC section,] we have determined that there are no [other] key audit matters to communicate."

- SM examples: impairment; provisions for losses and contingencies; valuation of financial instruments; revenue recognition; taxation (multiple jurisdictions, uncertain tax positions, deferred tax assets).
- SM TYK 2: revenue recognition with discounts/rebates + procedures (read policy vs Ind AS 115, test controls, cut-off with confirmations) → **KAM**.

Examiner's twist: Audit Committee asks to drop a KAM to avoid "negative publicity" → not a ground; the only exceptions are law precluding disclosure or extremely rare adverse consequences outweighing public interest. Unlisted company → KAM only if auditor decides or law requires. Disclaimer → no KAM section. A matter needing a qualified opinion → Basis for Qualified Opinion, not KAM.

SA 705 — Modified opinions

Asked: Jan 2026 Q1(a); Jan 2026 MCQ CS-I Q1; MTP May 2025 S-II 1(b)

- Modify when: (a) FS as a whole **not free** from material misstatement; or (b) **unable** to obtain SAAE to conclude they are free.
- Type depends on (a) **nature** of matter (misstated vs may be misstated) and (b) **pervasiveness**.
- **Pervasive:** not confined to specific elements/accounts/items; or if confined, represents/could represent a **substantial proportion**; or for disclosures, **fundamental** to users' understanding.
- Disclaimer also when, in **extremely rare** circumstances with **multiple uncertainties**, opinion not possible due to potential interaction and cumulative effect, even though SAAE on each.

Nature	Material, not pervasive	Material and pervasive
FS materially misstated	**Qualified** — "except for the **effects** of..."	**Adverse** — "because of the significance... do not present fairly / do not give a true and fair view"
Inability to obtain SAAE	**Qualified** — "except for the **possible effects** of..."	**Disclaimer** — "We do not express an opinion..."; "We were engaged to audit..."

- **Management-imposed limitation after acceptance:** request removal → if refused, communicate with TCWG (unless all TCWG manage) and try **alternative procedures** → still unable: material not pervasive = qualify; material and pervasive = **withdraw** where practicable and possible under law, else **disclaim**. Before withdrawing, communicate to TCWG misstatements that would have caused modification.
- **SEBI circular CIR/CFD/CMD1/114/2019 (18 Oct 2019)** — listed: resign within 45 days of quarter-end → issue report for that quarter; after 45 days → that quarter **and next**; limited review issued for all three quarters → issue **annual** audit report before resigning. ICAI: auditor of **unlisted** company shall not cite "professional pre-occupation"; state reasons clearly.
- Adverse/disclaimer on FS as a whole → no unmodified opinion on a single statement or element in same report.
- **Basis section:** heading "Basis for Qualified/Adverse/Disclaimer of Opinion"; specific amounts → describe and **quantify** (or say not practicable); narrative disclosures → explain how misstated; **non-disclosure** → discuss with TCWG, describe omitted info, include omitted disclosures if practicable and SAAE obtained (unless law prohibits); inability → reasons. Qualified/adverse → amend sufficiency statement to add "qualified"/"adverse". Also describe other matters that would have required modification, even with adverse/disclaimer.
- **Disclaimer omits:** reference to auditor's responsibilities section; statement on sufficiency of evidence. Auditor's responsibilities reduced to: duty to audit per SAs and issue report; not able to obtain SAAE because of the matters; independence/ethics statement. No KAM section (unless law requires).
- Communicate expected modification and its **wording** to TCWG.

SM Illustration	Facts	Opinion
3	Financing about to expire; notes incomplete on impact/refinancing	Qualified (inadequate MU disclosure, not pervasive)
4	Financing expired, considering bankruptcy, no disclosure	Adverse
5	No access to JV = over 90% of net assets (95 crores)	Disclaimer
6	No loan agreement for 55,00,000 loan	Qualified — "possible effects"
7	Earthquake, MU not disclosed	Adverse
8	Debtors 150 crores unconfirmed, provision 25 crores inadequate; inventory 40% of total assets unverifiable	Disclaimer (multiple elements)

Examiner's twist: facts say "auditor obtained evidence **inconsistent** with affirmations" → misstatement → qualified/adverse, **not** disclaimer (disclaimer needs inability). Facts say "management refused access" → inability → qualified/disclaimer, **never adverse**. Note: "subject to" and "with the foregoing explanation" are not sufficiently clear — use "except for".

SA 706 — Emphasis of Matter and Other Matter

Asked: Sep 2025 MCQ CS-I Q2, CS-III Q11; Jan 2026 MCQ CS-I Q4; May 2026 Q1(b)

- → **EOM:** refers to matter **appropriately presented or disclosed** in FS, of such importance it is **fundamental** to users' understanding. Conditions: (a) no modification required under SA 705 for the matter; (b) when SA 701 applies, matter not determined to be KAM.
- → EOM mechanics: separate section with heading including "Emphasis of Matter"; clear reference to matter and where disclosed in FS; refer **only** to information presented/disclosed; state opinion **not modified**.
- → **EOM examples (SM):** uncertainty on outcome of **exceptional litigation or regulatory action**; **significant subsequent event** between FS date and report date; **early application** of a new accounting standard with material effect; **major catastrophe** with significant effect on financial position. Also: FRF prescribed by law that would otherwise be unacceptable; special purpose framework alert; new/amended report under SA 560.
- → **OMP:** matter **not** presented/disclosed in FS, relevant to understanding of the **audit, auditor's responsibilities or report**. Conditions: (a) not prohibited by law/regulation; (b) when SA 701 applies, not a KAM. Heading "Other Matter". SM example: branches audited by branch auditors (5 branches, total assets 90 crores, revenue 40 crores); prior year audited by another auditor.
- → Communicate expectation and **wording** of EOM/OMP to TCWG.
- → EOM is not a substitute for: modified opinion; required FS disclosures; SA 570 MU reporting.
- → EOM placement: directly before or after KAM section, as per relative significance (A16). Widespread use of EOM diminishes effectiveness; EOM is not a substitute for KAM description.

Item	Matter in FS?	Evidence / misstatement	Opinion	Key test	Trigger words → which one
KAM (SA 701)	Usually	SAAE; no modification needed	Unmodified (can coexist with modified for other matters)	Required **significant auditor attention**; most significance	"listed", "complex estimate", "significant risk", "how we addressed"
EOM (SA 706)	**Yes**, appropriately	SAAE; no misstatement	Not modified for it	**Fundamental** to users; not a KAM	"draw attention", "fire / flood / litigation disclosed", "early adoption"
OMP (SA 706)	**No**	—	Not modified for it	Relevant to audit / responsibilities / report	"branch auditors", "predecessor", "not disclosed in FS or Board's report"
MUGC (SA 570)	Yes, adequately	MU on GC exists	Unmodified	Separate MUGC section, not EOM	"material uncertainty", "significant doubt", "adequately disclosed"
Qualified (SA 705)	Misstated or unsupported	Misstatement / inability	Modified	Material, not pervasive	"not provided", "departure from AS", "inadequate disclosure"
Adverse / Disclaimer	—	Misstatement / inability	Modified	Material **and** pervasive	"over 90% of net assets", "multiple elements", "bankruptcy, no disclosure"

Notes to accounts	Qualification
Management's stand on a matter	Auditor's disagreement, stated from auditor's standpoint
A reference to notes in the report does not automatically become a qualification	All qualifications must be in the report itself, clear and unambiguous, with reasons; "except for", not "subject to"

Examiner's twist: SM TYK 3 — ₹500 crore claims receivable, auditor relied only on management representation and plans EOM → wrong: WR alone is not SAAE; procedures may lead to modification, and EOM presupposes SAAE. ICAI pattern: "matter not in FS or Board's report" → **OMP** (Sep 2025). Flood losses disclosed → EOM; records destroyed, material not pervasive → qualified (SM TQ 19).

Beyond the SM (practical): ICAI's Jan 2026 MCQ key gave EOM where management refused to disclose pending litigation; SA 706 in the SM requires the matter to be appropriately disclosed for EOM — if a descriptive asks this, state the SA 706 condition and the SA 705 route for non-disclosure.

Report vs certificate; shareholders vs TCWG

Point	Report	Certificate
Nature	Expression of **opinion**, after enquiry/examination; judgment involved	Confirms **accuracy of facts**; no estimate/opinion (e.g. newspaper circulation, imports/exports, s.66 capital reduction certificate to Tribunal)
Responsibility	Opinion based on facts with due care and skill	Factual accuracy
Example	S.143 report (opinion-based, **not** a certificate)	S.66 Companies Act

Reporting to shareholders	Reporting to TCWG
S.143; statutory report addressed to members; true and fair view in prescribed format; public domain	SA 260; scope, timing, findings, modifications; internal (private) document

→ **SA 260 matters:** auditor's responsibilities (opinion on FS prepared by management under TCWG oversight; audit does not relieve them); planned scope and timing incl. significant risks; significant findings — qualitative aspects of accounting practices, significant difficulties, (unless all TCWG manage) significant matters discussed with management and WR requested, circumstances affecting form/content of report, other significant matters. All TCWG involved in managing → need not communicate again in governance role.

SA 710 — Comparative information

Point	Corresponding figures	Comparative financial statements
Opinion refers to	**Current period only**	**Each period** presented
When opinion refers to prior figures	Only if prior report was other than unqualified (matter unresolved) or prior-period material misstatement not addressed earlier	Always (each period)
Opinion on prior period now differs from earlier opinion	—	Disclose substantive reasons in **Other Matter** paragraph
Misstatement found in prior FS audited earlier	Modify (if not addressed)	Report to appropriate management level, request predecessor be informed; if amended with new predecessor report → report only on current period
Common: predecessor audited prior year	If permitted and auditor decides to refer: state prior FS audited by predecessor, **type** of opinion, **date** of that report	
Common: prior year unaudited	State in **Other Matter** paragraph that figures are unaudited; still need SAAE that **opening balances** have no material misstatement	

- → Procedures: agree comparatives to prior-period amounts/disclosures; consistency of policies; changes properly disclosed; possible misstatement → procedures; prior FS audited by same auditor → SA 560; **WR** for all periods + specific WR on any prior-period item disclosed.
- → Prior qualification **resolved** and properly accounted/disclosed → current opinion need not refer to it. **Unresolved** → modify current opinion; Basis section: refer to both current and corresponding figures if current effect material; otherwise explain modification due to effect on **comparability** (SM TQ 11: 70 lakh diminution).

SA 720 — Other information

- → Other information = financial or non-financial info (other than FS and report) in the **annual report**. Not applicable to **preliminary announcements** and **securities offering documents / prospectuses**.
- → **Objectives:** consider material inconsistency with (a) FS, (b) auditor's knowledge; (c) respond appropriately; (d) report.
- → **Obtaining:** determine documents and timing; arrange to obtain final version, if possible before report date; if available only later → request **WR** that final version will be provided before issuance.
- → **Reading:** compare selected amounts/items with FS; consider consistency with knowledge; remain alert for other misstatements. If inconsistency → discuss and conclude whether OI misstated, FS misstated, or understanding needs updating.

OI misstated — management refuses → TCWG still refuses	Action
Obtained **before** report date	Consider implications for report and communicate with TCWG how auditor will address it; **withdraw** where possible under law
Obtained **after** report date	If corrected → necessary procedures; if not → appropriate action considering legal rights and obligations to bring it to **users' attention**
FS misstated / understanding to update	Respond under other SAs

- → **"Other Information" section required when:** listed — obtained **or expects to obtain** OI; unlisted corporate — obtained **some or all** OI. Contents: management responsible; identify OI obtained before report (and for listed, expected after); opinion does not cover OI, no assurance; auditor's responsibilities; if obtained before report — "nothing to report" or description of uncorrected misstatement. Qualified/adverse → consider implications for this statement.
- → SM TQ 17: market-price trend item in annual report contradicts FS margins → partner wrong; SA 720 applies.

Examiner's twist: SA 720 never changes the opinion on the FS by itself — the OI misstatement is described in the Other Information section. Trap option "qualify the opinion because Directors' report is wrong" is wrong unless the FS themselves are misstated.

Section 143 — duties of auditor

Asked: May 2026 Q5(a)

Provision	What	Report?
143(1) — inquire	(a) secured loans/advances properly secured, terms not prejudicial; (b) book-entry transactions prejudicial; (c) non-investment/non-banking co. — shares/debentures sold below cost; (d) loans and advances shown as deposits; (e) personal expenses charged to revenue; (f) shares allotted for cash — cash actually received	Only if adverse (Research Committee: no duty to say "satisfied")
143(3) — state in report	(a) information and explanations; (b) proper books + returns from branches not visited; (c) branch auditor's report (143(8)) received and how dealt with; (d) agreement with books; (e) compliance with AS; (f) observations with adverse effect on functioning; (g) director disqualified u/s 164(2); (h) qualification/reservation/adverse remark on maintenance of accounts; (i) **IFC** with reference to FS and operating effectiveness; (j) Rule 11 matters	Always
Rule 11	(1) impact of pending litigations disclosed; (2) provision for material foreseeable losses on long-term contracts incl. derivatives; (3) delay in transfer to IEPF; (4) funds advanced to/received from intermediaries for ultimate beneficiaries — management representation + nothing come to notice; (5) dividend complies with s.123; (6) accounting software with **audit trail (edit log)**, operated throughout year for all transactions, not tampered, preserved	Always
143(4)	Negative/qualified answer → state reasons	—
197(16)	Whether director remuneration per s.197 / in excess of limit; ICAI advisory 09-09-2019: public companies, under "Report on Other Legal and Regulatory Requirements"	Public cos.
143(9), (10)	Comply with auditing standards; CG may prescribe on ICAI recommendation after NFRA examination; till then ICAI standards deemed	—
143(11)	CG (after NFRA consultation) may direct additional statement → CARO 2020	—
145	Person appointed signs; qualifications/adverse comments read at general meeting, open to inspection	—

→ **IFC reporting 143(3)(i) does not apply to a private company** that is (i) OPC or small company; or (ii) turnover **< ₹50 crore** as per latest audited FS **and** aggregate borrowings from banks/FIs/body corporate at any point during the FY **< ₹25 crore**. (SM covers only this; no separate IFC guidance in the chapter.)

Section 143(12) — Fraud reporting (Rule 13)

Asked: May 2026 Q5(a)

Point	Fraud ≥ ₹1 crore (individually)	Fraud < ₹1 crore
Report to	**Central Government** (via Board/AC first)	**Audit Committee** (s.177) or **Board**
Timeline	To Board/AC immediately, **not later than 2 days** of knowledge, seeking reply in **45 days**; forward report + reply + comments to CG within **15 days** of receipt; no reply in 45 days → forward report + note of details	Immediately, not later than **2 days**
Content / form	To Secretary, MCA, sealed cover, Regd. Post AD or Speed Post + confirming e-mail; letterhead with postal, e-mail, phone; signed with seal and Membership No.; **Form ADT-4**	Nature with description; approximate amount; parties involved
Board's report	—	Company discloses: nature, approx. amount, parties (if remedial action not taken), remedial actions

- → Scope: fraud "in the company by its officers or employees" (Rule 13: "against the company"). 143(13): good-faith reporting is no breach of duty. Applies mutatis mutandis to **cost auditor (s.148)** and **secretarial auditor (s.204)**. Non-compliance penalty: **5 lakh** (listed), **1 lakh** (other).
- → Fraud under s.447 includes acts with intent to injure interests of company/shareholders/creditors/others, with or without wrongful gain/loss; auditor may not detect what is not reflected in books (vendor pay-offs; stolen KMP password).
- → Also **CARO 3(xi)**: (a) any fraud **by** or **on** the company noticed/reported — nature and amount; (b) ADT-4 filed?; (c) whistle-blower complaints considered?

Examiner's twist: 75 lakh fraud — "is he obliged to file ADT-4 on MCA portal?" → **No**; report to AC/Board within 2 days; company discloses in Board's report; still report under CARO 3(xi)(a). Watch "individually": several frauds each below 1 crore are not added up for the CG test (the rule says "individually").

CARO 2020 — applicability

Asked: Jan 2026 Q5(a); Sep 2025 Q1(c)

- → Issued under **s.143(11)** after consulting NFRA, dated **25 Feb 2020**. Applies to every company incl. **foreign company** (s.2(42)). Paras 3 and 4 in addition to s.143 report.
- → **Exempt:** (i) banking company (s.5(c) BR Act); (ii) insurance company; (iii) **section 8** company; (iv) **OPC** (s.2(62)) and **small company** (s.2(85)); (v) **private limited company** — not a subsidiary or holding company of a public company — with **all three**: paid-up capital + reserves and surplus **not more than 1 crore** as on BS date; total borrowings from any bank/FI **not exceeding 1 crore at any point of time** during FY; total revenue (Sch. III, incl. discontinuing operations) **not exceeding 10 crore** during FY.
- → **CFS:** CARO does not apply to report on CFS **except clause 3(xxi)**.
- → Para 4: unfavourable/qualified answer → state **basis**; unable to express opinion → state fact and reasons.

Examiner's twist: year-end borrowing 60 lakh but 1.2 crore in October → limit breached "at any point of time" → CARO applies. Subsidiary of a public company → exemption (v) unavailable whatever the size. Borrowings from a director or body corporate do not count for (v) — only "bank or financial institution".

CARO 2020 — paragraph 3 clauses

Asked: Sep 2025 MCQ CS-I Q1, CS-II Q7; May 2026 MCQ CS-I Q3; Jan 2026 Q5(a)

Clause	Must-write point (numbers exact)
(i) PPE / intangibles	(a)(A) records of PPE with quantitative details and situation; (B) records of intangibles; (b) physical verification at reasonable intervals, material discrepancies dealt with; (c) **title deeds** of immovable property (other than lessee with duly executed lease) in company's name — else table: description, gross carrying value, held in name of, whether promoter/director/relative/employee, period held, reason (+ if in dispute); (d) revaluation (incl. **ROU**) — by **Registered Valuer**?; specify amount of change if **10% or more** in aggregate of net carrying value of **each class**; (e) Benami proceedings (1988 Act) and disclosure
(ii) Inventory	(a) PV at reasonable intervals; coverage and procedure appropriate; discrepancies **10% or more in aggregate for each class** — dealt with?; (b) WC limits **in excess of 5 crore**, in aggregate, from banks/FIs on security of current assets, **at any point of time** — quarterly returns agree with books?
(iii) Loans, investments, guarantees, security to companies, firms, LLPs, others	(a) aggregate during year + balance at BS date — (A) to subsidiaries/JVs/associates, (B) others [not for companies whose principal business is lending]; (b) not prejudicial; (c) repayment schedule stipulated, regular; (d) overdue **more than 90 days** — total and steps; (e) loans fallen due renewed/extended/fresh loans to settle overdues — amount and % [not for lending cos.]; (f) repayable on **demand** or without terms — amount, % of total, amount to promoters/related parties (s.2(76))
(iv)	Compliance with **ss.185 and 186** for loans, investments, guarantees, security
(v) Deposits	RBI directives, **ss.73 to 76**; nature of contravention; compliance with CLB/NCLT/RBI/court/tribunal order
(vi)	Cost records specified u/s **148(1)** — made and maintained
(vii) Statutory dues	(a) regular in depositing **undisputed** dues (GST, PF, ESI, income tax, sales tax, service tax, customs, excise, VAT, cess, others); arrears outstanding on last day of FY for **more than six months** from date payable; (b) **disputed** dues — amount and **forum**; mere representation to department is **not** a dispute
(viii)	Unrecorded transactions **surrendered/disclosed as income** in tax assessments — properly recorded in books this year?
(ix) Borrowings	(a) default in repayment/interest — table (nature, lender*, amount, principal/interest, days, remarks; *lender-wise for banks, FIs, Government); (b) **wilful defaulter**; (c) **term loans** applied for purpose — amount diverted and use; (d) **short-term funds used for long-term** — nature, amount; (e) funds taken to meet obligations of subsidiaries/associates/JVs; (f) loans on **pledge of securities** of subsidiaries/JVs/associates and default
(x) Capital raised	(a) **IPO/FPO** (incl. debt instruments) money applied for purposes — delays/defaults/rectification; (b) **preferential allotment / private placement** of shares or convertible debentures — ss.**42 and 62** complied and funds used for purpose
(xi) Fraud	(a) fraud by/on company — nature and amount; (b) ADT-4 filed u/s 143(12)?; (c) **whistle-blower** complaints considered?
(xii) Nidhi	(a) Net Owned Funds to Deposits **1:20**; (b) **10%** unencumbered term deposits; (c) default in interest/repayment
(xiii)	Related party transactions comply with **ss.177 and 188**; disclosed per AS
(xiv)	(a) internal audit system commensurate with size and nature; (b) internal auditors' reports considered by statutory auditor
(xv)	**Non-cash transactions** with directors or connected persons — **s.192** complied
(xvi) RBI	(a) registration u/s **45-IA** RBI Act; (b) NBFC/HFC activity without valid CoR; (c) **CIC** — continues to meet criteria; (d) more than one CIC in Group — number
(xvii)	**Cash losses** in the FY and in the immediately preceding FY — amount
(xviii)	**Resignation** of statutory auditors during year — issues/objections/concerns of outgoing auditor considered?
(xix)	On ratios, ageing, expected realisation/payment dates, other information, knowledge of Board and plans — whether **no material uncertainty** exists on report date that company can meet liabilities existing at BS date as they fall due within **one year** from BS date
(xx) CSR	(a) other than ongoing projects: unspent amount transferred to **Schedule VII Fund within six months** of FY end (2nd proviso s.135(5)); (b) ongoing projects: unspent transferred to **special account** (s.135(6))
(xxi) CFS	Qualifications/adverse remarks in CARO reports of companies in CFS — company details and **paragraph numbers**

Look-alike clauses	Distinguishing key	Trigger words → clause
(iii) vs (iv) vs (xiii) vs (xv)	(iii) details/terms/regularity of loans etc. given; (iv) legal compliance with 185/186; (xiii) RPT approvals 177/188; (xv) non-cash with director, s.192	"overdue", "repayable on demand" → (iii); "loan to entity where director interested / limits" → (iv); "Audit Committee approval, arm's length" → (xiii); "property exchanged with director" → (xv) (+ (xiii))
(vii)(a) vs (vii)(b) vs (viii)	(a) undisputed arrears > 6 months; (b) disputed — amount and forum; (viii) unrecorded income surrendered in tax assessment	"appeal filed with CIT(A)/ITAT" → (vii)(b); "only a letter to department" → (vii)(a); "survey / s.148 order, income accepted, not booked" → (viii)
(ix)(c) vs (ix)(d) vs (x)(a) vs (x)(b)	Term loan diverted / short-term used long-term / IPO-FPO money / preferential or private placement (42, 62)	"term loan for plant used for..." → (ix)(c); "CC limit used to buy machinery" → (ix)(d)
(xvii) vs (xix) vs SA 570	(xvii) fact of cash losses this year and last; (xix) one-year liability-meeting opinion on report date; SA 570 opinion on FS	"cash loss" → (xvii); "able to meet liabilities within one year" → (xix)
(xi)(a) vs (xi)(b) vs s.143(12)	CARO: fraud by or on company noticed/reported; ADT-4 filed?; s.143(12): fraud on company by officers/employees, reporting route	"fraud by the company on customers" → (xi)(a) only
(xx)(a) vs (xx)(b)	Non-ongoing: Schedule VII Fund in 6 months; ongoing: unspent CSR account	"ongoing project" → (b)

Examiner's twist: *Sep 2025 asked (i)(d) — revaluation by Registered Valuer and amount of change only if ≥ 10% of net carrying value of* ***each class*** *(not total PPE). Jan 2026 combined (xvii), (xi)(c), (ix)(c) with a going-concern hint — add a line on SA 570 and (xix). Sep 2025 Q1(c): CFS → only clause (xxi): list subsidiaries and the* ***paragraph numbers*** *of qualified/adverse CARO remarks, e.g. 3(i)(c), 3(ix)(a), 3(xv).*

(14) Ch 14 – Special Features of Audit of Banks and NBFCs

Asked: Sep 2025 MCQ CS-II Q5 (revenue leakage, numerical), Q6 (NBFC risk-adjusted assets), Q4(a)(i)-(ii) (restructuring; IRAC norms are minimum) · Jan 2026 MCQ Q7 (ICC NOF by 31.3.2027), Q8 (NBFC NPA provision, secured/unsecured), Q12 (approved liquid assets custody), Q6(b) (bank investments) · May 2026 MCQ Q14 (limit overdue for renewal, AS 4), Q3(a) (NBFC prudential norms procedures).

1 Why banks need special audit consideration

→ *Features (SM): custody of large monetary items (cash, negotiable instruments) → embezzlement and fraud risk; huge volume and variety of transactions → complex systems and wide IT use; geographically dispersed branches → decentralised authority; off-balance-sheet commitments with no funds transfer (may carry no accounting entry); transactions initiated at one place, recorded at another, managed at a third; transactions done by the customer directly (internet, mobile, ATM) with no employee; integration with national/international settlement systems → systemic risk; regulators influence accounting and audit practice.*

→ *Special audit considerations arise from: (1) special nature of risks, (2) scale of operations and significant risks in short periods, (3) extensive dependence on IT, (4) effect of statutory and regulatory requirements, (5) continuing development of new products not matched by accounting/audit practice.*

→ *SBAs and SCAs must know the products and risks in detail; also understand* ***interface controls*** *between applications (data flows from one application to another).*

2 Legal framework, form of accounts, appointment

→ *Acts: BR Act 1949, RBI Act 1934 (wide powers to give directions), SBI Act 1955, Banking Companies (Acquisition and Transfer of Undertakings) Acts 1970/1980, RRB Act 1976, Companies Act 2013, SARFAESI 2002, PMLA 2002, IT Act 2000, CIC(R) Act 2005, PSS Act 2007, Co-operative Societies Act 1912.*

→ *Third Schedule BR Act:* ***Form A = Balance Sheet, Form B = P&L****. AS under s.133 read with Rule 7 apply so far as applicable.* ***Ind AS for all SCBs deferred by RBI.***

→ *Nationalised/PSU bank: branch accounts consolidated at HO.* ***Private banks: centralised accounting; no concept of mandatory branch audit*** *under RBI guidelines. Listed PSU and private banks follow SEBI LODR.*

→ *s.30(1) BR Act: auditor must be qualified to be auditor of companies.*

→ *SCAs:* ***four or more*** *CA firms jointly (size and Board decision). SBA:* ***a single firm****. Appointment letter to SCAs: tenure, other central auditors, previous auditors, procedural requirements (acceptance letter, declaration of fidelity and secrecy, restriction on other work), work division (later), scope incl. special reports/certificates.*

→ *Appointing authority:* ***banking company → shareholders at AGM; nationalised bank → its Board of Directors. In either case, prior RBI approval.***

Examiner's twist: *"The private bank's audit committee wants branch auditors for 40 branches; the auditor says RBI requires it." Trap — no mandatory branch audit concept for private banks (centralised accounting). Second trap: "Board of the banking company appointed the auditor with RBI approval" — wrong body (AGM for a banking company); RBI approval alone does not cure it.*

3 Conducting the audit — five stages

Stage	Contents (SM)
I Initial considerations	Acceptance and continuance (engagement risk before acceptance); declaration of indebtedness; internal assignments bar; terms of engagement (SA 210); communication with previous auditor (Clause 8, Part I, First Schedule); planning; engagement team.
II Understanding	Bank and environment incl. internal control; accounting process; risk management process (oversight by TCWG, identify/measure/monitor risks, control activities, monitoring activities, reliable information systems).
III Risk assessment	ROMM (SA 315); fraud risk incl. money laundering (SA 240; KYC-AML guidelines); specific risks (banking industry, IT); risks of outsourcing.
IV Execution	Engagement team discussion; responses to assessed risks (SA 330); overall audit strategy (SA 300); audit planning memorandum; audit materiality; going concern.
V Reporting	Independent auditor's report; LFAR; reports on any other matter to bank, regulator or Government.

- → **Declaration of indebtedness:** written confirmation that auditor/firm/partners/family members are **not declared wilful defaulters** by any bank/FI — **in addition to** the s.141 disqualification declaration (indebtedness above the limit).
- → **Internal assignments:** audit firms should not take statutory audit while associated with internal assignments in the bank **during the same year**.
- → Audit planning memorandum: describe expected scope/extent; highlight significant issues and risks; evidence that engagement risk, pervasive risk, specific risks were addressed.

Examiner's twist: "List the components of an effective risk management system" (Stage II) vs "steps in risk assessment" (Stage III) vs "what the planning memorandum achieves" (Stage IV). Same case, three different lists. Trigger "TCWG approve written policies" → risk management system; "money laundering, outsourcing" → risk assessment; "scope and extent, significant issues" → planning memorandum.

4 IT environment and internal audit

- → Overall review of IT environment and CBS: at **HO level — SCAs' responsibility**. Branch auditors usually have no access to IT policy; on SCA guidance they review/analyse data through CBS, test controls and transactions at branch and share results with SCAs.
- → Key security controls: authorised, accurate, complete data; restart without distortion after failure; no unauthorised program changes; access rights match job responsibilities; segregation while giving access + activity log review; parameter/user-level changes authenticated; manually computed charges authorised; **exception reports authorised and verified daily**; account masters/balances changed only by authorised staff; all HO-authorised GL codes exist; GL balances tally with subsidiary ledgers.
- → **Central Audit & Inspection Department** (headed by Chief Audit Executive): RBIA per RBI framework; identifies branches for revenue audit; appoints concurrent auditors, fixes scope, reviews their work.
- → RBIA risk assessment: identify inherent business risks (business risk) → assess control effectiveness (control risk) → level and direction of risk → **risk matrix** for the branch.

SM Ch 14 Unit 1 — controls, CRR/SLR

5 Internal controls in selected areas

Area	Must-write control (SM)
General	Frequent unannounced staff transfers; one person's work always checked by another (officer); arithmetic accuracy proved daily; all bank forms (cheque books, DD/PO books, traveller's cheques, forex cards) with one officer, issue and stock verified by another; mail opened by responsible officer, signatures on advices checked with signature book; signature book and telegraphic code book with responsible officers; insurance; financial powers defined; surprise inspections by internal audit.
Cash	Joint custody of two officers; daily check + periodic full count by an officer other than cash handlers; **cashier no access to customer ledger and day book**; counterfoils signed by cash officer besides receiving cashier; payment only after voucher passed and posted; large receipts/payments verified by senior officer/BM; surplus cash to currency chest daily.
Clearing (CTS)	Branch must call or e-mail the customer for any inward clearing cheque of **₹5 lakh and above** (auditor checks on test basis); drawer's signature verified by staff, else liability is the paying bank's; unpaid outward cheques returned to customer address or customer informed.
Bills for collection	Documents received and registered by responsible officer; credit only after realisation (or advice from collecting branch/agent); bills sent to another branch of the same bank must not appear twice in the consolidated BS — entries reversed at year end.
Bills purchased	Title documents properly assigned; adequate margin; immediate action if bill unpaid on due date; irregular accounts reported to HO; discount apportioned between two years.
Loans and advances	Sanction only after creditworthiness and proper authority; documents complete before disbursement; adequate margin; securities in joint custody; registration in bank's name; accounts within DP and sanctioned limit — **additional temporary limit up to 20% of existing limit for maximum 90 days**; over-limit/unapproved security accounts reported to management/HO; each advance account reviewed at least once a year.
Demand drafts	Signatures checked with signature book; every DD confirmed by advice to paying branch; unconfirmed DD or no credit → immediate inquiry.
Inter-branch	Adjust only on advices from other branches (not on entries in statements); unresponded entries (especially debits) → prompt central action.
Credit cards	Screening with credit appraisal; strict control over storage and issue; merchant confirms unutilised limit with bank if settlement exceeds a specified % of card limit; prompt reporting by merchants; reimburse merchants after validity check; immediate debit to customer; regular statements; follow-up of overdue; bulletins to merchants on defaulting cards; periodic review incl. doubtful amounts and provision.

Examiner's twist (TYK 13 type): small branch, peon opens all e-mails, no signature book, one staff holds all bank forms carefully, "short of staff so no checking". Answer: violations of general controls; mail must be opened by a responsible officer; forms with one officer, issue/stock verified by another; **shortage of staff is not a valid excuse** — fraud risk; report it. Illustration in SM: same stock statement figures month after month = control lapse (not checked/entered by responsible officer).

SM Ch 14 Unit 1 — controls, CRR/SLR

6 CRR, SLR and DTL

SM TYU 2

- CRR: specified minimum fraction of total deposits kept as cash/deposit with central bank. Requirement for **banking companies in BR Act 1949**; for **scheduled banks in RBI Act 1934**. Rate per RBI Master Circular.
- SLR: liquid assets (gold, cash, approved securities) to be maintained before lending; s.24 BR Act. **SCAs verify SLR compliance on odd dates in different months of the year, not being Fridays.** Report goes to top management and RBI.
- Procedures: branches send weekly trial balance on Fridays → consolidated at HO for each reporting Friday; SCA asks branch auditors to verify trial balances of selected dates and cash; check consolidation, valuation of securities; Form A return (CRR) and Form VIII (SLR) on sample basis; regional consolidation countersigned by Regional Manager; **state number of unaudited branches** and that returns of unaudited branches were relied upon; Automated Data Flow (ADF) now used.
- Foreign currency conversion: USD, GBP, JPY, Euro at RBI reference rate (FBIL); other currencies via New York closing rate to USD.

Excluded from DTL (selected)	Included in DTL (selected)	Trigger words → which
Paid-up capital, reserves, P&L credit balance; loans from RBI; refinance from EXIM Bank, NHB, NABARD, SIDBI; bills rediscounted with eligible FIs; net income tax provision; DICGC claims received pending adjustment; ECGC on invoking guarantee; ad hoc settlements from insurers pending court; court receiver; net unrealised gains on derivatives in trading book; non-refundable fees received in advance; liabilities under Bankers' Acceptance Facility; part recoveries from bad/doubtful debts; amounts in sundry deposits for import bills pending final rates; unadjusted link-branch balances for agency business; margins held for funded facilities.	Net credit balance in branch adjustment accounts (credit entries outstanding **over 5 years** taken gross); interest accrued on deposits **each reporting fortnight whether or not booked**; cash collateral under collateralised derivatives (outside liabilities); overseas borrowings as liabilities to others, gross; adverse balance in Nostro mirror account = liability to others.	"owned funds / refinance / part-recovery / margin for funded facility" → exclude. "not yet booked / branch adjustment credit / Nostro mirror adverse" → include.

Exempt categories to check in DTL computation: eligible credit (EC) and outstanding long-term bonds (LB) for infrastructure and affordable housing; eligible incremental FCNR(B) and NRE deposits of maturity 3 years and above.

7 Cash, balances with RBI/other banks, call money

- Objective: **existence and completeness** at BS date. Cash physically verified close to BS date incl. foreign currency, **cash in ATMs and cash deposit machines**; tally with cash register/CBS.
- Balance with RBI: confirmation + reconciliation; watch unresponded cash transactions, revenue items needing adjustment/write-off, other entries in RBI statement **unresponded for over 15 days**.
- Other banks: no debit for charges or credit for interest outstanding; no cheques outstanding in clearing; bills/outstation cheques realised later; large inter-bank transactions near year end for **window dressing**. Foreign balances at closing rate.
- Call money: proper authority, HO limits incl. inter-bank call money limits; borrower certificates/call loan receipts; tally with GL; subsequent repayment. **Call loans made cannot be netted against call loans received.**

SM Ch 14 Unit 1 — verification of assets

8 Investments

Asked: Jan 2026 Q6(b)

- Objective: **existence, ownership, valuation** + compliance with statutory/regulatory parameters (non-compliance has direct and material effect). Investment policy read with RBI Master Circular; must separately state objectives for own account and on behalf of customers.
- **Segregation:** dealing (front office), settlement/monitoring (mid office), accounting (back office).
- Reconciliation: physical verification; confirmations of **BRs issued by counterparty banks**; SGL balance with Public Debt Office; control of BRs issued by the bank. **BRs outstanding unduly long → written explanation from management. No BR for G-sec transactions where SGL facility exists.** Independent confirmations under SA 505; if not received, alternative procedure e.g. bank staff download holdings from **E-Kuber** (RBI's CBS) in auditor's presence.
- Securities in nominee names: transfer deeds signed + declaration that held on behalf of bank.
- Classification: entire portfolio in **HTM, HFT, AFS**; category decided **at acquisition** by competent authority (Board, ALCO, Investment Committee); **shifting AFS → HTM duly approved by the Board**.
- **NPI:** interest/principal due and unpaid for **more than 90 days** → do not reckon income + provide for depreciation.
- Income: check where income is received electronically; TDS certificates system; profit/loss on sale; disclose change in valuation method.
- Dealings for others: prior approval; income recorded; fiduciary breach liability. Separate accounts for own, PMS clients, others (incl. brokers); **PMS investments separately audited by external auditors**.
- **Half-yearly review** of portfolio (as on **30 September and 31 March**): operational aspects, policy amendments, compliance certification. Internal auditors do concurrent audit of treasury; results placed before **CMD once a month**; internal audit reports **not** sent to RBI.
- Dividend (TYK theory Q1): accrual only if declared by the company at its AGM and right to receive established (AS 9); dividend declared after year end → no accrual. Interest on G-secs/bonds with pre-determined rates → accrual if paid regularly and not in arrears; also on securities guaranteed by Central/State Government.

Examiner's twist: a long story about treasury dealers' performance, then "comment on the transfer of ₹X crore securities from AFS to HTM approved by ALCO". Score: classification at acquisition by Board/ALCO/Investment Committee, but **AFS → HTM shifting needs Board approval** — ALCO approval alone is not enough. Do not mix with the 90-day NPI rule.

9 Advances — approach and procedures

- → Third Schedule classification three ways: **nature** (CC, OD, term loans, bills purchased/discounted), **security** (tangible assets, bank/Government guarantees, unsecured), **place** (in India/outside India); in India also by **sector** (priority, public sector etc.).
- → Evidence sought: amounts outstanding at BS date; due to the bank; duly documented; **no unrecorded advances**; valuation basis appropriate and reflects recoverability; disclosure/classification per GAAP and law; adequate provisions per RBI norms, AS and GAAP.
- → IC procedures: credit appraisal; sanction within delegated authority; documentation before disbursement; terms of sanction and **end use** (term loans); existence/enforceability/valuation of securities, registration; adverse features like unauthorised over-limit drawings; review/renewal system; DP from stock/book-debt statements per sanction letter; RBI prudential norms and loan policy.
- → Substantive: verify **CBS master data** (instalments, EMI, rate, tenure); every customer tagged under a **single customer ID**; large advances fully, others on sample; obtain **SMA-1 and SMA-2 lists** to select problem accounts; accounts with adverse remarks by concurrent auditors/inspection/RBI; restructured accounts (**additional provision** required); **quick/early mortality: advance turning NPA within 12 months of sanction**; interest completeness; analytics.
- → Recovery: periodic statements, latest financial statements, security inspection reports, borrowers' auditors' reports where exposure exceeds Board cut-off.

Beyond the SM (practical): stock audit reports are the first place a branch auditor finds DP errors; the SM itself asks the auditor to read them.

10 Asset classification, income recognition, provisioning (bank)

Asked: Sep 2025 Q4(a)(i)–(ii); May 2026 MCQ Q14

- → SM sends the student to Intermediate Ch 12 for provisioning rates; this chapter gives the **audit approach**. Auditor downloads RBI Master Circular + circulars issued after it up to audit date.
- → **Norms are minimum:** where higher provision is needed because of threat to recovery, higher provision must be made.
- → **s.15 BR Act** (banking companies, nationalised banks, SBI, RRBs): no dividend until adequate provision for bad debts is made **to the auditor's satisfaction**.
- → Both SBA and SCA are responsible for confirming asset classification, income recognition and provisioning.

Situation	SM rule
CBS identification	System should identify and classify continuously **without manual intervention**; check accuracy of NPA crystallisation date; secured/unsecured portions correctly split.
NPA date	Compare NPA date with previous year; reasons for change. NPA identified on **past dues/overdue concept, not only on BS-date position**; all standard accounts reviewed as at BS date.
Regularised near BS date	Regularised by paying overdues from **genuine sources** before BS date → not NPA. If branch gave further funds (incl. subscribing to its debentures, other accounts) after repayment → examine source; inherent weakness → NPA. Bank must give satisfactory evidence to auditors.
Drawing power	Per Board-approved credit policy and sanction letter. Stock declared must not cover sundry creditors / LC or guarantee for purchases. Book debts: net of bills discounted with banks; eligible debts per sanction. Margin as stipulated. **Consortium: DP computed and allocated by lead bank binds members.** Construction: valuation of WIP consistent; **mobilisation advances from contractees deducted**. Stock audit above Board threshold — read stock auditors' remarks.
Temporary deficiencies	Not NPA merely for DP shortfall, temporary excess over limit, non-renewal on due date. But **stock statements relied on for DP not older than 3 months**; balance on DP from older statement = irregular.
Limits not reviewed	Not reviewed within **180 days** from due date / date of ad hoc sanction → **NPA**; ad hoc/short reviews must not be repeated; auditor may look at other parameters and conduct.
Borrower-wise	Classification **borrower-wise, not facility-wise**: all facilities NPA. Devolved LCs/invoked guarantees parked separately = part of borrower's principal account.
Government guarantee	Income: interest **not taken to income until realised** once NPA. Classification: **Central Govt**-guaranteed credit, though overdue, NPA only when guarantee **invoked and repudiated**. **Not for State Govt** guarantee — NPA if overdue **more than 90 days**. Central guarantee not invoked though long overdue → reasons, disclose in **LFAR**.
Agriculture	NPA norms per **crop season fixed by SLBC** (short/long duration crops); same for agricultural term loans; other agri loans like non-agri.
Standard assets	Provision on funded outstanding at **rates varying by sector** per RBI; check segregation by category at branch.
Restructuring	Concessions for economic/legal reasons of borrower's financial difficulty (instalment, period, rate, extra limit). Standard, sub-standard or doubtful accounts can be restructured; **no retrospective restructuring**. Application received = account weak → assess provision pending approval. **On restructuring, standard → sub-standard; NPAs stay in same category.**
Upgradation	Review all NPA → standard upgrades: partial recovery may wrongly upgrade without clearing overdue; recovery after cut-off date used to upgrade.

SMA/NPA dating (SM TYK 15)	Date
Due date D, not paid before day-end process for D	Overdue from **D** (not D+1)
Continuously overdue 30 days	SMA-1 on D+30 (31 Mar → 30 Apr)
60 days	SMA-2 on D+60 (→ 30 May)
90 days	NPA on D+90 (→ 29 Jun)

Examiner's twist (May 2026 MCQ, TYK 12): limit renewal due long ago, 180 days passed by 31 March, account regular and within DP, borrower's audited FS delayed (auditor died), renewal letter issued 10 April before audit report signed. Answer: **standard** — renewal after BS date reflects BS-date condition → **AS 4 adjusting event**; substance over form. Trap option: "NPA because not renewed on 31 March". **Consortium (TYK 5):** lead bank certifies "performing" but the member's own record shows interest not serviced for two quarters → each bank classifies on **its own record of recovery**; reverse interest; NPA. **TYK 1:** five regular accounts with poor loan appraisal → no change in classification (accounts performing); report appraisal weakness in **LFAR**.

11 Sale / purchase of NPAs

SM TYU 10, 14

Seller bank — check	Buyer bank — check
Board policy (assets that may be sold, norms, valuation, accounting, delegation); only NPAs that remained NPA **at least 2 years** in its books; **without recourse** (buyer takes entire credit risk); no legal/operational risk retained; **cash basis, entire consideration upfront**; never at contingent price; bank has not bought back an NPA it originally sold; removed from books on transfer. Price **below NBV** (book value less provisions) → shortfall to P&L of that year. Price **above NBV** → **excess provision not reversed**; used for shortfall/loss on sale of other NPAs.	Purchased NPAs follow provisioning for their classification status in buyer's books; all recoveries first adjusted against **cost**; only recovery above cost recognised as profit; **100% risk weight** on NPAs purchased from other banks for capital adequacy.

Examiner's twist (TYK 14): table of accounts with "FY from which NPA" and amounts; sale in April 2024 → only those NPA from before April 2022 can go; the 2022-23 account is out. A numerical MCQ will ask "amount eligible for sale" — add only accounts with 2 full years as NPA. Trap: counting by financial-year labels without checking the 2-year span at the sale date.

12 Fixed assets

- Third Schedule: **Premises** (wholly/partly owned for business incl. staff residences) and **Other fixed assets** (furniture, fixtures, vehicles, computers, office equipment). Leased and intangible assets shown separately (AS compliance).
- **s.9 BR Act:** no immovable property (however acquired, incl. in satisfaction of claims) held for more than **7 years from acquisition**, unless required for own use (incl. staff use).
- Branch auditor: title deeds at HO → **written representation from branch management**, mention to SCA in report and in **LFAR**; written representation that no immovable property other than for own use is included. Premises under construction shown separately. Revaluation basis and surplus/deficit per AS; impairment.
- Transfers between branches: accumulated depreciation also transferred. Intangibles: RBI circulars + AS 26. Leased assets: AS 19. Impairment: AS 28. Group like items — **safe deposit vaults not clubbed with office equipment or theft alarm**. HO: consolidated schedule consistent; depreciation on gross block, especially computer hardware/software.

13 Other assets

- Inter-office adjustments: reconciled centrally; report year-end status, dates up to which reconciled, number and amount of outstanding entries (debits and credits separately).
- Interest accrued: only interest **collectible in normal course** (AS 9 uncertainty principle); overdue bills purchased/discounted specially considered.
- TDS: certificates collected, originals to HO; Form 26AS vs ITR at HO.
- Stationery and stamps: only exceptional items (bulk security paper written off over a period) at cost; physical verification of security stationery; branch auditor comments on IC in LFAR.
- **Non-banking assets acquired in satisfaction of claims:** held for disposal; verify documents (agreement, court order, award); legal title; disputes → AS 29; s.9 holding period; recorded at **lower of NBV of the advance or NRV of asset acquired**.
- Others: suspense (old entries, provision/write-off), prepaid expenses, interest-free staff advances, loans to officers and relatives (**sanctioned by next higher authority**; Board informed of large/senior-officer loans), security deposits, sundry debit balances on Government account (age-wise, reasons for large variations).

SM Ch 14 Unit 1 — NPA sale, fixed and other assets

14 Capital, CRAR, stress testing, Basel III

→ **CRAR = Eligible total capital funds ÷ (Risk-weighted assets + off-balance-sheet items) × 100.** RBI: **minimum 9% on an ongoing basis.** Uniform capital adequacy method for SCBs (except RRBs) from **1992**; Master Circular on NCAF.

→ **Tier I**: mainly share capital and disclosed reserves — highest quality, fully available to cover losses. **Tier II**: certain reserves and some subordinated debt — lower loss-absorption.

→ Illus 6 risk weights: secured housing loans **up to ₹75 lakh 50%** (subject to conditions); **above ₹75 lakh 75%**; **commercial real estate 100%**. ₹60 lakh housing loan → RWA 30 lakh.

→ Stress testing: all commercial banks **except RRBs and LABs** to have Board-approved stress-testing framework (adequate capital and buffers in adverse conditions).

→ Basel accord adopted **1988** (Basel Committee of G-10). Basel III objectives: (a) improve ability to absorb shocks; (b) improve risk management and governance; (c) strengthen transparency and disclosures.

→ Capital verification: opening from last audited BS; increase in authorised capital → special resolution and MOA; paid-up → prospectus, registrar's report, bank statements, ROC returns.

→ Reserves: statutory reserve, capital reserve, share premium, revenue and other reserves (incl. investment fluctuation reserve) — opening, additions, deductions separately; check transfer of **prescribed % of profit** to statutory reserve or exemption documents; foreign branches — foreign laws.

IS Deposits, borrowings, other liabilities, contingent liabilities

- → Objective for liabilities: all known liabilities recorded and disclosed at proper amounts.
- → **CASA:** KYC on sample of accounts opened in year; **SB accounts only for individuals, HUF, specified institutions (trusts, educational) — not for business**; current accounts for all types; banks generally pay **no interest on current accounts**; debit balances in current accounts shown under **advances**, not netted; **inoperative/dormant = no transaction for over 2 years** — revival with proper authority; check withdrawals where balance fell significantly vs last year.
- → **Term deposits:** receipts serially issued and accounted; **bulk deposits (currently ₹2 crore and above for SCBs)** at correct rate; premature closure penalty deducted; RD sample.
- → **FCNR:** opened by NRIs **only as term deposits**; permissible debits/credits; converted at HO-notified rate; difference to P&L; **interest on 360-day year**. **NRE repatriable; NRO not repatriable except current income** (conditions).
- → Window dressing: OD given near BS date, parked as deposits, further advances against them → both inflated, reversed after year end → consider **qualification** in main report besides other reporting. Interest accrued but not due shown in "Other liabilities and provisions", not added to deposits.
- → Borrowings (in India from RBI, other banks, other institutions; outside India): confirmations, SA 505; **"refinance" is borrowing, "rediscount" is not**; call borrowings authorised; inter-office transactions are not borrowings; branch borrowings authorised by HO.
- → Other liabilities: bills payable controls (standard printed forms, unused forms with responsible officer, secret code, signatures checked, TT/DD confirmed immediately, debit advice by paying branch); inter-office adjustment credit balance shown here; provisions against advances/investments are deducted there, not shown here.
- → **Contingent liabilities heads:** claims not acknowledged as debts; partly paid investments; outstanding forward exchange and derivative contracts; guarantees on behalf of constituents (in/outside India); acceptances, endorsements and other obligations; other items. **Bills for collection** separately. **Lump-sum disclosure not acceptable (TYK 8).**
- → Management representations (8): all OBS transactions recorded, per procedure, documented; all contingent liabilities disclosed; no crystallised liabilities in contingents; estimates per **AS 29**; guarantees on behalf of **directors** — party's own resources, no loan to meet them, **no contravention of s.20 BR Act**; justification for non-disclosure of remote items.
- → Procedures: non-fund facilities only to regular constituents — else concurrence of existing bankers and inquiry into financial position; LC payments only on documents conforming to LC; comfort letters considered; trade-credit guarantee period matches credit period from shipment date; guarantee register — expired guarantees excluded; counter-guarantees and margins; claims → AS 29 provision. Bills for collection: **bills drawn on other branches of the bank excluded**; register; subsequent realisations; commission debited on realisation; **no income accrued on bills outstanding at BS date**.
- → Illus 5: SWIFT messages misused with collusion, never in core system, no security → thousands of crores loss → recording and disclosure of contingent liabilities matter even if they never sit on the main BS.

16 Auditor's report, LFAR, other reports SM TYU 3

- → **Nationalised bank — report to Central Government** stating: transactions within bank's powers; explanations/information obtained and satisfactory; BS full and fair, exhibits true and fair view; returns from offices/branches adequate; P&L shows true balance of profit/loss; any other matter to be brought to Central Government's notice.
- → Report format: **SA 700, 705, 706, 710, 720**. Disclose number of unaudited branches **and** their advances, deposits, interest income and interest expense.
- → Banking company: also s.143 matters. **CARO 2020 not applicable** to a banking company (s.5(c) BR Act). **Rule 11 CAAR 2014** still applies: pending litigations; foreseeable losses on long-term contracts incl. derivatives; delay in IEPF transfer; intermediary/ultimate beneficiary representations (and nothing contrary noticed); dividend compliance with s.123; **audit trail (edit log)** operated throughout year, not tampered, preserved.
- → **LFAR:** required by terms of appointment of auditors of public sector, private and foreign banks (and their branches). Branch LFAR = **questionnaire** (cash, balances with banks, investments, advances, deposits etc.) given by SBAs to SCAs → consolidated at HO → SCAs give bank LFAR to management → placed before **ACB** with action taken/proposed → copy of LFAR + agenda note with Board views/directions to **RBI within 60 days** of LFAR submission by statutory auditors.
- → Other reports: adequacy and operating effectiveness of IFC over financial reporting; LFAR; compliance with SLR; treasury operations per RBI directions.
- → **Fraud:** s.143(12) reporting to Central Government; RBI circular (committee on legal aspects of bank frauds) on professional conduct, non-disclosure of customer information, fraud reporting. Auditor **evaluates the system as a whole**, not each transaction; instance noticed in normal duties → report to **RBI and Chairman/MD/CEO** of the bank. SA 250: duty of confidentiality overridden by statute/law/courts.
- → SCA reports and certificates: reconciliation of securities (own + PMS); compliance with prudential guidelines on investment transactions; IRAC compliance; serious irregularities needing immediate attention (s.143(12)); custody of unused BR forms; CRAR and ratios in notes; Ghosh Committee (frauds) and Jilani Committee (internal control/inspection/credit) compliance; adverse credit-deposit ratio in rural areas; ALM; corporate governance (listed); interest subsidy/subvention claims.

Look-alike	Key	Trigger words → which
Main audit report	Opinion on FS; SA 700/705/706; s.143; to Central Govt for nationalised bank	"true and fair", "within powers", "unaudited branches"
Rule 11 CAAR	Specific statements even when CARO does not apply	"audit trail", "IEPF", "pending litigation"
LFAR	Questionnaire-style long report; ACB; RBI within 60 days	"appraisal weakness", "Central guarantee not invoked", "title deeds at HO"
Certificates (SCA)	Specific attestations: SLR, CRAR, BR forms, securities reconciliation, subsidy claims	"certify", "ratio", "unused forms"

SM Ch 14 Unit 1 — concurrent audit, ACB, revenue leakage

17 Concurrent audit

SM TYU 3, 7, 9

- → Examination **contemporaneous** with transactions; **not a pre-audit**; verifies authenticity in the shortest time after occurrence; like internal audit. Done by bank's own inspection staff (not in operations) or external CA firms; RBI guidelines.
- → Scope fixed uniformly for whole bank by **Central Inspection & Audit Department in consultation with ACB**; weight to high-risk, large-value transactions; detailed scope approved by ACB. Coverage of business/branches left to **Head of Internal Audit with ACB prior approval**; risk-based; random sample checks of sufficiently large samples.
- → System = part of bank's **early warning system**; bank reviews effectiveness **once a year**.
- → Areas: **cash, investments, deposits, advances, foreign exchange, housekeeping, others**. Forex: bills negotiated under LCs; FCNR/NR debits-credits; remittances; forward contract extension/cancellation authorised and charges recovered; **Nostro balances within limits**; overbought/oversold positions reasonable; dealing room per RBI/HO; Nostro/Nostro reconciliation. Housekeeping incl. **detect and prevent revenue leakage by scrutiny of income and expense accounts**; debits to income accounts authorised; staff accounts; returned cheques/bills.
- → Appointment: own staff (experienced, trained, senior, **independent of the branch**) or external — bank's discretion. **External concurrent auditor: tenure with the bank normally not more than 5 continuous years; with a branch/business unit not more than 3 years.** Serious lapses → appointment terminated, inform **RBI and ICAI**. Remuneration and terms by ACB.
- → Reporting: structured format; major deficiencies by **special note** to branch/controlling office immediately; **quarterly review to ACB**; subject-wise reporting and **annual appraisal** to ACB; discuss with branch manager before report; frauds → I&A Dept (HO), **Chief Vigilance Officer**, branch manager (if not involved).

18 Audit Committee of the Board (ACB)

- → Set up per RBI; gives directions and **oversees total audit function**; reviews internal inspection/audit (system, quality, effectiveness, follow-up); reviews **appointment and remuneration** of concurrent auditors and quality of their work; periodic meetings with concurrent and statutory auditors.

19 Revenue leakage — what to verify in advances

Asked: Sep 2025 MCQ QS (numerical)

Area (SM TYK 2 answer)	Leakage arises when
Interest rate	Rate in system differs from sanction letter; interest not applied at prescribed intervals.
Processing fee	Not charged on new sanctions and renewed limits per bank circular/manual.
Penal interest	Not charged for **non-submission of stock statements** as stipulated in CC sanction.
Export finance	**Overdue interest** on export bills purchased; packing credit for the overdue period.
LCs / guarantees	Charges/commission on LCs (and guarantees) not recovered per circular.

Examiner's twist: a numerical MCQ lists five "shortfalls" and asks the total leakage. Remove items that are **not** leakage: interest not applied on an **NPA** (income only on realisation — correct treatment); no interest on **current account** credit balances (banks generally pay none). Compute only rate difference, unrecovered fees/commission, penal and overdue interest. Read whether the rate is per annum and the period in months/days.

Examiner's twist (TYK 3, stock auditor): stock auditor certified DP ₹12.05 crore; a week later inspector finds mouldy rice worth ₹1.50 crore held for 15 months. Answer: stock auditor not diligent — role is not only counting quantities; should have opened bags on test basis; damaged stock excluded from DP; DP shown is not proper.

SM Ch 14 Unit 1 — concurrent audit, ACB, revenue leakage

Look-alike	Who / when	Distinguishing key	Trigger words → which
Statutory branch audit (SBA)	Single CA firm, year-end	Branch accounts, LFAR questionnaire to SCA	"branch return", "year-end classification"
SCA	4+ firms jointly, HO	Consolidation, IT environment, SLR/CRAR certificates, bank LFAR	"consolidation", "certificate", "odd dates"
Concurrent audit	Own staff or external; during year	Contemporaneous, early warning, tenure 5/3 years, quarterly to ACB	"soon after transaction", "special note", "revenue leakage"
RBIA	Central Audit & Inspection Dept	Business risk × control risk → risk matrix	"risk matrix", "frequency of audit"
Stock audit	Stock auditor for large CC accounts	Quantity + condition + DP computation	"godown", "DP certified"

20 NBFC — definition and principal business test

→ **s.45-I(f) RBI Act**: (i) financial institution which is a company; (ii) non-banking institution which is a company whose principal business is receiving deposits under any scheme or lending in any manner; (iii) other institutions notified by RBI with prior Central Government approval.

→ NBFC activities: loans and advances, acquisition of shares/stock/bonds/debentures/securities, leasing, hire-purchase, insurance, chit business. **Excludes** companies whose principal business is agriculture, industrial activity, purchase/sale of goods (other than securities), services, or sale/purchase/construction of immovable property. Residuary NBC: principal business receiving deposits.

→ **Principal business (both tests, from last audited BS)**: financial assets **> 50% of total assets (netted off by intangible assets)** AND income from financial assets **> 50% of gross income**. One test alone → not NBFC (Satyam Pvt Ltd: assets test met, trading income majority → not NBFC). Singh Ltd: financial assets 374 / (620 − 12 = 608) and income 68 / 118.75 → both > 50% → apply for CoR.

21 Registration, NOF

Asked: Jan 2026 MCQ Q7

→ **s.45-IA**: no NBFI business without (a) **CoR from RBI** and (b) NOF of **₹25 lakh** or such other amount **not exceeding ₹100 crore** as RBI notifies (different amounts for different categories allowed).

→ New applicants: minimum NOF **₹10 crore** (earlier ₹2 crore); ₹2 crore continues for **NBFC-P2P, NBFC-AA, NBFCs without public funds and without customer interface; NBFC-IFC and IDF-NBFC ₹300 crore**.

Existing NBFC	Current NOF	By 31 March 2025	By 31 March 2027
NBFC-ICC	₹2 crore	₹5 crore	₹10 crore
NBFC-MFI	₹5 crore (NE region ₹2 crore)	₹7 crore (NE ₹5 crore)	₹10 crore
NBFC-Factor	₹5 crore	₹7 crore	₹10 crore

→ Post 9 January 1997 NBFCs cannot commence business without CoR → auditor obtains copy of CoR or application form; checks dual requirement (registration + NOF).

→ **Exempt from registration** (regulated elsewhere): housing finance institutions (NHB), merchant banking cos, stock exchanges, stock-broking/sub-broking cos, venture capital fund cos (SEBI); Nidhi cos (MCA); insurance cos (IRDA); chit cos (Chit Funds Act 1982 s.2(b)); notified microfinance cos; securitisation and reconstruction cos; mutual benefit cos; core investment cos; AIF cos. **CICs with assets below ₹100 crore, and those ₹100 crore+ not accessing public funds**, exempt.

SM Ch 14 Unit 2 — NBFC definition, registration, SBR

22 Scale-based regulation (announced 22 Oct 2021, effective 1 Oct 2022)

Layer	Who (SM)
Base (NBFC-BL)	Non-deposit NBFCs with assets **below ₹1,000 crore**; **always**: NBFC-P2P, NBFC-AA, NOFHC, NBFCs without public funds and customer interface.
Middle (NBFC-ML)	**All deposit-taking NBFCs irrespective of size**; non-deposit NBFCs with assets **₹1,000 crore and above**; SPDs, IDF-NBFCs, CICs, HFCs, NBFC-IFCs. **SPD and IDF-NBFC always Middle.** NBFC-D, CIC, IFC, HFC → Middle or Upper, **never Base**.
Upper (NBFC-UL)	Specifically identified by RBI (parameters + scoring); **top ten eligible NBFCs by asset size always Upper**.
Top (NBFC-TL)	Ideally **empty**; RBI may move an Upper Layer NBFC if systemic risk increases substantially.

- → ICC, MFI, Factor, Mortgage Guarantee Cos → any layer per SBR parameters. **Government-owned NBFCs → Base or Middle; not Upper** until further notice.
- → From 1 Oct 2022: references to NBFC-ND → NBFC-BL; NBFC-D and NBFC-ND-SI → NBFC-ML or UL. Existing NBFC-ND-SI with assets **₹500 crore to below ₹1,000 crore** (other than those in Middle) → NBFC-BL.
- → TYK: P2P platform → **Base**. Sugam Housing Finance (₹800 crore, not identified Upper) → **Middle** (asset size irrelevant for HFC); CARO 3(xvi)(b) reporting on housing finance activity without valid CoR.
- → **Bank vs NBFC (4):** NBFC cannot accept demand deposits (some accept term deposits); not part of payment and settlement system, cannot issue cheques drawn on itself; **no DICGC deposit insurance**; no minimum priority-sector requirement.

Examiner's twist: case gives a ₹350 crore NBFC taking public deposits and a ₹1,200 crore HFC "not identified by RBI", and asks the layer of the smaller one. Size test (₹1,000 crore) applies only to non-deposit, non-specified NBFCs; **deposit-taking → Middle regardless of size**; HFC → Middle unless identified Upper.

23 Capital requirements

Asked: Sep 2025 MCQ Q6

- → Scale Based Regulation Directions 2023: minimum capital ratio (Tier 1 + Tier 2) **not less than 15%** of aggregate risk-weighted assets on BS and risk-adjusted value of off-BS items. **Tier 1 not less than 10% at any time** (except NBFC-MFI and NBFCs primarily in gold-jewellery loans).
- → Gold-jewellery lenders (such loans **50% or more** of financial assets): **Tier 1 at least 12%**.
- → Tier 1 (non-BL): owned fund less investments in shares of other NBFCs and shares/debentures/bonds/loans/deposits with subsidiaries and group companies **in excess of 10% of owned fund**; plus perpetual debt instruments issued by non-deposit NBFCs each year up to **15% of total Tier 1 as on 31 March of previous year**. **NBFC-BL cannot include perpetual debt in Tier 1 or Tier 2.**
- → Tier 2: preference shares other than those convertible into equity; **revaluation reserves at 55% discount**; general provisions (incl. standard asset provision) and loss reserves not attributable to specific assets, up to **1.25% of risk-weighted assets**; hybrid debt; subordinated debt; excess perpetual debt — total Tier 2 not exceeding Tier 1.

Risk weight (SM table, clear items)	%
Cash and bank balances incl. FDs and CDs with banks; approved securities; TDS, advance tax (net); interest due on G-secs; claims on Central Govt; direct exposure to State Govt securities; Central Govt-guaranteed claims; loans fully secured against deposits held; loans to staff	0
Bonds of public sector banks; State Govt-guaranteed claims not in default (or in default up to 90 days)	20
Assets covering PPP and post-COD infrastructure projects in commercial operation for over one year	50
FDs/CDs/bonds of public financial institutions; shares, debentures, bonds, CPs of all companies and MF units; stock on hire (NBV); ICDs; other secured loans considered good; bills purchased/discounted; leased assets, premises, furniture (net); other assets; State Govt-guaranteed claims in default over 90 days	100
Consumer credit (excluding housing, education, vehicle, gold-jewellery and microfinance/SHG loans); credit card receivables	125

Value of each asset × risk weight; **gross values** used for minimum capital ratio.

24 Income recognition, classification, provisioning

Asked: Jan 2026 MCQ Q8; May 2026 Q3(a)

→ Income on NPAs (interest, discount, hire charges, lease rentals, other charges) recognised **only when actually realised**; income recognised before the asset became NPA and remaining unrealised **reversed**. Classification and provisioning norms below apply to every applicable NBFC **except NBFC-MFIs**.

→ Classes: standard, sub-standard, doubtful, loss. **No upgrade merely on rescheduling** unless upgrade conditions met.

→ **NPA**: interest overdue / term loan instalment / demand or call loan / bill / other current assets / dues from sale of assets or services / lease rental and HP instalment overdue for **more than 180 days** (adjusted by glide path); all facilities of the same borrower NPA when one is NPA. Lease/HP accounts classified on **record of recovery**.

NPA glide path (SM)	Norm
By 31 March 2024	> 150 days overdue
By 31 March 2025	> 120 days overdue
By 31 March 2026	> 90 days overdue

Glide path does not apply to NBFCs already required to follow 90 days.

Class	NBFC-BL	NBFC-ML and above	Provision (SM)
Sub-standard	NPA up to 18 months	NPA up to 12 months	**10%** of total outstanding (general provision). Also renegotiated/rescheduled/restructured assets until **one year** of satisfactory performance.
Doubtful	Sub-standard for more than 18 months	Sub-standard for more than 12 months	**Unsecured portion (not covered by realisable security with valid recourse) 100%** + secured portion: up to 1 year **20%**; 1–3 years **30%**; above 3 years **50%**
Loss	Identified by NBFC, its internal/external auditor or RBI inspection, not written off; or non-recoverable owing to erosion of security, no security, fraud/omission of borrower		Write off; if retained, **100%** of outstanding
Standard	No default; no problem; no more than normal business risk		**NBFC-BL 0.25%**; NBFC (not UL) **0.40%** of outstanding — not reckoned for net NPA; shown as "Contingent provisions against standard assets", not deducted from advances

Examiner's twist (Jan 2026 MCQ type): outstanding ₹3.8 crore, realisable security ₹2.2 crore, NBFC-ML, NPA since a date that makes it doubtful < 1 year → 1.6 × 100% + 2.2 × 20% = **₹2.04 crore**. Traps: using BL's 18-month cut-off for an ML company (would leave it sub-standard at 10% = ₹0.38 crore); applying % to the whole outstanding; using bank rules. **May 2026:** management "watch-list" or rescheduling cannot override the overdue-based classification; income on NPA only on realisation.

SM Ch 14 Unit 2 — audit procedures, frauds, checklist

25 NBFC audit procedures

1. **Ascertain the business** — first step: study MOA/AOA (objects wide), business policy, Board/committee minutes, discuss with top management; corroborate independently with financial results. Principal business decides classification and **public deposit limits**.
2. **Evaluate internal control** — especially **effectiveness of recovery system** and periodic review of advances (absence → NPAs rise to alarming levels).
3. **Registration with RBI** — s.45-IA; CoR copy or application; post 9.1.1997 no business without CoR; NOF. Public-deposit NBFCs invest a prescribed % in **liquid assets**; **quarterly return** signed by an officer within prescribed time.
4. **Public Deposit Directions 2016** — correct classification; ceiling on public deposits linked to **credit rating** by approved CRA; on rating change, deposits adjusted within time and RBI informed in writing. **Downgrade below minimum investment grade** (ICC or Factor): (a) stop accepting new and renewing deposits immediately; (b) existing deposits run off to maturity; (c) report to RBI Regional Office within **15 working days**; no renewal without depositor's express voluntary consent. Check interest not above ceiling; brokerage/commission/reimbursement within limits; written application in company's form with all particulars (depositor category — shareholder, director, promoter, public); deposit register and receipts; repayment on due dates and reasons for defaults; **liquid-asset securities kept in safe custody with the designated scheduled commercial bank** and certificate; returns filed in time; non-acceptance → **Board resolution** that it neither accepted nor will accept public deposits; group holding investment cos → Board resolution naming group companies, will not trade in them, no public deposits.
5. **Prudential norms** — income recognition, income from investments, AS, accounting for investments, classification, provisioning, capital adequacy, **no loans against own shares**, concentration norms; Board policy for demand/call loans; NPA income only on realisation (not accrual); last year's NPAs still NPA unless regularised per directions.

26 Frauds in NBFCs (classification for uniform reporting, based on IPC)

→ (a) misappropriation and criminal breach of trust; (b) fraudulent encashment through forged instruments, manipulation of books, fictitious accounts, conversion of property; (c) unauthorised credit facilities for reward or illegal gratification; (d) negligence and cash shortages; (e) cheating and forgery; (f) irregularities in foreign exchange transactions; (g) any other type.

→ (d) and (f) reported as fraud if fraudulent intention suspected/proved. Even **without suspected intent**, report as fraud: cash shortage **more than ₹10,000**; cash shortage **more than ₹5,000** detected by management/auditor/inspecting officer and **not reported on occurrence** by the persons handling cash. NBFCs with overseas branches report frauds there too (Master Direction – Monitoring of Frauds in NBFCs 2016).

SM Ch 14 Unit 2 — audit procedures, frauds, checklist

27 Audit checklist (example: NBFC-ICC)

→ Physically verify shares and securities; certificate where lodged with bank/institution; depository confirmation; confirmation from approved intermediary for securities lent/borrowed; same type securities returned with all corporate benefits; fees on securities lending verified.

→ No loans against security of own shares. **Dividend income on shares and MF units on cash basis**; accrual option only when declared at AGM and right to receive established. Interest on corporate bonds/debentures with pre-determined rate paid on time and not in arrears → accrual **required**.

→ Broker's notes vs stock-exchange quotations; Board minutes for purchase/sale; current vs long-term classification by Board resolution or management certificate; valuation per prudential norms, provision for decline in market value; investments in subsidiaries/group cos and basis of price; **unquoted debentures/bonds treated as term loans/credit facilities** for income recognition and classification; AS 13.

→ Loans: proper sanction and terms; agreements and collateral; net worth of borrower/guarantor; confirmations; bill discounting records; single/group borrower exposure limits; appraisal and follow-up system; recovery trends; classification and provisioning adequacy. (Checklist illustrative, not exhaustive.)

Examiner's twist: "Approved securities of a deposit-taking NBFC are kept in the company's own strong room, certified by its CFO" → wrong: must be in safe custody with the **designated scheduled commercial bank** (Jan 2026 MCQ). P2P twist: platform must not lend on its own; verify CoR, Board policies on participant eligibility, pricing, grievances, arrangements, RBI reporting.

28 NBFC auditor's reporting — RBI Directions

→ **s.45MA RBI Act** (from 13.12.1974): auditors of NBFCs or other non-banking cos accepting public deposits inquire whether deposit particulars were furnished to RBI under Chapter IIIB; if not satisfied, report to RBI the aggregate deposits; also include that report in the s.143 report.

→ **NBFC Auditor's Report (Reserve Bank) Directions 2016** — apply to every auditor of an NBFC (s.45-I(f)); **additional/separate report to the Board of Directors**, besides s.143 report (and besides CARO).

Group	Applies to	Statements (SM)	Trigger words → which
A	All NBFCs	(I) engaged in NBFI business and meeting principal business criteria (RBI press release 8 April 1999) — has it obtained CoR (business without CoR is an offence under Chapter V); (II) holder of CoR — entitled to continue as per principal business criteria on 31 March of the year; (III) meets required NOF	"CoR", "50% test", "NOF"
B	Accepting/holding public deposits	Deposits (incl. unsecured NCDs to public, shareholder deposits of public company) within limits; excess regularised; no deposits without minimum investment grade rating; CRAR in return correctly determined and meets minimum; rating effective and deposits within CRA limit; no violation of restrictions; defaults in repaying interest/principal; prudential norms (income, AS, classification, provisioning, concentration); liquid assets (s.45-IB) and designated bank details intimated (NBS 3); return on deposits (DNBS 01) and quarterly prudential return in time; branches/agents per directions	"public deposits", "rating", "liquid assets", "DNBS 01"
C	Not accepting public deposits	Board resolution for non-acceptance; any deposit accepted in the year; prudential norms complied; CRAR in **NBS-7** correctly computed and meets minimum; NBS-7 annual statement filed in time; correctly classified as **NBFC-MFI**	"Board resolution", "NBS-7", "MFI"
D	Engaged in NBFI business but not requiring CoR (specific RBI advice)	Company complies with conditions stipulated in RBI's advice	"RBI advised CoR not needed"

→ **Reasons** must be stated for any adverse or qualified statement; if unable to express an opinion on any item, say so with reasons.

→ **Exception report to RBI:** where a statement is unfavourable/qualified or auditor believes non-compliance with Chapter IIIB of RBI Act, Public Deposit Directions 2016, or SBR Directions 2023 → report to the concerned Regional Office of the Department of Non-Banking Supervision of RBI (First Schedule of Public Deposit Directions), where the registered office is. **Report only contraventions — no statement on compliance.**

→ **Statutory Auditor Certificate (SAC):** every NBFC submits auditor's certificate that it is engaged in NBFI business requiring CoR and is eligible to hold it, with reference to position at end of financial year (March), to the Regional Office of DNBS — format in Master Direction – NBFC Returns (Reserve Bank) Directions 2016. SM text: filed **within one month of finalisation of the balance sheet and in any case before 30 December** of that year.

→ **CARO 2020: 3(iii)** investments, guarantees, security, loans — terms not prejudicial; repayment schedule and regularity; amount **overdue more than 90 days** and steps taken; loans repayable on demand or without terms — aggregate, % of total loans, to promoters/related parties (s.2(76)). **3(xvi)** (a) registration under s.45-IA required and obtained; (b) NBFI or **housing finance** activities without valid CoR; (c) CIC — continues to fulfil criteria (also exempt/unregistered CIC); (d) number of CICs in the group.

Examiner's twist (TYK Abhimanyu Finance): long story about loan growth since 2015, NOF ₹1.5 crore, applied for CoR only at year end; ask is "CARO reporting". Score: **3(xvi)** — registration required? obtained? if not, reasons; NOF below required; NBFI business without CoR. Do not drift into Board-report items (that is a different report).

29 Ind AS and Division III

→ NBFCs follow Ind AS per Rule 4(1)(iv) Companies (Ind AS) Rules 2015 (amended 2023). **Division III of Schedule III** introduced by MCA notification **11 October 2018** for Ind AS NBFCs.

→ Division III vs Division II: (a) BS items may be presented **in order of liquidity**; (b) separate note for any item of "other income"/"other expenses" **exceeding 1% of total income** (Division II: 1% of revenue from operations or ₹10 lakh, whichever higher); (c) receivables from LLPs in which director is partner/member disclosed separately; (d) **revenue from operations and OCI items on the face** of the statement of P&L, not only in notes; (e) trade receivables with significant increase in credit risk and credit-impaired separately; (f) restrictions on distribution of statutory reserves in notes.

→ TYK 3: total income ₹10,000 crore → threshold ₹100 crore; labour outsourcing ₹99.50 crore → **no separate disclosure needed**.

Look-alike reports for an NBFC auditor	Addressee	Key
s.143 report + CARO 3(iii), 3(xvi)	Members	Opinion; registration/CIC/overdue > 90 days loans
Additional report (A–D)	Board of Directors	CoR, NOF, deposits, CRAR, prudential norms, NBS-7
Exception report	RBI Regional Office (DNBS)	Only contraventions; no compliance statement
s.45SMA report	RBI (and included in s.143 report)	Deposit particulars not furnished → aggregate deposits
SAC	RBI Regional Office (DNBS)	Eligibility to hold CoR at year end

01 Ch 01 — Quality Control

Asked: Sep 2025 Q1(a) EQCR must be suitably experienced and must document the review (5 m) · Jan 2026 Q1(c) leadership responsibilities, three considerations (4 m) · May 2026 MCQ CS-1 Q1 EQCR objective evaluation (2 m) · Nov 2024 Q1(a) monitoring factors (5 m) · MTP Nov 2026 EQCR and dating of report (5 m)

Two standards, two levels

- → **SQC 1** = quality at the level of the **firm**; applies to **all** engagements (audits, reviews of historical financial information, other assurance and **related services**) and to all firms irrespective of constitution. Responsibility: **CEO / managing partners**.
- → **SA 220** = quality at the level of the **individual audit engagement**; audits only. Responsibility: **engagement partner**. SA 220 is premised on the firm being subject to SQC 1 (SQC 1 is a sine qua non); engagement teams are entitled to rely on the firm's system unless information from the firm or others suggests otherwise.
- → Other facilitators: other SAs, Code of Ethics, certain provisions of the Companies Act, 2013. Review mechanisms: **Peer Review Board, Quality Review Board, NFRA**.
- → SQC 1 objective: reasonable assurance that (i) firm and personnel comply with professional standards and regulatory and legal requirements and (ii) reports issued by the firm or engagement partners are appropriate in the circumstances.

This SM covers SQC 1 and SA 220 only. SQM 1 components are not in the SM: answer every "elements" question with the six SQC 1 elements below.

SQC 1 — six elements

Asked: Jan 2026 Q1(c)

1. Leadership responsibilities for quality within the firm
2. Ethical requirements
3. Acceptance and continuance of client relationships and specific engagements
4. Human resources
5. Engagement performance
6. Monitoring

- → Policies and procedures are **documented and communicated** to personnel; the firm encourages personnel to communicate their views or concerns on quality control matters (feedback).

2.1.1 Leadership responsibilities for quality

Asked: Jan 2026 Q1(c)

- → Internal culture that quality is essential. **CEO or managing partners assume ultimate responsibility** for the system of quality control.
- → Persons given **operational responsibility** by the CEO/managing partners: **sufficient and appropriate experience, ability, and the necessary authority**.
- → Business strategy is subject to the **overriding requirement to achieve quality in all engagements**. Ensure: (a) management responsibilities assigned so that **commercial considerations do not override quality**; (b) policies on **performance evaluation, compensation and promotion (including incentive systems)** demonstrate the overriding commitment to quality; (c) **sufficient resources** for development, documentation and support of QC policies.

Examiner's twist: *The story is about an expanding firm (partner good at bringing clients but weak on quality oversight; incentives on revenue; resources spent on marketing) and asks "which element?". Answer* ***Leadership responsibilities****, not Human resources, even though incentives and promotions appear: the SM places incentive systems under consideration (b) of leadership. The scoring line: "the firm's business strategy is subject to the overriding requirement to achieve quality in all engagements", then (a), (b), (c). TYK 1 (managing partner pushing a client who offers 25% higher fee, regulatory inquiries, auditor resigned) = same element plus integrity of client.*

2.1.2 Ethical requirements and independence

- *Fundamental principles: integrity, objectivity, professional competence and due care, confidentiality, professional behaviour. Emphasised by: actions of leadership, awareness and training, monitoring, a process for dealing with non-compliance.*
- *Independence policies (firm, personnel, experts contracted by the firm, network firm personnel) enable the firm to: (a)* ***communicate*** *independence requirements to personnel; (b)* ***identify and evaluate*** *threats and eliminate or reduce them by safeguards, or withdraw.*
- *Engagement partners give the firm client information; personnel promptly notify threats; all breaches promptly notified.*
- ***At least annually****: written confirmation of compliance with independence policies from all personnel required to be independent.*
- ***Familiarity threat****: criteria consider (a) nature of engagement, including public interest and (b) length of service of senior personnel. Safeguards:* ***rotation*** *of senior personnel or* ***EQCR****. Listed entity audits: engagement partner rotated after a pre-defined period,* ***normally not more than seven years****, except where the listed audit is conducted by a* ***sole practitioner*** *(mandatory peer review of such firms instead).*

Examiner's twist: *TYK 2 — a paid CA on a bank stock audit promises a clean stock report in return for the statutory audit. Asked "how does it reflect on the QC system?": QC policies must be documented and* ***communicated*** *to personnel; personnel are not sensitised to SQC 1. Do not stop at "violates the Code".*

2.1.3 Acceptance and continuance

- → Information decides three things: **integrity** of client, promoters, KMP; **competence** (capabilities, time, resources); **compliance with ethical requirements**.
- → Obtain information at three points: new client; continuing an existing engagement; new engagement with an existing client. Issues identified but client accepted → **document how the issues were resolved**.
- → **Integrity matters** (7): identity and business reputation of principal owners, key management, related parties, TCWG · nature of operations and business practices · attitude to aggressive interpretation of accounting standards and internal control environment · client aggressively concerned with keeping fees as low as possible · indications of inappropriate scope limitation · indications of money laundering or other criminal activities · reasons for proposed appointment and non-reappointment of previous firm. Knowledge grows with an ongoing relationship.
- → **Capability matters** (6): industry/subject knowledge · experience of regulatory or reporting requirements (or ability to gain it) · sufficient personnel · experts available · individuals eligible for EQCR available · ability to meet the reporting deadline.
- → Conflict of interest resolved **before** accepting.
- → Information that would have caused the firm to decline, obtained later → consider (a) professional and legal responsibilities, including reporting to the appointing person(s) or regulators; (b) possibility of withdrawing from the engagement or from both engagement and client relationship.
- → **Withdrawal policies** (4): discuss with appropriate level of management and TCWG the appropriate action · if withdrawing, discuss withdrawal and reasons · consider professional, regulatory or legal requirement to remain in place, or to report the withdrawal and reasons to regulators · document significant issues, consultations, conclusions and basis.

2.1.4 Human resources

- → Sufficient personnel with capabilities, competence and commitment to ethical principles. Covers recruitment, compensation, training, career development, performance evaluation; emphasis on CPD.
- → Each engagement assigned to an **engagement partner**. Policies require: (a) identity and role of EP communicated to key members of client management and TCWG; (b) EP has appropriate capabilities, competence, authority and time; (c) EP's responsibilities clearly defined and communicated to the EP.

2.1.5 Engagement performance — consultation, EQCR, differences

Asked: Sep 2025 Q1(a); May 2026 MCQ

- → Consistency through briefing teams, processes for complying with standards, supervision and training, methods of review, documentation.
- → **Consultation** on difficult or contentious matters, with people within or outside the firm with specialised expertise; a firm without internal resources may use advisory services of other firms or professional and regulatory bodies; document issues and results.
- → **EQCR**: significant judgments reviewed for an objective view **before the report is issued**. Extent depends on complexity and risk of an inappropriate report. **Does not reduce the engagement partner's responsibility. Mandatory for all audits of financial statements of listed entities**; for others the firm devises criteria.
- → **EQCR for listed audits (SQC 1, 8 points):** team's evaluation of firm's independence · significant risks and responses · judgments, particularly materiality and significant risks · appropriate consultation on differences of opinion / contentious matters and conclusions · significance and disposition of corrected and uncorrected misstatements · matters to be communicated to management, TCWG and, where applicable, regulators · whether working papers selected reflect work on significant judgments and support conclusions · appropriateness of the report to be issued.
- → **Who can be EQCR:** a partner, other person in the firm (**member of ICAI**), suitably qualified external person (e.g. partner or experienced employee of another firm), or a team of such individuals. For listed audits: **sufficient and appropriate experience and authority to act as audit engagement partner on listed entity audits**.
- → **Objectivity:** EQCR must not participate in the engagement or make decisions for the team. EP **may consult** the EQCR during the engagement without compromising eligibility; if consultations become significant and objectivity cannot be kept, another individual within the firm or a suitably qualified external person takes the role of EQCR or of the person consulted. Firm policies provide for **replacement** of an EQCR whose objectivity may be impaired.
- → **Differences of opinion** (within team, with those consulted, EP vs EQCR): report issued **only after resolution**. EP rejects EQCR's recommendation → firm's established procedures, e.g. consult another practitioner or firm, or a professional or regulatory body.

Examiner's twist: (1) TYK 4 — team got an ICAI expert opinion, so "EQCR lost relevance": wrong; the expert opinion addresses interpretation, EQCR is a separate mandatory requirement for listed audits. (2) Sep 2025 — a person with no listed-audit experience "signs a few working papers": fails both eligibility (experience and authority to act as EP on listed audits) and the documentation requirement. (3) EQCR "decides the discount rate" for the team: objectivity lost, replace.

Engagement documentation — assembly, ownership, retention

- → **Assembly**: complete final engagement files on a timely basis after reports are finalised — **not more than 60 days after the date of the auditor's report** for audits; other engagements: limits appropriate to the engagement. Two or more reports on the same subject matter (e.g. component report for group consolidation, later statutory report) → time limit applied to **each report as a separate engagement**.
- → Policies maintain **confidentiality, safe custody, integrity, accessibility and retrievability**.
- → **EQCR documentation (SQC 1):** (a) firm's EQCR procedures performed; (b) EQCR completed before the report is issued; (c) reviewer not aware of unresolved matters making significant judgments/conclusions inappropriate.
- → **Ownership:** documentation is the **property of the firm** unless law or regulation says otherwise; extracts may be given to clients if this does not undermine validity of the work or independence.
- → **Retention:** long enough for monitoring, or longer if law requires. Audits: **ordinarily no shorter than seven years from the date of the auditor's report, or, if later, the date of the group auditor's report**.
- → Scanned paper documents (TYK answer 9): copies reflect entire content including **manual signatures, cross-references and annotations**; integrated into files with indexing and sign-off; retrievable and printable. Working papers should show the **source** (client-prepared vs team-prepared).

Number	What it is	Counted from	Trigger words → which one is asked
60 days	Assembly of final audit file	Date of auditor's report	"file completed", "Ramanujan says file must be ready before report" (wrong: assembly is after)
7 years (retention)	Minimum retention of audit documentation	Auditor's report or, if later, group auditor's report	"destroy old files", "storage cost", "component of a group"
7 years (rotation)	Normal maximum period before rotating EP on listed audit	Length of service on the engagement	"same partner since …", "familiarity", "listed"; sole practitioner = exception
At least annually	Written independence confirmation from personnel	—	"confirmation obtained once in two years"

2.1.6 Monitoring

Asked: Nov 2024 Q1(a)

- → Policies are **relevant, adequate, operating effectively and complied with in practice**; include an **ongoing consideration and evaluation** of the system, including a **periodic inspection of a selection of completed engagements**.
- → Factors (6): whether the QC system is appropriately **designed and effectively implemented** · whether **new developments** in professional standards and legal/regulatory requirements are reflected · monitoring entrusted to a **partner or other person with sufficient and appropriate experience and authority** · dealing with **complaints and allegations** of non-compliance (from within or outside the firm) · **remedial action** against personnel who did not conform · action when **deficiencies** in design/operation or non-compliance are identified.

SA 220 — objective and the six matters

Asked: Sep 2025 Q1(a); MTP Nov 2026

- Objective: QC procedures at engagement level giving reasonable assurance that (a) the audit complies with professional standards and regulatory and legal requirements; (b) the auditor's report is appropriate. TYK 5: CARO clause vii(a) reported as "generally regular" → not qualitative, audit does not comply with regulatory and legal requirements → breaches SA 220 objective.
- **3.1 Leadership on audits:** EP takes responsibility for overall quality on each audit; emphasises (a) importance of (i) complying with standards and law, (ii) complying with firm's QC policies, (iii) issuing appropriate reports, (iv) team's ability to **raise concerns without fear of reprisals**; (b) quality is essential.
- **3.2 Ethical:** identify a threat to independence that safeguards may not reduce; **report to relevant persons within the firm** for action — eliminate the activity/interest or withdraw where legally permitted. EP forms a conclusion on compliance with independence, using information from the firm and network firms.
- **3.3 Acceptance/continuance:** on SQC 1 lines plus **significant matters arising in the current or previous engagement** and their implications.
- **3.4 Assignment of engagement teams:** team and any **auditor's experts not part of the team** collectively have appropriate competence and capabilities.
- **3.5 Engagement performance:** EP responsible for direction, supervision, performance; appropriate report; **review of audit documentation before the report**; sufficient appropriate evidence; consultation on difficult or contentious matters.
- **3.6 EQCR — EP shall:** (a) determine that an EQCR has been appointed; (b) discuss significant matters, including those identified in the EQCR, with the reviewer; (c) **not date the auditor's report until completion of the EQCR**.
- **EQCR evaluation (all EQCRs):** (a) discussion of significant matters with EP; (b) review of FS and proposed report; (c) review of selected documentation on significant judgments; (d) evaluation of conclusions and appropriateness of proposed report. **Listed — also:** (a) team's evaluation of firm's independence; (b) appropriate consultation on differences/contentious matters; (c) documentation selected reflects work on significant judgments.
- Differences of opinion: team follows firm's policies for resolving them.
- **3.7 Monitoring:** EP considers results of the firm's monitoring as shown in the latest information circulated by the firm (and network firms), and whether deficiencies may affect the audit.
- **3.8 Documentation — EP:** (a) ethical issues and how resolved; (b) conclusions on independence and supporting discussions; (c) conclusions on acceptance/continuance; (d) nature, scope and conclusions of consultations. **EQCR documents:** (a) firm's EQCR procedures performed; (b) EQCR completed **on or before the date of the auditor's report**; (c) not aware of unresolved matters.

Examiner's twist: Fieldwork done, EP review done, report dated 15 May, EQCR completed 18 May (TYK 10; MTP Nov 2026 has 25 May vs 28 May). The story stresses "sufficient evidence already obtained". The scoring line: EP shall **not date the report until completion of the EQCR**; SA 700 dates the report not earlier than the date of sufficient appropriate evidence, and for listed audits the EQCR **assists in determining** whether that evidence has been obtained. Matters from EQCR "considered subsequently" is not allowed — they must be resolved on or before the report date.

SQC 1 element (firm)	SA 220 matter (engagement partner)	Key difference	Trigger words → which one is asked
Leadership responsibilities for quality ***within the firm***	*Leadership responsibilities for quality* ***on audits***	*CEO/MP culture and strategy vs EP's messages to the team (raise concerns without reprisals)*	*"CEO", "incentive", "business strategy" → SQC 1; "engagement partner told the team" → SA 220*
Ethical requirements	*Relevant ethical requirements*	*Firm policies, annual confirmation, rotation vs EP identifies threat and reports within firm*	*"all personnel", "annually" → SQC 1; "this audit", "EP learns of a threat" → SA 220*
Acceptance and continuance of client relationships and ***specific engagements***	*Acceptance and continuance of client relationships and* ***audit engagements***	*SA 220 adds significant matters from current/previous audit*	*"new client", "money laundering" → SQC 1 integrity list*
Human resources	***Assignment of engagement teams***	*Firm-wide HR vs team + auditor's experts collectively competent*	*"recruitment, training, CPD" → HR; "team lacks IT/valuation skill on this audit" → assignment*
Engagement performance	*Engagement performance (+ EQCR)*	*Firm policies on consultation, EQCR criteria, 60 days, 7 years vs EP's direction, supervision, review, dating*	*"file", "retention" → SQC 1; "dated the report" → SA 220*
Monitoring	*Monitoring*	*Firm inspects completed engagements vs EP considers firm's monitoring results*	*"periodic inspection", "complaints" → SQC 1; "latest circular of the firm" → SA 220*

SQC 1 vs SA 220 — nature, scope, applicability

Point	SQC 1	SA 220
Applies to	*Entire firm; responsibility on CEO / managing partners*	*A particular audit engagement; engagement partner*
Engagements	*Audits, reviews of historical financial information, other assurance and related services (TYK: compilation for Beta Pvt Ltd → related service → SQC 1 applies)*	*Audit engagements only*
Content	*Setting up the QC system of policies and procedures*	*Engagement team implements QC procedures for the audit*
Relationship	*Base system*	*Premised on firm being subject to SQC 1*

EQCR — the three look-alike lists

List	Contents	Trigger words → which one is asked
SQC 1: EQCR for listed audits "includes considering" (8)	*Independence evaluation, significant risks + responses, materiality judgments, consultation, corrected/uncorrected misstatements, matters to communicate (incl. regulators), working papers, appropriateness of report*	*"as per SQC 1", "aspects to be looked into by the EQCR" (TYK 8 answer uses the SA 220 listed list — either earns marks if the standard is named)*
SA 220: evaluation by any EQCR (4)	*Discuss with EP; review FS and proposed report; review selected documentation; evaluate conclusions and report*	*"what does the evaluation involve"*
SA 220: listed — "shall also consider" (3)	*Independence evaluation; consultation; documentation reflects significant judgments*	*"listed", "additionally"*

5. Mechanisms for review of quality

Body	Set up by / basis	Role as per SM	Trigger words
Peer Review Board	Council of ICAI	Ensure members comply with technical, professional, ethical standards incl. regulatory requirements; proper systems incl. documentation. Reviews systems and procedures of the **Practice Unit** for the peer review period. Unqualified report → **peer review certificate**; qualified → informed certificate cannot be issued, reasons, and due date of **follow-on review**	"Practice Unit", "certificate", "sole practitioner auditing a listed entity"
Quality Review Board	Central Government; members nominated by Central Government and ICAI Council	(a) recommendations to Council on quality of services; (b) review quality of services incl. audit; (c) guide members to improve quality. Auditors selected on **risk-based approach**; technical reviewers empanelled on engagement basis. Covers entities **other than Rule 3 of NFRA Rules, 2018** and those referred to QRB by NFRA	"unlisted company", "technical reviewer"
NFRA	Section 132(1), Companies Act 2013	Monitor and enforce compliance with accounting and auditing standards, oversee quality of service — s.132(2); investigation — s.132(4) of auditors of listed, insurance, banking and other companies under Rule 3 of NFRA Rules, 2018	"listed company audit quality", "investigation"

Examiner's twist: A case about a listed company's audit quality, asking "which body reviews?" → NFRA (listed falls under Rule 3); QRB can review only entities outside Rule 3 or those referred by NFRA. A sole practitioner auditing a listed entity → no rotation, but mandatory peer review.

Beyond the SM (practical): firms usually run a pre-issuance checklist that matches the auditor's report with the FS (profit vs loss, cash flow statement exempt for small company), the very lapses in CA Jagriti's opening case.

02 Ch 02 — General Auditing Principles and Auditor's Responsibilities

Asked: Sep 2025 Q2(a) SA 250 two categories, Fire NOC (5 m) · Sep 2025 MCQ SA 299 joint auditor (2 m) · Jan 2026 Q5(b) SA 240 fraud risk factors (5 m) · Jan 2026 Q6(c) OR SA 240 withdrawal (4 m) · May 2026 Q2(a) SA 260 significant findings (5 m) · May 2026 MCQs SA 250 other laws, SA 402 Type 2 reference · May 2025 Q6(a) SA 402 Type 1/2 · MTP Jan 2026 SA 299 allocation

SA 200 / 210 / 230 — what this SM gives you

- → SA 200: overall responsibilities; plan and perform with **professional skepticism**; misstatements arise from **errors or frauds**. Inherent limitations of SA 200 are greater for fraud and for non-compliance with laws (below).
- → SM note: SA 200, SA 210 and SA 230 are covered in depth at Intermediate; at Final their application may come as a **case study**.
- → **Engagement letter links in this chapter:** auditor's responsibilities are often in the engagement letter; where law does not require TCWG to agree the terms, giving TCWG a copy of the engagement letter may be an appropriate way to communicate them (SA 260). Agreed terms recorded in the engagement letter include the **expected form and content of the auditor's report**. Joint auditors obtain a **common engagement letter and a common management representation letter** (SA 299).
- → Documentation time limits used in answers come from SQC 1 (Ch 1): assembly ≤ 60 days after report date; retention ordinarily ≥ 7 years.

SA 240 — objectives, fraud, two types

Asked: Jan 2026 Q5(b), Q6(c)

- → Objectives: (a) identify and assess RoMM due to fraud; (b) obtain SAAE on assessed risks through appropriate responses; (c) respond appropriately to identified or suspected fraud.
- → **Fraud** = intentional act by management, TCWG, employees or third parties, using deception to obtain an unjust or illegal advantage. Fraud vs error = **intentional or unintentional**. Auditor is concerned only with fraud causing material misstatement and **does not make legal determinations**.
- → Two types: **fraudulent financial reporting** and **misappropriation of assets**; both involve **incentive/pressure, perceived opportunity, rationalisation**.
- → FFR accomplished by: manipulation, falsification (incl. forgery) or alteration of records · misrepresentation or intentional omission of events/transactions · intentional misapplication of accounting principles. Management may want to **reduce** earnings (tax) or **inflate** them (bank financing).
- → Override techniques (6): fictitious JEs near period end · inappropriate adjustment of assumptions/judgments for estimates · omitting, advancing or delaying recognition · concealing facts · complex transactions structured to misrepresent · altering records and terms of significant unusual transactions.
- → Misappropriation (often employees, small amounts; management can conceal better): embezzling receipts · stealing physical assets or IP · paying for goods/services not received (fictitious vendors/employees, kickbacks) · personal use of assets (collateral for personal loan).

Who is responsible

→ **Primary responsibility** for prevention and detection: **TCWG and management**; emphasis on **prevention** (reduces opportunity) and **deterrence** (likelihood of detection and punishment); culture of honesty, active oversight by TCWG.

→ Auditor: **reasonable assurance** that FS as a whole are free from material misstatement, whether fraud or error. Risk of not detecting fraud > error (concealment, forgery, collusion — collusion makes false evidence look persuasive). Detection depends on skill of perpetrator, frequency and extent of manipulation, degree of collusion, size of amounts, seniority. Management fraud is harder to detect than employee fraud.

→ Auditor maintains skepticism, considers management override, and recognises that procedures effective for error may not detect fraud.

Fraud risk factors

Asked: Jan 2026 Q5(b)

→ Definition: events or conditions indicating an **incentive or pressure** to commit fraud or providing an **opportunity**. They do not necessarily indicate fraud, but have often been present where fraud occurred. Cannot easily be ranked; whether present and relevant is a matter of **professional judgment**.

Head	Fraudulent financial reporting (examples)	Misappropriation of assets (examples)
Incentives / pressures	*Financial stability threatened: competition with declining margins; rapid change/obsolescence/interest rates; falling demand; operating losses threatening bankruptcy or takeover; negative operating cash flows while reporting earnings growth; rapid growth or unusual profitability vs industry; new accounting/statutory requirements. Third-party pressure: analysts' expectations, optimistic press releases; need for debt/equity financing (R&D, capex); marginal ability to meet listing or covenant requirements; effect of poor results on pending business combinations or contracts. Personal finances of management/TCWG: significant financial interests; bonuses/options/earn-outs on aggressive targets; personal guarantees. Excessive pressure to meet TCWG targets.*	*Personal financial obligations; adverse relationships with employees having access to cash/assets: known or anticipated layoffs, changes to compensation or benefit plans, promotions/rewards inconsistent with expectations.*
Opportunities	*Significant RPTs outside ordinary course or with related entities not audited / audited by another firm; dominance allowing non-arm's-length terms; significant estimates difficult to corroborate; unusual complex transactions near period end ("substance over form"); operations across borders; intermediaries without business justification; bank accounts/subsidiaries in tax havens without justification. Ineffective monitoring of management: domination by one person or small group (non owner-managed) without compensating controls; ineffective TCWG oversight. Complex/unstable structure: unclear controlling interest; unusual legal entities; high turnover of senior management, legal counsel, TCWG. Deficient internal control: inadequate monitoring of controls; high turnover or ineffective accounting/IA/IT staff; ineffective accounting systems.*	*Large cash on hand; inventory small, high value or in high demand; easily convertible assets (bearer bonds, diamonds, computer chips); small marketable fixed assets. Inadequate controls: segregation of duties, oversight of senior management expenses, supervision of remote locations, job applicant screening, record keeping, authorisation, physical safeguards, reconciliations, documentation of returns,* ***no mandatory vacations*** *for key control staff, management's poor IT understanding, access controls over event logs.*
Attitudes / rationalisations	*Ineffective communication of values/ethics; non-financial management's preoccupation with accounting policies/estimates; known history of securities law violations or fraud claims; excessive interest in stock price/earnings trend; committing to aggressive forecasts;* ***failing to remedy known significant deficiencies****; minimising earnings for tax; low morale of senior management; owner-manager mixes personal and business; shareholder disputes in closely held entity; justifying marginal accounting on materiality; strained relationship with current/predecessor auditor (disputes, unrealistic time constraints, restricted access, domineering behaviour).*	*Disregard for monitoring; overriding controls or not remedying deficiencies; displeasure with entity; changes in behaviour or lifestyle;* ***tolerance of petty theft****.*

Examiner's twist: *The story lists 6–8 facts and asks only for "incentives/pressures and opportunities for FFR" (Jan 2026). Do not list attitudes; label each fact under its head. Traps: "failure to act on internal auditor's deficiencies" is an* ***attitude*** *(TYK 2), not an opportunity; "need for huge capex to stay competitive" is* ***pressure*** *(TYK 1: revenue 750 → 1,000 crore with no capacity change); "high turnover of accounting staff" is an* ***opportunity*** *(deficient internal control); "small high-value inventory" is misappropriation opportunity, not FFR.*

Skepticism, team discussion, risk assessment

→ Skepticism throughout, **notwithstanding past experience** of honesty and integrity of management and TCWG. Records may be accepted as genuine unless reason to believe otherwise; doubt on authenticity or undisclosed modified terms → **investigate further**; inconsistent responses of management/TCWG → investigate.

→ Team discussion: how and where FS are susceptible to fraud, **notwithstanding** beliefs that management and TCWG are honest.

→ Risk assessment: inquiries of management and others; how TCWG oversee management's fraud-risk process and controls; unexpected relationships from analytical procedures; evaluate whether fraud risk factors are present.

→ Revenue recognition: presumption of fraud risk; may be rebutted, e.g. single type of simple revenue (leasehold revenue from a single unit rental property). Rebutted → **document reasons**. Complex revenue or weak controls → high probability of fraud risk (TYK 14, Arihant ₹43 crore unrecorded bookings, part in CFO's account).

Responses to fraud risk

→ **FS level** (3): (a) assign and supervise personnel according to knowledge, skill and ability and the fraud risk; (b) evaluate whether selection and application of accounting policies (subjective measurements, complex transactions) indicate earnings management; (c) incorporate **unpredictability** in nature, timing and extent.

→ **Assertion level**: change NTE for more reliable/relevant evidence. SM example: earnings pressure → risk of inflated sales (terms precluding recognition, invoicing before delivery) → **external confirmations of sales agreement details** (date, rights of return, delivery terms) plus **inquiries of non-financial personnel**.

→ **Management override**: present in all entities; unpredictable → a fraud risk and a **significant risk**. **Irrespective of assessment**: (a) test journal entries and other adjustments; (b) review estimates for **bias**; (c) evaluate **business rationale** of significant transactions outside normal course or unusual. Determine whether other procedures are needed.

→ **Evaluation**: final analytical procedures may show an unrecognised fraud risk. Misstatement indicative of fraud → consider reliability of representations; fraud is **unlikely to be an isolated occurrence**. Misstatement (material or not) that may be fraud involving **senior management** → re-evaluate fraud risk and NTE; consider collusion with employees, management or third parties when reconsidering evidence.

Unable to continue — exceptional circumstances

Asked: Jan 2026 Q6(c) OR

→ (a) Determine professional and legal responsibilities, including any requirement to report to the person(s) who made the appointment or to regulators;

→ (b) Consider whether it is appropriate to withdraw, **where withdrawal is legally permitted**;

→ (c) If withdrawing: (i) discuss withdrawal and reasons with appropriate level of management and TCWG; (ii) determine whether there is a professional or legal requirement to report the withdrawal and reasons to the appointing person(s) or regulators.

Examiner's twist: PMP Industries (₹20 crore fictitious sales, ₹8 crore missing inventory, MD threatens legal action, Board divided). The examiner wants the three-step list, not an opinion paragraph. One line that scores: "withdrawal only where legally permitted". Also note fraud communication to TCWG and, from the SM's TYK 14 answer, reporting under section 143(12) of frauds above **₹1 crore** to the Central Government within the prescribed time.

Representations, communication, documentation

- → **Written representations** from management (and TCWG where applicable) (4): (a) responsibility for internal control to prevent and detect fraud; (b) disclosed results of management's fraud risk assessment; (c) disclosed knowledge of fraud/suspected fraud involving management, employees with significant roles in internal control, or others where material; (d) disclosed allegations of fraud communicated by employees, former employees, analysts, regulators or others.
- → **Management:** fraud identified or indicated → communicate on a timely basis to the appropriate level of management.
- → **TCWG** (unless all TCWG manage the entity): fraud involving management, employees with significant roles in IC, or others causing material misstatement → timely. **Suspected management fraud** → communicate suspicions **and discuss NTE of procedures** needed to complete the audit. Plus any other fraud matters relevant to TCWG.
- → **Outside the entity:** determine whether there is a responsibility to report; legal duty may override confidentiality (e.g. bank auditor → RBI). Some entities: duty to report misstatements where management and TCWG fail to act.
- → **Documentation:** significant decisions from team discussion; identified and assessed fraud risks at FS and assertion level; overall responses and NTE linked to assertion-level risks; results, including management-override procedures; communications about fraud to management, TCWG, regulators and others; reasons for rebutting the revenue presumption.

SA 250 — scope, two categories, objectives

Asked: Sep 2025 Q2(a); May 2026 MCQ

- → Does **not** apply to other assurance engagements where the auditor is specifically engaged to test and report separately on compliance with laws.
- → Heavily regulated (banks, chemical companies) vs only operating laws (occupational safety and health). Non-compliance → fines, litigation, other consequences that may be material.
- → Objectives: (a) SAAE on compliance with laws having a **direct effect** on material amounts and disclosures; (b) **specified procedures** to identify non-compliance with other laws that may be material; (c) respond appropriately to identified or suspected non-compliance.
- → Responsibility for compliance: **management, with oversight of TCWG**. Entity policies (7): monitor legal requirements; internal control; code of conduct; training; monitor code and discipline; legal advisors; register of significant laws and record of complaints. Larger entities: internal audit, audit committee, compliance function.

Point	Category (a): direct-effect laws	Category (b): other laws
Nature	Generally recognised to have a direct effect on determination of material amounts and disclosures — e.g. **tax and labour laws**; form and content of FS; industry-specific reporting	No direct effect on amounts/disclosures but compliance may be **fundamental** to operating aspects, ability to continue business, or avoiding material penalties — e.g. **operating licence**, **regulatory solvency**, **environmental** regulations
Auditor's responsibility	**Obtain sufficient appropriate audit evidence** about compliance	**Limited to specified audit procedures**: (a) inquire of management and, where appropriate, TCWG whether in compliance; (b) **inspect correspondence** with licensing or regulatory authorities
Trigger words	"GST", "income-tax", "PF/ESI", "gratuity", "Schedule III"	"licence", "NOC", "pollution board", "Net Owned Funds", "certificate of registration", "factory permit"

- → Fundamental-effect laws may cause the entity to **cease operations** or question **going concern**: bank — capital or investment requirements; NBFC — failure to obtain certificate of registration under RBI Act or NOF below the RBI limit.
- → Auditor is **not responsible for preventing** non-compliance and cannot be expected to detect all. Inherent limitations are **greater** because: many operating laws do not affect FS and are not captured by information systems; non-compliance may be concealed (collusion, forgery, failure to record, override, misrepresentation); whether an act is non-compliance is **ultimately for a court of law**. The further removed from FS, the less likely the auditor is to notice.
- → Understanding: (a) legal and regulatory framework of entity and industry; (b) how the entity complies. Remain alert during other procedures. **Written representations**: all known instances of non-compliance or suspected non-compliance have been disclosed.
- → **When identified/suspected**: obtain (a) understanding of the nature of the act and circumstances; (b) further information on possible effect on FS. Discuss with management (and TCWG). No sufficient information and effect may be material → **consider legal advice**. Still insufficient → evaluate effect on opinion. Evaluate implications for risk assessment and reliability of written representations.

SA 250 — reporting

To whom	Rule
TCWG	Unless all TCWG are in management (and already aware): communicate non-compliance coming to attention, **other than clearly inconsequential**. Intentional and material → **as soon as practicable**. Management or TCWG involved → **next higher level** (audit committee, supervisory board); none exists, or communication may not be acted upon, or unsure whom to report → **consider legal advice**.
Auditor's report — material, not adequately reflected	**Qualified or adverse** (SA 705) — e.g. child labour (TYK answer 6), Fire NOC (Sep 2025)
Auditor's report — precluded by management/TCWG	**Qualified or disclaimer** (scope limitation, SA 705)
Auditor's report — limitation imposed by circumstances	Evaluate effect on opinion per SA 705
Regulators	Determine whether there is a responsibility to report outside the entity

- → Documentation: identified or suspected non-compliance and results of discussion with management, TCWG and outside parties.

Examiner's twist: Management says "compliance with child labour / Fire NOC law is outside your financial audit" (TYK 6, Sep 2025). Answer structure: the auditor is not responsible for preventing non-compliance, but for **other laws** he performs specified procedures; non-compliance can lead to penalties with material effect → check penal provisions and disclosure → if material and not reflected, **qualified or adverse**. MCQ trap (May 2026): for licence-type laws, "obtain SAAE on compliance" is wrong; the answer is "limited to specified procedures (inquiry, inspection of correspondence)". DGGI notice for fictitious invoices (TYK 3) = suspected non-compliance with a direct-effect law (GST) plus IRDAI regulations.

SA 240 vs SA 250 — side by side

Point	SA 240 (fraud)	SA 250 (laws and regulations)
Primary responsibility	TCWG and management (prevention and deterrence)	Management with oversight of TCWG
Auditor's level of work	Reasonable assurance; identify, assess, respond	SAAE for direct-effect laws; only specified procedures for other laws
Who decides if it happened	Auditor does not make legal determination of fraud	Ultimately a court of law
Management involved	Communicate suspicions to TCWG and discuss NTE	Communicate to next higher authority (audit committee/supervisory board); else legal advice
Timing word	"Timely basis"	Intentional and material: "as soon as practicable"
Written representations	4 fraud-specific items	All known instances of (suspected) non-compliance disclosed
Exceptional step	Withdraw where legally permitted (3-step list)	Consider legal advice; modify opinion
Trigger words	"fictitious", "forged", "diverted to CFO's account", "bonus on EBITDA"	"notice", "licence", "penalty", "regulator's inspection"

SA 260 — TCWG and objectives

Asked: May 2026 Q2(a)

→ **TCWG**: person(s) or organisation(s) (e.g. corporate trustee) responsible for overseeing strategic direction and accountability, including the financial reporting process; may include management (executive board members, owner-manager). Governance not formally defined (family-owned, some NPOs) → discuss and agree with the **engaging party**; SA 315 understanding of governance is relevant; appropriate persons may vary by matter.

→ Two-way communication assists: (a) understanding audit matters in context and a constructive relationship with independence; (b) auditor obtaining information from TCWG; (c) TCWG overseeing financial reporting, reducing RoMM.

→ Objectives (4): communicate auditor's responsibilities and overview of planned scope and timing; obtain information; provide **timely observations** that are significant; promote effective two-way communication.

What to communicate (four heads)

1. **Auditor's responsibilities**: forming and expressing an opinion on FS prepared by management with TCWG oversight; audit does **not relieve** management or TCWG of their responsibilities.
2. **Planned scope and timing**, including **significant risks**. Does not change the auditor's sole responsibility for strategy and plan. Care: communicating detailed procedures may make them **predictable**, especially where TCWG manage the entity.
3. **Significant findings**: (i) views on significant **qualitative aspects** of accounting practices — policies, **estimates**, disclosures; explain why an acceptable practice is not most appropriate; (ii) **significant difficulties**; (iii) unless all TCWG manage: significant matters discussed/corresponded with management, and **written representations requested**; (iv) circumstances affecting form and content of the report; (v) other significant matters relevant to oversight.
4. **Independence — listed entities**: statement of compliance with independence requirements (team, firm, network firms); all relationships and other matters bearing on independence, including **total fees for audit and non-audit services** by firm and network firms to the entity and components it controls, allocated to categories; related safeguards.

Sub-list	SM items	Trigger words
Significant difficulties (6)	Significant delays, unavailable personnel, unwillingness to provide information · unreasonably brief time · extensive unexpected effort · unavailability of expected information · restrictions by management · unwillingness to make or extend going-concern assessment. May become a scope limitation → modified opinion	"delay", "deadline", "refused data"
Significant matters discussed with management (5)	Significant events/transactions · business conditions and plans affecting RoMM · concerns about management consulting other accountants · discussions on appointment re accounting practices, auditing standards or fees · disagreements (except initial differences later resolved)	"opinion shopping", "fee discussion at appointment"
Form and content of report (5)	Modified opinion (SA 705) · MURGC (SA 570) · KAMs (SA 701) · EOM/OMP (SA 706) · uncorrected material misstatement of other information (SA 720). A draft report may be given to TCWG	"expected to modify", "KAM", "other information"

→ **Process**: communicate form, timing and expected general content. **In writing**: significant findings where oral would not be adequate (need not include all matters); independence for listed entities. On a **timely basis**. Evaluate adequacy of two-way communication; if inadequate, evaluate effect on risk assessment and evidence and take action.

→ **Documentation**: oral → record in documentation **when and to whom**; written → **retain a copy**.

→ **KAM timing** (TYK 4, via SA 701): preliminary views may be communicated when discussing planned scope and timing and discussed further with findings; a draft report may help.

Examiner's twist: (1) A listed company's audit committee asks the auditor to "justify independence" and she thinks it is beyond its purview (TYK) — wrong: SA 260 requires the independence communication in listed entities, and the audit committee reviews independence under the Companies Act. (2) May 2026: story about a discount-rate estimate and management delays; the ask is "what to communicate" → qualitative aspects of **estimates** and significant **difficulties**, under "significant findings". (3) "Auditor listed responsibilities, scope and timing, independence — what is missing?" → **significant findings** (TYK 9).

SA 299 — joint audit

Asked: Sep 2025 MCQ; MTP Jan 2026 S-II 3(a)

→ Joint audit = audit of FS of an entity by **two or more auditors appointed with the objective of issuing the audit report**. Section 139(3): members may resolve that the audit be conducted by more than one auditor. SA 299 does **not** deal with principal auditor vs auditor of a component.

→ Objectives (4): broad principles; uniform approach; identify distinct areas of work and coverage; identify individual and joint responsibility.

→ **Planning**: EP and key members of **each** joint auditor involved; overall audit strategy established **jointly**. Before commencement, a **joint audit plan**: (a) division of audit areas and common areas; (b) reporting objectives, timing, communications; (c) significant factors directing team efforts; (d) results of preliminary engagement activities and relevant earlier knowledge; (e) NTE of resources.

→ Division usually by identifiable units or specified areas; if not possible, by items of assets, liabilities, income or expenditure; some important areas not divided and covered by all.

→ RoMM assessed by each joint auditor, **communicated** to others and **documented**. NTE for common and allotted areas discussed, documented and **communicated to TCWG**.

→ **Common engagement letter and common management representation letter. Work allocation document signed by all joint auditors and communicated to TCWG** (avoids disputes among joint auditors and with the entity).

Individual responsibility of each joint auditor	Joint and several responsibility of all
Work allocated to him, **including proper execution** of procedures · obtaining and evaluating information and explanations for allotted divisions/zones/units · NTE of procedures for allotted areas · study and evaluation of internal control and risk assessment for allotted areas · **execution** of procedures in common areas assigned to him (TYK 5: DES & Associates' batch-processing tests)	(a) work not divided and carried out by all; (b) planning decisions on NTE in common areas — only the **appropriateness of the decisions**; (c) matters brought to notice by any one and **agreed** by all; (d) examining that FS comply with relevant statutes; (e) presentation and disclosure as per the framework; (f) audit report complies with statutes, SAs and ICAI pronouncements

Trigger words: "performed by X's team", "zone allotted to X" → individual; "decided jointly", "not divided", "Schedule III disclosure", "report wording" → joint and several. Obtaining information and explanations from management is shared by all unless a specific pattern is agreed.

- → A matter relevant to another joint auditor's area → communicate to **all** other joint auditors **in writing prior to completion** of the audit.
- → **Reporting**: common report; disagreement → **separate report**; not bound by majority; each report refers to the other under **"Other Matter Paragraph" (SA 706)**. Division/branch audited by one → others may proceed on the basis that its FS comply and give a true and fair view. Discuss conclusions with each other before finalising.
- → Each may **assume**: (a) the others performed their part in accordance with SAs — no need to review their work or test it; (b) the others brought to notice any departure from the framework or significant observations.
- → **TCWG**: expected modification → circumstances and proposed wording (SA 705); expected EOM/OMP → expectation and proposed wording (SA 706).

Examiner's twist: MTP Jan 2026 / TYK 10 (Tree Ltd / Studio Ltd): understatement of receivables, valuation looked after by one firm, **no documentation of division**. Two points score: that firm is responsible for allotted work including execution, **and** SA 299 is violated because the allocation was not documented, signed and communicated to TCWG. 2-1 disagreement on an adverse opinion (TYK Q1): the minority auditor issues a separate report; reference by OMP, not EOM.

SA 402 — service organisations

Asked: May 2025 Q6(a); May 2026 MCQ

- → Expands how the user auditor applies **SA 315 and SA 330**. Definitions: **service organisation** (third party or segment providing services that are part of user entities' information systems relevant to financial reporting); **user entity**; **service auditor** (reports on SO's controls at the request of the SO); **user auditor**.
- → Relevant when services and controls are part of the user entity's information system — they affect: (a) significant classes of transactions; (b) procedures by which transactions are initiated, recorded, processed, corrected, transferred to GL, reported; (c) related accounting records; (d) how events and conditions other than transactions are captured; (e) financial reporting process including significant estimates and disclosures; (f) controls over journal entries including non-standard ones. Controls over safeguarding of assets may also be relevant.
- → Objectives: (a) understand nature and significance of services and effect on internal control, sufficient to identify and assess RoMM; (b) design and perform responsive procedures.

Point	Type 1 report	Type 2 report
Management's description covers	System, control objectives and related controls **designed and implemented as at a specified date**	Design and implementation **as at a date or throughout a period** and, in some cases, **operating effectiveness throughout a specified period**
Service auditor's opinion on	Description; **suitability of design**	Description; suitability of design; **operating effectiveness**
Extra content	—	**Description of service auditor's tests of controls and results**
Assurance	Reasonable	Reasonable
Use	Understanding of design and implementation only	Understanding **and** evidence that controls operate effectively
Trigger words	"as at 31 December", "design", "understanding"	"throughout the period", "operating effectively", "tests performed by service auditor" (TYK 12 Happy Hospital → Type 2)

The four look-alike procedure lists in SA 402

Situation	SM list	Trigger words
Understanding how the user entity uses the SO (SA 315)	(a) nature of services and significance, incl. effect on IC (sources: user manuals, contract, service auditor reports); (b) nature and materiality of transactions/accounts affected (immaterial amounts may still be significant by nature); (c) **degree of interaction** (e.g. user authorises, SO processes and accounts → high); (d) nature of relationship incl. contractual terms. Also evaluate D&I of user entity's controls over the services; decide if understanding is sufficient	"what understanding should the auditor obtain" (TYK 8, 11)
Understanding cannot be obtained from the user entity	(a) obtain Type 1 or Type 2 report; (b) contact the SO **through the user entity**; (c) visit the SO and perform procedures; (d) use another auditor	"user entity cannot explain the SO's controls"
Using Type 1/Type 2 report for **understanding of design and implementation**	Be satisfied as to (a) service auditor's **competence (except where ICAI member)** and **independence** from SO; (b) adequacy of standards. Then: (a) description and design at a date/period appropriate; (b) sufficiency and appropriateness of evidence for understanding IC; (c) relevance of **complementary user entity controls** and whether the user entity has designed and implemented them	May 2025 Q6(a) "sufficiency and appropriateness … procedures if Type 1 or Type 2 used"
Evidence of **operating effectiveness** expected	Tests of controls: (a) obtain Type 2 report; (b) tests of controls at SO; (c) another auditor tests on user auditor's behalf. Using Type 2: (a) description, design and OE at an appropriate date/period; (b) CUECs relevant → understand D&I **and test OE**; (c) adequacy of period covered and **time elapsed** since tests; (d) relevance of service auditor's tests and results to assertions	"risk assessment expects controls at SO to operate effectively"

- → **Complementary user entity controls**: controls the SO assumes in its design will be implemented by user entities, identified in its system description.
- → **Responding (SA 330)**: (a) is SAAE available from records at the user entity; if not, (b) further procedures or another auditor at the SO.
- → **Fraud / NOCLAR / uncorrected misstatements** at the SO: inquire of user entity management whether the SO reported, or management is aware of, any; evaluate effect on procedures, conclusions and report.
- → **Reporting**: unable to obtain SAAE on the services → **modify** under SA 705. **No reference** to the service auditor's work in an **unmodified** report unless required by law or regulation; if required, state that it **does not diminish** the user auditor's responsibility. Reference relevant to understanding a modification → state that it does not diminish responsibility.

Examiner's twist: *The case gives a big percentage (payroll 63% or 75% of costs), a Type 2 report, even a sub-service organisation and "carve-out method", and then asks only whether the reviewer is right to* ***delete the reference*** *to the service auditor in an unmodified report (TYK 13, May 2026 MCQ). Answer: yes — no reference in an unmodified report unless law or regulation requires it. Do not drift into sub-service organisation methods; the SM does not develop them.*

Cross-chapter look-alike: the two withdrawal lists

SQC 1 — withdrawal policies (firm)	SA 240 — unable to continue (auditor)
Trigger: information that would have caused the firm to decline, or lack of expertise (TYK 6 SPS & Associates). Discuss appropriate action with management/TCWG → if withdrawing, discuss withdrawal and reasons → consider requirement to remain in place or to report withdrawal to regulators → document issues, consultations, conclusions and basis	*Trigger: misstatement from fraud or suspected fraud raising exceptional circumstances. Determine professional and legal responsibilities incl. reporting to appointing persons/regulators → consider withdrawal where legally permitted → if withdrawing, discuss with management and TCWG and determine requirement to report withdrawal and reasons*

03 Ch 03 — Audit Planning, Strategy & Execution

Asked: Sep 2025 MCQ CS-III Q10 (SA 620 evaluating expert) · Sep 2025 Q3(b) (SA 540 significant-risk estimate) · Jan 2026 Q1(b) (SA 450 uncorrected misstatements) · May 2026 MCQ CS-I Q5 (SA 620) · May 2026 MCQ CS-II Q8 (SA 610). Also ICAI May 2025 Q2(b) SA 620, MTP Sep 2025 5(b) SA 540 prior-period review.

SA 300 — Planning: benefits, nature, continuous, responsibility

- → **Benefits (6):** *attention to important areas; timely resolution of potential problems; proper organisation and management of the engagement; proper selection of engagement team; direction and supervision of the team; easy coordination with auditors of components and experts.*
- → **Nature of planning varies with:** *size and complexity of auditee; past experience and expertise of key team members; change in circumstances.*
- → **Continuous process:** *not a discrete phase; begins shortly after the previous audit and continues until completion of the current one. Includes: analytical procedures as risk assessment procedures, general understanding of legal and regulatory framework, determination of materiality, involvement of experts, other risk assessment procedures.*
- → **Responsibility:** *elements may be discussed with management (to coordinate procedures), but* **overall audit strategy and audit plan remain the auditor's responsibility**. *Discussing nature and timing of detailed procedures may make them* **too predictable**. *Engagement partner and other key members should be involved in planning.*
- → **Preliminary activities at the beginning:** *(i) SA 220 procedures on continuance of client relationship; (ii) evaluating compliance with ethical requirements incl. independence; (iii) understanding of terms of engagement under SA 210.*
- → **Contents of audit plan (3):** *NTE of planned* **risk assessment procedures** *(SA 315); NTE of planned* **further audit procedures at assertion level** *(SA 330); other planned procedures required by SAs. Extent includes* **sample sizes** *(TYU 2 — deciding sample size later is not proper).*
- → **Changes:** *update strategy and plan due to (i) unexpected events, (ii) changes in conditions, (iii) audit evidence obtained — e.g. substantive evidence contradicting tests of controls; also change in law, notifications, government policies.*

Overall audit strategy — factors, benefits, considerations, documentation

- → *Strategy* **sets the scope, timing and direction** *of the audit and guides the audit plan.*
- → **Documentation (3):** *overall audit strategy; audit plan;* **significant changes** *during the engagement* **and the reasons** *(TYU 3 — NGO/FCRA: extended procedures must be documented with reasons).*
- → **Relationship:** *strategy is prepared* **before** *the plan; plan is more detailed; change in one changes the other (CA Sam: lowered materiality → first modify strategy, then plan). Audit programme divergence: first modify the overall plan, then the programme.*

List	Items (SM)	Trigger words in question → which one
2.1 Factors while establishing strategy (5)	Characteristics that define scope; reporting objectives (timing, communications); factors significant in directing team's efforts; results of preliminary engagement activities and knowledge from other engagements; nature, timing, extent of resources.	"factors to be considered in establishing / formulating overall audit strategy"
2.2 Benefits — strategy helps determine (4)	Qualitative resources (experienced members for high-risk areas, experts on complex matters); quantity of resources (team at inventory count, budget hours); timing of deployment (interim / cut-off); management of resources (briefings, reviews, EQCR).	"what matters does the strategy assist the auditor to determine", "allocation of resources"
2.3 Considerations — 4 heads	(a) Characteristics of engagement (FRF, industry reporting, components, service organisations, IT effect, client personnel); (b) Reporting objectives, timing, communications; (c) Significant factors, preliminary activities, knowledge gained (materiality, higher-risk areas, skepticism, previous deficiencies, business developments); (d) NTE of resources (team selection, budgeting).	"examples of matters to consider", "new venture / online shopping added" (TYK 4 adds information system understanding)
Audit plan contents (3)	Risk assessment procedures (SA 315); further procedures at assertion level (SA 330); other SA-required procedures.	"what shall the audit plan include", "sample size"
Audit programme — matters (6)	Nature of business; overall plan; internal control and accounting procedures; size and management structure; information on organisation; accounting and management policies.	"instructions to assistants", "formulating audit programme"

Examiner's twist: a story about a fintech/new venture asks "is involving an IT expert a factor in the strategy?" — Yes: 2.2(i) qualitative resources (experts on complex matters); responsibility not shared (SA 620). The one line that scores: "strategy sets scope, timing and direction; plan sets nature, timing and extent."

Audit programme — first audit in three stages; when to alter

- → First engagement: (i) broad outline; (ii) details filled after reviewing internal and accounting procedures, considering IC deficiencies; (iii) after detailed checking, decide extent of special (first-time/opening balance) procedures — debtors/creditors confirmation, physical inspection of fixed assets and stock.
- → Review at each subsequent engagement for: experience of previous audits; important changes (IC, procedures, management, scope); current year IC evaluation.
- → Alter when: turnover substantially increased or accounting organisation/personnel changed; IC not as effective as assumed; extraordinary increase in book debts or stocks; suspicion of misappropriation.

SA 600 — Using the Work of Another Auditor (as in SM)

- → **Principal auditor** reports on entity's financial information that includes components audited by another auditor. **Component**: division, branch, subsidiary, JV, associate or other entity. SA 600 does **not** deal with **joint auditors** or **predecessor auditor**.
- → Principal remains responsible for his opinion; may rely on others if he exercises adequate skill and care and has no reason to believe he should not. **Independent statutory appointment** (e.g. branch auditors under Companies Act) → report should **expressly state the fact of such reliance**.
- → **Before acting as principal, consider:** materiality of portion he audits; knowledge of components' business; risk of material misstatement in components audited by others; additional procedures giving **significant participation**.
- → **Procedures:** other auditor not an ICAI member → consider **professional competence**; advise the other auditor of use of his work, coordinate at planning (special areas, inter-component transactions, time-table); advise significant accounting, auditing, reporting requirements and obtain **representation** on compliance; review written summary/questionnaire; consider significant findings; supplementary tests if needed.
- → **Documentation:** components audited by others, procedures and conclusions; how qualifications in other auditor's report were dealt with. Need not document reasons for limiting procedures where previously satisfied about other auditor's quality control.
- → **Reporting:** work cannot be used and no sufficient additional procedures → **qualified or disclaimer** (scope limitation). Other auditor's modified report → consider whether principal's report needs modification.
- → **Division of responsibility:** principal not responsible for work entrusted to others, **except** circumstances that should have aroused suspicion; report states extent of components audited by others (TYU 4 — 1,034 bank branches).

SA 610 — Using the Work of Internal Auditors

Asked: May 2026 MCQ CS-II Q8

- → External auditor has **sole responsibility**; not reduced by using IAF work or direct assistance. IAF/internal auditors are **not independent** of the entity. SA does not apply if there is no IAF.
- → **Can IAF work be used? Evaluate (3):** organisational status and policies supporting **objectivity**; level of **competence**; **systematic and disciplined approach incl. quality control**. If any fails → shall not use.
- → **Work that can be used:** testing operating effectiveness of controls; substantive procedures involving **limited judgment**; observation of inventory counts; tracing transactions through the information system; testing compliance with regulatory requirements; in some cases audits/reviews of non-significant subsidiaries.
- → **Use less, do more directly, the** more judgment involved; higher assessed RMM (esp. significant risks); less objectivity support; lower competence. Check that EA is still **sufficiently involved** in aggregate. Communicate planned use to TCWG (SA 260).
- → **Using IAF work:** discuss planned use; read IAF reports; perform procedures — work properly planned, performed, supervised, reviewed, documented; sufficient evidence for reasonable conclusions; conclusions appropriate and reports consistent with work.

Point	Using work of IAF	Direct assistance (internal auditors under EA's direction)	Trigger words
Meaning	Work already performed by the function, used as evidence	Internal auditors perform audit procedures under direction, supervision and review of EA	"assigned to EA's team", "work under our supervision" → direct assistance
Gate	Objectivity support + competence + systematic approach incl. QC	First: is it **prohibited by law**? (if so, consider extension to component auditors). Then evaluate threats to objectivity (incl. **inquiry of internal auditors** re interests/relationships) and competence	"family member in stores", "financial interest", "association with the department"
Shall not use if	Status/policies don't support objectivity; lacks competence; no systematic approach	Significant threats to objectivity; or lacks sufficient competence	
Not for	All significant judgments remain with EA	Significant judgments; higher assessed RMM where judgment more than limited; work reported to management/TCWG by IAF; decisions EA makes under SAs	"evaluate going concern", "decide sample/ materiality", "significant risk area"
Review	Perform procedures on adequacy of IAF work	Direct, supervise, review per SA 220; recognise lack of independence; **check back to underlying evidence** for some work	

Examiner's twist: case says IA is "well-functioning" and counted inventory, but stock is slow-moving (TYU 5) — the ask is *valuation* (high judgment, significant risk) → EA performs directly. Or IA head is a non-tech-savvy retired banker appointed on recommendation (opening case) → competence and objectivity doubtful → don't use. Scoring line: "Responsibility not reduced; more judgment / higher risk → less use."

SA 620 — Using the Work of an Auditor's Expert

Asked: Sep 2025 MCQ CS-III Q10; May 2026 MCQ CS-I Q5; May 2025 Q2(b)

- → **Auditor's expert:** expertise in a field **other than accounting or auditing**, work used by the auditor; may be internal (partner/staff incl. temporary, of firm or network firm) or external.
- → SA 620 does **not** deal with: team member with expertise in a specialised area of accounting/auditing; use of a **management's expert** (dealt with in **SA 500**).
- → **Sole responsibility** not reduced; but if work is adequate, auditor may accept expert's findings as appropriate evidence.
- → **Need (5 stages):** understanding entity incl. IC; identifying and assessing RMM; overall responses at FS level; further audit procedures at assertion level; evaluating sufficiency and appropriateness of evidence. Auditor may instead gain understanding by experience, education/ professional development, discussion with auditors of similar engagements.
- → **Deciding whether to use:** management used an expert?; nature, significance, complexity; RMM; expected procedures and availability of alternative evidence.
- → **NTE of procedures — consider:** nature of matter; RMM; significance of expert's work; previous experience with that expert; whether subject to firm's QC. **More extensive** when: significant matter with subjective, complex judgments; not previously used / no prior knowledge; procedures **integral to the audit** rather than advice on an individual matter; external expert not subject to firm's QC.
- → **Competence, capabilities, objectivity:** for external expert include **inquiry about interests and relationships** (financial interests, business and personal relationships, other services); inquire of entity; discuss safeguards; written representation may be appropriate. Relevance of specialty (property-casualty actuary vs pensions).
- → **Understanding the field** enough to (a) determine nature, scope, objectives and (b) evaluate adequacy.
- → **Agreement — in writing when appropriate (4):** nature, scope, objectives; respective roles and responsibilities; nature, timing, extent of communication incl. form of report; **confidentiality**. Detailed written agreement needed where: access to sensitive data; highly complex matter; not previously used; greater extent and significance (TYK 8).

Evaluate adequacy (3 tests)	What to check	Procedures / factors (SM)
(a) Findings or conclusions	Relevance, reasonableness, **consistency with other audit evidence**	Inquiry of expert; review working papers and reports; corroborative procedures (observe work, published data, third-party confirmation, detailed analytics, re-perform calculations); discuss with another expert; discuss report with management
(b) Significant assumptions and methods	Relevance and reasonableness in the circumstances	Generally accepted in the field; consistent with FRF; dependence on specialised models; **consistent with management's — if not, reasons and effects**
(c) Significant source data	Relevance, completeness, accuracy	Verify origin of data incl. controls and transmission to expert; review for completeness and internal consistency

- → **Not adequate:** agree further work with expert, or perform further procedures; unresolved → **modified opinion (SA 705)**.
- → **Reference in report:** not in an **unmodified** report unless law/regulation requires (then state it does not reduce responsibility). May refer if relevant to understanding a **modification** — again state no reduction of responsibility.

Point	Auditor's expert (SA 620)	Management's expert (SA 500)	Trigger words
Who uses the work	Auditor, to obtain evidence	Entity, to prepare FS	"company got valuation done", "CTO's report", "actuary's certificate accepted by company" → SA 500
Auditor's duty	Competence, capabilities, objectivity; understand field; agreement; evaluate adequacy	To extent necessary, having regard to significance: (a) evaluate competence, capabilities, objectivity; (b) understand the work; (c) evaluate appropriateness as evidence for the assertion	"evaluate appropriateness as audit evidence" → SA 500
Objectivity	Inquiry on interests/relationships; written representation possible	Employee expert: threat always present — **not ordinarily more objective than other employees**; engaged expert: discuss interests, safeguards	"incentives linked to profit", "re-appointed for 5 years"
Agreement	Required (in writing when appropriate)	Not an auditor's agreement	"no formal agreement with valuer" → SA 620

Examiner's twist: *the story builds up a valuation dispute, then asks only "how should the auditor evaluate the assumptions and methods" — write the four factors under (b), not the whole SA. Another trap: a management-engaged expert ("independent") is still a management's expert — SA 500, not SA 620. If the auditor's expert played a significant role in preparing the information audited, he is a management's expert (objectivity threat).*

SA 540 — Accounting Estimates incl. Fair Value

Asked: Sep 2025 Q3(b); MTP Sep 2025 5(b)

- → **Low estimation uncertainty:** non-complex business; frequent routine estimates; observable data (published interest rates, exchange-traded prices); simple FV method; well-known model with observable inputs. **High:** outcome of litigation; FV of unlisted derivatives; entity-developed models or unobservable inputs; wage revision under negotiation.
- → Active market price quotations are ordinarily best evidence of FV — but uncertainty may exist if holding is significant to market or marketability restricted, or market illiquid.
- → **Degree of uncertainty varies with:** nature of estimate; extent of generally accepted method; subjectivity of assumptions.
- → **Management bias:** lack of neutrality; susceptibility increases with subjectivity; may be visible only in aggregate or over periods; intention to mislead = fraudulent. Auditor is **not responsible for predicting future conditions**. Difference between outcome and estimate is **not necessarily a misstatement**.
- → **Objective:** sufficient appropriate evidence whether estimates (recognised or disclosed) are **reasonable** and related disclosures **adequate**.
- → **Understanding (risk assessment):** FRF requirements; how management identifies need for estimates (inquire about changes — new transactions, changed terms, policy changes, regulatory changes, new conditions); **how management makes estimates** — (i) method/model, (ii) relevant controls, (iii) use of expert, (iv) assumptions, (v) change in method and why, (vi) how estimation uncertainty assessed.
- → **Review of prior period outcomes** (or re-estimation) — required; nature and extent depends on nature of estimates and relevance to current RMM; **not intended to call into question prior judgments** based on information then available. Gives: effectiveness of management's prior process; evidence for re-estimation; evidence on uncertainty to disclose; indicators of bias. Management refusal is not correct (TYK 7).
- → **Identify and assess:** evaluate degree of estimation uncertainty; decide whether high-uncertainty estimates give rise to **significant risk**.
- → **Responses (one or more):** events up to date of auditor's report; test data and how estimate was made (data accurate, complete, relevant; external data source; recalculate; internal consistency); test controls with substantive procedures; consider need for specialised skills.

For estimates with significant risk	Auditor shall evaluate / obtain evidence on
Estimation uncertainty (3)	(a) how management considered **alternative assumptions or outcomes** and why rejected; (b) whether **significant assumptions** are reasonable; (c) where relevant, management's **intent and ability** to carry out specific courses of action. Not adequately addressed → develop a **range** if necessary.
Recognition and measurement	Decision to recognise or not; selected measurement basis — per FRF.
Disclosure	Adequacy of disclosure of estimation uncertainty — may be inadequate even if FRF-compliant.
Documentation	Basis for conclusions on reasonableness and disclosure; indicators of possible management bias.

- → **Written representations:** management (and TCWG where appropriate) believe significant assumptions are reasonable.

Examiner's twist: "management says auditor cannot look back at last year's estimates" (real estate/construction) → SA 540 requires the review; it does not question prior judgments. Or a warranty/ decommissioning provision cut by 15% on an internal report → significant risk: write the (a)(b)(c) trio + range + disclosure + representation; then SA 500 for the internal expert.

SA 220 / SQC 1 — Quality (only as in Ch 3)

→ Engagement teams may rely on firm's QC system unless information suggests otherwise. For listed entities, EQCR also considers the team's evaluation of the firm's **independence** (TYK S — EP wrong to withhold independence documentation from EQCR).

SA 520 — Analytical Procedures

→ **Substantive AP (4):** suitability for assertions (considering RMM and tests of details); reliability of data (source, comparability, nature and relevance, controls over preparation); develop a sufficiently precise expectation; determine acceptable difference without further investigation.

→ **Near the end:** shall perform AP to form an overall conclusion whether FS are consistent with understanding of entity; may reveal unrecognised RMM → revise assessment (SA 315).

→ **Investigating differences:** inquire of management and obtain evidence on responses; other procedures if no explanation or explanation inadequate.

SA 450 — Evaluation of Misstatements

Asked: Jan 2026 Q1(b)

→ **Misstatement:** difference in amount, classification, presentation or disclosure from FRF; from error or fraud. **Uncorrected misstatements:** accumulated and not corrected.

→ **Accumulate** all except **clearly trivial**. Clearly trivial ≠ "not material" — wholly different (smaller) order; inconsequential by size, nature or circumstances. Any uncertainty → **not** clearly trivial.

→ **Revise strategy/plan if:** nature/circumstances indicate other misstatements may exist which with accumulated ones could be material; or aggregate **approaches materiality** (SA 320). Management corrected a class at auditor's request → additional procedures to see whether misstatements remain.

→ **Communicate** all accumulated misstatements timely to appropriate level of management (unless prohibited) and request correction. Refusal → understand reasons and consider them in evaluating FS as a whole.

→ **Before evaluating uncorrected misstatements: reassess SA 320 materiality** in light of actual results. Then decide whether material individually or in aggregate considering (a) size and nature, particular circumstances; (b) effect of prior-period uncorrected misstatements.

→ **TCWG (SA 260):** uncorrected misstatements and effect on opinion; **material ones identified individually**; request correction; effect of prior-period ones.

→ **Written representation:** effects of uncorrected misstatements immaterial individually and in aggregate; **summary included in or attached**.

→ **Documentation (3):** clearly-trivial amount; all accumulated misstatements and whether corrected; conclusion on materiality of uncorrected and basis.

Type	Meaning (SM)	Trigger words
Factual	No doubt about it	"invoice recorded twice", "arithmetical error"
Judgmental	Management's estimates the auditor considers unreasonable, or policies inappropriate	"provision too low in auditor's view", "policy not suitable"
Projected	Auditor's best estimate of misstatement in a population, projecting sample errors	"error in sample of 60 invoices extrapolated"

Point	SA 320 materiality (Ch 4 TYK 1, 13, 14)	SA 450 evaluation	Trigger words
When	Planning and performing; set when establishing strategy; **revise** on becoming aware of information that would have caused a different amount initially	Throughout and at completion — evaluating effect of identified and uncorrected misstatements	"benchmark", "percentage", "estimated sales" → SA 320
Lower revised amount	Determine whether to revise **performance materiality** and whether NTE of further procedures remain appropriate	Reassess SA 320 materiality **before** evaluating uncorrected misstatements	"actual results differ from estimate used"
Specific levels	Lower materiality for particular classes/balances/disclosures if lesser misstatements could influence users (Deepti & Co. — imported machinery, forex)	Size **and nature** of each misstatement considered	"particular transaction", "sensitive disclosure"
Benchmark factors	Elements of FS; items users focus on; nature, life-cycle, industry; ownership and financing; volatility of benchmark. PBT % normally higher than revenue %. Regular profits → PBT; losses → revenue or gross profit; public utility → total/net cost; custody of assets → assets.	—	"loss-making", "financed by debt"

Examiner's twist: MINI Builders type — materiality was set on 11 months extrapolated sales; last month only 30% of estimate. Ask is "how to evaluate uncorrected misstatements" → first reassess materiality (SA 450 + SA 320), then performance materiality and NTE. Students who list SA 450 communication alone lose the main mark.

04 Ch 04 — Materiality, Risk Assessment and Internal Control

Asked: Sep 2025 MCQ CS-III Q9 (control activities — information processing) · Sep 2025 Q6(a) (SA 265 communication) · Jan 2026 MCQ CS-I Q6 (auditor's responsibility on IC) · Jan 2026 Q2(b) (internal check principles, effect on inherent and control risk). Also MTP May 2026 5(b) (circumstances that change risk).

Audit risk and its components

- **Audit risk:** risk of expressing an inappropriate opinion when FS are materially misstated. AR = IR × CR × DR; AR = RMM × DR; RMM = IR × CR.
- Combined IR and CR is **inversely** related to DR; materiality inversely related to audit risk. Objective: reduce AR to acceptably low level — assess RMM, limit DR.
- **Two levels:** FS level (pervasive — incompetent top accountant affects many assertions) and assertion level (payables valuation low vs inventory valuation high).
- SM TYK 7: IR 40%, controls prevent 75% → CR 25%, RMM 10%; detection satisfaction 60% → DR 40%; **AR 4%**.

Component	Definition key	SM examples / commentary	Trigger words
Inherent risk	Susceptibility of an assertion to material misstatement **assuming no related controls**	Complex calculations; high-value inventory; estimates with measurement uncertainty; lack of working capital; declining industry; technological obsolescence	"nature of business", "product may become obsolete", "foreign funds / political NGO"
Control risk	Entity's IC will not prevent, or detect and correct on a timely basis	Entity-level controls (board oversight, ITGC, HR) pervasive; activity-level relate to assertions; some CR always exists	"no rotation", "same person purchases and pays", "delegation not followed"
Detection risk	Auditor will not detect a material misstatement	Inappropriate procedure; misapplying; misinterpreting results; inverse to RMM	"first-year audit", "inappropriate sampling", "time constraint"

- **Assertions (SA 315):** transactions — occurrence, completeness, accuracy, cut-off, classification; balances — existence, rights and obligations, completeness, valuation and allocation; presentation and disclosure — occurrence and rights and obligations, completeness, classification and understandability, accuracy and valuation.
- **Steps for risk identification** (TYK 11): assess significance and revise materiality for specific balance; likelihood; document assertions affected; impact on each assertion; identify significant risks needing separate response; enquire and document management's response; consider IC (routine/periodic, prevent/detect, manual/automated); unique characteristics; particular inherent characteristics (high-value inventory, complex contracts, no paper trail, single large customer).

Risk-based audit — three phases

- → **Risk assessment:** acceptance/continuance; planning; risk assessment procedures (inquiries, inspection, observation); identify controls and assess design and implementation; assess RMM; identify **significant risks** and risks where **substantive procedures alone are not sufficient**; communicate material weaknesses in design/implementation to management and TCWG.
- → **Risk response:** consider assertions not addressable by substantive procedures alone (highly automated processing); controls that if tested reduce substantive work; substantive analytics; **unpredictability**; management override; specific procedures for significant risks. Before conclusion, confirm control risk assessment; deviations → revise and modify substantive procedures.
- → **Reporting:** change in assessed risk? conclusions appropriate? suspicious circumstances?
- → Delegation of powers violated in 5 of 10 claims (TYU 1) → controls not operating → revise CR, RMM, and NTE of substantive procedures.

Internal control — definition, tests of control, scope, limitations

- → **SA 315 definition:** process designed, implemented and maintained by TCWG, management and other personnel for reasonable assurance on reliability of financial reporting, effectiveness and efficiency of operations, safeguarding of assets, compliance with laws.
- → Tests of control needed to support any CR assessment **less than high**; the lower the CR, the more evidence. Consider **how** applied, **consistency** during the period and **by whom**. Observation evidence relates only to the point in time. Different controls at different times → consider each; breakdown for a portion → separate consideration.
- → Scope extends to administrative controls; auditor evaluates only those bearing on reliability of financial records.
- → **Limitations:** cost vs benefit; not directed at unusual transactions; human error; **collusion**; abuse/override by responsible person; management manipulation of transactions or estimates. Gives **reasonable, not absolute** assurance.

Look-alike list	Items	Trigger words → this list
Objectives of IC relating to accounting system (4)	Executed per general/specific authorisation; promptly recorded; assets and records safeguarded from unauthorised access; assets verified at intervals and discrepancies acted on	"objectives of internal control"
Basic accounting control objectives (7)	All transactions recorded; real; properly valued; recorded timely; properly posted; properly classified and disclosed; properly summarised	"limit account balance tests" (TYK 5)
Structure of IC (5)	Segregation of duties; authorisation; adequacy of records and documents; accountability and safeguarding of assets; independent checks	"policies and procedures to achieve objectives"
Components of IC (5)	Control environment; entity's risk assessment process; control activities; information system and communication; monitoring of controls	"components", "framework" (TYK 2)
Elements of control environment (7)	Integrity and ethical values; commitment to competence; participation by TCWG; management's philosophy and operating style; organisational structure; assignment of authority and responsibility; HR policies	"tone at the top", "integrity", "whistle blower oversight"
Control activities (4 categories)	Performance reviews; information processing (application controls and general IT controls); physical controls; segregation of duties	"budget vs actual", "edit checks", "counts compared with records"
Information system — methods and records (5)	Identify and record valid transactions; describe timely for classification; measure value; determine time period; present properly	"infrastructure, software, people, procedures, data"
Monitoring	Ongoing/separate evaluations; management review of bank reconciliations; internal auditors on sales terms; legal department oversight; customer complaints, regulator communications	"whether controls continue to operate over time"

Control activity	SM examples	Do not confuse with
Performance reviews	Actual vs budgets, forecasts, prior period; relating data sets; internal vs external data (TYU 4 — quarterly sales targets)	Monitoring (reviews whether **controls** operate) — performance review reviews **results**
Information processing — application controls	Arithmetical accuracy; maintaining and reviewing accounts and trial balances; **edit checks**; **numerical sequence checks**; manual follow-up of exception reports	General IT controls
Information processing — general IT controls	Program change controls; access to programs/data; new releases of packaged software; system software/utilities that could change data without audit trail	Physical control "authorisation for access to programs and data files"
Physical controls	Physical security of assets; authorisation for access to computer programs and data files; periodic counting and comparison with records	Safeguarding (structure)
Segregation of duties	Different people authorise, record, keep custody	Internal check (wider arrangement of duties)

Entity's risk assessment process — circumstances that create or change risk

Asked: MTP May 2026 S-1 5(b)

→ (a) changes in operating environment; (b) new personnel; (c) new or revamped information systems; (d) rapid growth; (e) new technology; (f) new business models, products, activities; (g) corporate restructurings; (h) expanded foreign operations (forex); (i) new accounting pronouncements.

Examiner's twist: a story lists "new ERP, two new foreign markets, new finance staff, smart appliances, rapid growth, policy changes" and asks for circumstances giving risk → map each to the SM label (c, h, b, e/f, d, i) with one line on IC effect. An MCQ on "edit checks and access authorisation" is information processing (Sep 2025 key D), not physical controls.

Internal check

Asked: Jan 2026 Q2(b)

→ Arrangement of book-keeping and staff duties so that **no one person can carry through a transaction and record every aspect**; built-in device; work of each proved independently or complementary.

List	Items	Trigger words
Objectives of internal check (6)	Detect errors and frauds with ease; avoid and minimise commission; increase efficiency of staff; locate responsibility area; protect integrity by proper scrutiny; prevent misappropriation of cash and falsification	"objectives of internal check"
Effectiveness depends on (4)	Clarity of responsibility; division of work (with rotation); standardisation; appraisal (periodic review, audit flow chart)	"considerations for efficient system"
General conditions (10)	(i) no single person complete control, every action reviewed; (ii) rotation of duties; (iii) leave at least once a year; (iv) custody of assets ≠ access to books; (v) accounting control per class of assets plus periodical inspection; (vi) mechanical devices for cash; (vii) budgetary control, deviations reconciled; (viii) year-end inventory taking: trading suspended if possible, staff from several sections; (ix) powers distributed judiciously and reviewed; (x) periodical verification of accounting records	"violations", "principles of adequate internal check", "purchase head sanctions payments", "storekeeper keeps records"

- → **Segregation (structure):** authorisation; execution; custody; recording. Rotation: fraud not undetected for long; no vested interest; work kept up to date; employee careful.
- → **Evaluation SM points:** SOPs; enterprise risk management; segregation (buyer not involved in receiving or passing bills; BRS by someone other than bank book keeper); job rotation in sensitive areas; delegation of financial powers document; IT-based controls.
- → Effect on risk (Jan 2026 ask): violations weaken control environment and control activities → **control risk high**; promoter's relative, long tenure, no records = conditions for fraud and error → **inherent risk** of misstatement in purchases, payables, inventory rises; combined → RMM high → lower acceptable DR, more substantive work.

Review and evaluation of IC — ICQ, checklist, flow chart

- → Design first, then implementation (exists and used). Improper design may be a material weakness or significant deficiency. Manual elements suit large/unusual/non-recurring transactions, hard-to-predict errors, changing circumstances, monitoring automated controls.
- → Review enables auditor to (i) decide reliance on the system; (ii) locate weak areas to adjust NTE of substantive and compliance procedures (wider debtor confirmation; surprise cash count **after** routine verification).
- → Continuing client: review changes; comprehensive review at interval of, say, **3 years**. ICQ necessary in first year; good practice to re-issue every **third year** even without change. Preliminary evaluation assumes controls operate as described.

Point	Internal control questionnaire	Check list	Flow chart
Nature	Large number of detailed questions per area; "No" usually = weakness	Instructions/questions on main control objectives; reminder to auditor; auditor initials	Graphic, horizontal flow of documents and activities across sections; bird's eye view
Answered by	Company executives (in practice filled in meetings, executive initials)	Auditor/audit staff	Drawn by auditor after review
Weakness signal	"No" shows weakness but not its significance	Specific statement where weakness may be material	Gaps visible (unnumbered salesmen advices, no credit sanction, no pricing check)

Reporting IC weaknesses; SA 265

Asked: Sep 2025 Q6(a); Jan 2026 MCQ CS-I Q6

- → **Material weakness** (SM): absence of adequate controls on flow of transactions increasing possibility of errors and frauds. Communicate to management/audit committee timely, preferably in writing (**letter of weakness / management letter**): lists weaknesses and suggestions; states only weaknesses noticed in audit, examination not designed to determine adequacy of IC; reference document; may minimise legal liability (Re S.P. Catterson & Ltd.). Letter does **not** absolve the duty to qualify.
- → **Deficiency** (TYU 5 ans): control unable to prevent or detect and correct timely, or necessary control missing. Significance depends on **likelihood and potential magnitude**, not on actual misstatement; susceptibility of asset to loss is a factor (uninsured assets).
- → SA 265 adds no responsibility beyond SA 315/330 for understanding IC or testing controls.

To whom	What	Form
TCWG	Significant deficiencies, timely	**In writing**: description and potential effects; context — (i) purpose was opinion on FS; (ii) IC considered to design procedures, **not to opine on IC effectiveness**; (iii) limited to deficiencies identified and of sufficient importance
Management (appropriate level)	(a) significant deficiencies communicated/to be communicated to TCWG — unless inappropriate to tell management directly; (b) other deficiencies not communicated by others and of sufficient importance	(a) in writing; (b) as per SM, of sufficient importance to merit attention

SA 330 — responses

→ Overall responses at FS level; further procedures at assertion level responsive to risk — consider reasons (IR, CR) and obtain **more persuasive evidence the higher the risk**.

→ **Tests of controls when:** auditor expects controls to operate effectively (intends to rely); or substantive procedures alone cannot provide sufficient evidence. More reliance → more persuasive evidence.

→ **Irrespective of risk:** substantive procedures for each **material** class, balance, disclosure.

Examiner's twist: "Auditor's responsibility on internal control" MCQ (Jan 2026) mixes ICFR reporting, significant deficiencies to TCWG and a CARO clause — the CARO option is the odd one. In descriptive, the story is about a fraud loss; ask is "what should the auditor communicate and how" → SA 265 writing + three context statements; mention letter of weakness does not replace qualification.

Frameworks (one line each)

→ Indian benchmark: Appendix 1 of SA 315 (IFC over FR). **COSO** 1992 — 5 components, 17 principles, objectives: operations, reporting, compliance. **CoCo** (CICA) — 20 criteria: purpose, commitment, capability, monitoring and learning. **COBIT** (ISACA) — 34 processes, 210 control objectives, 4 domains. **Turnbull** — directors review IC at least annually. **SOX 404** — auditor gives two opinions: ICFR and FS.

05 Ch 05 — Audit Evidence

Asked: Sep 2025 Q5(b) (SA 505/500 responses received via management) · Jan 2026 MCQ CS-I Q2 (stock count not observed, immaterial, alternatives done → no modification) · Jan 2026 MCQ CS-I Q3 (undisclosed related party loan) · May 2026 Q1(a) (SA 580 + SA 501 legal counsel, SA 705) · May 2026 Q4(a) (SA 500 management's expert — CTO). Also RTP May 2025 Q10 (positive/negative), MTP Jan 2026 2(a) (refusal to confirm + KAM), RTP Jan 2026 Q11 (count instructions).

Selective examination vs audit sampling (opening case)

Point	Selecting specific items	Audit sampling (SA 530)
What	Items above a threshold (₹25 lakh), suspicious items, all RPTs, litigation	Less than 100% of items such that all sampling units have a chance of selection
Projection	Results ***cannot be projected***; no evidence on remainder	Misstatements in tests of details are projected to population
Risk	***Non-sampling risk*** — inappropriate procedures, misinterpretation, failure to recognise misstatement	***Sampling risk*** — conclusion differs from what 100% testing would give

SA 500 — Audit Evidence

Asked: May 2026 Q4(a)

- → Evidence includes accounting records and other information; obtained by risk assessment procedures and further procedures (tests of controls, substantive procedures).
- → ***Relevance*** (logical connection with purpose/assertion; affected by direction of testing) and ***reliability*** (source, nature, circumstances, controls). Generalisations have exceptions — even external evidence may be unreliable.
- → Information produced by entity → evaluate reliability, completeness, accuracy. Inconsistency or doubt → modify/add procedures and consider effect on other aspects.
- → ***Management's expert:*** to extent necessary, having regard to significance — (a) evaluate competence, capabilities, objectivity; (b) understand the work; (c) evaluate appropriateness as evidence for the assertion — findings (consistency, reflected in FS), significant assumptions and methods, significant source data. Sources of info on expert: prior experience, discussions, qualifications, published papers.
- → Threats: self-interest, advocacy, familiarity, self-review, intimidation. Intimidation threat may be less for an engaged expert than an employed one. ***Employee-expert cannot ordinarily be regarded as more objective than other employees.*** Engaged expert: discuss interests (financial, business/personal, other services) and safeguards.
- → MCQ (SM): objectivity likely lesser if expert is ***employed by the entity***. BBNS: actuary assumed 65 retirement age while only a proposal exists → assumption inappropriate → auditor may qualify.

Examiner's twist: CTO with 20 years' service, profit-linked incentives, no market benchmarks, team lacks engineering skill (May 2026). Ask is "rely on CTO?" → SA 500 objectivity threat (employee + incentive) → cannot rely without more; consider auditor's expert (SA 620), SA 540 significant-risk evaluation, range; if unresolved, SA 705.

SA 501 — Inventory, litigation, segment

Asked: Jan 2026 MCQ CS-1 Q2; May 2026 Q1(a); RTP Jan 2026 Q11

- **Objectives:** existence and condition of inventory; **completeness** of litigation and claims; presentation and disclosure of segment information.
- **Inventory material** → attendance at count unless impracticable: (i) evaluate management's instructions and procedures; (ii) observe count procedures; (iii) inspect inventory; (iv) test counts; plus procedures over final inventory records.
- Count at a date other than FS date → procedures on changes between count date and FS date.
- **Third-party custody** (material) → confirmation of quantities and condition, and/or inspection or other procedures. Doubt on third party's integrity (DGGI raid) → other procedures instead of or in addition: attend/arrange another auditor to attend count; another auditor's or service auditor's report on third party's IC; inspect documents (challans, e-way bills).
- Count instructions to correct (SM TYK 6 / RTP): supervisor from finance, not storage in-charge; no movement during count; counters independent of storage, separate counting and recording, serially numbered count sheets, tags; layout plans; quantities by measurement (gauges), not capacity; WIP stage-wise, not plant capacity; damaged/obsolete segregated; sheets signed.

Situation	SA 501 response	Trigger words
Unable to attend due to **unforeseen circumstances**	Make or observe some physical counts on an **alternative date** and perform procedures on **intervening transactions**	"road blocked for a month", "flight cancelled", "agitation" (TYU 2)
Attendance **impracticable**	Alternative procedures (e.g. inspect documentation of subsequent sale of items bought before count); if not possible → **modify opinion** (SA 705, scope limitation)	"location poses threat to safety", "nature and location" — **not** general inconvenience, difficulty, time or cost
Count not observed, balance **immaterial**, alternatives done	No modification (Jan 2026 MCQ key D)	"immaterial", "alternative procedures satisfactory"
Third-party custody	Confirm and/or inspect; integrity doubt → attend, other auditor's report, documents	"job worker", "consignee", "finishing works"

- **Litigation — identify by:** inquiry of management and others incl. in-house legal counsel; minutes of TCWG and correspondence with external counsel; **legal expense account**. Not by inquiry of the opposite party (SM MCQ: inquiry of Mr. X is not a procedure).
- RMM on litigation or procedures indicate material litigation → seek **direct communication with external legal counsel** through a **letter of inquiry prepared by management and sent by the auditor** (TYU 3 — auditor's own letterhead letter is not proper). Letter of specific inquiry: list of litigation; management's assessment and estimate; request to confirm reasonableness and add if list incomplete. Meeting may be sought if significant risk, complex or disagreement.
- Counsel refuses / management refuses permission and no alternative evidence → **modify opinion (SA 705)** (SM integrated case MCQ 2 — key (a), not disclaimer by default, not withdrawal).
- **Written representation:** all known actual or possible litigation and claims disclosed and accounted for — representation alone is not sufficient (May 2026 Q1(a) with SA 580).
- **Segment:** understand methods used by management and perform analytical procedures. Matters: inter-segment sales, transfers, charges and eliminations; comparisons with budgets (operating profit % of sales); allocation of assets and costs; consistency with prior periods and disclosure of inconsistencies.

SA 505 — External Confirmations

Asked: Sep 2025 Q5(b); RTP May 2025 Q10; MTP Jan 2026 2(a)

→ **Procedure:** determine information to confirm; select appropriate confirming party; design requests; send requests incl. follow-ups.

→ **Management refuses** to allow a request: (1) inquire reasons, seek evidence on **validity and reasonableness**; (2) evaluate implications on RMM incl. fraud and on NTE of other procedures; (3) alternative procedures. Refusal **unreasonable** → communicate with **TCWG** and consider implications on the audit and the auditor's opinion. First response = (1) (SM integrated case MCQ 3, key (d)).

→ "Request may be used as proof of liability" (MTP Jan 2026) — test validity of that reason; unilateral write-back of liabilities to other income is itself a risk area.

Point	Positive confirmation	Negative confirmation	Trigger words
Response sought	Confirming party replies directly to the auditor whether it agrees or disagrees (contrast with SM definition of negative; wording as in RTP May 2025 Q10)	Replies **only if it disagrees** (SM)	"respond only if there is a disagreement" → negative
Persuasiveness	More persuasive	Less persuasive; non-response does not show receipt or accuracy; parties more likely to respond when information is not in their favour	
Use as sole substantive procedure	—	Only when all: RMM low and relevant controls effective; large number of small, homogeneous items; **very low exception rate** expected; no known circumstance making recipients disregard	"1,800 small dealer balances", "one old ₹20 lakh balance" (Star Ltd — not suitable for that item)
No reply	Non-response → **alternative procedures**; where positive response is **necessary** and not received → determine implications on audit and opinion	No reply is not evidence of misstatement; examine subsequent payments, correspondence, GRNs	"creditor did not respond"

Result	What the auditor shall do
Doubt on reliability (received indirectly, appears not from intended party, GST registrations cancelled)	Obtain further audit evidence; if unreliable → evaluate implications on RMM incl. **fraud** and NTE of other procedures. All responses carry risk of interception, alteration, fraud — paper or electronic.
Exception (debtor says ₹14.90 lakh vs ₹15.50 lakh)	**Investigate** to determine whether indicative of misstatement (may be timing, in-transit, disputed) — not automatically a misstatement.
Non-response	Alternative audit procedures.

Examiner's twist: SM MCQ — confirmation "signed by the plant manager" is unreliable (not the appropriate confirming party). Sep 2025: responses collected by the company's staff and handed over → received indirectly → doubt on reliability → further evidence and fraud-risk evaluation; not "accept since signed".

SA 510 — Initial Audit Engagements: Opening Balances

- → **Initial engagement:** prior period FS not audited, or audited by predecessor.
- → **Objectives:** whether opening balances contain misstatements materially affecting current FS; whether accounting policies consistently applied and changes properly accounted, presented, disclosed.
- → **Procedures:** read most recent FS and predecessor's report; prior closing balances correctly brought forward; opening balances reflect appropriate policies; perform procedures on opening balances; misstatement found → communicate with management/TCWG.
- → **Inventory:** current closing-stock work gives little evidence on opening — observe current count and reconcile back; procedures on valuation of opening items; gross profit and cut-off (TYU 6 — prior year unaudited).
- → SM MCQ: "ascertaining whether predecessor attended the count" is **not** an SA 510 procedure.

Conclusion	Opinion
Unable to obtain evidence on opening balances	Qualified / disclaimer
Opening balances misstated, not properly accounted/presented/disclosed	Qualified / adverse
Policies not consistently applied or change not properly accounted	Qualified / adverse
Predecessor's modification relevant and material to current period	Modify current report

SA 530 — Audit Sampling

- → **Objective:** reasonable basis to draw conclusions about the population.
- → Design: purpose of procedure and characteristics of population; sample size reduces sampling risk to acceptably low level; each unit has a chance of selection.
- → Procedure not applicable to an item → **replacement item**. Unable to apply designed procedure → treat as **deviation** (tests of controls) or **misstatement** (tests of details).
- → Investigate nature and cause; anomaly → procedures for **high degree of certainty** it is not representative; project misstatements (tests of details); evaluate results and whether sampling gave reasonable basis. If not: request management to investigate and adjust; or tailor NTE (extend sample, test alternative control, modify substantive procedures).
- → TYU 7: erroneous conclusion that controls are less effective / that misstatement exists → affects **efficiency** (additional work).

SA 550 — Related Parties

Asked: Jan 2026 MCQ CS-1 Q3

- → Expands SA 315, SA 330, SA 240 for RPs. **Objectives:** understand RPTs to recognise fraud risk factors and conclude whether FS achieve true and fair presentation / are not misleading; evidence that RPTs are properly identified, accounted, disclosed.
- → **Requirements:** risk assessment; understanding relationships and transactions; alertness when reviewing records; **share RP information with the team**; assess RMM; respond.
- → Team discussion: independent identification (MBP-1, MCA data); skepticism; SPEs, complex structures, off-balance sheet; management override.
- → **Written representation:** all RPs and RPTs disclosed to auditor; properly accounted and disclosed. **TCWG:** significant matters on RPs. **Documentation:** names of RPs and nature of RPTs.

Situation	Auditor shall	Trigger words
Previously unidentified / undisclosed RP or RPT	*Determine whether circumstances confirm existence; promptly communicate to team (reassess RMM); request management to identify all transactions with new RP; inquire why controls failed; substantive procedures; reconsider other undisclosed RPs;* ***intentional*** *non-disclosure → SA 240, re-evaluate reliability of management's responses and representations*	*"agency paid ₹20 crore, promoter infuses ₹5 crore", "director's relative's firm", "loan not disclosed"*
Significant RPT outside normal course of business	*Inspect contracts:* ***business rationale*** *(or lack), terms consistent with management's explanations, properly accounted and disclosed; evidence of authorisation and approval*	*"sold blanket machinery to a floor-covering company" (TYU 8 — no rationale; may be fraud risk factor even at market price)*

→ ***Fraud risk factors*** *(Case Study 2): incentive/pressure (financial difficulty, lifestyle, equity to fund); opportunity (foreign partner's dependence, SRA model, dominant MD → override). SM MCQ: "floating of a new SPV itself" is not a fraud risk factor; most important red flag = undisclosed RP relationships to siphon funds.*

→ *Likelihood of misappropriation established → reassess reliability of evidence; professional and legal reporting responsibilities; consider withdrawal where legally permitted; discuss reasons with management/TCWG.*

Examiner's twist: *Jan 2026 MCQ — RP loan not disclosed: first assess whether it causes a material misstatement and ask management to disclose; jumping to "adverse opinion" or "report to ROC" is the trap. In a descriptive, a "market rate" sale between group companies still needs business rationale from the RP's perspective.*

⑩ Ch 10 – Review of Financial Information

Asked: Sep 2025 Q3(c) SRE 2410 objective (4) · Sep 2025 Q6(b) SRE 2410 written representations (5) · Jan 2026 Q2(c) SRE 2400 analytical procedures (4) · May 2026 Q4(b) SRE 2400 written reps not provided (5) · Nov 2024 Q1(c) SRE 2400 preconditions (4)

1 What is a review · 1.1 Standards on Review Engagements

→ "Review" = **limited assurance** engagement: engagement risk reduced to a level acceptable in the circumstances but **greater than** for reasonable assurance; evidence at least sufficient for a **meaningful** level of assurance (likely to enhance intended users' confidence).

→ Fewer procedures than audit, yet **sufficient appropriate evidence** is still gathered; limited conclusions drawn. Subject matter = historical financial information, as in an audit.

→ Two SREs: **SRE 2400** Engagements to Review Historical Financial Statements; **SRE 2410** Review of Interim Financial Information Performed by the Independent Auditor of the Entity. SREs are Engagement Standards → firm is subject to **SQC 1**.

SRE 2400 vs SRE 2410 — the first filter in every review question

Point	SRE 2400	SRE 2410	Trigger words → which one
Who performs	Practitioner who is **not the auditor** of the entity's FS	**Independent auditor** of the entity (audit client)	"also statutory auditor", "quarterly results of listed co. (SEBI Reg 33)" → 2410; "lender / contract / not the auditor" → 2400
Subject	Historical FS (general or special purpose framework)	Interim financial information: complete or condensed set for a period **shorter than the financial year**	"quarter", "half-year", "interim" + auditor → 2410
Assurance wording	Limited assurance	Reduce to a **moderate level** the risk of an inappropriate conclusion	"moderate level" → 2410 objective
Main procedures	Primarily **inquiry and analytical procedures**; additional procedures if FS may be materially misstated	Inquiries (primarily of persons responsible for financial and accounting matters), **analytical and other review procedures**	"other review procedures" → 2410
Understanding	Obtain understanding of entity, environment and framework	**Updates** understanding from prior audit (reads prior audit/review documentation etc.)	"already well-versed, update" → 2410
Report	Practitioner's report; Conclusion paragraph; reference to SRE 2400	Review report; statement that review done per SRE 2410; membership no. + FRN	Both: UDIN required

2.1 SRE 2400 objectives

→ (a) Obtain limited assurance, primarily by inquiry and analytical procedures, whether FS as a whole are free from material misstatement → express conclusion whether anything has come to attention that FS are not prepared, in all material respects, per AFRF.

→ (b) Report on FS as a whole and communicate. When limited assurance cannot be obtained and a modified conclusion is insufficient → **disclaim** or, where appropriate, **withdraw** (if possible under law).

→ SM TYU 1: FS under a contract's reporting provisions (special purpose framework) **can** be reviewed under SRE 2400.

2.2 Acceptance — do NOT accept (unless required by law) if

Asked: Nov 2024 Q1(c)

→ (a) Not satisfied: (i) **rational purpose** exists — no rational purpose if significant scope limitation, suspected inappropriate association of name, or **law requires an audit**; (ii) review is **appropriate** — may recommend audit, or compilation/other accounting service.

→ (b) Ethics incl. **independence** will not be satisfied. (c) Information likely unavailable or unreliable. (d) Doubt on management integrity likely to affect review. (e) Management/TCWG impose a scope limitation that will result in a **disclaimer**.

2.3 Preconditions

Asked: Nov 2024 Q1(c)

→ (a) Framework acceptable (for special purpose FS: understand purpose and intended users).

→ (b) Management acknowledges responsibility for: (i) preparation per AFRF incl. fair presentation; (ii) internal control necessary for FS free from material misstatement (fraud or error); (iii) providing **access** to all information, **additional information** requested, **unrestricted access to persons**.

→ Not satisfied → discuss with management/TCWG → if no change, do not accept unless law requires; then engagement **does not comply** with SRE → **no reference** to SRE in report.

→ Discovered after acceptance → discuss and determine: (a) can it be resolved; (b) continue?; (c) whether and how to communicate in report.

2.4 Terms; materiality; procedures

→ Terms agreed **prior** to performing; recorded in engagement letter or other written form. Recurring: evaluate revision, remind. Request to change to a **no-assurance** engagement → only with **reasonable justification**; new terms recorded in writing.

→ **Materiality:** determined for FS as a whole; judgment of materiality is the **same regardless of level of assurance**; revise if information would have caused a different amount.

→ Design inquiry and AP (a) to address **all material items incl. disclosures**; (b) focus on areas where misstatements are likely. May read a significant contract — other procedures do not change the limited-assurance objective.

Inquiry vs analytical procedures in a review (SRE 2400)

Asked: Jan 2026 Q2(c)

Inquiry — importance	Analytical procedures — assist the practitioner in
Often the **principal source** of evidence about **management intent**; if support for intent is limited, look at management's past history of carrying out intentions, stated reasons, and ability to pursue the action. Professional skepticism in evaluating responses. Also helps obtain/update understanding to identify areas of likely misstatement. Inquiries cover: estimates, related parties, significant/complex/unusual transactions, fraud, subsequent events, going concern basis, commitments/contingencies, non-monetary or no-consideration transactions; may include meetings of owners/TCWG, regulator communications, non-financial data.	(1) Obtaining or updating understanding of entity and environment to identify areas of likely misstatement; (2) identifying **inconsistencies or variances** from expected trends, values or norms (congruence with key data incl. KPIs); (3) providing **corroborative evidence** for other inquiries/AP; (4) serving as **additional procedures** when FS may be materially misstated (e.g. comparing monthly revenue and cost across profit centres/branches). Consider whether accounting data is adequate for AP.

Examiner's twist: The Jan 2026 question spent the story on "unlike an audit, a review relies on inquiry and AP" and asked only how **AP assist**. Write the four AP points, not the inquiry list. If asked "why inquiry is important", lead with "principal source of evidence about management intent".

Specific circumstances (SRE 2400)

- **Related parties:** stay alert for undisclosed RPs; significant transactions outside normal course → inquire nature, RP involvement, business rationale.
- **Fraud / NOCLAR:** communicate to appropriate senior management or TCWG; request management's assessment of effects; consider effect on conclusion; determine any duty to report outside the entity.
- **Going concern:** inquire plans and feasibility and whether they will improve the situation; evaluate responses (basis for GC presentation / FS misstated or misleading); consider in light of all information.
- **Work of others:** take steps to be satisfied that work of other practitioner/expert is adequate. Group review → procedures directed at group FS.

Additional procedures when FS may be materially misstated

- Design additional procedures to (a) conclude matter **not likely** to cause material misstatement, or (b) **determine** it does cause material misstatement.
- May be more detailed inquiry/AP, or **other types: substantive tests of details, external confirmations**.
- SM receivables example: past-due debts, no allowance → inquiry → (a) not misstated: stop; (b) misstated: stop, conclude FS materially misstated; (c) still doubtful → request analysis of **after-date receipts**. If neither (a) nor (b) reached → **scope limitation** → no unmodified conclusion.

Subsequent events (SRE 2400)

- Events up to report date needing adjustment/disclosure → request management to correct.
- **No obligation** to perform procedures after report date. Fact known after report date but before issue → discuss; determine if amendment needed; inquire how management will address. Report already given and no amendment → notify management and TCWG not to issue to third parties; issued anyway → act to **prevent reliance**.

Written representations — SRE 2400 vs SRE 2410

Asked: Sep 2025 Q6(b); May 2026 Q4(b)

SRE 2400 (non-auditor reviewer)	SRE 2410 (auditor reviewing interim)
Mandatory: (a) management fulfilled responsibility for preparation incl. fair presentation and gave all information and access; (b) **all transactions recorded**. **Also disclosed:** related parties; frauds/suspected frauds; NOCLAR; going concern information; subsequent events adjusted/disclosed; material commitments/contingencies; material non-monetary/no-consideration transactions. Public statements by management required by law may cover some reps.	Management: (a) responsible for design and implementation of IC to prevent and detect fraud and error; (b) interim FI prepared and presented per AFRF; (c) **uncorrected misstatements immaterial** (summary attached); (d) disclosed frauds/suspected frauds; (e) disclosed **results of its fraud risk assessment**; (f) disclosed actual/possible NOCLAR; (g) disclosed significant subsequent events **up to date of review report**.

- **Reps not provided (SRE 2400):** (a) discuss with management/TCWG; (b) **re-evaluate integrity** and effect on reliability of oral/written reps and evidence; (c) take actions incl. effect on conclusion.
- **Disclaim or withdraw** (if permitted by law) if: (a) doubt on integrity makes reps unreliable; or (b) the **responsibility reps** (preparation of FS; all transactions recorded) are not given.

Examiner's twist: Sep 2025 Q6(b) said management "merely stated" interim FI is prepared per AFRF — that is only rep (b). The ask is the **full SRE 2410 list (a)–(g)**. Do not write the SRE 2400 list for an interim review by the auditor; the "uncorrected misstatements immaterial" and "fraud risk assessment results" points belong to 2410.

Evidence, scope limitation and withdrawal (SRE 2400)

- → Evidence insufficient → extend work or other procedures; if impracticable → effect on report or on ability to complete (e.g. management member unavailable for inquiries on significant matters). Discuss limitation with management/TCWG.
- → **Inability to perform a specific procedure ≠ scope limitation** if evidence is obtained by other procedures.
- → **Withdraw** when all three: (a) scope limitation imposed by management **after acceptance** → no sufficient evidence; (b) possible effects **material and pervasive**; (c) withdrawal possible under law.
- → Forming conclusion: consider uncorrected misstatements (this **and previous year's** review), qualitative aspects incl. management bias; for fair presentation framework, overall presentation and whether FS achieve fair presentation.

SRE 2400 conclusions — the modification grid

Situation	Material, not pervasive	Material and pervasive	Key words in the paragraph
FS materially misstated	**Qualified**: "except for the **effects** of the matter(s)..."	**Adverse**: "due to the significance... FS do not give a true and fair view / are not prepared..."	Basis para: quantify effects (unless impracticable — say so); explain misstated narrative; describe omitted info and include it where practicable
Unable to obtain sufficient appropriate evidence	**Qualified**: "except for the **possible effects**..."	**Disclaimer**: unable to obtain evidence; "does not express a conclusion"	Basis para: reasons for the inability
Unmodified (no modification needed)	"Based on our review, nothing has come to our attention that causes us to believe that the FS do not give a true and fair view..." (fair presentation framework)	"...are not prepared, in all material respects, in accordance with the AFRF" (compliance framework)	Negative form of words

- → Headings: "Qualified Conclusion / Adverse Conclusion / Disclaimer of Conclusion"; basis paragraph **immediately before** the conclusion paragraph.
- → **EOM** (matter presented/disclosed, fundamental to understanding; only if evidence shows it is not likely materially misstated) — immediately **after** conclusion. **OMP** — matter not presented/disclosed, relevant to understanding of review/responsibilities/report.
- → Other reporting responsibilities → separate section "Report on Other Legal and Regulatory Requirements" after "Report on the Financial Statements".

SRE 2400 report elements (a)–(m)

- → Title (independent practitioner, review engagement) · addressee · introductory para (FS identified, policies referred, FS reviewed) · management responsibility (preparation, IC) · special purpose FS: purpose/intended users; choice of frameworks → responsibility to determine acceptability · practitioner's responsibility incl. reference to SRE · **description of a review and its limitations** · Conclusion para (with framework) · modified: conclusion + basis paragraphs · reference to **ethical requirements** · **date** · signature · place.
- → Three limitation statements: (1) limited assurance engagement; (2) procedures primarily inquiries of management and others and AP, and evaluation of evidence; (3) procedures **substantially less** than an audit → no audit opinion.
- → **Date** no earlier than sufficient evidence obtained, incl. all statements and notes prepared and those with authority have taken responsibility.
- → **Documentation** (sufficient for an experienced practitioner with no previous connection): NTE of procedures; results and conclusions; significant matters and judgments; **who performed and date**; **who reviewed, period and extent**; discussions with management/TCWG; how inconsistencies were addressed.

2.8 Audit vs Review

Point	Audit	Review
Assurance	Reasonable	Limited (lower than reasonable)
Procedures	Elaborate: tests of controls + substantive procedures	Fewer: primarily inquiry and AP
Conclusions	Reasonable conclusions on sufficient appropriate evidence	Limited conclusions on sufficient appropriate evidence
Output	**Opinion**, positively worded	**Conclusion**, negatively worded

Examiner's twist: "A review gathers less evidence, so sufficient appropriate evidence is not required" is **false** — SM: review gathers sufficient appropriate evidence; it is the **level of assurance** and volume of procedures that differ.

3.1 SRE 2410 objective

Asked: Sep 2025 Q3(c)

- → Enable the auditor to express a conclusion whether, on the basis of the review, anything has come to attention that interim FI is not prepared, in all material respects, per AFRF.
- → Inquiries + analytical and other review procedures to reduce to a **moderate level** the risk of an inappropriate conclusion.
- → Differs significantly from an audit: no basis for true and fair opinion; not designed for reasonable assurance; may bring significant matters to attention but **does not provide all evidence** required in an audit.

3.2–3.4 Terms, understanding, procedures (SRE 2410)

- → Terms ordinarily in an engagement letter: objective and scope, management's responsibilities, extent of auditor's responsibilities, assurance obtained, nature and form of report.
- → **Update understanding** (ordinarily): read prior year audit and prior interim review documentation; significant risks incl. **management override**; read latest annual and comparable interim FI; materiality for interim FI; corrected material and uncorrected immaterial misstatements of prior year; continuing matters like material weaknesses; current-year audit results; internal audit results; inquire management on fraud risk assessment, business changes, IC changes, preparation process and reliability of records. **Recently appointed** auditor (no annual audit yet) → obtain understanding for both annual and interim.
- → Ordinarily **no tests** of records through inspection, observation or confirmation. Procedures: read minutes; effect of prior modifications/adjustments; communicate with other auditors of significant components; inquiries (changes in policies, new transactions, uncorrected misstatements, business combinations, fair value assumptions, RPTs, commitments, contingent liabilities, **debt covenants**, transactions in last/first several days, fraud knowledge/allegations, NOCLAR); AP to identify unusual items; read interim FI.
- → **Lawyer:** ordinarily not necessary to send inquiry letter; direct communication appropriate if a matter raises doubt and lawyer may have information.
- → Agree/reconcile interim FI to general ledger or consolidating schedule and other data.
- → **Subsequent events:** inquire whether management identified all events **up to the date of the review report**; no other procedures needed for events after report date.
- → **Going concern:** inquire whether management changed its assessment; if doubt → inquire plans, feasibility, outcome; consider adequacy of disclosure. Ordinarily **not necessary to corroborate** feasibility of plans.
- → Matter questioning a material adjustment → additional inquiries/procedures (e.g. discuss sales terms with marketing/accounting; read the contract).
- → Evaluate uncorrected misstatements **individually and in aggregate**.

3.7 Accompanying (other) information

→ Read for **material inconsistency**: amendment needed in interim FI and refused → implications for report. Amendment needed in other information and refused → additional paragraph in report, or withhold report, or withdraw. Example: alternative earnings measures given excessive prominence.

→ **Material misstatement of fact** → discuss; consider whether to ask management to consult a qualified third party; refused → notify TCWG, obtain **legal advice**.

3.8 Communication ladder (SRE 2410)

Step	Material adjustment needed	Fraud / NOCLAR
1	Appropriate level of management, as soon as practicable (oral or written; oral → document)	Appropriate level of management as soon as practicable; level depends on likelihood of collusion/management involvement
2	No appropriate response in reasonable period → **TCWG**	Consider reporting to TCWG; consider implication for review
3	TCWG no appropriate response → consider (a) **modify report**; (b) **withdraw** from engagement; (c) **resign from appointment to audit annual FS**	—

Examiner's twist: SM TYU 4 (CA Seerat): CFO and audit committee both silent. The scoring line is the three options including **resigning as statutory auditor** — that option exists only under SRE 2410 because the reviewer is the auditor. It does not exist in SRE 2400.

3.9 SRE 2410 report contents

→ Title · addressee · identification of interim FI (each statement, date and period) · management responsibility ("preparation **and fair presentation**" if complete set of GPFS under fair presentation framework; otherwise "preparation and presentation") · auditor responsible for **conclusion** · review done per **SRE 2410** + consists of inquiries and analytical and other review procedures · review **substantially less in scope** than an audit, no assurance of becoming aware of all significant matters, **no audit opinion** · conclusion (true and fair wording for complete GPFS under fair presentation; otherwise "not prepared, in all material respects") · date · place · signature with **membership number** · **FRN**. **UDIN** for both SRE 2400 and 2410.

→ SM integrated case (SEBI Reg 33, Ind AS 34): addressee **Board of Directors**; "Our responsibility is to express a **conclusion**"; SRE 2410; "substantially **less in scope** than an audit... might be identified in an **audit**"; negative-form conclusion.

3.10–3.12 Modified review report (SRE 2410)

Situation	Report	Trigger words
Departure from AFRF, not corrected	Qualified (explanatory para; nature and, if practicable, effects; include missing disclosure where practicable); **adverse** if so material and pervasive that qualification is inadequate	"material adjustment should be made"
Scope limitation known before acceptance	**Do not accept**	"preliminary knowledge"
Management imposes limitation after acceptance	Request removal → refused → cannot complete; communicate reason **in writing** to management and TCWG; still communicate material-adjustment matters; if law requires a report → **disclaim** + reason (+ material adjustment matter)	"management refuses access", "regulation requires a report"
Other limitation (not management)	Ordinarily cannot complete; **rare**: confined, material not pervasive → "except for" in scope statement and **qualified** conclusion	"records destroyed for one location"
Prior year audit qualified for scope	Consider whether limitation still exists and implications	"last year's qualified opinion"
GC material uncertainty **adequately disclosed**	Add **Emphasis of Matter** paragraph (continued uncertainty also highlighted)	"fire, uninsured, disclosed appropriately" (TYU 3)
GC material uncertainty **not adequately disclosed**	**Qualified or adverse**, with specific reference to the uncertainty	GAK Ltd (TYK 6)

Examiner's twist: "Can CA Reena give a clean report if disclosure is made?" — not "clean" in the sense of no paragraph: SRE 2410 says the auditor **modifies the review report by adding an EOM paragraph**. The conclusion itself stays unmodified; say both.

3.13 Other considerations · 3.14 Documentation

- → Terms include management's agreement that if a document says FI was reviewed by the auditor, the **review report will be included**. Not included → consider **legal advice**. Modified report omitted → legal advice + possibility of **resigning** as auditor.
- → Condensed interim FI presumes users have the latest audited FS (listed entities); otherwise discuss a statement "to be read with latest audited FS"; absent it → is it misleading?
- → Documentation sufficient to support conclusion and show compliance with SRE 2410 and law.

Beyond the SM (practical): the quarterly "limited review report" filed by listed companies under SEBI Reg 33 is an SRE 2410 report by the statutory auditor.

08 Ch 8 — Specialised Areas (SA 800, 805, 810)

Asked: Sep 2025 Q5(a) SA 810 procedures (5) · Jan 2026 Q4(a) SA 810 report when audit opinion qualified / adverse (5) · May 2024 Q1(c) SA 810 applied criteria (4) · MTP Nov 2026 SA 805 receivables for drawing power (4)

SA 800 vs SA 805 vs SA 810 — which SA is asked

Point	SA 800	SA 805	SA 810
Deals with	Audit of FS under **special purpose framework**	Audit of a **single FS** or a **specific element, account or item**	Report on **summary FS** derived from FS audited by **that same auditor**
Engagement	Audit (reasonable assurance, SA 700 opinion)	Audit; adapt all relevant SAs	Not a fresh audit; procedures to compare/evaluate summary vs audited FS
Opinion wording	SA 700 (true and fair / present fairly / prepared in accordance)	Form depends on framework; consider "presents fairly / true and fair" acceptability	"**consistent, in all material respects, with**" or "**a fair summary of**" the audited FS, per applied criteria
Who may do it	Any auditor (also the statutory auditor — TYU 1)	Any auditor; harder if not auditing complete set (practicability)	**Ordinarily only** the auditor of the underlying FS
Trigger words	"cash basis", "regulator's provisions", "bond indenture / loan agreement / grant", "contract"	"cash flow statement only", "trade receivables schedule", "inventory", "net tangible assets", "bonus schedule"	"abridged", "summary", "derived from audited FS", "AGM brochure"

→ Element in a special purpose framework → apply **both SA 800 and SA 805** (TYU 3). SA 805 does **not** apply to a component auditor's report for group audit. SA 800/805 do not override other SAs.

2.1 Special purpose framework

→ Framework designed to meet financial information needs of **specific users** (vs general purpose — common needs of a **wide range** of users). May be fair presentation or compliance framework.

→ Examples: **cash basis** and cash flow information for creditors; **regulator's provisions**; **contract** provisions (bond indenture, loan agreement, project grant).

2.2–2.3 SA 800 acceptance, planning, performance

→ Intended users' information needs = key factor in framework acceptability. Standards by an authorised/recognised organisation with transparent process → **presumed acceptable**; regulator-prescribed → presumed acceptable absent contrary indications; supplemented by law → SA 210 conflicts check. Contract framework → test the **attributes** of acceptable frameworks; relative importance is judgment (very prudent receivable allowances agreed by buyer and seller — not neutral, still acceptable for their needs).

→ SA 320: materiality based on **intended users'** needs. SA 315: understand **significant interpretations of the contract** (significant = another reasonable interpretation would give a material difference).

→ Management-users agreed threshold below which misstatements are not corrected → **does not relieve** the auditor from determining materiality per SA 320.

→ SA 260: persons overseeing special purpose FS may differ from TCWG for GPFS.

2.4–2.6 SA 800 reporting

→ Apply SA 700. Contract basis → evaluate whether FS adequately describe **significant interpretations** of the contract.

→ Report also: (a) **purpose** and, if necessary, intended users (or refer to note); (b) management's choice of frameworks → responsibility for **determining framework acceptable**; (c) if KAMs communicated → **SA 701 applies in its entirety**; (d) SA 720 applies where a report to owners/similar stakeholders accompanies the FS ("similar stakeholders" includes the specific users); (e) **OMP** may refer to the report on GPFS (e.g. its Material Uncertainty Related to Going Concern section).

Alert vs restriction	Required?	Content
Alert on basis of accounting	**Required** — Emphasis of Matter paragraph in a separate section headed with "Emphasis of Matter" (SA 706)	FS prepared under a special purpose framework; may not be suitable for another purpose
Restriction on distribution or use	**Optional** — auditor "may consider it appropriate", subject to law	Report intended solely for specific users; not to be distributed to/used by others; alert para expanded and heading modified

Examiner's twist: A story about a loan-agreement audit, then "how will she ensure the report is not misused?" (TYU 2) → answer is **restriction on distribution or use**, with the draft para ending "Our opinion is not modified in respect of this matter". Students write only the alert; that is the half that was already in the draft.

3 SA 805 — single FS and elements

Asked: MTP Nov 2026 S-II 1(c)

→ **Single FS**: e.g. cash flow statement. **Element**: element, account or item — e.g. trade receivables, cash and bank. Both include related notes.

→ SM examples of elements: receivables, allowance for doubtful debts, inventory, pension benefit liability, intangibles, IBNR claims; schedules of externally managed pension assets, **net tangible assets**, disbursements on lease property, profit participation or **employee bonuses**.

→ **Acceptance:** SA 200 compliance applies whether or not auditor audits the complete set. If not auditing the complete set → determine whether audit per SAs is **practicable** (less understanding of entity/IC; no evidence on general quality of records; may need further corroboration). Certain SAs may be **disproportionate** (SA 570 for a receivables schedule). Not practicable → discuss another type of engagement.

→ Framework acceptability includes whether presentation gives **adequate disclosures** for users to understand the information and effect of material transactions.

→ **Planning/performing:** adapt all relevant SAs. **SA 240, SA 550, SA 570** relevant in principle even for one element (fraud, RPTs, going concern basis). Interrelated items → procedures beyond the element. **Materiality may be lower** than for complete set → affects NTE and uncorrected misstatements. May use evidence from the complete-set audit.

→ **Form of opinion** (agreed in terms per SA 210): factors for "presents fairly / true and fair" — whether framework is restricted to complete sets; whether the statement/element complies fully with relevant requirements with disclosures; whether extra disclosures or departures are needed; general acceptance in the jurisdiction.

Examiner's twist: MTP: bank wants a report on ₹18 crore receivables for drawing power; the auditor already audits the complete set. The ask is "planning and performing considerations" — not acceptance. Score: adapt all SAs; SA 240/550/570 relevant; interrelated items; **lower materiality**; may use evidence from the main audit but still plan for sufficient evidence on the element; separate opinion.

3.6 SA 805 forming opinion and reporting

→ Apply SA 700 (and SA 800 when applicable), adapted. Going concern descriptions adapted. **KAM**: SA 700 requires KAMs per SA 701 for audits of complete sets of GPFS of **listed entities**. SA 720 applies where a report to owners accompanies the statement/element. Signed in personal name (and firm name), membership number, FRN.

→ With complete-set audit → **separate opinion for each engagement**. Published together → presentation must be differentiated; else ask management to rectify; **do not issue** until satisfied.

→ Report on complete set contains modified opinion, EOM/OMP, MURGC section, or uncorrected misstatement of OI → consider implications. Factors: nature of matter and relation to the element; pervasiveness; framework differences; period differences; time elapsed. (Qualification on receivables → likely implications for receivables audit; on long-term debt classification → less likely for P&L or receivables.) May refer in **OMP** even if no implications.

Adverse/disclaimer on complete set — can you give an unmodified opinion on…	Answer
…an element, in the **same** report	**No** — SA 705 does not permit (would contradict)
…an element, in a **separate** audit	**Yes, only if** (a) not prohibited by law; (b) report **not published together** with the adverse/disclaimer report; (c) element is **not a major portion** of the complete set
…a **single FS** (e.g. P&L), even separate and not published together	**No** — a single FS is deemed a major portion
Disclaimer on results of operations and cash flows + unmodified on state of affairs in the complete-set report	**Permitted** — disclaimer is not on FS as a whole

4 SA 810 — summary FS

Asked: Sep 2025 Q5(a); Jan 2026 Q4(a); May 2024 Q1(c)

→ Summary FS: historical information **derived from** FS with less detail, still a structured representation consistent with the FS.

→ Accept **ordinarily only** if engaged to audit the underlying FS (else lacks knowledge).

→ **Before accepting:** (a) applied criteria acceptable; (b) management acknowledges responsibility to (i) prepare per applied criteria, (ii) make audited FS **available without undue difficulty** (or describe the law that says otherwise), (iii) include auditor's report in any document with summary FS that says auditor reported; (c) agree **form of opinion**.

→ **Applied criteria factors:** nature of entity; purpose of summary FS; information needs of intended users; whether criteria result in summary FS that are **not misleading**. Criteria set by recognised body or law → may presume acceptable; else developed by management (industry practice).

→ Criteria unacceptable or no agreement → do not accept unless law requires; then not "in accordance with SA 810"; mention in terms; consider effect on the main audit. Disclosure example title: "Summary financial statements prepared from the audited financial statements for the year ended March 31, 20XX".

→ "Without undue difficulty" factors: summary FS say from whom/where audited FS available; audited FS on public record; process for ready access.

4.3 SA 810 procedures (a)–(g)

Asked: Sep 2025 Q5(a)

→ (a) Adequately disclose **summarised nature** and identify audited FS. (b) Not accompanied by audited FS → describe clearly from whom/where available, or the law. (c) Adequately disclose **applied criteria**. (d) **Compare** — agree with or can be **re-calculated** from audited FS. (e) Prepared per applied criteria. (f) Contain necessary information at appropriate **aggregation** so as not to be misleading. (g) Audited FS available without undue difficulty.

4.4–4.5 SA 810 opinion and report

→ Unmodified: "consistent, in all material respects, with the audited FS, per applied criteria" **or** "a fair summary of the audited FS, per applied criteria". Law prescribes different wording → apply procedures; evaluate whether users might misunderstand; additional explanation cannot mitigate → do not accept (unless law requires; then no SA 810 reference).

→ Elements (a)–(m): title (independent auditor) · addressee (different from main report → evaluate: terms, nature of entity, purpose) · identification of summary FS (page numbers if in a larger document) · identification of audited FS · opinion · statement: summary FS do not contain all disclosures; reading them is **not a substitute** for reading audited FS and report · if required, statement that neither reflects **events after the date of the audit report** · **reference to the audit report, its date and that an unmodified opinion was expressed** · management responsibility (per applied criteria) · auditor responsibility (per SA 810) · signature, FRN, membership no., **UDIN** · date · place.

→ **Date** no earlier than (i) sufficient evidence incl. summary FS prepared and responsibility taken; and (ii) **date of the audit report** on audited FS. Dated later → state that summary FS and audited FS do not reflect subsequent events (TYU S: 15 June / 15 July). No need for additional audit evidence on audited FS. Facts that existed at audit-report date found later → do not issue until SA 560 consideration completed.

4.6 SA 810 — what the summary report adds when the audit report is modified

Asked: Jan 2026 Q4(a)

Audit report on audited FS contains	Summary FS report — opinion	Summary FS report — add
Qualified opinion, EOM, OMP, MURGC, KAM, or uncorrected misstatement of OI (and summary is consistent/fair summary)	Unmodified opinion on summary FS possible	(a) State that audit report includes that item; (b) describe: basis for qualification and effect on summary FS / the EOM-OMP-MURGC matter and effect / the OI misstatement and effect on information in the document
Adverse opinion or **disclaimer**	**No opinion** — inappropriate to express one	State audit report has adverse/disclaimer; describe its basis; state that as a result it is inappropriate to express an opinion on summary FS
(Summary FS itself) not consistent / not fair summary and management will not change	**Adverse** opinion on summary FS	—

Examiner's twist: Three different "adverse" situations sit close together. Adverse **on the audited FS** → no opinion on summary FS. Summary FS **itself** inconsistent → adverse opinion on summary FS. SA 805: adverse on complete set → separate element opinion possible only with three conditions. Read whose report is adverse.

4.7–4.12 Other SA 810 rules

→ ***Restriction/alert*** *in audit report → include similar restriction or alert in summary report.*

→ ***Comparatives*** *omitted → reasonable? effect if unreasonable. Comparatives reported by* ***another auditor*** *→ include SA 710 matters.*

→ ***Unaudited supplementary information*** *not clearly differentiated → ask management to change; refused → explain in report that it is* ***not covered***.

→ ***Other information in document***: *read; material inconsistency → discuss; refused → appropriate action incl. implications for report.*

→ ***Association***: *document says auditor reported but omits report → request inclusion; else prevent inappropriate association. Auditor not engaged on summary FS but referred to → reference only in context of audit report and no impression of reporting on summary FS; else request change/deletion or engagement; else advise disagreement and act.*

→ *SM case (mutual fund abridged FS under SEBI format): criteria* ***may be presumed acceptable***; *responsibility para cites SA 810; opinion "fair summary of those FS, and in accordance with the accounting policies and standards specified in SEBI regulations and GAAP in India to the extent applicable";* ***KAM*** *usually not an element of the summary report.*

11 Ch 11 – Prospective Financial Information and Other Assurance Services

Asked: Jan 2026 Q6(c) SAE 3400 duties (4) · May 2026 Q6(a) SAE 3400 matters for NTE of procedures (5) · MTP Nov 2026 SAE 3400 duties (4) · May 2025 Q1(c) SAE 3420 source and pro forma adjustments (4) · RTP May 2024 SAE 3402 type 2

1.1 Standards on Assurance Engagements

- → Subject matter other than historical FS: PFI, or non-financial matters like design and operation of internal control. SM: "level of assurance provided by these SAEs is **moderate**" (but see SAE 3402 and 3420 below — both stated as reasonable assurance).
- → SAE 3400 Examination of PFI · SAE 3402 Assurance Reports on Controls at a Service Organisation · SAE 3420 Assurance Engagements to Report on the Compilation of Pro Forma FI Included in a Prospectus.

2 SAE 3400 — PFI, forecast, projection

- → PFI: based on assumptions about events that may occur and possible actions by an entity; highly subjective; forecast, projection or combination (e.g. 1-year forecast + 5-year projection).
- → Scope: examination procedures for best-estimate and hypothetical assumptions. **Not** for PFI in general or narrative terms (e.g. MD&A), though procedures may suit. Examiner **need not be the statutory auditor**. Other SAs applied to the extent practicable.
- → Management responsible for preparation and presentation: identification and disclosure of PFI, basis of forecast, underlying assumptions.
- → Nature of assurance: evidence is future-oriented and speculative → **no opinion on whether results will be achieved**.

Point	Forecast	Projection	Trigger words
Assumptions	**Best-estimate**: events management **expects** to take place and actions it expects to take as of the date prepared	**Hypothetical** assumptions (events/actions **not necessarily expected**), or a **mixture** of best-estimate and hypothetical	"expects", "based on current trends" → forecast; "if", "assuming we win", "start-up", "major change in operations" → projection
Best-estimate definition	Assumption reflecting anticipated experience with **no provision for risk of adverse deviation**	Uses hypothetical ones alone or mixed with best-estimate	"no provision for adverse deviation" → best-estimate
Auditor's test of assumptions	Best-estimate assumptions are **not unreasonable**	Hypothetical assumptions are **consistent with the purpose**; no reason to believe **clearly unrealistic**; all significant implications included	—
SM example	CFO expects 5% sales growth next quarter (market, supply, buying pattern, season)	New product for expected market growth; new plant with 7-year profit/cash projections for term loan	—
Report caveat	Actual results likely different; variation may be material	Plus: prepared for intended use using hypothetical assumptions; readers cautioned not to use for other purposes	—

2.3 Can a CA be associated with PFI? (Clause 3, Second Schedule)

→ Misconduct if he permits his/firm's name to be used with an estimate of earnings contingent upon future transactions in a manner that may lead to the belief that he **vouches for the accuracy** of the forecast.

→ Allowed to prepare/review forecasts if report clearly states **sources of information, basis of forecasts, major assumptions**, and he does not vouch for accuracy. Same for projections.

SAE 3400: duties vs acceptance factors vs procedure matters vs presentation checks

Asked: Jan 2026 Q6(c); May 2026 Q6(a); MTP Nov 2026

Duties (2.4) — evidence whether	Acceptance (2.6) — consider	NTE of examination procedures (2.7) — matters	Presentation and disclosure (2.8) — whether
(a) Best-estimate assumptions not unreasonable; hypothetical consistent with purpose. (b) PFI properly prepared on the assumptions. (c) Properly presented; all material assumptions disclosed, saying best-estimate or hypothetical. (d) Consistent basis with historical FS, appropriate accounting principles.	Intended use · general or limited distribution · nature of assumptions · elements included · period covered. Do not accept / withdraw if assumptions **clearly unrealistic** or PFI **inappropriate for intended use**. Consider reliance on historical FI. Engagement letter.	(a) knowledge from previous engagements (b) management's competence (c) likelihood of material misstatement (d) extent PFI affected by management judgment (e) sources, adequacy and reliability of data incl. third-party industry statistics (f) **stability** of business (g) team's experience with business, industry and PFI reporting	(a) informative, not misleading (b) policies disclosed (c) assumptions disclosed, best-estimate vs hypothetical clear; uncertainty and sensitivity disclosed (d) date of preparation disclosed; management confirms assumptions as of that date (e) range basis not biased (f) change in policy from latest FS — reason and effect disclosed
Trigger: "duties / responsibilities while examining"	"before accepting", "should he decline"	"nature, timing and extent", "what will you consider in determining procedures"	"disclosure", "notes", "range", "change in depreciation policy"

→ Procedures: assess source and reliability of evidence for best-estimate assumptions (budgets, debt agreements, industry publications). Hypothetical: **all significant implications** considered — sales beyond plant capacity need investment in capacity or subcontracting cost.

Examiner's twist: MTP case: zero cost escalation against 6–8% industry inflation, and revenue from two contracts not yet bid. The story invites "give an adverse opinion". The ask was **duties** → write (a)–(d), then apply: zero escalation is a best-estimate assumption that appears unreasonable against industry data; unbid contracts are hypothetical and must be disclosed as such and be consistent with purpose. Put the opinion consequence in one closing line only.

2.9 SAE 3400 report and modifications

→ Elements (a)–(m): title · addressee · identification of PFI · reference to SAs applicable to examination of PFI · management responsible incl. assumptions · purpose/restricted distribution where applicable · examination on a **test basis** of evidence for assumptions, amounts, disclosures · **negative assurance** on whether assumptions provide a reasonable basis · **opinion** on whether properly prepared on the assumptions and presented per framework · **caveats on achievability** · date (= date procedures completed) · place · signature.

→ Range → no assurance actual results fall within range. Projection → intended use and caution against other use.

Problem found	Report
Presentation and disclosure **not adequate** (e.g. sensitive assumptions' consequences not disclosed)	**Qualified or adverse**, or withdraw
One or more **significant assumptions** do not provide a reasonable basis	**Adverse** with reasons, or withdraw
Conditions preclude necessary procedures	**Disclaimer** describing scope limitation, or withdraw

→ SM TYU 1: depreciation on proposed assets under Income-tax Act, not disclosed → not consistent with historical FS (Companies Act basis) → state it; disclosure inadequate → qualified/adverse or withdraw.

→ SM case answers: assumptions listed by **management**; projection report must state intended use **and** caution against other purposes; accuracy is **not vouched**; **UDIN mandatory**.

→ Documentation: matters important to support the report and evidence of compliance with SAE.

3 SAE 3402 — controls at a service organisation

Asked: RTP May 2024

→ Report for **user entities and their auditors** on controls at a service organisation relevant to user entities' IC over financial reporting. Complements **SA 402** (such reports give evidence under SA 402).

→ Applies only when the SO is responsible for, or able to assert about, **suitable design**. Not for: (a) reporting **only** on whether controls operated as described; (b) controls not relevant to financial reporting (production, quality control).

→ Controls at SO include aspects of user entities' information systems maintained by SO, control environment, monitoring, control activities; **exclude** controls over the SO's **own FS**. Operations/compliance controls may be relevant (payroll: late remittance → interest and penalties).

→ **User auditor** audits the user entity. **Service auditor** reports at the SO's request.

→ **Objectives**: **reasonable assurance** that description fairly presents the system; controls suitably designed; where in scope, operated effectively — throughout the period (type 1: as at a date); report accordingly.

Point	Type 1	Type 2	Trigger words
Covers	Description + **design**	Description + design + **operating effectiveness**	"operating effectiveness", "throughout the year" → Type 2
Time	As at a **specified date**	Throughout a **specified period**	"as on 31 March" → Type 1
Extra in report	Statement: **no procedures on operating effectiveness**, no opinion thereon	Separate section/attachment: **tests of controls and results**; sample size; number and nature of deviations — reported **even if** objective achieved; risk of projecting to future periods	"deviations found but objective met" → still report

- → Steps: ethics incl. **independence**; identify persons to interact; acceptance (capability; criteria suitable and available; scope not so limited as to be useless; scope change needs reasonable justification); suitability of criteria; materiality; understand system; evidence on description, design, (type 2) operating effectiveness; internal audit function; written reps; subsequent events up to report date.
- → **Written reps**: reaffirm assertion; all information and access; disclosed NOCLAR, fraud, uncorrected deviations; design deficiencies; controls not operated as described; subsequent events.
- → Report includes: CUEC statement (not evaluated; objectives achieved only with user controls); subservice organisation activities; intended only for user entities and their auditors; SO responsibilities (description, services, control objectives, design and implementation); opinion in **positive form**; date no earlier than sufficient evidence; place ordinarily the city.
- → **Modified opinion** if: description not fairly presented; controls not suitably designed; (type 2) controls did not operate effectively; or unable to obtain sufficient evidence — with clear description of all reasons.

4 SAE 3420 — pro forma FI in a prospectus

Asked: May 2025 Q1(c)

- → **Reasonable assurance** on the responsible party's **compilation**; applies where required by securities law/regulation or generally accepted practice.
- → Pro forma FI = FI with adjustments to illustrate impact of an event/transaction on unadjusted FI **as if** it occurred at an earlier date. Solely illustrative; **not** actual position/performance/cash flows.
- → Compilation steps: identify source and extract unadjusted FI; make pro forma adjustments; present with disclosures. Practitioner has **no responsibility to compile**.
- → **Acceptance**: capability; criteria suitable and PFI unlikely misleading; evaluate prescribed opinion wording; modified opinion/EOM on source → does law permit use/reference; entity or **acquiree** FI never audited/reviewed → can sufficient understanding be obtained; responsible party agrees responsibility (disclose criteria if not public; compile; provide access incl. acquiree and advisors).
- → **Planning/performing**: assess criteria; materiality; understanding; evidence on **appropriateness of the source** (no audit/review report → procedures to be satisfied); **appropriate extraction**; evidence on **pro forma adjustments**: (a) illustrating impact as if at earlier date; (b) making it consistent with the reporting entity's framework and policies; evaluate presentation; read other prospectus information.
- → Written reps: all appropriate adjustments identified; compiled per criteria. Opinion phrases (equivalent): "compiled, in all material respects, on the basis of the applicable criteria" / "**properly compiled on the basis stated**". Law precludes a prospectus with modified opinion → discuss; no change → **withdraw or seek legal advice**. EOM permitted.
- → Report: not responsible for updating reports on historical FI; no audit or review of FI used; no assurance that actual outcome would be as presented.

Examiner's twist: May 2025: unaudited subsidiary FS as source, fair value adjustments, IFRS with local modifications. Ask (i) was the **source** evaluation, (ii) was what pro forma **adjustments include**. Unaudited source → "perform procedures to be satisfied the source is appropriate"; IFRS modifications → adjustment type (b), aligning to the reporting entity's framework and policies.

09 Ch 9 — Related Services (SRS 4400, SRS 4410)

Asked: May 2026 Q1(c) SRS 4410 documentation (4) · May 2025 Q3(c) compilation independence and management responsibilities (4) · Nov 2024 Q6(b) AUP matters to agree and engagement letter (5) · May 2024 Q4(b) compilation vs assurance, SQC 1 (5)

1 Related services

→ *Assurance engagement: practitioner expresses a conclusion to enhance confidence of intended users **other than the responsible party** about the evaluation/measurement of a subject matter against criteria.*

→ *Not assurance: tax return preparation (no conclusion), consulting/advisory, and **SRS engagements** (AUP and compilation). Person doing related services **need not be the auditor**.*

Audit vs review vs AUP vs compilation — the master look-alike

Point	Audit (SAs)	Review (SRE 2400/2410)	AUP (SRS 4400)	Compilation (SRS 4410)
Assurance	Reasonable	Limited (2410: risk reduced to moderate level)	**None** — users draw own conclusions	**None**
Independence	Required (SA 200 ethics incl. independence)	Required (SRE 2400: ethics incl. independence)	**Not required**, unless terms/objective require; if not independent → **state in report**	**Not applicable**; law may specify requirements or disclosure
Work	Tests of controls, substantive procedures	Primarily inquiry and AP	Procedures of an audit nature as agreed: inquiry and analysis, recomputation/comparison/clerical checks, observation, inspection, confirmations	Apply accounting and reporting expertise to assist management; **no verification** of accuracy or completeness
Output	Opinion (positive)	Conclusion (negative)	**Report of factual findings**	Compilation report — **not a vehicle** for any opinion or conclusion
Distribution	General	General	Usually **restricted** to parties who agreed procedures	As agreed in terms (intended use and distribution)
Trigger words	"true and fair"	"nothing has come to our attention"	"specified procedures", "factual findings", "confirm balances above ₹X"	"assist in preparing FS from trial balance"

2 SRS 4400 Agreed-upon procedures

Asked: Nov 2024 Q6(b)

- **Objective:** carry out procedures of an audit nature agreed by auditor, entity and any appropriate third parties, and **report factual findings**. No assurance; non-assurance engagement.
- May cover individual items (payables, receivables, related-party purchases, segment sales/profits), a balance sheet or even a complete set of FS.
- **Ethics**: Code of Ethics — integrity, objectivity, professional competence and due care, confidentiality, professional conduct, technical standards. Independence as in table.
- **Matters to agree** (with entity and ordinarily other specified parties): (a) nature — not an audit or review, no assurance; (b) stated purpose; (c) financial information to which procedures apply; (d) nature, timing and extent of specific procedures; (e) **limitations on distribution** — if in conflict with law, **do not accept**.
- **Engagement letter includes**: listing of procedures agreed; statement that distribution is restricted to specified parties who agreed the procedures.
- Plan the work; carry out agreed procedures; use evidence as basis for report.

Examiner's twist: Nov 2024 had two asks in one question: "matters to be agreed" (a)–(e) **and** "matters in the engagement letter" (two bullets). Students merge them and lose half. Note the addressee: procedures are on RS Ltd's figures, but the report goes to the **appointing authority** (ATP Ltd), and distribution stays restricted to parties who agreed the procedures.

2.4 AUP report of factual findings (a)–(o)

- Title · addressee (ordinarily appointing authority) · identification of specific financial or non-financial information · procedures were those **agreed with the recipient** · performed per SRS for AUP · purpose · **listing of specific procedures** · factual findings with sufficient detail of **errors and exceptions** · **not an audit or review, no assurance** · **had additional procedures, an audit or review been performed, other matters might have come to light** · **restricted** to parties who agreed · (when applicable) relates only to elements specified, **not FS as a whole** · date · place · signature.
- The four bold "scope" statements are the answer to "precautions so that readers do not misunderstand scope" (TYK 7, CA Kamna).
- Documentation: matters important to support the report of factual findings and evidence of compliance with SRS and terms.

3 SRS 4410 Compilation engagements

Asked: May 2024 Q4(b); May 2025 Q3(c); May 2026 Q1(c)

- Assist management with preparation and presentation of **historical** FI without obtaining assurance, and report. Non-historical or non-financial compilations → may use SRS 4410 with adaptation. **SQC 1 applies** (SRS 4410 is an Engagement Standard).
- Not assurance; no need to verify accuracy or completeness, or gather evidence for an opinion/conclusion.
- Purposes: mandatory periodic reporting under law; or others — internal use by management/TCWG; external parties under contract (e.g. funding body for a grant); transactional (merger, acquisition, change in ownership/financing).
- **Objectives**: apply accounting and financial reporting expertise to assist management per AFRF based on management's information; report per SRS.
- Management retains responsibility incl. judgments, policies and estimates (may have prepared a draft). Framework ranges from entity-specific basis to established standards.
- **Ethics**: comply; identify and address threats. **Independence not applicable**; law may specify.

Agreed terms (record in engagement letter before performing)	Management responsibilities to be agreed May 2025 Q3(c)
(a) intended use and distribution, restrictions; (b) applicable framework; (c) objective and scope; (d) practitioner's responsibilities incl. ethics; (e) management responsibilities; (f) expected form and content of report. Recurring → evaluate revision, remind.	(i) the FI and its preparation and presentation per a framework acceptable for intended use and users; (ii) design, implementation and maintenance of IC; (iii) **accuracy and completeness of records**, documents, explanations and information provided; (iv) **judgments** needed, incl. those where practitioner assists

- → **Performing:** understand business, operations, accounting system and records, and framework incl. industry application; compile using management's information; discuss significant judgments assisted; read compiled FI before completion.
- → Information incomplete/inaccurate → bring to management's attention, request corrected information. Management fails to provide → **withdraw** and inform management and TCWG of reasons.
- → Compiled FI (a) does not adequately describe framework, (b) needs amendments to avoid material misstatement, or (c) otherwise misleading → **propose amendments**; declined → **withdraw** and inform; withdrawal not possible → determine professional and legal responsibilities.
- → Obtain **acknowledgement** that management/TCWG took responsibility for the **final version**. Communicate significant matters on a timely basis.

Examiner's twist: SM case: a team member wants to verify revenue completeness "so FS are not misleading". The answer is that verification is not required — but an omission you **notice** (Rourkela expenditure) cannot be ignored; disregarding it breaches **integrity**. "Not required to look" is different from "may ignore what you saw". Kings & Co (TYK 8): partners say inventory understatement is "outside scope" → propose amendment; refused → withdraw.

3.7 Compilation report (a)–(m)

- → Title · addressee per terms · practitioner **compiled based on information provided by management** · responsibilities of management/TCWG · framework (special purpose → description or reference) · identification of FI (each element title, date or period) · practitioner's responsibilities incl. performed per SRS and **complied with ethical requirements** · what a compilation entails · explanations: not assurance → **not required to verify** accuracy/completeness; accordingly **no audit opinion or review conclusion** · special purpose framework → purpose/intended users and alert that it may not be suitable for other purposes · date · signature · place.

3.8–3.9 Quality control and documentation

Asked: May 2026 Q1(c)

- → Engagement partner responsible for (a) overall quality of each compilation engagement; (b) performance per firm's QC policies and procedures.
- → Documentation: (a) **significant matters** and how addressed; (b) record of how compiled FI **reconciles** with underlying records, documents, explanations and information from management; (c) **copy of final version** of compiled FI acknowledged by management/TCWG, and the practitioner's report. May also keep trial balance, summary of significant accounting records or other information used.

Documentation — look-alike across the group

Standard	Distinctive documentation point	Trigger words
SRE 2400	Experienced practitioner test; who performed and date; who reviewed, period and extent; discussions with management/TCWG; how inconsistencies were addressed	"review", "who reviewed the work"
SRE 2410	Sufficient and appropriate to support conclusion and show compliance with SRE and law	"interim review"
SAE 3402	Experienced **service auditor** test: NTE of procedures; results and evidence; significant matters, conclusions, judgments	"service auditor"
SRS 4400	Evidence supporting the report of factual findings and compliance with SRS and terms	"factual findings"
SRS 4410	Significant matters; **reconciliation** to management's records; **final version** acknowledged + report	"compiled", "trial balance"

Management acknowledgement — look-alike across the group

Standard	Management/responsible party acknowledges responsibility for
SRE 2400 (preconditions)	Preparation per AFRF; internal control; access to information, additional information, unrestricted access to persons
SA 810 (acceptance)	Preparing summary FS per applied criteria; audited FS available without undue difficulty; including auditor's report in any document that says auditor reported
SAE 3420 (acceptance)	Disclosing criteria if not public; compiling pro forma FI; access incl. acquiree and advisors
SRS 4410 (terms)	FI and its preparation; IC; accuracy and completeness of records provided; judgments

Examiner's twist: May 2024 Q4(b) (CA Lalit) asked three things: key issues, difference from assurance engagements, and SQC 1. The SQC 1 line is short and certain — "SQC 1 applies to all Engagement Standards; SRS 4410 is one, so it applies". The SM case also shows **SA 220 is not** the answer for a compilation.

Beyond the SM (practical): banks often ask for "certified" statements prepared by the CA; if the CA only compiled them, the report must make the no-assurance position clear.

⑫ Ch 12 – Digital Auditing and Assurance

Asked: Sep 2025 Q4(b) remote audit confidentiality (5M) · Jan 2026 MCQ DoS attack, Q3(c) RPA audit implications and risks (4M) · May 2026 MCQ whaling/smishing/vishing, Q2(c) SA 315 entity's risk assessment for cyber risks (4M) · MTP: risks from use of IT, impact-of-technology considerations, cyber-risk impact areas.

1. Digital Audit vs 2. Auditing Digitally (SM p 12.4–12.10)

→ ***Digital audit*** = *placing assurance on the* ***effectiveness of the IT systems*** *implemented in an organisation (auditor audits the client's technology).*

→ ***Auditing digitally*** = *using advancements in technology* ***for conducting*** *an effective and efficient audit (auditor uses technology: sampling tools, bot for statutory payments compliance).*

→ *SM example (p 12.8): manager's weekly manual review of* ***vendor master changes*** *re-performed by a* ***BOT*** *— logs in, generates report, selects samples, pulls approvals from SharePoint, flags changes without approval, summarises in Excel; auditor reviews only the exceptions file.*

List (SM)	Items	Trigger words → this list
Key features of digital audit (1.2)	Encourages technology advancement · more reliable audit report (quality of opinion) · savings in time, cost, human effort (24x7 processes) · standardised processes · end-to-end understanding · future digital strategy (AI, robotics) · informed decisions	"what does a digital audit offer the ***auditee/organisation***"
Advantages of digital audit (1.3)	Enhanced effectiveness & efficiency · better audit quality · lower costs · better analytics · improved risk assessment (5)	"benefits", "advantages" of digital audit
Considerations / challenges (1.4)	Know business benefits wanted · think people first (change is difficult) · target the right processes · automation not stand-alone, part of digital strategy · standardise before automating (bots don't adapt to change) · governance and data security in the risk framework	"challenges", "before automating", "bots failing after process change"
Advantages of ***auditing digitally*** (2.2)	Improved quality (sample → full population) · decreasing human dependency · increases transparency (***audit trail*** in ERPs: date, who, what changed) · automation and ease (dashboards e.g. Power BI) · improved efficiency (talent retention) · better risk assessment (6)	"auditor uses tools", "full population", "audit trail feature"
Considerations in auditing digitally (2.3)	What problems are you solving? · Which technology can help? · How will you upskill people? · Range of automated solutions	"questions the audit firm should ask before buying a tool"

→ *Areas of focus on new technology (1.4): new activities / changes in processes (new revenue streams, roles, automation of manual tasks, staffing affecting control environment) · changes in how systems are developed and maintained (new risks → new controls) · impact on how the entity obtains/generates and uses relevant, quality information for internal control.*

Automation range (2.3.4)	What it is (SM)	Trigger words
Macros and scripts	Rules-based automation ***within a specific application***	"Excel macro", single application
Business Process Automation (BPA)	***Re-engineering*** existing business processes, e.g. workflows	"redesigned approval workflow"
Robotic Process Automation (RPA)	Labour-intensive, repetitive activities ***across multiple systems and interfaces***	"bot logs in to ERP and portal", repetitive
Intelligent Process Automation (IPA)	RPA ***+ AI*** to identify patterns, learn over time, optimise workflows	"learns", "improves over time"

Examiner's twist: *a story about the **auditor** using a bot is "auditing digitally"; a story about the auditor reviewing the **client's** ERP controls is "digital audit". An "intelligent bot that learns" is IPA, not RPA. Score with the one-line definition first.*

3. Understand the IT environment (SM p 12.10–12.13) MTP Jan 2026 S-1 3(c)

- → *Stages: **Understand** → **Identify** → **Assess**. Understanding how the entity relies on IT is required as per **SA 315**; complexity drives whether to involve **IT specialists/experts**.*
- → *Understanding of automated environment includes: applications used · IT infrastructure components per application (database, OS, network, server/storage) · organisation structure and governance · policies, procedures, processes · extent of IT integration, use of service organisations · IT risks and controls.*
- → ***Key areas (3.1)** (TYK 16): (1) flow of transactions (changes via program changes or direct data changes in databases) · (2) significant systems · (3) manual and automated controls · (4) technologies used (blockchain incl. crypto, robotics, AI, IoT, biometrics, drone — may need specialists) · (5) complexity of IT environment.*
- → ***Complexity factors**: automation used · reliance on system-generated reports · customisation · business model · significant changes during the year · emerging technologies.*

4. Risks arising from use of IT (SM p 12.13–12.14) MTP Nov 2026 S-1 2(c)

- → *More IT risks when **volume or complexity of automated application controls is higher** and management places greater reliance on them. Risks may also relate to cybersecurity.*
- → *SM list: unauthorised access to data (destruction/improper changes, unauthorised or non-existent transactions; multiple users on a common database) · IT personnel with excess access privileges (breaks SoD); unauthorised changes to master files · unauthorised changes to IT applications · **failure to make necessary updates** · **inappropriate manual intervention** · **data loss or corruption** · **system downtime** (hardware, configuration, cyberattack, power) · **system integration and compatibility** (different versions of same software, unapplied patches) · **regulatory compliance** risk. Also performance issues (solved by **scaling** — expensive).*

Examiner's twist (MTP pattern): *each fact maps to one SM risk — change in live environment without approval/testing → unauthorised changes to IT applications; branches on old software version → integration/compatibility; manual override without review → inappropriate manual intervention; ransomware + weak backup → data loss/corruption. Name the SM risk heading, then tie the fact.*

4.3 IT dependencies (SM p 12.14–12.16) — TYK 3, 12

- → *Arise when IT is used to **initiate, authorise, record, process or report** transactions or other financial data for inclusion in FS.*
- → *Why identify: shows reliance on IT, how IT is integrated into business model, potential IT risks, **related ITGCs**, and an effective and efficient audit approach.*
- → *Auditor should **scope in ITGCs** when IT dependencies are identified; if ITGCs not implemented/operating effectively → **IT dependencies cannot be relied upon**.*

IT dependency (5)	SM meaning and example	Trigger words
Automated controls	Enforce business rules: PO approval via workflow, **format** check (date format), **existence** check (no duplicate customer number), **reasonableness** check (maximum payment)	"system rejects", "cannot enter duplicate"
Reports	System-generated; used in manual controls or by auditor for sample selection, TOD, SAP (vendor master report, customer ageing)	"ageing report used for provision"
Calculations	Accounting procedure done by system: straight-line depreciation; price × quantity invoicing	"system computes"
Security	Access restriction incl. **segregation of duties**	"roles", "user rights"
Interfaces	Programmed logic transferring data between systems (payroll sub-ledger → GL)	"data flows from X to Y system"

ITGC areas — objective and controls (SM p 12.16)

ITGC area	Objective (SM)	Controls (SM)
Access security	Access to programs and data is **authenticated and authorised** to meet FR objectives	Access requests reviewed/authorised · terminated users removed timely · periodic review of access rights · admin and sensitive generic IDs monitored · security policies maintained · OS and database access restricted
Program change	**Modified systems continue to meet** FR objectives	Change policy · dev/test/production **segregated** · changes tracked · tested and approved before migration to production · **emergency changes approved** · SoD between developer and implementor
Data centre and network operations	Production systems **appropriately backed up** to meet FR objectives	Backup/recovery policy · data backed up and recoverable · **restoration testing** · SLA monitoring · batch jobs monitored, access restricted

Look-alike	ITGC	Automated (application) control
Level	Over the IT environment (access, change, operations)	Within an application, enforcing a business rule at transaction entry
SM examples	Removing terminated user; testing changes before production; restoration testing	Format / existence / reasonableness checks; workflow PO approval
Link	ITGCs address risks from IT dependencies; if ITGCs fail, automated controls, reports, calculations and interfaces cannot be relied upon. SM 7: scope may include "testing general IT and application controls" of peripheral systems.	
Trigger	"live environment changed", "ex-employee ID active", "backup never restored"	"system did not block", "duplicate invoice accepted"

Examiner's twist: question narrates a wrong depreciation figure and asks "which IT dependency" — answer **calculation**, not automated control. A payroll-to-GL mismatch is an **interface**. Auditor's next step is always: test the related ITGC (program change for calculation logic).

5. Cyber risk — attack types (SM p 12.16–12.20)

Jan 2026 MCQ (DoS) · May 2026 MCQ (whaling/smishing/vishing)

→ **Cyber-attack**: attempt to gain unauthorised access to a computing system or network with intent to cause damage, steal, expose, alter, disable or destroy data.

Attack	Distinguishing key (SM)	Trigger words
Ransomware	Encrypts data; decryption key for payment; via phishing links, unpatched vulnerabilities	"files locked, ransom"
Fileless malware	Uses **native, legitimate tools**; no code installed; hard to detect	"no file found, built-in tools misused"
Trojan	Appears legitimate (free download, OS program); installed via social engineering	"free utility downloaded"
Mobile malware	Targets mobile devices (malicious downloads, unsecured Wi-Fi)	"phone app"
DoS	**Floods network with false requests**; users can't access email/websites; usually **no data lost, no ransom**	"website down, flood of requests"
Spear phishing	Targets **specific individuals or organisations**, typically email	"named finance staff"
Whaling	Targets **senior / C-level executives**	"Chairman", "CFO"
Smishing	**Text messages** (SMS)	"SMS link"
Vishing	**Phone calls / voice** messages	"caller from bank"
Domain spoofing	Fake **website or email domain** with subtle differences	"look-alike URL"
Email spoofing	**Forged sender address**	"from-address faked"
Identity-based	Valid user's credentials compromised; same ID/password reused across accounts	"reused password"
Insider threat	**Current or former employees** with access and process knowledge	"ex-employee"
DNS tunnelling	DNS queries/responses used to bypass security and extract data bit by bit	"DNS traffic"
IoT-based	Targets IoT device/network; hijack, steal data, join infected group	"smart camera hacked"

Examiner's twist: SM's own example (p 12.19) labels a phishing email to the **CEO** as "Spear Fishing", while the whaling definition targets C-level executives; ICAI's May 2026 key treated an email to the **Chairman** as **whaling**. If the option list has whaling and the target is a C-level executive, choose whaling; if only spear phishing is offered, choose it. Write the definition you rely on.

5.2 Stages of cyber risk (SM p 12.20–12.21) MTP May 2026 S-1 2(c)

Stage	SM content	Trigger words
1 Assessing	No one immune; consider at least: ransomware disabling the organisation (incl. plants) · criminals using phishing and hacks for fraud and theft · insiders (malicious or accidental)	"what threats should the entity consider"
2 Impact (indicative areas)	Regulatory costs · business interruption · data loss, reputational loss, litigation · ransomware · IP theft (impairment charge) · incident response cost (investigation, remediation) · breach of privacy · fines and penalties (8)	"identify areas of impact", "consequences"
3 Managing	Holistic understanding of threats · assess IT/cyber programme against regulation · align cyber and IT initiatives with strategy and critical risks · understand accepted risks and documented compensating controls	"strategic approach"

→ TYU 1: cyber risk is a **business risk**, not IT alone. Even attacks not aimed at financial systems can let attackers manipulate financial records, modify automated business rules, modify automated controls relied on by management → auditor considers whether it is a **risk of material misstatement**.

5.3 Cybersecurity framework (SM p 12.21–12.24) May 2026 Q2(c)

Function	Purpose (SM)	Categories (SM)	Must-write auditor points
Identify	Organisational understanding to manage cyber risk	Asset management · business environment · governance · risk assessment and strategy	Whether entity's risk assessment process considers cyber risk; periodic assessment; **inventory of information assets** reviewed periodically; classify/prioritise by sensitivity; governance review of effect on ICFR; risk-based programme (NIST, ISO); roles **CISO, CIO**; discuss with TCWG
Protect	Safeguards for critical services	Access control · awareness and training · data security · information protection processes	Monitor unauthorised access to electronic assets; formal training; identify material digital assets (IP, patents)
Detect	Identify occurrence of an event	Anomalies and events · continuous monitoring · detection processes	Anti-virus, **firewall logs** monitored, number of denied events, updates
Respond	Act on detected event	Response planning (incident response plan) · communications · analysis · mitigation and improvements	Capture nature of incident and how identified; communicate to TCWG; assess litigation, regulatory investigation, remediation costs
Recover	Resilience; restore impaired services	Recovery planning · improvements · communications	Recovery plan after impact communicated to regulators; patches, better controls, firewall

Examiner's twist: "SA 315 — evaluate entity's risk assessment process for cyber risk" = the **Identify** function only (asset inventory, classification, governance/ICFR, NIST/ISO, CISO/CIO, TCWG). Writing detect/respond points scores little. Stages (assess–impact–manage) ≠ framework functions (identify–protect–detect–respond–recover).

→ **Hotel case (p 12.25):** CEO clicked a phishing link → wire fraud of more than ₹1 million, not recovered. Lessons: staff email training · stringent wire-transfer protocols with **MFA** · cyber incident response plan ready.

5.4 Control considerations for cyber risks (SM p 12.25–12.27)

Control area	Why (SM)	Auditor's questions (SM)
Vendor set-up and modifications	Phishing requests to change vendor bank details → funds paid to fraudsters, liability to real vendor wrongly reduced	Who changes vendor master; centralised?; email used (MFA on email?); systems used; authentication (call-back, MFA)
Electronic transfer of funds	Fraudulent wire-transfer requests, incl. ones appearing to come from financial institutions	Staff educated on scams; call-back / dual authentication; systems for request, authorisation, release
Patch management	Attacks exploit known vulnerabilities from unapplied patches	Patch programme; periodic vulnerability scans; how vendors notify patches

5.5 Remote audit (SM p 12.27–12.29) Sep 2025 Q4(b) · TYK 10, 15

→ Partially or completely virtual; auditor uses technology to obtain evidence or review documentation with auditee participation.

→ **Feasibility and planning**: timelines, meeting platform, data exchange mechanism, access authorisation requests; competencies and resources; evidence via document-sharing platform.

→ **Confidentiality, security, data protection**: restricted platform access; **encrypt** data sent across the network; remove information from platform once reviewed and archive as per standards; consider laws (no recording of sound/images without agreement); **no screenshots of auditees**; screenshots of documents only if **previously authorised** by auditee; use **VPN** to access auditee's IT system.

→ **Risk assessment**: clear communication; assess and **document for each audit** whether remote audit is sufficient, involving all team members and auditee representative.

→ Controls to test: remote access approved; encrypted transfer; list of remote workers reviewed; VPN only; **VPN access terminated timely** when employee leaves or audit completes.

Advantages (SM)	Disadvantages (SM)
Cost and time effective (no travel) · comfort and flexibility · evidence gathering spread over weeks, not taking personnel off daily work · first-hand evidence directly from IT system · wider choice of global experts	Network interruptions · can't see facility culture, body language; time zones · more opportunity for **doctored documents** and omissions · security/confidentiality violation · remote access may not be allowed · cultural challenges, local law knowledge · **physical verification and stock taking cannot be performed**

6. Data analytics and CAATs (SM p 12.29–12.32) — TYU 2, TYK 6

→ **Data analytics**: generating meaningful information from raw system data using processes, tools, techniques. **Audit analytics**: analysing large data sets for insights, trends, conclusions. Helps: discover patterns · identify anomalies · extract other useful information.

→ Data analytics methods used in an audit = **CAATs**. Examples of emerging technologies named: data analytics (CAATs: ACL, Alteryx, Power BI, CaseWare), AI, RPA, blockchain.

CAAT tool	SM key use	SM illustration → trigger
ACL	Data extraction and analysis; fraud detection, risk management	GL dump vs system TB reconciliation beyond Excel capacity (record count, sum, pivot) → "data too big for Excel"
Alteryx	Consolidate data to assess controls; **workflow audit trail**; no coding needed; ML for fraud patterns; automate reconciliations, consolidations, continuous audit	Logistics revenue recomputed for all entries — old rates used as addendum not updated → "re-computation of entire population"
Power BI	BI **visualisation** for non-technical users; outliers; interactive dashboards to management	Apparel sales during **non-business hours** → "trend, outlier, dashboard"
CaseWare	Conduct assurance engagements; documents into client-ready reports; real-time client link; same documents for all authorised users	"audit file, review and compilation on screen"

CAAT test (TYU 2 answer)	SM example
Identify exceptions	Cash transactions above ₹10,000
Identify errors	Account number not numeric
Verify calculations	TDS rate applied as per criteria
Existence of records	Fields with null values — invoices without vendor name
Data completeness	Null values in key fields (date, invoice number, value, name)
Data consistency	Invoices not in required sequence
Duplicate payments	Relationship between tables — duplicate payment for same invoice
Accounts exceeding authorised limit	User beyond authorised limit; payment beyond amount due; overdraft beyond limit

Examiner's twist: "invoices not in sequence" is **data consistency**, not completeness; "cash above ₹10,000" is **identify exceptions**, not authorised limit. SM overlaps "existence of records" (invoices without vendor name) with "completeness" (null name in key fields) — quote the SM example you rely on. The SM does not classify analytics into descriptive/diagnostic/predictive/prescriptive; answer with the SM's CAAT test headings.

7. Automated tools — IoT, AI, blockchain, NFT, RPA (SM p 12.32–12.41)

Jan 2026 Q3(c) RPA · TYK 7, 9, 11, 13

→ Use of technology may require scope to include **peripheral systems** and testing **general IT and application controls** of those systems.

Tool	Audit implications (SM)	Common risks (SM)
IoT (components: data collection, analytics, connectivity, people and process)	Cannot rely only on manual controls; scope new systems; upskill to evaluate automated controls; new payment paths via service providers — consider volume and controls	Device hijacking · data siphoning · DoS · data breaches · device theft
AI	Focus on logical flow of processes; check **unintended bias**; effectiveness of algorithms; output reviewed and approved; cybersecurity/bugs; effect on flows and reports; is AI making decisions; if management shifts oversight to AI — what shifted, new risks, risks losing attention	Security (more data sources = more entry points) · inappropriate configuration · data privacy (explicit consent)
Blockchain (decentralised, distributed, encrypted ledger)	Governance and security of transactions; insecure **APIs** with legacy systems; data confidentiality; weak development protocols; cross-border data privacy laws → non-compliance	Inability to reverse transactions / access without keys (lock-out, need contingency plans) · node exposure to cyber-attack · data management compliance · evolving regulation
NFT	Code review for token safety, valid contract, data privacy, cyber threat	Ownership and copyright · security · narrow market · online frauds
RPA	Understand RPA processes (**data extraction, aggregation, sanitisation, cleansing**) — else cannot initiate audit; may need **source code review**; understand tools to review logs, configuration controls, privileged access; **general IT controls applicable as always**	**Operational and execution** (no operating model, wrong tool, shortcuts) · **change management** (lifecycle not followed, incomplete testing) · **RPA strategy** (wrong expectations, improper KPIs, unrealistic goals)

→ Blockchain audit steps (XY Bank on-chain Nostro case, GIFT City, 24×7 settlement): understand programme · review agreements · identify technology and smart contracts · assess internal controls · review security (encryption, key management) · test transaction validity, **reconcile on-chain Nostro with XY Bank accounts** · compliance (CDD, monitoring) · BCP/DR · report.

→ RPA hiring (TYU 3): advertise → career site pulls data → algorithm scans → online games → video interview. Benefits: less effort, wider assessment, less recruiter bias, lower cost, higher hire yield, less time to hire, more diversity.

Examiner's twist: "Audit implications" ≠ "risks". For RPA, implications are about the **auditor's** understanding (processes, source code, logs, ITGC); risks are the three named categories. A blockchain story will tempt "no need to test controls"; SM says blockchain shifts emphasis to **tests of controls** over tests of details and needs governance and security review.

8. Control considerations of auditing digitally (SM p 12.42–12.43) — TYK 8, 14

→ Three control considerations: (1) **holistic understanding** of industry and IT changes to evaluate management's process for initiating, processing, recording, then design procedures · (2) risks from **new technologies vs legacy systems** · (3) need for **digital upskilling or specialists** (cybersecurity control experts, IT specialists).

→ Technology risks to test controls for: inaccurate processing / processing inaccurate data · unauthorised access (common database) · IT personnel excess privileges (insufficient SoD) · unauthorised/erroneous master file changes · unauthorised program changes · failure to make necessary changes · inappropriate manual intervention · loss of data / inability to access · **third-party service providers** · cybersecurity.

→ **Key steps in a changing technology environment (8.1)** MTP Jan 2026 S-1 3(c): professional skepticism on management's risk assessment for new systems · direct and indirect effects on overall risk assessment · impact on flow of transactions, completeness of in-scope ICFR systems, audit response · appropriateness of management's processes to select, develop, operate, maintain technology controls.

Look-alike	Items	Trigger words
Risks from use of IT (4.2)	Includes downtime, integration/compatibility, regulatory, performance	"risks while **planning** the audit from use of IT"
Technology risks (8)	Includes inaccurate processing and **third-party service providers**	"risks of a new digital system and control considerations"
Control considerations (8)	Holistic understanding · new vs legacy · upskilling/specialists	"what should the auditor consider to address technology risk"
Key steps (8.1)	Skepticism · direct/indirect effects · flow of transactions · management's processes	"obtaining an understanding of impact of technology on business, IC and FR"

9. Next Generation Audit (SM p 12.43–12.47)

→ **Human-led, tech-powered, data-driven**. Technologies: 3D printing, AR, VR, biotechnology, drones (UAV), quantum.

→ **Drones**: stock counts at remote locations; photograph and examine large quantities of fixed assets and inventory; combine with QR readers, bar scanners, manual counts.

→ **AR** adds elements to the real world (Pokémon Go); **VR** replaces the real world entirely; **Metaverse** = 3-D digital space combining crypto, AI, AR, VR; considerations: digital monetary systems, governance, identity (KYC), synchronicity. Risks: public safety, cybersecurity, data privacy, lack of standards; taxation, jurisdiction, customer protection.

Examiner's twist: "inventory at 40 remote salt pans" → drones, combined with manual counts; but under remote audit physical verification cannot be performed — do not confuse the two.

Beyond the SM (practical): the audit-trail (edit log) requirement for accounting software under the Companies Act is not covered in this SM chapter; answer Ch 12 questions on audit trail only with the SM line on ERP audit-trail features.

18 Ch 18 – SDG and ESG Assurance

Asked: Sep 2025 MCQ BRSR assurance methodology steps, Q4(c) ESG Social pillar elements (4M) · Jan 2026 MCQ NGRBC principle not adhered (P3), Q4(c) IR capitals: human and manufactured (4M) · May 2026 MCQ P7 essential vs leadership indicators, Q4(c) BRSR Principle 6 core elements (4M) · May 2024 Q4(c) Principle 1.

1. Sustainability and ESG pillars (SM p 18.3–18.5)

Sep 2025 Q4(c)

→ *Sustainable development: meets needs of the present without compromising future generations (Brundtland report). Environment is an **exhaustible** resource.*

→ ***E**: climate policies, energy, waste, pollution, natural resource conservation, treatment of animals. **S**: relationships and reputation with people and institutions in communities and value chain; labour relations, diversity, inclusion. **G**: internal practices, controls, procedures to govern itself, invest, comply, meet stakeholder needs.*

→ *ESG reporting may be **qualitative** (strategy/policy), **quantitative** (metrics, KPIs) — **mixed** approach adds maximum value.*

Pillar	Themes (SM chart)	Elements under each theme
Environment	Climate change · natural resources · pollution and waste · environment opportunity	Carbon emissions, product carbon footprint, financing environmental impact, climate change vulnerability · water stress, biodiversity and land use, raw material sourcing · toxic emission/waste, packaging, e-waste · clean tech, green building, renewable energy
Social	Human capital · product liability · stakeholders opposition · social opportunity	Labour management, health and safety, human capital development, supply chain labour standards · product safety and quality, chemical safety, financial product safety, **privacy and data security**, responsible investment · **controversial sourcing** · access to communication, finance, health care, opportunities in nutrition and health
Governance	Corporate governance · corporate behaviour	"Broad" (board) diversity, executive pay, ownership, accounting · business ethics, anti-competitive practices, corruption and instability, financial system stability, **tax transparency**

Examiner's twist: "Privacy and data security" sits under **Social** → **product liability**, not governance. "Tax transparency" is **Governance** → **corporate behaviour**. "Controversial sourcing" is Social (stakeholder opposition), not Environment's "raw material sourcing".

2–3. SDGs and global frameworks (SM p 18.6–18.9)

→ ***17 SDGs** adopted in **2015** by all UN member states; **2030 Agenda**; DSDG in UNDESA supports. Corporates contribute through innovation and solutions.*

Framework	Distinguishing key (SM)	Addressed to / trigger
GRI	Most widely used; **93%** of world's largest 250 corporations; over 100 countries; Amsterdam; economic, environmental, social impacts	All stakeholders; "voluntary sustainability report"
CDP	Environmental data: GHG, water, forests, supply chain; climate change, forest, water security	Investors, buyers
IIRC (Integrated Reporting)	Guiding principles and content elements: overview, governance, business model, risks/opportunities, strategy, performance, outlook	"value creation over short, medium, long term"
TCFD	Created **2015** by **FSB**; climate-related disclosures; targeted at financial-interest companies (banks, insurers)	"bank's climate disclosures"
CDSB	Climate-related risks and opportunities; approach for environmental information	—
VRF	Merger of **SASB Foundation and IIRC**	"merger"
ISSB	Announced **3 Nov 2021** by IFRS Foundation Trustees; global baseline of sustainability disclosure for investors; March 2022 consultation on two standards (general, climate)	"global baseline", "enterprise value"

4. Integrated Reporting — 6 capitals (SM p 18.9–18.11) Jan 2026 Q4(c)

Capital	SM key	Trigger in facts
Financial	Pool of funds — debt, equity, grants, or generated from operations/investments	"raised NCDs", "rights issue"
Manufactured	Human-created, production-oriented equipment and tools: buildings, equipment, infrastructure (roads, ports, bridges, waste and water treatment plants)	"new automated production line", "plant"
Natural	Water, land, minerals, forests, biodiversity, ecosystem health	"water recharged", "afforestation"
Human	People's skills, experience, capacity, motivation to innovate; alignment with governance and ethics; ability to implement strategy; loyalty, ability to lead and collaborate	"leadership development programme", "training"
Social (SM answer: "Social and Relationship")	Institutions and relationships within and between communities, stakeholders; common values; trust and loyalty with customers, suppliers; **social licence to operate**	"CSR beneficiaries 10,000 → 75,000"
Intellectual	Future earning potential; R&D, innovation, human resources, external relationships → competitive advantage	"mobile app users 2 lac → 4 lac, digital collection +100%" (TYU 2)

Examiner's twist: automation of a production line = **Manufactured** (equipment), even though it "improves efficiency through technology"; a digital app / innovation = **Intellectual**. Training employees = **Human**, not Intellectual. Asia Pacific leads sustainability data in annual reports (~60% in 2022); IR strong in Middle East.

5–6. Global scenario and evolution of ESG in India (SM p 18.11–18.16)

→ US: SEC climate-risk disclosure proposal March 2022 (TCFD-guided). UK: net zero GHG by **2050** (law 2019); Companies Act 2006 for large companies (listed, >£500 million turnover or >500 employees); Streamlined Energy and Carbon Reporting; SDRs.

Year	India milestone (SM)
Dec 2009	MCA CSR Voluntary Guidelines
July 2011	National Voluntary Guidelines (NVGs) on Social, Environmental and Economic Responsibilities of Business
2012	SEBI: **top 100** listed (market cap) file BRR
2015	BRR format, circular 4 Nov 2015, Reg 34(2)(f) LODR; **top 500**
6 Feb 2017	SEBI advises top 500 to adopt **IR voluntarily** from FY 2017-18
2019	NGRBC (revised NVGs); BRR mandatory for **top 1,000** w.e.f. **26 Dec 2019**
5 May 2021	SEBI introduces **BRSR** (nine NGRBC principles; essential and leadership indicators)
FY 2021-22 / FY 2022-23	BRSR **voluntary / mandatory**

→ ICAI: **SRSB** constituted Feb 2020; IR award; certificate course on SDGs, BRR, IR; publications incl. SAE 3410, Background Material on BRSR (revised 2021), SRMM Version 1.0.

7.1 BRSR structure (SM p 18.17)

May 2026 MCQ CS-III Q10

Section	Contents (SM)	Trigger
A — General disclosures	Listed company details, products, services, operations, employees, holding/subsidiary/associates	"number of employees", "plants"
B — Management and process	Policy and management processes, governance, leadership, oversight	"board-approved policy", "oversight"
C — Principle-wise performance	KPIs for nine NGRBC principles: **Essential (mandatory)** — training, energy, emissions, water, waste · **Leadership (optional)** — life cycle assessments, conflict management policy, additional biodiversity, energy, supply chain data	"KPI under Principle n"

→ BRSR aims at **quantitative and standardised** disclosures for comparability across companies, sectors and time. Listed entities should **endeavour** to report leadership indicators.

→ SM TYK 7 (CTO Ltd): **membership of chambers/associations** = Principle 7 **Essential** (mandatory); **inputs to a Ministry on a draft bill** and to a chamber taskforce = **Leadership** (optional).

7.1.1 Nine principles and core elements (SM p 18.18–18.23)

May 2026 Q4(c) P6 · Jan 2026 MCQ P3 · May 2024 Q4(c) P1

→ SM: two of nine in Environment, three in Social, four in Governance; interlinked.

Principle	Core elements — must-write (SM)	Trigger words → this principle
P1 Ethics, transparency, accountability	Decisions open to disclosure and accessible to interested parties · governing structure develops policies so ethics not compromised · information on policies and performance to stakeholders · extra care for transparent disclosure of adverse effects · encourage value chain to adopt · proactively respond to outside entities (suppliers, distributors, sub-contractors, regulatory officers) violating principles	"anti-bribery", "decisions open to disclosure", "corruption complaints"
P2 Safe and sustainable goods and services	Design production methods to minimise resource use · educate consumers on their rights · reduce over-exploitation; reduce, reuse, recycle	"product design", "R&D to remove toxic products"
P3 Well-being of all employees incl. value chain	Regulatory compliance for employees · dignity; freedom of association, unions, collective bargaining · no child, bonded, involuntary labour · work-life balance · timely wages · **living wages** · safe, hygienic workplace · skill/career development · free of harassment and violence	"contract workers unpaid", "overtime", "union barred"
P4 Stakeholders' interests and responsiveness	Transparent communication on impacts, no ambiguity · systematically determine context and identify interested parties · fairly share benefits	"identify stakeholders", "consultation"
P5 Human rights	Understand rights per Constitution, national laws, International Bill of Human Rights · integrate into management systems · respect rights of communities, consumers, vulnerable and marginalised groups	"human rights due diligence"
P6 Protect and restore environment	Policies to assess and rectify impacts across **whole life cycle** · optimum use of natural and man-made resources with stakeholder feedback · measure pollution, deforestation, waste, energy, land use · climate resilience per **Paris Agreement** and **National Action Plans for Climate Change** · compare with industry best practice to reduce, reuse, recycle/recover · seek avenues to improve	"landfill", "coal power", "emissions" (May 2026 MK Steel)
P7 Public and regulatory policy	Core elements met holistically in policy formulation/advocacy · use trade groups and industry chambers · advocacy encourages fair competition, prevents human rights abuse	"chamber membership", "inputs on draft bill"
P8 Inclusive growth, equitable development	Identify impacts on social, cultural, economic aspects (land acquisition, construction) · track adverse impacts, action plans · products for marginalised · CSR aligned to local priorities · avoid displacement; else informed negotiation, fair compensation · respect IP and traditional knowledge, share benefits	"land acquisition", "displacement", "CSR"
P9 Value to consumers responsibly	Reduce negative impacts · no restriction of freedom of choice, fair competition · disclose adverse impacts · **customer data privacy** · inform safe use, recycling, disposal, avoid over-consumption · no misleading advertising · grievance redressal · universal access for essential services (utilities), incl. discontinued customers	"labels", "barcode authenticity", "misleading ad", "customer data"

Examiner's twist: the agrochemical case (SM p 18.28) shows one fact can hit several principles — R&D removing toxic products = P2; bar-coded user-friendly labels = **P9**; workers no longer exposed = P3; soil protected = P6. When the ask is "the **most relevant** principle", pick one and write its core elements; when it is "principles complied with", map each fact. Waste + coal energy = **P6**, not P2.

7.1.3 Assurance in BRSR; SSAE 3000; SAE 3410 (SM p 18.24–18.25)

→ SEBI started with **top 1,000** listed; others expected to follow. BRSR expected to be the single means of sustainability disclosure → assurance more critical. ESG audit evaluates environmental and social risks of products, services, operations; also supply-chain risks, risk management, transparency.

→ **SSAE 3000** (ICAI) — Assurance Engagements on Sustainability Information: **umbrella standard** for all assurance engagements on sustainability information; covers **reasonable or limited assurance**. Intended users: assurance providers · entities seeking a professional auditor · regulators, investors, other users.

→ Effective: **voluntary** for periods ending **31 March 2023**; **mandatory** for periods ending **on or after 31 March 2024**.

→ **SAE 3410** — Assurance Engagements on Greenhouse Gas Statements.

Look-alike	SSAE 3000	SAE 3410	SAS 100–1600
Subject	Sustainability information (umbrella)	GHG statements	Social impact assessment of **social enterprises**
Issued by	ICAI	ICAI	SRSB of ICAI
Trigger	"assurance on BRSR / sustainability report"	"Scope emissions statement"	"NGO / social enterprise impact"

Reasonable vs limited — what this SM chapter says	Point
Audit of financial statements	Auditor obtains **reasonable assurance** that FS as a whole are free from material misstatement (para 8)
Sustainability information	SSAE 3000 applies to engagements giving **reasonable or limited** assurance; the chapter does not set out the procedural differences or which BRSR parameters get which level

7.1.4 Methodology to provide assurance on BRSR (SM p 18.25)

Sep 2025 MCQ Q13

1. Preliminary review of ESG report, parameters
2. On-site assessment / verification of ESG report
3. Submission of findings of the on-site assessment and document review
4. Review of the responses and clarifications on the findings
5. Preparation of assessment / verification report including final results of assessment / recommendation
6. Issuance of assessment report and assessment statement

Examiner's twist: MCQs shuffle these six steps. Anchors: **review** comes first, **issuance** last; "submission of findings" comes **before** "review of responses" (you can't review responses to findings not yet given). The SM gives this as a flowchart; the order above follows the arrows' logic.

7.1.5 Social Audit Standards (SM p 18.26)

→ Issued by **SRSB**: guidance for independent impact assessment of **social enterprises**; set minimum requirements; laws may add more.

SAS	Area	SAS	Area
100	Hunger, poverty, malnutrition, inequality	900	Platforms strengthening non-profit ecosystem (fundraising, capacity)
200	Health care incl. mental, sanitation, safe drinking water	1000	Livelihoods for rural/urban poor, small and marginal farmers
300	Education, employability, livelihoods	1100	Slum development, affordable housing, resilient cities
400	Gender equality, women, LGBTQIA+	1200	Disaster management, relief, rehabilitation
500	Environmental sustainability, climate change, forest and wildlife	1300	Financial inclusion
600	National heritage, art, culture	1400	Access to land and property for disadvantaged
700	Rural, national, Paralympic, Olympic sports training	1500	Digital divide, misinformation, data protection
800	Incubators of social enterprises	1600	Welfare of migrants and displaced persons

Examiner's twist: *livelihoods appear twice — SAS **300** (education, employability **and** livelihoods) vs SAS **1000** (livelihoods for rural and urban **poor, farmers**). Farmer income → 1000; skilling youth → 300.*

8. Auditor's role — climate-related risks in an FS audit (SM p 18.27) — TYK 6

- → *Objective unchanged: **reasonable assurance** that FS are free from material misstatement.*
- → *Include climate-related risks in **understanding the entity**; more relevant for banks and insurance, energy, transportation, materials and buildings, agriculture, food, forestry.*
- → *User pressure for transparency on climate in auditor's reports — but report must follow **applicable SAs**. Possible **Emphasis of Matter** for disclosures of fundamental importance. First determine whether entity has **appropriately disclosed** climate information under the framework (Ind AS / AS).*
- → *Read **other information** for consistency with FS and with public communications (management narratives, press releases, investor updates) — **SA 720**.*
- → *Agrochemical case: Company B (DDT, red-label; regulator investigation) → **SA 250** (non-compliance may cause fines, litigation, material misstatement) and **SA 570** (claims the company may not be able to satisfy). Company A's 8% revenue fall = transitory, not a concern. Both top 1,000 listed → **BRSR mandatory**.*

Examiner's twist: *a story full of ESG facts asking about the **statutory auditor**: the answer is SA 315 understanding, SA 250, SA 570, EOM if disclosures fundamental, SA 720 for BRSR/annual report narratives — **not** assurance on BRSR. The FS auditor does not certify the ESG numbers by reason of the FS audit.*

Beyond the SM (practical): "BRSR Core" and its assurance glide path are not in this SM chapter; for ICAI answers, use the SM's methodology steps and SSAE 3000 points above.

17 Ch 17 — Due Diligence, Investigation & Forensic Accounting

Asked: Sep 2025 Q6(c) OR fraud investigation, commission scheme (4m) · Jan 2026 Q6(a) steps in conducting due diligence (5m) · May 2026 MCQ CS-III Q12 forensic investigation vs statutory audit · May 2026 Q6(b) investigating accountant, fixed assets (5m). Also Nov 2024 3(c) suppliers' ledger fraud; MTP Sep 2025 credit manager's due diligence.

1. Due diligence — meaning and where used (p.17.2–17.4)

Asked: MTP Sep 2025 S-II 4(b)

- → *Used to investigate and evaluate a business opportunity; verify agreements, encumbrances on assets, title and ownership, intellectual property, health, safety and environment laws. Implies a **general duty to exercise care in any transaction**.*
- → *Legal meaning (write verbatim): "a measure of prudence activity, or assiduity, as is properly to be expected from, and ordinarily exercised by, a **reasonable and prudent person** under the particular circumstance, **not measured by any absolute standard** but depends on the relative facts of the special case."*
- → *A process of investigation **performed by investors** into a potential investment (operations, management, verification of material facts); timely, sufficient and accurate disclosure of all material information; covers **financial as well as non-financial** possibilities. Analysis before acquiring a **controlling interest** to see that the business conforms with what has been presented; also for recommending an investment or advancing a loan/credit.*
- → *Needed in: corporate restructuring, venture capital financing, lending, leveraged buyouts, public offerings, disinvestment, corporatisation; also when a unit stays in the group but passes from one management team to another. Emerging: mandatory human rights and environmental due diligence — OECD Due Diligence Guidance for Responsible Business Conduct: risk-based due diligence to **identify, prevent, mitigate and account for** adverse impacts on people, society and the planet.*
- → ***Can be performed by anyone** — not an exclusive CA activity (p.17.2; TYK 6 answer p.17.81).*

***Examiner's twist:** A bank's credit manager checks promoters' history, shareholding, past results and projections, SWOT, directors' net worth, CIBIL scores, RBI defaulter list and makes discreet inquiries. Ask: "identify the activity; would a non-CA change the answer; name three other areas." Score: **due diligence** (define as above) · **no difference** — any person can do it, as it is prudence and a general duty of care · areas: **corporate restructuring, venture capital financing, public offerings**. Jotting strengths/weaknesses/opportunities/threats of a borrower = **SWOT analysis** as part of due diligence (TYU 1).*

2. Importance, timing, reasons (p.17.4–17.5)

- → ***Timing:** thorough detailed due diligence comes **after** the parties have agreed in principle and reached a preliminary understanding, but **before signing a binding contract**.*
- → ***Purpose:** help the purchaser/investor find out all that a reasonable person can about the business before completion — critical success factors, strengths, weaknesses; expose problems to be handled in **price negotiation** or in **warranty/indemnity clauses**.*
- → ***Four reasons:** (1) confirm the business is what it appears to be; (2) identify potential "**deal killer**" defects and avoid a bad transaction; (3) gain information for valuing assets, defining representations and warranties, negotiating price concessions; (4) verify the transaction meets investment or acquisition criteria.*
- → ***Due diligence vs audit (p.17.4):** audit = independent examination of financial statements to express an **opinion**; due diligence = examination of a potential investment to **confirm all material facts**, reviewing financial and non-financial records as relevant.*

3. Classification — seven types (p.17.5)

Type	SM key	Trigger words in the question → this one
Commercial / Operational	*Generally performed by the **acquirer enterprise itself**; commercial, strategic, operational view*	*"synergies", "fit with our plants", "strategy team of the buyer"*
Financial	*Books of account and financial information; **performed after completion of commercial due diligence***	*"net worth", "profit trend", "hidden liabilities"*
Tax	*Separate exercise but, being integral to financial status, **generally included in financial due diligence**; tax effect of the merger/acquisition*	*"tax effect of merger", "regular in paying taxes"*
Information Systems	*All computer systems and related matters*	*"ERP", "systems of target"*
Legal	*Legal aspects of functioning; property owned; compliance with statutes*	*"title of property", "statutory compliance under various laws"*
Environmental	*Entity's environment, its flexibility and adaptiveness to the acquirer*	*"adaptiveness to acquirer"*
Personnel	*Personnel policies in line with, or changeable to suit, the restructuring*	*"HR policies", "can policies be changed"*

→ ***Financial due diligence ≠ overall due diligence** unless its scope is wide enough; use the term with caution. Its role **commences only after a price has been agreed** or a restructuring plan framed. Principal objective: **look behind the veil** of initial information; assess benefits and costs by inquiring into past, present and future.*

3A. Full-fledged financial due diligence — scope (a)–(h) (p.17.7–17.13)

- → **(a) History and promoters:** begin here; how set up, original promoters; turning points, survival strategies, market share, product life cycle, adequacy of resources, past regulatory impact. Enquire: nature of business, locations, employment, products/markets, important suppliers, inventories, franchises/licences/patents, important expense categories, R&D, foreign currency items, legislation, information systems.
- → **(b) Accounting policies:** any inappropriate policy; **recent changes** (target may have changed them "keeping in view its intention of offering itself for sale"). Report: summary of significant policies, recent changes, **areas where target's policies differ from the acquirer's**, effect of differences.
- → **(c) Review of FS:** prepared per governing statute, Framework and AS (record deviations); operating results in great detail (price is largely based on them); extraordinary items; actual vs budget and previous period; compare trading results of past **four to five years** → trend of normal operating profit; **benchmark** with similar companies; advise **indicative valuation**; expert valuers for immovable property/plant; special attention to intangibles. Objective: look specifically for **hidden liabilities or over-valued assets**.
- → **(d) Taxation:** regular payment of taxes; tax effects of the merger/acquisition.
- → **(e) Cash flow:** internal accruals or repeated external help? Check: (a) honour commitments to trade payables, banks, government, others; (b) how well receivables and inventories are turned; (c) deployment of funds; (d) idle funds; (e) investment pattern and realisability.
- → **(f) Projections:** obtain for **next five years** with assumptions and workings, on **optimistic, pessimistic and most likely** bases; comment on all assumptions; unrealistic assumption → consider impact on valuation; not achievable/aggressive → say so in report; check arithmetical accuracy.
- → **(g) Management and employees:** excess workforce; how much labour to retain; job profiles; protracted labour litigation; PF, ESI, gratuity, leave, superannuation paid/provided/funded; **unfunded gratuity → actuarial valuation from a reputed actuary**; reasonableness of salary/interest/retirement assumptions; all eligible employees covered; key employees' pay, ESOPs, deferred compensation, EVA-linked pay, promised sales incentives; key employees who will not continue.
- → **(h) Statutory compliance:** list applicable laws + compliance checklist; irregular compliance → punitive charges, to be quantified and factored into results.

Hidden liabilities (p.17.10)	Over-valued assets (p.17.11)
Show cause notices not matured into demands, not shown as contingent liabilities · **Letters of comfort** to banks/FIs (not "guarantees", so not disclosed) · indemnity for liabilities of subsidiaries/businesses sold · product/warranty claims, returns, liquidated damages, litigation · direct and indirect tax liabilities · long pending sales tax assessments · customs where only **provisional assessment** done · agreement to **buy back shares** at stated price · future lease liabilities · environmental/third party claims · unfunded gratuity/superannuation/leave, wrong gratuity valuation · huge labour claims after wage agreement expired · unresolved labour litigation	Uncollected/uncollectable receivables · obsolete/slow/non-moving inventory, inventory above NRV, huge packing material with company name · underused/obsolete P&M and spares, impaired assets · assets above market value due to capitalisation of expenditure/forex or revenue items · litigated assets · investments at cost though realisable value much lower · investments with very low return · infructuous project/deferred revenue expenditure · **group company balances under reconciliation** · intangible assets of no value

Examiner's twist: The case lists items and asks "which of these are hidden liabilities" — "group company balances under reconciliation" and "investments carried at cost" are in the **over-valued assets** list, not hidden liabilities. "Letter of comfort" is a hidden liability precisely because it is **not a guarantee**.

4–5. Work approach and how to conduct due diligence (p.17.13–17.15)

Asked: Jan 2026 Q6(a)

→ Work approach: purchase of a business is often the largest asset purchase, so caution is needed. SM figure: **Six-Dimensional Process Framework** — Define, Discover, Diagnose, Design, Delivery, Defend.

→ **How to conduct (write these as "steps"):** start with an **open mind** — do not assume anything is wrong; identify trouble spots and ask for explanations · get the **best team**; hire due diligence experts if needed (check industry experience) · review and report on the financials submitted by the target · **site visit** (if applicable) · work through the process with the acquirer/investor by **defining key areas** · help prepare an **offer** after completion · get help in finance, tax, legal, marketing, technology → **360-degree view** · talk to customers, suppliers, business partners, employees · **risk management approach** — do not antagonise the target's team with loads of questions · prepare a **comprehensive report** on compliances and substantive risks/issues.

6. Contents of a due diligence report (illustrative; p.17.15–17.16)

Executive summary · Introduction · Background of target · Objective of due diligence · Terms of reference and scope · Brief history · Shareholding pattern · Observations · Assessment of management structure, financial liabilities, valuation of assets · Comments on properties, leases, liens, encumbrances · Operating results · Taxation and statutory liabilities · Possible litigation liabilities · Net worth · Interlocking investments and obligations with group/associates, receivables under litigation, unprovided liabilities · **SWOT** · Comments on projections · Status of charges, liens, mortgages · **Suggestions on affidavits, indemnities** for unforeseen contingent liabilities · Suggestions before and after the merger/acquisition. Contents always vary with circumstances.

List in SM	Count	Starts with	Trigger words → which one is asked
Reasons for due diligence	4	Confirm business is what it appears	"why", "deal killer", "purpose"
Objectives for individual areas of verification	11 bullets	Brief history of business	"matters the process can include"
Scope of full-fledged financial DD	(a)–(h)	History of target and promoters	"financial due diligence", "procedures before advising"
How to conduct	~10	Start with an open mind	"steps", "explain to the team new to this work"
Report headings	~20	Executive summary	"contents of your report", "submit report to client"

7. Investigation; audit vs investigation (p.17.16–17.18)

→ Investigation = systematic, in-depth examination or inquiry **to establish a fact or to evaluate a specific situation** ("inquiry into facts"); an examination of books and records preliminary to financing or any other specified purpose, sometimes differing in scope from audit. Covers financing, investment decisions, fraud, profitability, cost determination.

Basis	Investigation	Audit
Objective	Establish a fact/happening or assess a particular situation	Whether FS show true and fair view
Scope	Governed by statute or non-statutory	Wide; statutory audit scope set by law
Periodicity	No rigid time frame; may cover several years	Quarterly, half-yearly or yearly
Nature	Detailed study of facts and figures; **voluntary**	Test checks/sampling; **mandatory for companies**
Inherent limitations	None owing to its nature	Suffers inherent limitation
Evidence	**Conclusive**	**Prima facie** (p.17.18: "persuasive")
Accounting principles	Analytical; investigator **not bound** by accounting conventions, policies, disclosure requirements	Governed by GAAP, audit procedures, disclosure requirements
Appointing agency	Even a **third party** can appoint	Owners/shareholders
Reporting	To person(s) on whose behalf carried out	To owners of the business

→ Mindset: investigator does not accept a stated fact until substantiated; approaches work "to **suspect, verify and satisfy**". Auditor relies on stated facts absent suspicious circumstances. Investigation may arise from an auditor's prima facie findings.

→ No standardised procedure, so extreme care; parties are far more likely to challenge an investigation's findings than an audit's.

8. Steps in investigation — in sequence (p.17.18–17.22)

1. **Objectives and scope:** vague instructions → discuss and obtain **clearly written instructions** (object, scope, purpose, incidental issues); specify the **period** (results affected by changes since contemplated, e.g. devaluation, import restrictions, new division).
2. **Investigation programme** having regard to: nature of business; structure of organisation; client's instructions; consequent scope and depth; need to extend into books of others; concentrate on relevant areas, not wide-ranging verification. **Flexible**; start wide and **narrow down**, eliminating irrelevant matters. Ghost-worker example: time and job cards, appointment/termination, attendance, internal check, wage sheets, bank withdrawals, actual disbursement.
3. **Collection of evidence:** oral explanations from personnel; if client is external, get the matter **formally agreed by the business through the client**; most convincing evidence; all available evidence; **elimination and corroboration**; not restricted to prima facie evidence; may obtain specially procured evidence; external experts (related parties outside, valuers); must not interfere with client's regular work. Land valuation: records, bids received, neighbourhood prices — even **land registration office**; expert land valuer.
4. **Analysis and interpretation:** well reasoned, backed by established facts and records; no pre-conceived notions; consider political/economic factors, competition, historical pattern, nature of business; brief, clear, free from doubt.
5. **Report:** addressed to the party at whose instance done; governed by (a) client's instructions, (b) findings. Rules: nothing irrelevant · words chosen to avoid other meanings · facts and conclusions linked with evidence · **bases and assumptions explicit**, not in conflict with the objective (over-stocking case: do not assume bin-card ordering levels are a fair guide); assumptions only when unavoidable · nature, objective, scope, limitations · paragraph form with headings; detail in annexures · restrictions imposed by client, with reasons and impact · **opinion in the final paragraph**.

9. Special issues in investigation (p.17.22–17.24)

Issue	SM answer — the line that scores
100% or selective verification	Depends on case: cashier's defalcation → examine **all** cash vouchers; profitability → selective, but nothing material concealed. Prefer **statistically recognised sampling** over so-called "test checks".
Reliance on audited accounts	Launched because of doubt in audited accounts → **no reliance**. Valuation of business/share/goodwill for incoming partner → ordinarily may rely unless audit looks casual or terms require fresh testing. Cases: *Short & Compton v. Brackert (1904)*; *Mead v. Ball Baker & Co. (1911)* — old, so get client's instruction **in writing in advance**. Unaudited → duty to check. Specially prepared by a professional accountant knowing the purpose → may accept (*Hedley Byrne*), after checking objectivity/bias.
Experts	Written general consent of client at the beginning; settle costs.
Disputes, conflicting claims	Stay above disputes; seller wants high price, buyer wants value depressed; keep interest of all parties in view.
Basis of opinion	No speculative opinion; only established facts; if facts cannot be established → no opinion, or qualify with reasons (incomplete records).
Futuristic statements	**Refuse** even if appointing authority wants it; may assume established trend continues in the **near future** (absent contrary evidence) for present value; **must not project the trend into future years**.
Working papers	Retain full notes, schedules, record of conversations; link book figures to final figures; **representation letter** from appointing authority; needed when giving evidence in court (e.g. value of shares of a company taken over by Government).

10. Business investigation — items and numbers (p.17.24–17.32)

Asked: May 2026 Q6(b)

→ **Overall picture first** (figures are only symbols): group chart of companies and inter-company terms; product lines; imported vs local inputs; labour intensity and union relations; distribution method; character of management; economic and political forces; market position. Check capital adequacy, sales trend, return on capital, whether at **100% capacity**.

→ **P&L summary** for say **5 to 7 years**; inventory consumed per product instead of opening/closing; consistent inventory valuation; GP and expense-to-sales ratios. Turnover product-wise; few large vs many small customers; Order Books for fictitious sales; split dissimilar activities. Wage structure (industrial award), labour disputes. Depreciation consistent and adequate; revalued assets → depreciation on increased value adjusted; maintenance should rise with age; **dilapidation** provision for leasehold. Managerial remuneration excessive or nil → adjust. Exceptional/non-recurring items adjusted; check IT assessment orders for disallowed items. Major repairs every **3 or 4 years**. Fluctuating results → may take **9 to 10 years**; eliminate years vitiated by long industrial dispute, natural calamity, pandemic, fire, war.

→ **Fixed assets (May 2026):** obtain **age analysis**; old/obsolete need replacement; value not above service value for balance active life plus scrap value; **title deeds** (e.g. jointly owned land and building); maintenance history → allowance for heavy repairs; revaluation → increased depreciation adjusted against profit; recoverable amount below carrying amount → impairment per **AS 28**. Plus **idle assets**: plant used long after acquisition, assets awaiting installation, surplus cash, slow inventory — eliminate from net worth, add proper value separately.

→ Investments: current = readily realisable, held ≤ **one year**, lower of cost and fair value (individual or category, not overall); long-term at cost less permanent decline; dividend out of pre-acquisition profits reduces cost. Inventories: consistent, no profit element, allowance for damaged/slow stock, physical check where held by others, WIP. Receivables: bad-debt provision in year of sale; lengthening credit/discounts = falling demand; ageing; debtors-to-sales ratio. Money in a bank in liquidation only to extent of **Deposit Insurance**. Liabilities: suppression or free reserves; long overdue. Taxation: reopened assessments; disregard temporary tax benefit. Capital: well balanced (not top-heavy with debentures/preference capital); transfer restriction depresses value.

→ Future turnover factors: **Trend, Marketability, Political and economic considerations, Competition**. Working capital: inventory/turnover ratio trend; creditors backlog; effect of more turnover/new products. Future maintainable profit: falling profit-to-capital % with causes continuing → further capital **not commercially advisable**.

II. Types of investigation (p.17.32–17.58)

→ **Statutory:** inspector by Central Government order (s.210); SFIO (s.212); other cases (s.213); ownership of a company (s.216) — detail in Self-Paced Module Set A. **Non-statutory (6):** incoming partner; share valuation of private companies; bank/FI proposing loan; frauds; buying a business; review of profit/financial forecast.

→ **II.1 Incoming partner:** terms reasonable? continuing return and safety of capital. Steps include: history of firm; partnership deed (capital, drawings, retirement benefits, goodwill); profitability with partners' remuneration adjusted; tangible asset backing (less important for service firms); orders and clientele; loan finance; key personnel; contractual obligations to employees; **reasons for offer of admission** (does it coincide with a senior partner's retirement?); capital employed and return vs alternatives; specialisation; goodwill computation on admission/retirement; concessional-entry clauses; incomplete contracts. Personal considerations count predominantly.

→ **II.2 Shares of private companies:** transfer restricted → no free market. Net worth basis (assets revalued at replacement cost less notional depreciation; goodwill = super-profit capacity) or yield basis (average profit of **5 to 7 years** capitalised; higher rate → lower value; risk and transfer restriction reflected in the rate; rate from quoted similar companies). Control passing → value control **separately** and add. Preference shares: yield on similar preference shares.

→ **II.3 Bank/FI loan:** purpose and use; repayment schedule and its assumptions; standing of directors; **MoA/AoA authority** to borrow; history and performance of past **5 years**; effect of economic/political/social changes during loan period; earlier rejection by another lender and reasons. Steps: condensed income statement for previous **five years** (maintainable profit increased by benefit of borrowed funds); ratios — sales/average inventory, sales/fixed assets, equity/fixed assets, current ratio, quick ratio, equity/long-term loans, sales/book debts, ROCE; product-wise sales. Schedules: fixed assets (encumbrance, revaluation date), inventory (slow items, pledges), receivables split — **credit period not expired / due within six months / over six months**, dues from directors; investments; secured/unsecured loans (unsecured loan repayable before bank loan → verify terms); tax; liabilities with ageing of payables; insurance adequacy; undisclosed contingent liabilities.

→ **II.5 Buying a business:** same lines as share valuation, plus (A) proprietary/partnership: reasons for sale and effect of proprietor's retirement; lease length and renewal; unexpired patents; age of managerial staff and unprovided pension/gratuity; dependence on a few customers; goodwill. (B) Limited company: authorised and issued capital; uncalled liability; class rights; dividends and arrears on cumulative preference; **search of Register of Charges at ROC**; offer price (unquoted shares need valuation).

→ **II.6 Profit forecasts:** not verifiable like financial statements of a completed period; special review, departs from expressing an opinion on past events.

Examiner's twist: A 5-mark case about a client who wants the investigator to "project the next five years of profit to fix the price" is really testing **special issue (f)**: refuse to be futuristic. A case where the client's auditors are under suspicion is testing **issue (b)**: no reliance on those audited accounts.

11.4 Investigation of frauds (p.17.41–17.56)

Asked: Sep 2025 Q6(c) OR; Nov 2024 3(c)

→ Fraud in the Companies Act: s.143(10) (SAs deemed auditing standards) and s.447 (punishment). **SA 240 para 11(a):** "an intentional act by one or more individuals among management, TCWG, employees, or third parties, involving the use of deception to obtain an unjust or illegal advantage." **s.447:** act, omission, concealment of fact or abuse of position, with intent to deceive, gain undue advantage, or injure interests of company/shareholders/creditors/others — "**whether or not there is any wrongful gain or wrongful loss**".

→ Broad types: fraudulent financial reporting; misappropriation of assets; corruption (conflicts of interest, bribery, illegal gratuities, economic extortion). Personal-gain fraud: bribery (official bribery → company usually criminally prosecuted). Corporate: advance billing, shell/dummy companies, money laundering (PMLA 2002). Operational level: tampering of cheques/online payments, **off-book frauds** (cash taken before recording; prove by circumstantial evidence, customer confirmations, customer copies, background checks), cash misappropriation (after recording; surprise checks), teeming and lading, fraudulent disbursements, expense reimbursement, payroll, **commission schemes** (salesman inflates sales by fictitious billing, alters prices, shares volumes; need money trails across entities and geographies).

→ **Procedure before investigating:** ascertain the **exact duties** of the suspect, his relation to office routine, circumstances in which defalcation came to light; **greater the authority, wider the field**. Nature unknown → study financial and accounting structure, line of responsibility, internal control weaknesses; direct enquiry where there is **excessive control in a single person** without supervision.

Area	How fraud is done (SM)	Verification (SM)
Cash receipts	Full receipt, part on counterfoil; larger discount; fictitious goods-returned credit; cash sale shown as credit sale; good debt written off; short-debiting customer; under-casting receipts/over-casting payments; short carry-forward of page totals	Inventory, sales summaries, rental registers, salesmen's advices, counterfoils; "duplicate" carbon copies; recall **paying-in slips** and compare with Cash Book; scrap sales, rent from labourers, refunds of deposits; vouch cash sales; check withdrawals with pass book
Cash payments	Double/false invoice payment; personal expenses (betting losses as advertisement); withdrawing unclaimed customer credits; false refund; wrong wage-sheet totals	Party acknowledgements, confirm altered receipts with party; bearer cheques; wage system (over-totalling, dummy workmen); goods ordered vs received; confirmations from partners/directors; petty cash; salary paid only to persons in service
Suppliers' ledger	Fictitious/duplicate invoices; suppressing suppliers' credit notes; withdrawing unclaimed amounts; inflated prices with cash kickback	Vouch Purchase Journal with **Goods Inward Book** and invoices; **statements of account from all suppliers**; allowances authorised; internal control on purchase orders, collusion with suppliers
Customers' ledger	Teeming and lading; allowance/rebate credit to cover collection; crediting another customer then withdrawing	Allowances, goods returned, bad debts written off; Order Book vs Sales Day Book; confirmations — including customers with **nil balance** (send them statements)
Inventory	Removal; written off as damaged; records manipulated to tally; inflated issues to production; dispatched but not billed	Review receipt-storage-dispatch system; first establish items and quantities missing (physical vs Inventory Book); duties of stock handlers; Goods Inward/Outward Registers; returns; reconcile shortages; management diversion via inflated wastage → **engineer's assistance**, past wastage, machine hour capacity

→ **Indicators:** discrepancies in records · conflicting or missing evidence · unacceptable management responses (denial of access, undue time pressure, delays, denial of CAATs, unwillingness to fix control deficiencies) · others (policies at variance with industry, frequent changes in estimates).

→ **Fraud Diamond** (Wolfe and Hermanson): **Incentive, Opportunity, Rationalization, Capability** — capability is the fourth element added.

→ Ability to detect depends on: skill of perpetrator, frequency and extent of manipulation, degree of collusion, relative size of amounts, seniority of those involved. Detection risk can only be reduced, not eliminated.

Examiner's twist: "Suggest one procedure" for rising manpower cost in an ETP section with punched timecards (TYU 2): analyse in/out times and make a **surprise visit** to count actual workers → ghost workers. Story about "salesmen's commission" (Sep 2025) → commission scheme; write fictitious billing, altered prices, shared volumes, then the **procedure** (duties of suspect, single-person control) and verification of customers' ledger and confirmations.

12–13. Forensic accounting and the forensic professional (p.17.58–17.66)

Asked: May 2026 MCQ CS-III Q12

→ "Forensic" = suitable for use in a court of law. Bologna: application of financial skills and an **investigative mentality** to unresolved issues, within the context of the **rules of evidence**. Hopwood, Leiner and Young: application of investigative and analytical skills to resolve financial issues in a manner that meets standards required by courts.

→ **Red flags:** warnings, not proof of fraud; categories — financial performance, accounting system, operational, behavioural.

→ Why audits miss fraud: designed to detect **material** misstatements, not immaterial frauds; sampling; reliance on audit trail rather than events behind documents.

→ Forensic professional: first consider whether the firm has the **skills and experience to accept**; may be in practice or employed by insurers, banks, police, government. Services: FS manipulations, fund diversion/asset tracing, anti-money laundering, licence fees/dues/tax evasion, related party transactions/valuations, loss/damage estimation, suspicious transactions under IBC. Involved in: expert testimony, fraud prevention, computer forensics, fraud detection. Must see **substance over form**.

→ PLI insurance claim (TYU 3): third parties unwilling to give documents; **independence** paramount; insured may negotiate to save reputation; quantification per policy terms; date of first claim under the "claim series" clause.

Point	Statutory audit	Forensic accounting
Mandate / who	Legal mandate; **only by a CA**; independent opinion on FS; ICAI auditing standards	To support legal cases; **non-CAs permitted**; report findings of evidence; primarily financials; ICAI standards (FAIS)
Objective / focus	True and fair; very general overall review	Discover facts and evidence; narrow — validate transactions and balances
Approach / target	Control and substantive tests; material misstatements	Focused testing to confirm suspicion/allegation; identify/confirm nature of violation
Skills / presumption	Testing, analysis, inquiry, observation; **professional scepticism**, due care	Scrutiny, fact-finding, interviews; **neutrality**; "investigative mentality"
Outcome	Audit report opinion (qualified "except for")	Present evidence to a court — "they shall judge"; no opinion
Stock, estimates	Relies on management representation	Independent verification of suspected items
Off-balance sheet items	Vouch arithmetic accuracy and compliance with procedures	Regularity and **propriety** of the transactions examined
Adverse findings	Negative or qualified opinion	Legal determination of fraud impact and identification of perpetrators (per scope)
Period / technique	An accounting period; sample based	No such limit; in-depth checking; seemingly immaterial items too

14. Process of forensic accounting — 6 steps (p.17.66–17.68)

1. **Initialization:** clarify motive, purpose, utility; meet client; **conflict check** as soon as parties known; preliminary investigation before detailed plan.
2. **Develop plan:** objectives and methodology.
3. **Obtain relevant evidence:** enough to prove identity of fraudster(s), mechanics of scheme, amount of loss; usable in court within time; **clear chain of custody** — gaps → evidence challenged or **inadmissible**; watch for falsified/destroyed documents.
4. **Perform analysis:** economic damages, summarising transactions, asset tracing, present value with discount rates, regression/sensitivity, computer models, charts.
5. **Reporting:** findings, summary of evidence, amount of loss, those involved; scope, approach, limitations; how scheme set up and controls circumvented; recommend control improvements.
6. **Court proceedings:** team may be called to describe evidence and how the suspect was identified.

15. FAIS 510 — Reporting Results (p.17.68–17.70)

→ Written report, clear and accurate, findings on reliable and relevant evidence, precise and unambiguous. One engagement with several assignments → **multiple reports**. Addressed to **Primary Stakeholders**; shared with others if required/permissible. No fixed format; if stakeholders or law mandate a format, follow it keeping key elements.

→ **Key elements:** title, addressee, distribution list · scope and objectives · approach and broad procedures · executive summary · reference to expert used · statement of conduct per FAIS or material departures · findings with key evidence and sources · assumptions, limitations, disclaimers · conclusions (if any).

→ Draft discussion: where mandate requires discussion with the subject party, include a **summary of responses**; principles of natural justice require discussion (may be done by stakeholders via disciplinary committee/show-cause notice).

→ Limitations: lack of management support, denied access, court orders, short timelines → disclaimers in report. **Report shall not express an opinion or pass judgement on guilt or innocence**; culpability is for internal disciplinary or judicial process.

→ Issue within reasonable time per engagement terms; **interim reports** allowed without compromising the investigation and are subject to this Standard.

16. FAIS framework and series (p.17.70–17.73)

→ Framework: Code of Ethics is the foundation; four pillars — (i) Basic Principles, (ii) Key Concepts, (iii) Standards, (iv) Guidance. All mandatory **except Guidance (recommendatory)**. FAIS provide: minimum standards to professionals; quality indication to users; appreciation to regulators/government; implementation guidance to everyone. **Principle-based**, not rule-based. Unable to comply/conflict with law → FAI report draws attention to **material departures** with explanation.

→ Series: **100** Key Concepts (110 Nature of Engagement, 120 Fraud Risk, 130 Laws and Regulations, 140 Applying Hypotheses) · **200** Engagement Management (210 Objectives, 220 Acceptance and Appointment, 230 Using Work of an Expert, 240 Engaging with Agencies, 250 Communication with Stakeholders) · **300** Executing (310 Planning, 320 Evidence and Documentation, 330 Work Procedures, 340 Interviews, 350 Review and Supervision, 360 Testifying before a Competent Authority) · **400** Specialised (410 Data Analysis, 420 Digital Domain, 430 Loans or Borrowings) · **500** Reporting (510) · **600** Quality Control (610).

Look-alike: audit vs investigation vs due diligence vs forensic accounting

Basis	Audit	Investigation	Due diligence	Forensic accounting
Core aim (SM)	Opinion on true and fair view	Establish a fact/happening or assess a situation	Confirm all material facts of a prospective opportunity; care of a reasonable person	Collect evidence suitable for a court in matters involving possible fraud
Who	Only a CA (statutory)	Investigating accountant; even a third party can appoint	Anyone	Non-CAs permitted
Evidence / approach	Prima facie/persuasive; sampling	Conclusive; suspect, verify, satisfy	Financial and non-financial; prudence	Chain of custody; all relevant transactions; neutrality
Output	Opinion	Report with opinion in final paragraph	Due diligence report (SWOT, indemnity suggestions)	FAIS 510 report; no opinion on guilt
Trigger words → which	"true and fair", "statutory"	"suspected", "establish", "incoming partner", "loan proposal"	"before acquisition", "prudent person", "deal"	"court", "litigation", "evidence admissible", "expert witness"

Look-alike: three step-lists that examiners swap

Investigation (5)	Forensic process (6)	Internal audit engagement (Ch 16, 5)
Objectives and scope → Programme → Collection of evidence → Analysis and interpretation → Report	*Initialization → Develop plan → Obtain relevant evidence → Perform analysis → Reporting → **Court proceedings***	*Knowledge of business → Audit planning → Gather information → Audit checks → Reporting of issues*

Look-alike: reports

Investigation report	FAIS 510 report	Due diligence report
*Opinion of investigator **in final paragraph**; restrictions by client stated with reasons and impact; annexures for data*	***No opinion on guilt or innocence**; summary of subject party's responses if mandate requires discussion; statement of FAIS compliance or departures*	*Illustrative headings; ends with suggestions before and after the merger/acquisition*

***Examiner's twist:** "Management is confused whether to get an audit or forensic accounting done for suspicious building-material purchases" (TYK 17) — answer is the **forensic vs audit** difference, not investigation steps. "Team did not record who collected ERP logs and when" (TYK 18) — the one line: **chain of custody broken → evidence may be challenged or become inadmissible, defeating the engagement**.*

Beyond the SM (practical): engagement letters for forensic work usually fix the evidence-handling log format at the start, so custody gaps are avoided.

15 Ch 15 — Overview of Audit of Public Sector Undertakings

Asked: Sep 2025 Q2(c)(i)–(ii) compliance audit concept, perspective, regularity and propriety (2+2) · Jan 2026 Q3(a) propriety audit and its principles (5m) · May 2026 MCQ Q15 committee for policies not giving desired results (Estimates Committee) · May 2026 Q6(c) OR performance audit, efficiency aspects (4m).

1–2. PSUs and the framework (p.15.4–15.6)

- → PSUs: owned/controlled by Central Government, State Government(s), or partly Central and partly State. Three categories: (1) **departmentally managed** undertakings (Indian Railways, Postal Services, Security Printing Press, Canteen Stores Department); (2) **government companies and deemed government companies** under the Companies Act, 2013; (3) **statutory corporations** under specific Acts (LIC, UTI).
- → Audit by C&AG through the **Indian Audit and Accounts Department**. C&AG (DPC) Act, 1971: term **six years or up to age 65, whichever is earlier**; may resign by letter addressed to the **President**.
- → Audited organisations: all Union/State departments (incl. Railways, Posts and Telecom); government companies and corporations; non-commercial autonomous bodies owned/controlled by Union/States; authorities substantially financed from Union/State revenues.

Article	Content	Trigger → this Article
148	Appointment by President; removal only for proven misbehaviour or incapacity (special procedure); salary/conditions by Parliament	"appointment", "removal"
149	Duties and powers re accounts of Union, States, other bodies as prescribed by Parliament's law (DPC Act, 1971)	"duties and powers"
150	President prescribes form of accounts on C&AG's advice	"form of accounts"
151	Reports on Union/State accounts submitted to President/Governor, who causes them to be laid before Parliament/Legislature	"to whom will the report be submitted"

Audit of government companies (commercial audit) (p.15.6; TYU 2, TYK 5 answers)

- → Government equity **51% or more**: auditors are CA firms **appointed by the C&AG**, who (i) gives them **directions** on the manner of audit, (ii) may **comment upon** their audit reports, (iii) has a right to conduct a **supplementary audit** and (iv) to **cause test audit** if considered necessary, by an order.
- → **s.2(45)** (TYK 5 answer p.15.36): not less than 51% of paid-up share capital held by Central Government, or any State Government(s), or partly by Central and partly by State Government(s); **includes a subsidiary of such a government company**. **Listing on a stock exchange is irrelevant** — a 60:40 disinvested listed company stays under C&AG.
- → **s.143(5)** (TYU 2 answer p.15.36): in a government company, C&AG directs the manner of audit; auditor's report includes the directions, **action taken thereon and its impact on the accounts and financial statements**. SM examples of directions: transactions processed outside the IT system; loan restructuring/waiver/write-off due to inability to repay; grants for specific schemes accounted/used as per terms.
- → Opening story (p.15.3): a State report includes impact of significant comments arising from **supplementary audit** — e.g. improper depreciation leading to profit overstated by ₹20 crore; a **test audit** of an insurance PSU checked compliance with regulatory norms (compliance audit in nature).

Not in the SM text for this chapter: the SM Ch 15 text does not set out ss.139(5), 139(7), 143(6) or 143(7) (appointment time limits, comment/supplementary audit time limits, test audit order). It mentions supplementary and test audit only as above, and s.143(5) only in the TYU 2 answer. Do not write subsection details from these notes; check the Companies Act chapter of your SM before relying on them.

Look-alike	Supplementary audit	Test audit
SM wording	C&AG "has a right to conduct a supplementary audit of such companies"; reviews accounts of selected government companies **along with the report of the statutory auditors** (Key Takeaways)	C&AG may "cause test audit if considered necessary, **by an order**"
SM example	Comment on improper depreciation → profit overstated ₹20 crore, included in State report	Insurance PSU: policies issued without actuarial valuation and approvals → losses
Trigger words	"review of statutory auditor's report", "comments on accounts"	"by an order", "if considered necessary"

Audit Boards and Financial Committees (p.15.6–15.8)

Asked: May 2026 MCQ Q15

- → **Audit Boards:** unique feature of IAAD for **comprehensive appraisals** of PSEs; associate experts; discuss findings with managements and controlling ministries before finalisation; results go into C&AG's reports; **no separate legal entity**; work under C&AG's supervision and control.
- → Audit Reports and accounts **automatically stand referred** to PAC, Estimates Committee and COPU.

Committee	Duty (SM)	Trigger words → this committee
PAC	Moneys disbursed legally on the purpose applied; expenditure **authorised**; **re-appropriation** per provisions; accounts of autonomous/semi-autonomous bodies audited by C&AG	"authorised", "re-appropriation", "government departments"
Estimates Committee	Economies, improvements, efficiency, administrative reform consistent with policy; **suggest alternative policies**; money well laid out; form of estimates. Does not comment on a policy approved by Parliament, but where a policy is **not leading to desired results or leads to waste**, brings it to the House's notice	"policy not giving results", "alternative policy", "estimates"
COPU	Same financial control over PSUs as PAC over departments; examine reports and accounts of PSUs; examine C&AG reports on PSUs; **autonomy and efficiency**, sound business principles, prudent commercial practices; other PAC/Estimates functions allotted by **Speaker**. Takes the form of a comprehensive appraisal	"public undertaking", "physical and financial performance", "action yet to be taken by PSU"

- → C&AG = "friend, philosopher and guide" of the committees: his reports form the basis (committees not precluded from other issues); scrutinises Ministry notes; committees report to Parliament/Legislature; Ministries report action taken → **Action Taken Reports**; reports not discussed → written answers obtained.

3. Objective and scope; elements; principles (p.15.9–15.13)

- → DPC Act specifies entities; **scope and extent determined by the C&AG itself**. Not confined to financial and compliance — extends to performance (efficiency, economy, effectiveness); propriety; comprehensive audit (does not re-cover the field already covered; appraisal/efficiency-cum-performance); decisions by competent authority after all aspects, information and alternatives; helping Government; physical with financial performance; **fiscal accountability** (funds, sanctions, compliance, propriety) and **managerial accountability** (efficiency, economy, effectiveness = efficiency-cum-performance audit).
- → **Elements:** three parties — auditor (SAI India = C&AG + IAAD; State heads called **Accountants General**), responsible party, intended users · subject matter, criteria, subject matter information · engagement type.
- → **Principles:** General — ethics and independence; professional judgement, due care, scepticism; quality control; audit team management and skill; audit risk; materiality; documentation; communication. Process — planning, conducting, reporting and follow-up.

Look-alike	Attestation engagement	Direct reporting engagement
Who measures subject matter against criteria	***Responsible party***; *auditor gathers evidence for a conclusion*	***Auditor***
Which audits	*Financial audits — **always***	*Performance and compliance audits — **generally***

4–5. Financial and compliance audit (p.15.13–15.15)

Asked: Sep 2025 Q2(c)

- → *Financial audit: opinion on FS per applicable framework (fair presentation → "true and fair"); enhance confidence of users.*
- → ***Compliance audit:*** *independent assessment of whether a subject matter complies with applicable criteria — activities, financial transactions and information comply in all material respects with rules governing the entity. Concerned with **(a) Regularity** — formal criteria from laws, regulations, agreements; **(b) Propriety** — general principles of sound financial management and ethical conduct of public officials. Regularity emphasised; propriety equally pertinent in public sector.*
- → ***Perspective:*** *conducted (i) with audit of FS, (ii) separately as individual compliance audits, or (iii) in combination with performance auditing. Within performance audit, compliance is one aspect of economy, efficiency, effectiveness; non-compliance may be a **cause, explanation or consequence**.*
- → *Process stages: general principles and annual plan → planning → performing and gathering evidence → evaluating and concluding → reporting (include entity's responses; follow-up previous reports); documentation, communication, QC throughout.*

Examiner's twist: *State law defines "flat" by dwelling units and building area; database lacks area column; physical verification shows misclassification → water charges under-collected (TYK 9). Ask: type and to whom reported → **compliance audit**; under **Article 151**, State report goes to the **Governor**, laid before State Legislature. Do not say "President".*

6. Performance audit (p.15.16–15.26)

Asked: May 2026 Q6(c) OR

- → *Definition: objective and systematic examination of evidence for an independent assessment of the performance of a government organisation, programme, activity or function, to improve public accountability and facilitate decision-making. Conducted by C&AG through subordinate offices of IAAD, guided by C&AG's manual and standards. Examines whether (a) decisions by legislature/executive are efficiently and effectively prepared and implemented; (b) taxpayers/citizens got **value for money**.*
- → *Objectives (6.1): economy, efficiency, effectiveness of policy, programmes, organisation, management; accountability; transparency. Responsibility for measurable objectives, performance indicators and measurement systems rests with **Government departments/Heads of entities** (C&AG's Regulations on Audit and Accounts).*

E	SM meaning	SM question examples	Trigger words
Economy	Minimising cost of resources, with appropriate quantity, quality, best price; acquired in due time	Best price for consultancy? cost of sickness absence? lowest transport cost of food aid? waste of resources?	"best price", "acquired in due time", "cost of inputs"
Efficiency	**Input-output ratio**; output maximised at minimum input; focus on processes converting inputs to outputs. Aspects: sound procurement; resources protected and maintained; resources efficiently used; optimum resources for quantity/quality in time; programmes efficiently managed; efficient procedures; objectives met **cost-effectively**	Cost per job created vs elsewhere; could project X be done with better timeliness/quality; prioritising transport projects; schools using IT equipment	"per unit cost", "timeliness", "process", "input-output"
Effectiveness	Extent objectives achieved; intended vs actual impact. Includes: objectives and means proper; extent of results; whether impacts are due to policy or other causes; inhibiting factors; overlap with other programmes; alternatives considered; management control system for measuring effectiveness; compliance with laws; ways to work more effectively	Did infrastructure raise traffic flow, safety, cut journey time? environmental measures? objectives for all sectors of community?	"intended impact", "objectives achieved", "due to the policy or other causes"

→ **Planning (A)–(I):** understand entity/programme (sources: entity documents, legislative documents, policy documents, academic/special research, past audits, media, special focus groups) → objectives and scope → **audit criteria** (sources: procedure manuals; policies, standards, directives, guidelines; criteria of same/other entities; independent expert opinion; scientific knowledge; management literature and research papers) → audit approach (analysis of procedures, case studies, existing data, surveys, analysis of results, quantitative analysis with sampling) → audit questions (hierarchy) → team skills and outside expertise (Accountant General **retains full responsibility** even when an expert is used) → **Audit Design Matrix** (columns: objective, questions, criteria, evidence, data collection and analysis method; one per objective) → time table and resources (AG liable for timely completion; variations approved) → intimation to auditee (scope, team, schedule; acknowledgement on record; changes in objectives recorded and approved).

→ Audit criteria = standards to judge whether a programme meets or exceeds expectations; reasonable and attainable standards of performance.

→ Discom illustration → **performance audit**. Observations: defective meters much above permitted **1%**, not replaced within **1 month** → average billing; meter rent ₹30 (single phase)/₹40 (three phase) per month — short charged **₹60 lakh from 3 lakh consumers in 5 lakh bills**.

7. Comprehensive audit (p.15.26–15.28)

→ C&AG assists legislature; efficiency-cum-performance audit **other than the field already covered** by internal audit or professional auditors; locates weakness and extravagance. Combines **financial, compliance and performance** aspects → holistic assessment. Areas: investment decisions, project formulation, organisational effectiveness, capacity utilisation, production, materials, labour productivity, idle capacity, costs and prices, sales and credit control, budgetary and internal control.

→ Issues (a)–(j): capital cost vs approved; planned outputs; planned rate of return; project formulation and gestation; cost control and wastage; purchase policies and inventory pile-up; R&D; repairs and maintenance; procedures effective and economical; poor project planning. Criteria: **Bureau of Public Enterprises** guidelines, industrial engineering studies, standards of financial propriety. Starting point: audit programme from study of decisions on setting up, objectives, annual reports, budgets, board deliberations, earlier inspection reports.

8. Propriety audit (p.15.28–15.31)

Asked: Jan 2026 Q3(a)

→ Verification of transactions on tests of **public interest, commonly accepted customs and standards of conduct**. Kohler: "that which meets the tests of public interest, commonly accepted customs, and standards of conduct, and particularly as applied to professional performance, requirements of law, Government regulations and professional codes". Tests boil down to **economy, efficiency and faithfulness**; emphasis on substance, financial prudence, public interest, prevention of waste.

→ Brings out **improper, avoidable or infructuous expenditure even though incurred in conformity with rules**. Examples: building for a telephone exchange not used for it (infructuous); school building used five years after completion (avoidable). Every officer to show the vigilance of a person of ordinary prudence spending his own money.

→ **Principles (Audit Code):** (i) expenditure not prima facie more than the occasion demands; ordinary-prudence vigilance; (ii) sanctioning authority does not pass an order that directly or indirectly accrues to its own advantage; (iii) funds not used for benefit of a particular person or group; (iv) apart from agreed remuneration, no other avenue to indirectly benefit management personnel, employees and others.

→ Executive departments enforce economy; audit brings waste to notice. **Auditor's functions:** expenditure properly planned; size and channels rightful for maximum results; likely optimum result; any substitute plan would improve operations/return on capital; management actions conducive to public interest and standards of conduct.

→ Issues: "propriety" is a **moral term** — hard to frame verifiable propositions; subjectivity → C&AG developed norms of propriety for public expenditure; these do **not ipso facto apply to private sector**; management of each entity may frame its own norms. Air travel not wasteful unless rail was feasible with the same results. Judge decisions with reference to circumstances at the time, **not hindsight**; auditor must reconstruct circumstances; otherwise initiative is dampened.

9. C&AG audit report on PSUs (p.15.32)

Parts: (a) Introduction — general review of working results of government companies, deemed government companies, corporations; (b) results of **comprehensive appraisals by the Audit Board**; (c) resume of company auditors' reports under C&AG directions and comments on accounts; (d) significant results of audit of undertakings not taken up by the Audit Board. Certain States: separate commercial report; others: commercial chapter in main report.

Basis	Compliance	Performance	Propriety	Comprehensive
Question it asks	Complied with laws, rules, agreements (regularity) and sound financial management (propriety)?	Economy, efficiency, effectiveness; value for money	Is the expenditure wise, faithful, economical in public interest — even if within rules?	Have objectives, targets, rate of return been achieved — holistic appraisal
Engagement type	Generally direct reporting	Generally direct reporting	Part of C&AG audits, combined with regularity audit	Combines financial, compliance and performance
Who in SM	C&AG offices; test audit example	IAAD offices; AG responsible	C&AG norms of propriety	C&AG; Audit Boards
Trigger words	"rules", "notification", "classification under law"	"cost per unit", "objectives achieved", "programme"	"public interest", "customs", "avoidable", "infructuous", "own advantage"	"cost overrun", "capacity", "project delay", "rate of return"

Examiner's twist: *C&AG appoints a CA firm for a "performance audit" and the firm only checks that expenses conform to public interest and accepted customs; C&AG rejects the report (TYK 7). The trap is to defend the firm. Score: what the firm did is* ***propriety****, not performance audit; performance audit evaluates economy, efficiency, effectiveness → rejection is* ***in order****. Solar project with delay and cost overrun (TYK 3) → write the* ***comprehensive audit*** *issues list, not performance-audit planning.*

13 Ch 13 — Group Audits

Asked: Sep 2025 MCQ CS-I Q3 item NOT a current-period adjustment (goodwill/capital reserve) · Sep 2025 Q3(a) Other Matter paragraph for subsidiaries audited by other auditors (5m) · Sep 2025 Q1(c) CARO reporting in CFS (4m) · Jan 2026 MCQ CS-II Q11 notes not needed in CFS · May 2026 MCQ Q13 unrealised profit, deferred tax, subsequent event. Also MTP May 2026 OMP drafting; May 2024 5(b) component treatment under Ind AS.

1. CFS and the law (p.13.3–13.7)

→ CFS = parent and subsidiaries presented as a **single economic entity**. Components of CFS: consolidated balance sheet, statement of profit and loss, cash flow statement, statement of changes in equity (if applicable), explanatory notes. Same format as parent's separate FS as far as possible; Schedule III formats. ICAI **Guidance Note on Audit of CFS** gives audit procedures; does not deal with accounting matters. AS 21 / Ind AS 110 give accounting principles.

→ **s.129(3):** company with one or more subsidiaries, **including associate company and joint venture**, prepares CFS of company and all subsidiaries in the same form and manner as its own; attach salient features in **Form AOC-1**. **s.129(4):** provisions on preparation, adoption and audit of holding company's FS apply **mutatis mutandis** to CFS. CFS approved by Board along with standalone and laid before AGM with standalone. Companies (Accounts) Rules, 2014: per Schedule III and applicable AS; if not required to prepare CFS under AS, enough to comply with Schedule III CFS provisions.

→ **Exemption (all three):** (i) wholly-owned subsidiary, or partially-owned whose other members (even non-voting), intimated in writing with proof of delivery, do not object; (ii) securities **not listed or in process of listing on any stock exchange, in India or outside India**; (iii) ultimate or any intermediate holding company files CFS with Registrar complying with AS. **s.129(6):** Central Government may exempt any class of companies by notification in public interest.

→ **Investment entity** (Ind AS 110 para 31) need not present CFS if it must measure all subsidiaries at FVTPL. Definition: (a) obtains funds from investors to provide investment management services; (b) commits that its business purpose is investing solely for capital appreciation, investment income or both; (c) measures and evaluates substantially all investments on fair value. Para 33: **parent of an investment entity consolidates** all entities it controls, unless the parent itself is an investment entity.

→ Ind AS 110: **no exemption for temporary control** or severe long-term restrictions on fund transfer; para 20 — consolidation begins when control is obtained and ceases when lost (51% bought, 25% sold in same year → consolidate till date of disposal; TYK 8).

2–3. Responsibility of parent vs auditor (p.13.7–13.9)

Parent's management (a)–(g)	Auditor of CFS — objectives (a)–(e)
Identify components and include their information · reportable segments · related parties and transactions · accurate and complete information from components · consolidation adjustments · harmonise policies and framework · GAAP conversion. Also issues **instructions** to components (policies, disclosures, segments, related parties, reporting timetable).	Satisfy that CFS follow the framework · opinion on true and fair view · enquire into matters in **s.143(1)** · report on **s.143(3)(a)–(i)** and, under s.143(3)(j) with **rule 11**, sub-rules (a)–(g) as applicable · **validate the requirement to prepare CFS**. Component matters are generally reported on the basis of component auditors' reports.

- → SAs, Statements and Guidance Notes apply to CFS as to standalone: plan; understand accounting and internal control systems **including IT such as consolidation tool**; assess risk.
- → **CARO 2020** (SM Ch 7 p.7.71–7.73): Order does not apply to report on CFS **except clause 3(xxi)** — qualifications/adverse remarks in CARO reports of companies included in CFS: give **details of the companies and paragraph numbers** of those CARO reports.

4. Audit considerations; materiality; other auditors (p.13.9–13.12)

- → CFS built from separate FS plus "**other financial information**" (component disclosures, proportion of items under different policies, effects of significant events between component and parent FS dates) — must be additionally disclosed.
- → On acceptance, assess whether **his work alone** supports an opinion; else consider using other auditors (component statutory auditors or auditors appointed to assist). Work done by component statutory auditors for the principal auditor is a **separate assignment**. SA 600 "Using the Work of Another Auditor" (para 2) applies when principal auditor uses another auditor's work.
- → Principal auditor acceptance factors (TYK 10 answer): materiality of portion he audits; his knowledge of components' business; risk of material misstatement in components audited by others; additional procedures giving him **significant participation**.
- → **Materiality in CFS:** compute for the **group as a whole** — used to assess consolidation adjustments; group materiality used to decide whether a component is material and whether to **scope in** components; compute **component materiality** and communicate to component auditor if needed; obtain confirmations from component auditors (independence, ethics, consolidation and disclosure information). Standalone materiality stays component-wise.
- → ICAI announcement **25 May 2017** amended para 17 of the Guidance Note: in considering component auditors' modifications/EOM/OM (SA 705/706), comply with **SA 600** → materiality is considered.

Not in the SM text for this chapter: the SM Ch 13 uses SA 600 "Using the Work of Another Auditor" (principal auditor / other auditor). It does not define "significant component" or its types. Answer with principal-auditor terms and the materiality bullets above.

5. Auditing the consolidation (p.13.12–13.16)

- → Plan for: group structure and group-wide controls incl. IT for consolidation; policies of parent and components, translation of foreign components; nature, timing, extent based on risk in consolidation; extent of other auditors' work; coordination.
- → **Completeness of components** (TYU 1): prior-year working papers; parent's identification procedures; inquiries for new or outgoing components; investments of parent and components; JVs and joint arrangements; other arrangements not consolidated; statutory registers under **ss.186, 190**; changes in shareholding. Document these procedures.
- → Control evidence: Board minutes, shareholder agreements, technology/know-how agreements, statute; **post year-end minutes** (liquidation or further investment → was control temporary?).
- → Exclusion: examine reasons and conformity. Under Companies (AS) Rules, 2006: control intended to be **temporary** (intention to dispose existed **at acquisition**), or **severe long-term restrictions** on transfer of funds. Reasons must be disclosed; other reasons → consider effect on report. Check changes in status (subsidiary to associate, JV to associate). Watch off-balance sheet entities and **de facto control** (less than majority voting rights but practical ability to direct relevant activities unilaterally).

Component (May 2024 5(b))	Ind AS (Companies (Ind AS) Rules, 2015)	AS (Companies (AS) Rules, 2006)
Subsidiary	Line-by-line (Ind AS 110); goodwill/capital reserve (gain on bargain purchase) and NCI per Ind AS 103	Line-by-line; goodwill/capital reserve, minority interest per AS 21
Associate	Equity method (Ind AS 28)	Equity method (AS 23)
Joint venture / jointly controlled entity	Equity method (Ind AS 28)	Proportionate consolidation (AS 27)
Joint operation	Interest in assets, liabilities, revenues, expenses in **separate FS** of the entity (Ind AS 111)	—
Entities under common control (business combination)	**Pooling of interest** method (Ind AS 103)	—
Step acquisition	Remeasure previously held interest at acquisition-date fair value; gain/loss in P&L or OCI (Ind AS 103)	—

6. Permanent vs current period consolidation adjustments (p.13.16–13.21)

Asked: Sep 2025 MCQ CS-1 Q3; May 2026 MCQ Q13

Basis	Permanent	Current period
When made	Only on the **first occasion**, or later when **shareholding changes**	In the period for which CFS are prepared
Items	(a) Goodwill or capital reserve; (b) equity attributable to minority/NCI. Auditor: pre-acquisition reserves (dates of investment), allocation between parent and NCI, changes on later acquisition/disposal; netting goodwill and capital reserve → gross amounts in notes. Example: holding cut from 70% to 55%	Intra-group interest, management fees; **unrealised intra-group profits**; **deferred tax on unrealised profit elimination (Ind AS 12)**; intra-group indebtedness; harmonising policies; recognised subsequent events till date of auditor's report on CFS; significant events where component FS dates differ; **GAAP conversion** of foreign component; movement in NCI since acquisition (NCI may be negative under Ind AS); deferred tax on temporary differences from eliminations and undistributed profits
Trigger words	"on acquisition", "change in holding", "pre-acquisition reserves"	"intra-group", "unrealised", "this year", "conversion adjustments"

- → Adjustments are in **memorandum records** of the parent — auditor reviews them and also verifies: eliminations; uniform policies (AS: if impracticable, disclose fact and proportion of items; Ind AS 110: adjust to group policies); GAAP conversion; NCI; deferred tax (Ind AS); income/expenses from date control gained till ceased, based on acquisition-date amounts (Ind AS).
- → **Goodwill on consolidation**: carried at acquisition value, tested for **impairment at every balance sheet date**; foreign-currency goodwill impairment → check currency translation reserve; intragroup losses may indicate impairment. NCI share of losses exceeding NCI equity → per relevant standard.
- → **Reporting dates:** same as parent; if impracticable, adjust for significant events; difference **not more than six months (AS)** and **three months (Ind AS)**. Consistency: length of periods and year-end differences same period to period; disclose changes.
- → Subsequent events: adjusting vs non-adjusting; non-adjusting significant → disclose nature and estimate of financial effect (or that it cannot be made) — in report of approving authority (AS) / in FS (Ind AS).

Disclosures (p.13.21–13.23)

Asked: Jan 2026 MCQ CS-II Q11

- → MCA **Circular 39/2014 dated 14 October 2014**: CFS should not merely repeat separate-FS disclosures; give only disclosures relevant to CFS (applies under Ind AS too, via s.129(4)).
- → Schedule III extra: for parent and **each component (incl. foreign)** — net assets and % of consolidated net assets; share in profit or loss and %; share in OCI and % (Ind AS). Consolidation adjustments shown as a single line or adjusted in each figure.
- → Need not be in CFS: source of bonus shares; unutilised issue money; MSMED Act disclosure; statement of investments with names of bodies corporate; CIF value of imports; foreign currency expenditure (royalty, know-how, fees, interest); imported vs indigenous consumption %; dividends remitted in foreign currency; foreign exchange earnings.

7–8. Representations and reporting (p.13.24–13.28)

Asked: Sep 2025 Q3(a); MTP May 2026

- → **SA 580:** parent management acknowledges responsibility for true and fair CFS and has approved them; reps on matters material to CFS, e.g. completeness of components; reportable segments; related parties; appropriateness and completeness of permanent and current period adjustments incl. eliminations.
- → Report considering SA 700, SA 705, SA 706; plus SA 600 when other auditors' work used.

Situation	What the CFS auditor does (SM)
Parent's auditor audits all components	Report whether consolidation principles and procedures in AS were followed; departure → SA 705; opinion on state of affairs, results, and cash flows (if CFS includes cash flow statement)
Not auditor of all components	Consider SA 600. If reference to other auditors is necessary (SA 706): disclose **magnitude** — aggregate rupee amounts or percentages of **total assets, revenues and cash flows** not audited by him, **before permanent and current period consolidation adjustments**. Reference is **not a qualification** — it shows divided responsibility. Placed in an **Other Matter paragraph** (TYU 3)
Component reports under a different accounting framework	Parent's management converts component's audited FS; **conversion adjustments audited by the principal auditor**. Alternative: component prepares FS on **group accounting policies** (group accounting manual); principal auditor checks those policies comply with parent's GAAP, then decides whether to rely and refer
Component audited under a different auditing framework	Components should be audited under a framework that **corresponds to Indian GAAS**, to allow reliance and reference
Components not audited	Consider possible **modification** (no sufficient appropriate evidence); evaluate qualitative and quantitative effect using **SA 705**

ICAI ·

OMP skeleton (TYU 3 answer): "We did not audit the financial statements and other financial information of [n] subsidiaries, whose financial statements reflect total assets of ₹__ as at 31 March 20__, total revenues of ₹__ and net cash outflows of ₹__ for the year then ended. These have been audited by other auditors whose reports have been furnished to us by the Management … our opinion … in so far as it relates to these subsidiaries, and our report in terms of s.143(3) … is based solely on the reports of the other auditors. [Foreign ones:] prepared under GAAP of their countries, audited under auditing standards of their countries; Holding Company's management converted them to Indian GAAP; **we have audited these conversion adjustments** … Our opinion … is not modified in respect of the above matters."

Look-alike in a CFS report	Use when	Trigger words
Other Matter paragraph (SA 706)	*Reference to other auditors' work; magnitude stated*	*"audited by other auditors", "draft a paragraph", "furnished by management"*
Modified opinion (SA 705)	*Departure from consolidation principles; unaudited material components*	*"not audited", "excluded for reasons not allowed"*
CARO clause 3(xxi)	*Qualifications/adverse remarks in CARO reports of included companies*	*"CARO report of subsidiary qualified clause ..."*

Examiner's twist: *The story lists CARO qualifications in a subsidiary's, a JCE's and the parent's own standalone reports (Sep 2025 1(c)) and asks how to report in the* ***consolidated*** *report. Only* ***clause 3(xxi)*** *applies: give details of the companies and the* ***paragraph numbers*** *of the CARO reports with qualifications/adverse remarks — do not re-report each clause. In an MCQ, "determination of goodwill" is a* ***permanent*** *adjustment even if the acquisition happened this year (it is the first occasion).*

16 Ch 16 — Internal Audit

Asked: Jan 2026 MCQ CS-II Q10 audit trail IT controls (SM section 9) · May 2026 Q5(b) SIA 390 follow-up and Action Taken Report to Audit Committee (5m). Also Nov 2024 2(b) SA 610 documentation of direct assistance; MTP Jan 2026 s.138 applicability; RTP May 2024 prior audit issues.

I. Meaning, section 138, who can be appointed (p.16.3–16.7)

Asked: MTP Jan 2026 S-I 6(b)

→ *ICAI constituted the **Internal Audit Standards Board** (earlier Committee on Internal Audit) as a non-standing board on **5 February 2004**. Definition (Framework): "Internal Audit provides **independent assurance** on the effectiveness of internal controls and risk management processes to enhance governance and achieve organisational objectives." May include an **advisory (consulting)** role if independence is not compromised. Scope per SA 610: monitoring internal controls (three-way match), review of compliance with laws, examination of financial and operating information, risk management, review of operating activities, governance.*

→ *Internal auditor: **CA or cost accountant (in practice or not), or such other professional as decided by the Board**; may or may not be an employee; regarded as part of management, not merely an assistant; authority to investigate every activity. A non-CA retired IA&AS officer with law degree can be Chief Internal Auditor if the Board decides (TYU 1).*

Class (s.138, rule 13)	Paid-up capital	Turnover	Loans/borrowings from banks or PFIs	Deposits
Listed company	***Every** listed company — no threshold*			
Unlisted public company	*₹50 crore or more (preceding FY)*	*₹200 crore or more (preceding FY)*	*Exceeding ₹100 crore at any time in preceding FY*	*₹25 crore or more at any time in preceding FY*
Private company	***Not a criterion***	*₹200 crore or more*	*Exceeding ₹100 crore at any time*	***Not a criterion***

→ *Any one criterion is enough. Existing company newly covered → comply within **six months** of commencement of applicability. Figures are of the **preceding** financial year (JKT Pvt Ltd: turnover ₹260 crore in preceding year → required, even though capital is ₹40 lakh).*

→ ***Rule 13(2):** Audit Committee or Board, **in consultation with the internal auditor**, formulates scope, functioning, periodicity and methodology. Others: those who appoint (owners, promoters, trustees) define objectives.*

→ ***SIA 210** critical activities of the IA function: overall plan, scope, methodology; oversee assignments to closure of observations; staff and resources; external experts; communicate with stakeholders; quality evaluation and improvement programme.*

→ ***Responsibilities re accounting function:** ascertain adequacy of internal control by continuous examination of accounting procedures, receipts, disbursements; safeguard against misappropriation · operate **independently of accounting staff** · **not perform executive functions** (vested interest) · bring facts to notice of authorities; appraise policies · keep informed of events and policy changes · enjoy independent status always.*

> ***Examiner's twist:** Private company with paid-up capital ₹70 crore and public deposits in the story — both are **irrelevant** for a private company; only turnover and borrowings count. Unlisted public company with capital ₹60 crore but turnover ₹100 crore → still required (capital ≥ ₹50 crore). Write the provision, then test each company separately.*

2. Scope of internal audit review (p.16.8–16.12)

→ Plan so all business processes (financial and operational) are reviewed within a defined time cycle, balancing: risk in the process, value IA can add, effort, **risk appetite**, coverage of all auditable areas.

→ Seven review areas: (i) internal control system and procedures (minimise residual risk; consider limitations — cost-benefit, human error, collusion, abuse; controls in use throughout reliance period); (ii) custodianship and safeguarding of assets (existence, segregation, intangibles like credit control, EDP controls); (iii) compliance with policies, plans, procedures, regulations; (iv) relevance and reliability of information (reporting by exception; system controls for data integrity); (v) organisation structure (span of control, **unity of command**, overlap HQ vs units, segregation); (vi) utilisation of resources (standards and norms; under-utilised facilities, idle manpower); (vii) accomplishment of goals and objectives (quantified, budgets, flexibility).

3–4. Independence, integrity, objectivity; qualities (p.16.13–16.15)

→ Free from undue influence; independence **in mind and in appearance**; resist pressure on scope, conduct, reporting. Position and reporting line of Chief Internal Auditor establish independence. Honest, no conflicts, no undue personal benefit. Objective in gathering and evaluating evidence.

→ Do not review an activity **previously his responsibility**; listed company → report to **Audit Committee**, not CEO/CFO; flag conflicts immediately. Opening case: position outside functions audited (e.g. Finance); accept only limited operational role for a short duration.

→ Compliance (TYU 2): IA **audits** the compliance framework, does **not manage** it or engage directly with regulators — management's responsibility.

→ Reporting structure (TYK 6 answer): functional reporting to Audit Committee/Board; administrative reporting may be to CEO/MD if approved by Board and independence is not affected.

→ Qualities: expertise in control systems; accounting and finance; operations and technology; commerce, laws, taxation, cost, economics, quantitative methods, EDP; ERP and IT controls; management principles and dealing with people; confidentiality.

5–6. Engagement and reporting (p.16.16–16.21)

Asked: May 2026 Q5(b); RTP May 2024

→ Five steps in sequence: knowledge of business → planning (**SIA 310**; scope approved by Audit Committee and Board; opening meeting) → gather information (directly from source) → audit checks (analytics per **SIA 6**, sampling per **SIA 5**, evidence per **SIA 320**, interim reports after review per **SIA 350**, documentation per **SIA 330**) → reporting (draft report; management action plan with responsibility and timelines; status of prior actions; final report and presentation to Audit Committee; **SIA 360**, **SIA 370**).

→ Actual or suspected fraud → bring **immediately** to management's attention.

→ **SIA 370**: two stages — assignment-level Internal Audit Report (to auditee, copies to management) and periodic (normally quarterly) comprehensive report by Chief Internal Auditor to Audit Committee. **SIA 370 deals only with the first type.** Key elements: objectives, scope, approach; statement of conduct per SIAs; executive summary of key observations; summary of corrective actions; nature of assurance, if any. **No final report unless a written draft was shared with the auditee**; issue within reasonable time; conclusions on all findings, acknowledge effective controls; no mandated format; assurance → **SIA 380**. Typical contents: scope, period, executive summary, critical findings, detailed findings with business impact and root cause, rating (High/Medium/Low per Audit Committee criteria), recommendations, management response with action plan and timelines. Documentation: draft and final reports cross-referenced; action plans counter-signed if appropriate.

→ **SIA 390**: Chief Internal Auditor **continuously monitors closure** of prior issues through a formal process pre-agreed with management and TCWG; **implementation remains management's responsibility**; output = **Action Taken Report (ATR)**. ATR contents (TYK 10 answer): reference to previous report; agreed action and target date; status (Implemented / Not implemented); residual risk and rating for unimplemented actions; findings not implemented for long; critical findings needing immediate action. No action within reasonable time → draw management's attention; ascertain reasons; where accepted, review extent of implementation and report partly/not implemented items.

7. Internal vs external auditor; SA 610 (p.16.21–16.25)

Asked: Nov 2024 2(b)

- → Statutory auditor must examine scope and effectiveness of internal audit (department, staff strength, qualification, powers); independence and status are key; evaluate IA function as relevant to nature, timing, extent of his procedures → may adopt **less extensive** procedures. Review of IA function in specified companies is now a statutory responsibility.
- → **Do not use the work of the IA function** if: organisational status and policies do not adequately support **objectivity**; function lacks sufficient **competence**; or does not apply a **systematic and disciplined approach, including quality control**.
- → **Direct assistance:** check that, in aggregate, the external auditor is still **sufficiently involved** given his sole responsibility. Not for procedures that: involve **significant judgements**; relate to higher assessed risks where judgement is more than limited; relate to work the IA function was involved in and reported to management/TCWG; relate to the auditor's decisions under SA 610. Significant judgements: assessing RMM; sufficiency of tests; **going concern**; significant accounting estimates; adequacy of disclosures. Not appropriate: discussion of fraud risks, determining **unannounced procedures** (SA 240); control over external confirmation requests and evaluating results (SA 505) — IA may **assemble information to resolve exceptions**.
- → Before direct assistance, written agreements: (a) from entity's authorised representative — IAs will follow external auditor's instructions and entity will not intervene; (b) from IAs — keep matters confidential and inform of threats to objectivity.
- → **Documentation when direct assistance used:** (a) evaluation of threats to objectivity and competence of IAs used; (b) basis for nature and extent of their work; (c) who reviewed, date and extent (SA 230); (d) written agreements; (e) **working papers prepared by the IAs who provided direct assistance**.

Basis	Internal audit	External audit
Performed by	Internal function or external body	Independent body outside the organisation
Examines	Adequacy of operational controls	Accuracy and validity of FS
Appointed by	Audit Committee or Board	Members
Users	Top management; referred by statutory auditor	Stakeholders
Status	Could be an employee	Mandatorily not an employee

8–9. Management function; audit trail (p.16.26–16.27)

Asked: Jan 2026 MCQ CS-II Q10

- → Management functions: planning, organising, staffing, directing, controlling; internal audit is an element of the **controlling** function (preserves stakeholders' wealth), while staying independent of operations.
- → **Audit trail (edit log):** visible trail tracing reported information back to original input; chronological record of creation, update, deletion. Records: **when** (timestamp), **who** (user ID), **what** (reference; success/failure). Enabled at software level or captured in the database. Controls to show it was functional and not disabled: not disabled/deactivated; **unique user IDs, not shared**; **changes to audit-trail configuration authorised and logged**; access to audit trail and backups disabled/restricted, access logs kept; periodic backups archived for the statutory period.
- → SIAs are **recommendatory**; mandatory from date notified by Council. Series: 100 key concepts (110 Nature of Assurance, 120 Internal Controls, 130 Risk Management, 140 Governance, 150 Compliance with Laws), 200 management (210, 220, 230, 240 Expert, 250 TCWG), 300–400 conduct (310, 320, 330, 350, 360, 370, 390), 500 specialised (520 IT environment, 530 Third Party Service Provider), older SIAs 5, 6, 7, 11 (Fraud), 18 (Related Parties).

Look-alike	Using work of IA function	Direct assistance
Gate	Objectivity + competence + systematic, disciplined approach incl. QC	Same evaluation of threats and competence + external auditor still sufficiently involved
Bar	Greater judgement/risk → do more himself	No significant judgements; no fraud-risk discussion, unannounced procedures, confirmation control
Paperwork	Document evaluation and conclusions	Written agreements (entity and IAs) + documentation (a)–(e) incl. IAs' working papers

Examiner's twist: *Partner tells staff not to file working papers of internal auditors who gave direct assistance "as they are not part of statutory audit" (Nov 2024). Answer:* ***wrong*** *— SA 610 requires them in audit documentation; list (a)–(e). Another favourite: an assertion tested for the first time to add* ***unpredictability*** *must not be given to the internal auditor (TYK 14).*